

Leading with Purpose. Transforming Experiences

About this Report

National Bank of Bahrain B.S.C. (henceforth NBB, the Group, or the Bank) presents its Annual Financial and Sustainability Report (the Report) for the year 2025, outlining the Group's financial performance as well as its progress on key material environmental, social, and governance (ESG) topics.

Reporting Boundary

This Report covers the period from 1 January 2025 to 31 December 2025 unless otherwise stated.

The reporting boundary for financial information reflects the performance of NBB Group while sustainability data reflects the activities of NBB Parent, including operations in Bahrain as well as branches in the Kingdom of Saudi Arabia (KSA) and the United Arab Emirates (UAE).

Bahrain Islamic Bank (BisB), an NBB Group subsidiary, issues a separate Annual Financial and Sustainability Report.

Reporting Frameworks

The report has been prepared in accordance with recognised reporting standards and frameworks.

These include:

- The International Financial Reporting Standards (IFRS)
- The International Financial Reporting Standards (IFRS) S1 'General Disclosures' and IFRS S2 'Climate-related Disclosures'
- The Commercial Companies Law

- The Central Bank of Bahrain (CBB) and Financial Institutions Law 2006
- The CBB ESG rulebook and requirements module 2023 and all other applicable rules and regulations issued by the CBB
- The International Integrated Reporting Framework (IIRF) and its principles of reliability, completion, consistency, and comparability
- The Global Reporting Initiative (GRI) Standards, including all Universal Standards and Material Topics Standards
- The Industry Standards issued by the Sustainability Accounting Standards Board (SASB) and disclosures related to NBB's business and industry classification: Commercial Banks
- The ESG Reporting Guide of the Bahrain Bourse and its 29 ESG metrics, wherever relevant
- The Sustainable Development Goals (SDGs) that are considered most material to the Group's activities
- The Bahrain Economic Vision 2030 Alignment with the various reporting standards and frameworks is clearly indicated in the Appendix.

Assurance

NBB is fully committed to transparency and accuracy in all its public disclosures. The Group has engaged Centre for Sustainability and Excellence, a third-party service provider, to conduct a limited assurance on a select number of ESG KPIs. In addition, Financial Statements have been independently audited by KPMG Fakhro. The independent assurance statements and reports for both the financial and sustainability-related data are included in this report.

Forward-looking Statements

Forward-looking statements involve uncertainty given the many external factors that could impact the business environment in which the Group operates. NBB holds no obligation to publicly update or revise forward-looking statements throughout the coming fiscal year unless required to do so by applicable laws and regulations.

Feedback

NBB welcomes any feedback that may support the enhancement of our reporting. Readers can submit comments and questions via the following channels:

- Email: ir@nbbonline.com
- Phone: +973 1722 8800
- LinkedIn: <https://www.linkedin.com/company/nationalbankofbahrain/>
- Instagram, Twitter, Facebook: [@NBBOnline](https://www.facebook.com/NBBOnline)
- YouTube: <https://www.youtube.com/nationalbankofbahrainofficial>

- P.O. Box 106, Manama, Kingdom of Bahrain



His Highness
Shaikh Isa bin Salman
Al Khalifa

The Late Amir



His Majesty
King Hamad bin Isa
Al Khalifa

The King of the Kingdom of
Bahrain



His Royal Highness
Prince Salman bin Hamad
Al Khalifa

The Crown Prince and Prime
Minister of the Kingdom of
Bahrain

To view the 2025 Annual Financial & Sustainability Report in PDF format, please visit www.nbbonline.com

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Financial Highlights

NBB’s profit attributable to the shareholders increased by 4% from BHD 81.9 million (USD 217.3 million) in 2024 to BHD 85.1 million (USD 225.7 million) in 2025.

	2025	2024	2023	2022	2021
Earnings (BHD millions)					
Net interest income	141.0	143.4	141.4	131.8	120.5
Other income	58.8	48.3	42.6	41.2	30.4
Total operating income	199.8	191.7	184.0	173.0	150.9
Operating expenses	106.4	101.2	96.0	85.5	74.5
Operating profit	93.4	90.5	88.0	87.5	76.4
Profit attributable to the shareholders of the Bank	85.1	81.9	79.1	68.1	53.9
Consolidated net profit	87.2	83.0	81.4	70.7	55.0
Cash dividend	79.0	78.9	67.9	51.3	37.3
Stock dividend	-	-	-	20.6	18.7
Financial Position (BHD millions)					
Total assets	6,276.6	5,522.2	5,372.5	4,785.3	4,535.6
Loans and advances to customers	3,186.2	3,020.0	2,535.1	2,494.9	2,395.8
Investment securities	1,751.1	1,167.6	1,155.0	1,241.4	1,258.6
Earning assets	5,787.6	5,053.7	4,941.4	4,381.4	4,201.7
Total deposits	5,516.6	4,708.3	4,636.5	4,046.9	3,923.8
Customer deposits	3,966.2	3,743.8	3,504.8	3,330.2	3,184.2
Total equity	600.2	597.0	577.2	575.9	535.3
Ratios (%)					
<i>Earnings</i>					
Return on average equity	15.0	14.3	14.2	12.6	10.5
Return on average assets	1.5	1.5	1.7	1.5	1.2
Earnings per share (fils)	38	36	35	30	24
Cost-to-income ratio	52.6	52.4	51.9	49.3	49.0
Net interest margin	2.7	3.0	3.3	3.2	3.1
<i>Capital</i>					
Total equity as % of total assets	9.6	10.8	10.7	12.0	11.8
Total liabilities to shareholders' equity (times)	9.5	8.2	8.3	7.3	7.5
Capital adequacy ratio	20.5	21.5	23.3	23.6	22.1



Key Highlights

Signed a non-binding Memorandum of Understanding with the Bank of Bahrain and Kuwait (BBK) to explore a potential merger focused on creating an enhanced national banking champion.



Launched end-to-end digital loan origination on NBB Digital, enabling new loans and loan top-ups with in-app digital signature and approvals completed within minutes in certain scenarios.

Became the first bank in Bahrain to design, build, and operate a Tier 3 certified data centre, significantly enhancing operational resilience and infrastructure reliability.



Upgraded digital onboarding through the adoption of Bahrain's national eKey digital ID, implemented in partnership with Beyon Connect and the Information & eGovernment Authority (iGA).

Introduced wealth management services within NBB Digital, allowing customers to invest directly in government securities, treasury bills, and sukuk.



Increase in Social Housing portfolio by 35% in 2025, aligned with national initiatives and in support of the Ministry of Housing and Urban Planning (MOHUP), representing 68% of the mortgage portfolio.





Launched dedicated Business Banking service stations across six flagship branches, offering SME and expanded value propositions.



Established the AI & Digital Academy to upskill employees across all levels, empowering NBB's workforce with AI productivity tools.

Enhanced the DigiCorp corporate banking platform, delivering features such as 24/7 USD processing, automated audit confirmations, and open banking participation.



Launched a Supply Chain Finance solution via a white-labelled digital platform.



Strengthened sustainability governance through the implementation of a new ESG Policy and Procedure a Sustainable Finance Working Group to deepen the integration of ESG considerations into credit assessment, decision-making, and long-term planning.

Advanced the development of a comprehensive Decarbonisation Plan, establishing emissions baselines and methodologies aligned with global best practices and Bahrain's national climate ambitions.

Expanded the Sustainable Finance Framework and enhanced the ESG Risk Assessment Toolkit, strengthening the systematic evaluation of ESG risks across financing activities.



Relunched the NBB Group Strategic Management Programme in partnership with MIT and Emeritus, with two cohorts completing the programme in 2025.

Launched the Sustainability Academy in partnership with renowned international training partners, covering ESG governance, sustainability finance, and sustainability risk.



ESG Ratings



#1

Across all sectors in Bahrain

#1

Banking services in MENA

Top 4%

Banking service providers globally



#3

Across all sectors in Bahrain

#2

Banking services in Bahrain

#19

Banking services in MENA

Key Facts and Figures



867

Total employees across NBB



44,048

Total training hours delivered across the organisation



94%

Of the Bank's workforce comprised Bahraini nationals



157

Students hosted under the Evolve Internship Programme in 2025



38%

Of the workforce comprises women



97

Average training hours per employee



100%

Completion rate for mandatory trainings



82%

Procurement spend directed to local suppliers (Bahrain operations)



0

Environmental violations or fines recorded for the third consecutive year

NBB at a Glance

Over nearly seven decades, NBB has played a pivotal role in the Kingdom’s economic and social progress, serving individuals and businesses while supporting Bahrain’s position as a leading regional financial hub. Established in 1957 as Bahrain’s first locally owned bank, the National Bank of Bahrain B.S.C. (NBB) is licensed by the Central Bank of Bahrain (CBB) as a conventional retail bank.

Today, the NBB Group operates across Bahrain, the Kingdom of Saudi Arabia (KSA), and the United Arab Emirates (UAE), with a growing footprint that includes Bahrain Islamic Bank (BisB) - NBB’s Islamic subsidiary and the first Shariah-compliant bank established in Bahrain in 1979.

With a network of 30 branches - comprising 20 in Bahrain, 3 overseas, and 7 under BisB - NBB delivers comprehensive conventional and Islamic banking solutions to a diverse customer base. This regional presence reflects a commitment to long-term economic growth and inclusive financial access.

At the core of NBB’s success is a talented team of over 867 employees, whose expertise and dedication drive innovation, service excellence, and operational strength. With a capital adequacy ratio of 20.5%, NBB maintains a robust financial foundation that enables continued investment in technology, talent, and sustainability-led growth.

In 2025, NBB continued to demonstrate solid performance and resilience, driven by customer trust, digital innovation, and prudent financial management. The Group achieved BHD 85.1 million in attributable net profit, a 4% increase year-on-year, and grew customer deposits by 6% to BHD 3,966.2 million, underscoring its financial strength and market leadership.

In addition, the Group’s total assets further reinforce this position, with assets of BHD 6,276.6 million, representing a year-on-year increase of 14%, highlighting continued balance sheet growth and stability.

Aligned with the Bahrain Economic Vision 2030, NBB continues to advance its sustainability and ESG agenda, integrating responsible banking practices across operations. Through its sustainability framework and roadmap, NBB actively supports the Kingdom’s transition towards a more diversified and sustainable economy, while continuously enhancing digital platforms to deliver seamless, customer-centric services.

Looking ahead, NBB will remain strategically focused on enriching lives and contributing to economic development through seamless financial solutions and sustainable outcomes. The Bank will continue to strengthen its market position, enhance customer experience, and create long-term value for shareholders, employees, and communities.

Established in

1957

Headquarters
Kingdom of Bahrain
Manama

Overseas branches

United Arab Emirates (UAE)

Abu Dhabi & Dubai

Kingdom of Saudi Arabia (KSA)

Riyadh

Stock Exchange Bahrain Bourse

Ownership

Private and institutional shareholders:
45.09%

Bahrain Mumtalakat Holding Company:
44.06%

Social Insurance Organisation:
10.85%

OUTPUT & OUTCOME		SDG ALIGNMENT	
FINANCIAL CAPITAL	• Attributable Profit for the Year: BHD 85.1 million • Dividend per Share: 35 fils • Return on Average Equity: 15.0%	 8 DECENT WORK AND ECONOMIC GROWTH  9 INDUSTRY, INNOVATION AND INFRASTRUCTURE	
RELATIONSHIP CAPITAL	• Retail banking witnessed a +25% increase in the number of digitally registered customer and +42% increase in the number of new to bank customers that were onboarded digitally. • 60.76% of our retail loan portfolio towards the Social Housing programme and 18.61% towards personal loans catered for retirees • 5 ATMS and 1 branch are in low populated and financially deprived areas • 45% increase in number of Credit and Pre-paid cards sold digitally. • 2025 Customer Satisfaction Index at 83.3% • 82% of total procurement spent on local suppliers	 8 DECENT WORK AND ECONOMIC GROWTH  9 INDUSTRY, INNOVATION AND INFRASTRUCTURE  10 REDUCED INEQUALITIES  11 SUSTAINABLE CITIES AND COMMUNITIES  12 RESPONSIBLE CONSUMPTION AND PRODUCTION  17 PARTNERSHIPS FOR THE GOALS	
HUMAN CAPITAL	• Female employee rate of 38% • 89% Employee Participation Score • 8.55% Voluntary Turnover • Nationalisation rate in Bahrain of 94% • A total of 249 Bahraini interns in 2025 • A total of 44,048 training hours were delivered, equivalent to an average of 97.4 hours per employee, representing a 65.9% increase in total training hours compared to 2024. • 100% of employees completed sustainability awareness e-learning programme	 1 NO POVERTY  3 GOOD HEALTH AND WELL-BEING  4 QUALITY EDUCATION  5 GENDER EQUALITY  8 DECENT WORK AND ECONOMIC GROWTH  10 REDUCED INEQUALITIES	
SOCIAL CAPITAL	• BHD 2.4 million donated in 2025 to a range of worthy causes in Bahrain • 1,346 hours spent in volunteering activities to engage with the community • Partnership with esteemed local organisations such as Zakat & Sadaqat fund, Al-mabarrah Al-khalafiah Foundation, Bahrain Fintech Bay, Fablab Bahrain, CFA Society Bahrain, Entrepreneurs Organisation (EO) and INJAZ Bahrain • 157 students engaged through the EVOLVE Programme, alongside financial literacy sessions and INJAZ initiatives across 10 schools reaching ~500 students. • Support for women's programmes, people of determination initiatives, as well as national sports and cultural platforms under the Inclusion & Wellbeing pillar.	 1 NO POVERTY  2 ZERO HUNGER  3 GOOD HEALTH AND WELL-BEING  4 QUALITY EDUCATION  5 GENDER EQUALITY  10 REDUCED INEQUALITIES  11 SUSTAINABLE CITIES AND COMMUNITIES  17 PARTNERSHIPS FOR THE GOALS	
NATURAL CAPITAL	• Madinat Khalifa branch operates entirely on solar energy, achieving 0 carbon emissions. • A Sustainable Finance Framework which enables NBB to finance eligible projects that qualify as green, social and/or sustainable in nature • Waste recycling ratio of 16.32% in 2025 • Financed Emissions have been assessed to constitute 3,129,072 million MTCO2e	 6 CLEAN WATER AND SANITATION  7 AFFORDABLE AND CLEAN ENERGY  11 SUSTAINABLE CITIES AND COMMUNITIES  12 RESPONSIBLE CONSUMPTION AND PRODUCTION  13 CLIMATE ACTION  15 LIFE ON LAND	

Our Activities

Our Business Units:

NBB offers comprehensive, world-class banking services to institutional and retail clients across five business units:



Retail Banking

NBB provides a comprehensive suite of retail banking products and services that enable customers to save, borrow, and invest for their future. The Bank offers traditional banking services such as accounts, card services, a wide range of financing solutions, as well as digital banking services. In addition, NBB's Retail Business Banking Department serves non-borrowing small and medium-sized enterprises (SMEs), facilitating seamless onboarding, account and payments management, payment acceptance solutions, foreign exchange services, and cross-border trade products.

General Retail Banking	2023	2024	2025
% growth of retail banking customers	5%	7%	8%

Customers can access these services through a variety of channels including branches, a network of Automated Teller Machines (ATMs), Interactive Teller Machines (ITMs), Cash Deposit Machines (CDM), and state-of-the-art digital and online platforms which are continuously enhanced to maximise seamless customer access to banking services.

Retail Banking offers the following products and services:

Accounts

NBB offers a range of accounts tailored to meet diverse customer financial goals and needs.

- Thara'a Prize Accounts
- Current Accounts
- Savings and Express Saver Accounts
- Al Mumayaz Accounts
- Yalla Family Account and Saving Pockets
- Time Deposits
- Call Accounts

Cards

NBB offers a variety of bank cards with rewards and benefits to suit the needs of all customers.

- Credit Cards
- Prepaid Cards
- Debit Cards
- Virtual Cards

Financing

NBB offers tailored financing options that enable customers to meet their ambitions and secure their financial future.

- Personal Finance
- Home Finance and Social Housing
- Car Finance
- Education Finance
- Solar Finance

Our Activities continued



Strategic Accounts

The Strategic Accounts unit provides a premier, relationship-led banking experience for Ultra High Net Worth (UHNW) and High Net Worth (HNW) individuals whose deposits play a vital role in supporting the Group's liquidity profile. The unit also manages long-standing partnerships with major public sector institutions - among the Kingdom's largest employers - positioning NBB as the preferred banking partner for these entities and their employees. These institutional relationships contribute significantly to liquidity generation and drive growth across core retail product lines, including personal loans, credit cards, and salary-linked accounts.

In 2025, Strategic Accounts supported NBB's liability diversification objectives by actively promoting the Bank's newly introduced wealth management products to HNW and UHNW clients. Relationship Managers leveraged their strong networks - including key decision-makers across major government entities - to introduce a broader suite of investment solutions traditionally less familiar to public sector clients. The unit also continued to drive digital adoption, achieving a significant increase in digital onboarding and engagement across its client base.

Our Activities continued

Our Business Units continued



03

Group Markets & Client Solutions (GMCS)

This business unit is responsible for further developing business lines across geographies with a view to providing holistic and integrated client solutions that leverage the full capabilities of NBB. Services offered cover Corporate Finance (CF); Transaction Banking (TB); and Treasury & Capital Markets (TCM).

Corporate Finance

The Corporate Finance Unit provides Project & Structured Finance which delivers bespoke financial structures aligned with clients' strategic goals, offering flexibility and innovation through both Conventional and Islamic financing options, including Export Credit Agency (ECA) or Insurance wraps. Debt Advisory Solutions leverage extensive experience in debt raising mechanisms to guide corporate and institutional clients from the start of their fundraising journey to successful closure. The Bank's Syndicated Finance

Solutions boast robust expertise, serving a diverse clientele with a strong track record in leading and growing syndicated transactions across international and local currencies, as well as Islamic and Conventional financing. Additionally, Debt Capital Markets offerings provide comprehensive financial solutions in both public issuances and private placements in the international and domestic markets.

Transaction Banking

This unit offers comprehensive cash and liquidity management solutions, including automated collection services, flexible call accounts, and direct debit services to enhance business cash flow and financial visibility. Their merchant services provide flexible, secure, and easy-to-use point-of-sale solutions, enhancing customer experience with multiple payment methods. The corporate credit cards offer customisable spending limits, global acceptance, and enhanced security features, simplifying business expense management and providing valuable travel benefits. Additionally, the Bank provides risk management tools in the form of Letters of Credit and Bank Guarantees to mitigate risks in the physical supply chain, covering both domestic and international trade businesses. A host of reliable and cost-effective financing solutions, including supply chain finance and revolving credit facilities, are also available to support clients in bridging the working capital gap in their day-to-day operations.

Treasury & Capital Markets (TCM)

This unit brings together deep expertise across capital markets, portfolio management, and treasury functions to deliver innovative financial solutions and comprehensive strategic portfolio oversight. The unit consists of four specialised divisions: Capital Market & Sales Distribution (CM Sales), which provides tailored capital market products; Capital Markets Trading, responsible for managing market risk and ensuring efficient execution; Portfolio Management, overseeing strategic investments for optimal risk-adjusted returns; and Asset Liability Management & Treasury (ALMT), optimising the bank's liquidity, funding, and balance sheet.

In line with NBB's strategic ambition to strengthen and broaden its wealth management capabilities, TCM established a dedicated Wealth Management unit to better serve the evolving needs of clients. This enhanced division offers a comprehensive suite of investment products - including fixed income, equities, structured products, and alternative investments - tailored to diverse risk profiles and financial goals. By leveraging digital capabilities, the unit is designed to attract and engage new client segments, including emerging affluent and High Net Worth (HNW) individuals, while deepening relationships with the existing customer base.

Our Activities continued



04

Group Corporate & Commercial Banking (GCCB)

The Group Corporate & Commercial Banking (GCCB) division supports a broad spectrum of corporate, commercial, SME, governmental, and financial institution clients, providing relationship-driven financial solutions that enable business growth and contribute to the national economy.

GCCB focuses on understanding client needs and delivering tailored financing and banking services, including working capital and bilateral funding solutions, while collaborating closely with the Group Markets & Client Solutions (GMCS) team. Together, the two units offer a comprehensive suite of solutions, with GCCB leading client engagement and core lending relationships, and GMCS complementing these through its specialised product offerings to ensure an integrated and seamless client experience.

GCCB offers the following products and services:

- Working Capital Facilities
 - Funding requirements to cover capex and other requirements
 - Trade Finance Products
 - Deposit Products
 - Corporate Credit Cards
- Foreign Exchange
 - Payment Solutions
 - Merchant Acquiring
 - Digital Banking
 -



05

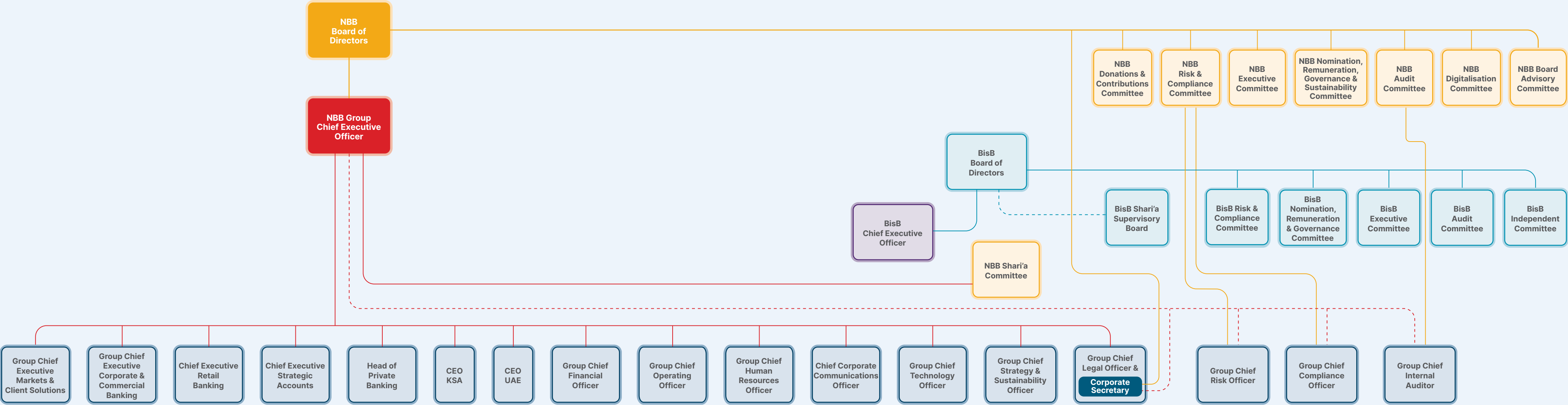
Private Banking

The Private Banking division offers world-class, personalised banking and investment solutions for UHNW, HNW, and Family Office clients. Serving a sophisticated base of local and international investors, the unit provides exclusive investment opportunities, and tailored wealth strategies that support long-term financial objectives. Private Banking remains central to the Group's ambition to expand its wealth management offering and strengthen its competitive position in the region.

In 2025, Private Banking expanded its regional reach and enhanced its wealth offering through focused initiatives. Services were integrated across Bahrain, KSA and the UAE to provide a seamless regional experience, while targeted efforts began to attract select UHNW clients from key international markets. The division is also exploring new specialised banking solutions, including trust and company formation services through third party partners in addition to introducing offers that facilitate international property investments and mortgage arrangements, particularly in markets such as the UK.

2025 NBB Group Organisation Chart

31 December 2025



Our Islamic Banking Subsidiary

Bahrain Islamic Bank (BisB)

The acquisition of a controlling stake in Bahrain Islamic Bank (BisB) in 2020 marked a major milestone in NBB’s journey of diversification and growth. As Bahrain’s first Islamic bank, BisB has brought deep expertise in Shariah-compliant finance, expanding the Group’s capabilities and enabling us to serve a broader range of customers and sectors.

Over the past few years, NBB and BisB have evolved into a complementary partnership, uniting conventional and Islamic banking under one Group platform, while preserving the privacy and independence of each, commanding a major share of Bahrain’s retail banking market while offering customers greater choice, convenience, and value.

In 2025, the two entities advanced the integration of key operational and support functions in compliance with the directives of the bank’s Sharia Supervisory Board, full organizational separation is maintained between the departments concerned with Islamic finance, strengthening efficiencies, and enhancing the Group’s capital position, delivering measurable benefits to shareholders and customers alike.

BisB launched its Future Forward Strategy in 2025, setting a new direction for 2025–2026, focusing on Balance Sheet Resilience, Efficiency & Transformation, Data-Driven Culture, and Customer-Centric Excellence.

Looking ahead, BisB’s continued evolution under NBB’s majority ownership will reinforce its standing as the Islamic bank of choice in Bahrain and a key driver of the Group’s regional ambitions. Together, NBB and BisB are building a unified financial ecosystem that champions innovation, inclusion, and sustainability – contributing to the Kingdom’s long-term prosperity in line with Bahrain’s Economic Vision 2030.

Further details on BisB’s performance and initiatives can be found in the BisB 2025 Annual Financial and Sustainability Report, available on its website.

Established in

1979

Headquarters

Kingdom of Bahrain

Manama

Stock Exchange

Bahrain Bourse

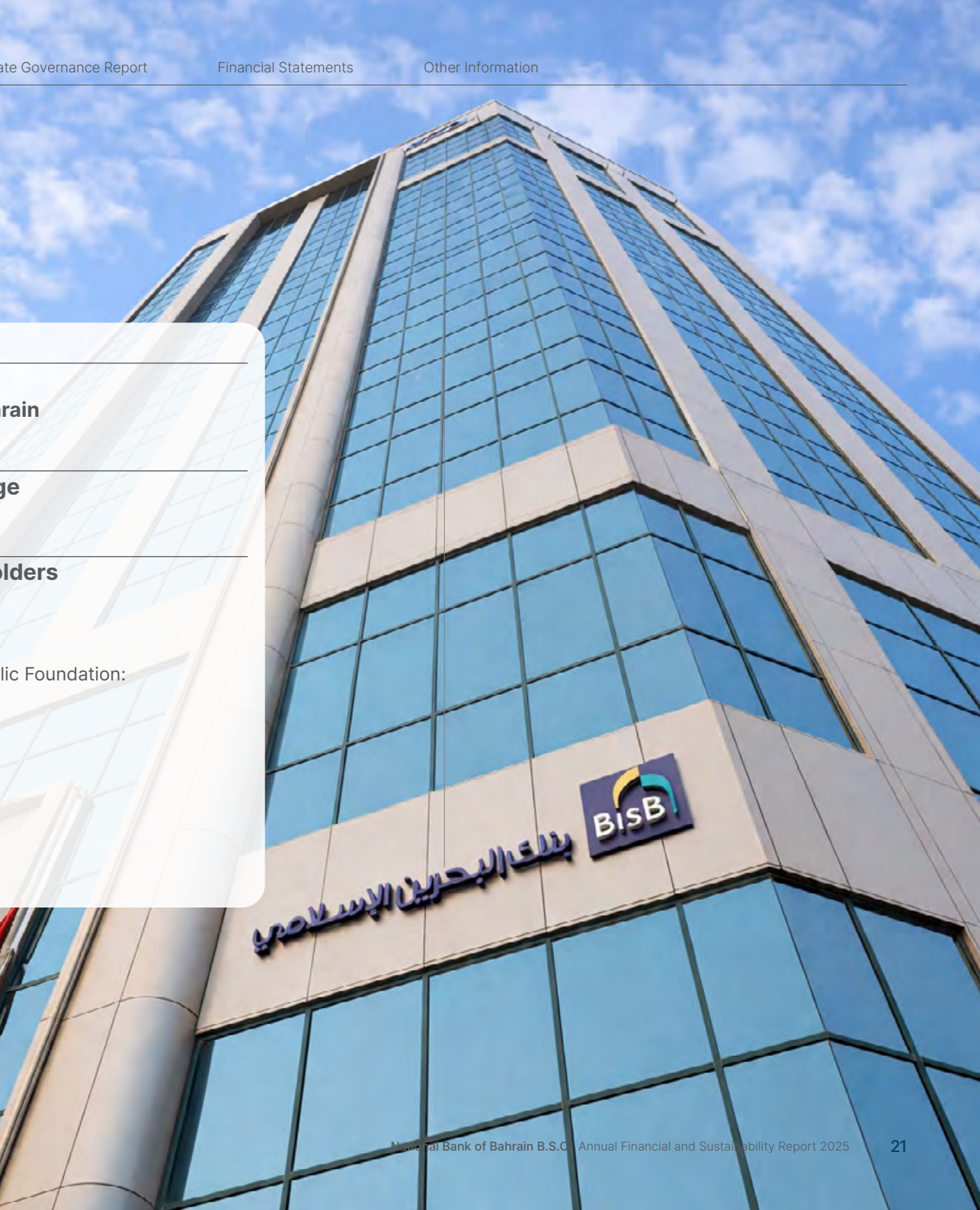
Major Shareholders

NBB:

78.81%

Kuwait Awqaf Public Foundation:

7.18%



Awards and Achievements

NBB’s leadership was recognised in 2025 with several awards from prominent regional and international institutions.



Euromoney Awards for Excellence 2025
Best Bank in Bahrain



Euromoney Awards for Excellence 2025
Best Bank for ESG



Euromoney Awards for Excellence 2025
Best Bank for Corporate Responsibility



Euromoney Transaction Banking Awards
Best Cash Management Bank for 2025



MENA Banking Excellence Awards 2025
Best Retail Bank in Bahrain



MENA Banking Excellence Awards 2025
Best Payment Ecosystem Integration



Global Trade Review
Best Trade Finance Bank in Bahrain

Meet the Board



Mrs. Hala Ali Husain Yateem
Chairperson, Independent Member
Appointed: March 2018



Mr. Yusuf Abdulla Yusuf Alireza
Vice Chairperson, Independent Member
Appointed: March 2018



Sh. Rashed Bin Salman Mohamed Al Khalifa
Director, Non-Executive Director
Appointed: July 2014



Mr. Rishi Kapoor
Director, Independent Member
Appointed: March 2018



Mr. Vincent Van Den Boogert
Director, Non-Executive Director
Appointed: October 2021



Mr. Zaid Khalid Abdulrahman
Director, Independent Director
Appointed: October 2021



*Scan the QR code for Board Members bios or click [here](#)



Dr. Paul David Pester
Director, Non-Executive Director
Appointed: August 2023



Mr. Isa Hasan Maseeh
Director, Non-Executive Director
Appointed: March 2024



Mr. Mohamed Farouk Almoayyed
Director, Non-Executive Director
Appointed: March 2024



Mr. Ahmed Fawzi Kanoo
Director, Independent Director
Appointed: March 2024



Mr. Alaa Abdulkhaleq Saeed
Director, Non-Executive Director
Appointed: March 2024

Board of Directors Report

A year of transformation.

We are pleased to present the Board of Directors Report for 2025, which elaborates on another year of strategic progress and disciplined execution for the National Bank of Bahrain Group (NBB). Against a backdrop of a dynamic macro-economic environment and evolving customer expectations, we continued to drive sustainable growth, broaden our regional relevance, and deliver long-term shareholder value.

Throughout the year, we further developed our customer proposition, advanced our ESG agenda, and continued to invest in our people and digital infrastructure. At the same time, we took a meaningful step towards transforming into an even stronger national banking institution with the scale and resilience to serve Bahrain’s long-term ambitions for sustained economic growth.

Resilient Financial Performance

In 2025, NBB recorded a 4% increase in operating income, achieving a record net profit of BHD 85.1 million (USD 225.7 million). Total assets grew by 14% to BHD 6.3 billion (USD 16.7 billion), driven by a robust 6% growth in customer loans and advances. Our capital adequacy ratio remains strong to ensure resilience against market fluctuations. These results

reflect effective execution, prudent risk management, and a clear strategic vision.

To further demonstrate our focus on delivering shareholder value, we are pleased to recommend a 35% cash dividend.

Recommended Appropriations

Based on the financial results, the Board of Directors has recommended for approval by shareholders the following appropriations:

	BHD million
Cash dividend (35%) ^{1,2}	79.0
Donations and contributions	0.5

¹ Net of treasury shares.

² Includes interim cash dividend of BHD 22.6 million that has already been distributed to the shareholders on 31 August 2025.

Digital Transformation and Service Excellence

Adoption of artificial intelligence (AI) was a core pillar of NBB’s technology and transformation agenda during 2025.



BHD85.1m

NBB has achieved a record net profit of BHD 85.1 million (USD 225.7 million).



Our efforts towards enhancing innovation and financial resilience have strengthened NBB’s position as Bahrain’s leading financial institution.”

Mrs. Hala Ali Husain Yateem
Chairperson of the Board

43% in retail and 10% in corporate banking. Expanding our digital retail suite, we launched Retail Digital Loan Origination, offering customers faster and more convenient access to financing.

On the corporate banking front, the DigiCorp platform was enhanced with Open Banking capabilities, integration with the Wage Protection System, automated audit confirmations, and round-the-clock USD clearing. Additionally, the new Virtual Account Management further strengthened NBB’s positioning as a regional enabler of Banking-as-a-Service (BaaS).

We also became the first and only Bank in Bahrain to commission and operate an Uptime Institute Tier 3 certified Data Centre, strengthening our operational resilience through a purposebuilt, highavailability infrastructure designed to meet rigorous global standards while embedding energyoptimised technologies that enhance efficiency and support our longterm sustainability goals.

Strengthening ESG Integration

Sustainability continued to anchor our long-term strategy during 2025 as we aligned our ESG Policy more closely with evolving global standards. Moreover, our Decarbonisation Plan now includes a full emissions baseline across Scope 1, 2, and 3, as well as interim 2030 reduction targets consistent with SBTi and NZBA principles.

The Sustainable Finance Framework is now operational across both the assets and liabilities side, supporting enhanced transaction classification, reporting, and pipeline development. In parallel, the ESG Risk Identification and Assessment Toolkit

was extended across the eligible corporate credit portfolio, embedding climate and sustainability considerations more deeply into our lending and investment decisions.

Investing in People and Organisational Capability

NBB remained focused on human capital development through structured leadership programmes, specialist training, and partnerships with globally recognised institutions such as Harvard University, Massachusetts Institute of Technology (MIT), and Oxford Business School.

The Bank expanded its youth and early-career programmes to build a sustainable talent pipeline. Key initiatives included the fourth edition of the EVOLVE Summer Internship Programme, the Entaliq programme with INJAZ Bahrain, the Watheq University Preparatory Programme, the TakeOff Exhibition in collaboration with AlMabarrah AlKhalifia Foundation, and the TechStride Programme with Fab Lab Bahrain.

An Innovation Programme was also introduced in partnership with Bahrain Fintech Bay, while the “Expert Talks” series provided employees with exposure to industry thought leaders.

Community Investment and Social Impact

NBB upheld its community investment mandate, contributing to education, youth empowerment, cultural development, healthcare, social welfare, and sports initiatives across the Kingdom. The Bank collaborated with the Ministry of Youth Affairs to support the Youth City 2030 Programme and partnered with the Ministry

of Education and INJAZ Bahrain on the “Yalla Learn and Earn” campaign, delivering masterclass workshops on financial discipline and smart money management.

In healthcare, NBB supported Child Cancer Warriors. In sports, the Bank provided transportation support for fans attending the Gulf Cup 26 Final, participated in Bahrain Sports Day activities, supported the Bahrain Padel Federation’s Youth Academy Initiative, and sponsored the Charity Super Cup Football Championship.

These efforts continued to underpin NBB’s positive community impact and were recognised with a Volunteer Service Award by INJAZ Bahrain.

Laying the Foundation for an Even Stronger National Banking Institution

In 2025, we continued laying the foundation for an even stronger national banking institution by building on NBB’s momentum as a modern, resilient, and futurefocused financial leader. In recent years, we have accelerated our growth, strengthened our market presence, expanded our digital and AI capabilities, and enhanced the sophistication of our operations. These efforts reflect our commitment to evolving with a rapidly changing regional and global landscape, shaped by rising digital adoption, increased competitiveness, and ambitious national economic priorities. Guided by this direction, we remain focused on developing a more capable and innovative banking platform that supports Bahrain’s longterm economic transformation, delivers superior customer value, and contributes to the emergence of a stronger national champion within the Kingdom’s financial sector.

Board of Directors Report continued

Awards and Recognition

NBB’s performance and purpose-driven execution were recognised through multiple awards during 2025:

- Best Bank in Bahrain – Euromoney Awards for Excellence 2025
- Best Retail Bank – Bahrain and Best Payment Ecosystem Integration - MEED MENA Banking Excellence Awards 2025
- Best Cash Management Bank – Euromoney Transaction Banking Awards 2025
- Best Trade Finance Bank in Bahrain – Global Trade Review

- STP Award for Excellence in Treasury Payment Processing – Citi
- Bank of Choice – Selected by BPay Global, a payment services provider under the Binance Group
- Best Bank for ESG and Best Bank for Corporate Responsibility – Euromoney Awards for Excellence 2025
- MENA CSR Bank of the Year – MEED MENA Banking Excellence Awards (Corporate & Investment) 2025
- Best ESG & Sustainability Report in the Middle East (Mid Cap) – MEIRA IR Awards

Board of Directors and executive management remuneration

As part of NBB’s obligations and ongoing efforts for increased transparency, the following tables provide remuneration disclosures in relation to the Directors and selective executive management for the year ended 31 December 2025.

Board of Directors remuneration (reported in Bahraini Dinars)

Name	Fixed Remunerations					Variable Remunerations					End-of-service award	Aggregate Amount (Does not include expense allowance)	Expenses Allowance
	Remunerations of chairman and BOD ¹	Total allowance for attending Board and committee meetings	Salaries	Others ⁴	Total	Remunerations of chairman and BOD	Bonus	Incentive plans	Others ⁵	Total			
First: Independent Directors:													
1- Mrs. Hala Ali Husain Yateem	75,000	9,500	-	-	84,500	-	-	-	-	-	-	84,500	-
2- Mr. Yusuf Abdulla Yusuf Akbar Alireza	50,000	8,000	-	-	58,000	-	-	-	-	-	-	58,000	-
3- Mr. Rishi Kapoor	50,000	11,000	-	-	61,000	-	-	-	-	-	-	61,000	-
4- Mr. Zaid Khalid Abdulrahman	50,000	3,500	-	-	53,500	-	-	-	-	-	-	53,500	-
5- Mr. Ahmed Fawzi Kanoo	50,000	3,500	-	-	53,500	-	-	-	-	-	-	53,500	-
Second: Non-Executive Directors:													
1- Sh. Rashed Bin Salman Mohamed Al Khalifa ³	50,000	2,500	-	-	52,500	-	-	-	-	-	-	52,500	-
2- Mr. Vincent Van Den Boogert ²	50,000	7,000	-	-	57,000	-	-	-	-	-	-	57,000	-
3- Dr. Paul David Pester ²	50,000	11,500	-	-	61,500	-	-	-	-	-	-	61,500	-
4- Mr. Isa Hasan Maseeh ²	50,000	2,500	-	-	52,500	-	-	-	-	-	-	52,500	-
5- Mr. Mohamed Farouk Almoayyed	50,000	5,500	-	-	55,500	-	-	-	-	-	-	55,500	-
6- Mr. Alaa Abdulkhaleq Saeed ²	50,000	3,500	-	-	53,500	-	-	-	-	-	-	53,500	-

Board of Directors Report continued

Board of Directors and executive management remuneration (continued)

Board of Directors remuneration (reported in Bahraini Dinars)

Name	Fixed Remunerations					Variable Remunerations					End-of-service award	Aggregate Amount (Does not include expense allowance)	Expenses Allowance
	Remunerations of chairman and BOD ¹	Total allowance for attending Board and committee meetings	Salaries	Others ⁴	Total	Remunerations of chairman and BOD	Bonus	Incentive plans	Others ⁵	Total			
Third: Executive Directors:													
- Not applicable	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	575,000	68,000	-	-	643,000	-	-	-	-	-	-	643,000	-

Note: All amounts are stated in Bahraini Dinars

Other remunerations:

¹ Subject to AGM and regulatory approval

⁴ Includes in-kind benefits - remuneration for technical, administrative and advisory works (if any)

² Remuneration is paid to Bahrain Mumtalakat Holding Company B.S.C. (c), represented by the above-mentioned Board members

⁵ Includes the board member's share of the profits - granted shares (if any)

³ Remuneration is paid to Social Insurance Organisation, represented by the above-mentioned Board member

Executive management remuneration

Executive Management	Total Paid Salaries and Allowances	Total paid Remuneration (Bonus)	Any other cash / in kind remuneration for 2025	Aggregate Amount
Top 6 remunerations for executives, including the Chief Executive Officer ¹ and Chief Financial Officer ²	1,750,586	1,212,000	11,000	2,973,586

Note: All amounts are stated in Bahraini Dinars

¹ The highest authority in the executive management of the Bank

² The Bank's highest financial officer

Acknowledgements

The Board of Directors expresses its sincere gratitude to His Majesty King Hamad bin Isa Al Khalifa, King of Bahrain, and His Royal Highness Prince Salman bin Hamad Al Khalifa, Crown Prince and Prime Minister, whose visionary leadership continues to create an environment in which NBB can grow and contribute meaningfully to the Kingdom's economic progress.

We also recognise the Ministry of Finance and National Economy and the Central Bank of Bahrain for their constructive engagement and regulatory stewardship, which have been essential to strengthening NBB’s standing in the financial sector.

To our customers, partners, and shareholders: your continued confidence in NBB inspires our ambition and your trust remains central to everything we do.

To our employees across NBB Group: your expertise and dedication underpin every achievement outlined in this report. We are confident that your contributions will continue to drive our progress in the years ahead.

Under the leadership of our Group Chief Executive Officer Usman Ahmed, NBB enters 2026 with a clear strategy, a strong foundation, and a commitment to delivering continued growth and excellence for all stakeholders.

Mrs. Hala Ali Husain Yateem
Chairperson

Mr. Yusuf Abdulla Yusuf Alireza
Vice Chairperson

17 February 2026

Executive Management



Usman Ahmed
Group Chief Executive Officer



Abdul Aziz Al Ahmed
Chief Executive – Strategic Accounts



Subah Abdullatif Al Zayani
Chief Executive- Retail Banking



Ali Abdulkarim
Group Chief Executive – Corporate & Commercial Banking



Husain Ali AlMohri
Group Chief Executive - Markets & Client Solutions



Mohsin Rahim
Group Chief Financial Officer



Zaina Alzeyani
Group Chief Strategy and Sustainability Officer



Nabeel Mustafa
Group Chief Operating Officer



*Scan the QR code for Executive Management bios or click [here](#)



Ali Ehsan
Group Chief Risk Officer



Razi Amin
Group Chief Technology Officer



Hisham Abu Alfateh
Chief Corporate Communications Officer



Hend Mohamed Mahmood
Group Chief Human Resources Officer



Gaby El Hakim
Group Chief Legal Officer and Corporate Secretary



Rana Qambar
Group Chief Compliance Officer



Fadhel Abbas Ahmed
Group Chief Internal Auditor



Mansour A. Alsaghayer
Chief Executive Officer – Kingdom of Saudi Arabia



Yogesh Kale
Chief Executive Officer – United Arab Emirates



Bassam AlTattan
Head of Private Banking

Message from the Group CEO

Smarter services. Customer first.

The NBB Group continued its upward trajectory, delivering another year of growth and strong financial performance through disciplined execution against its long-term vision and strategic priorities.

The Group’s commitment to exceptional customer experiences, innovative solutions and sustainable business practices guided every aspect of our work, as we strengthened our position in Bahrain and expanded our franchises in Saudi Arabia and the UAE, driving greater regional relevance.

The Group recorded BHD 85.1 million (USD 225.7 million) in net profit attributable to shareholders, representing 4% growth year-on-year. This was driven by solid operating performance across all business lines and geographies, with profitable and quality growth in the balance sheet in a complex operating environment. Total assets increased to BHD 6,276.6 million, with customer loans and deposits growing by 6%, reflecting the continued trust and loyalty of our customers.

The year 2025 marked the first full year of “The Power of One”, our renewed commitment to customer excellence. This unified approach to customer centricity enabled us to revamp customer journeys, further enhance product offerings, streamline service delivery to strengthen engagement across all customer segments. In Retail Banking, we expanded our digital suite with the launch of Retail Digital Loan Origination

and witnessed strong growth in our home financing solutions, also introducing cross-border mortgages, empowering Bahrainis to fulfil their aspirations to own a home while living abroad.

Another highlight of the year has been the signing of a Memorandum of Understanding (‘MoU’) with the Bank of Bahrain and Kuwait (‘BBK’) to explore a merger. The potential merger would create an enhanced national banking champion with greater regional relevance by combining the best of both bank’s technology, product capabilities and networks. Whilst we remain focused on our organic growth journey, we are equally excited about the transformative prospects of the merger to accelerate our growth and deliver even greater value for our customers, shareholders and employees.

Artificial intelligence has been a cornerstone of our technology and transformation agenda, driving measurable improvements in customer experience, operational resilience, and workforce productivity. During 2025, we expanded AI adoption beyond customer-facing channels by embedding AI capabilities across critical enterprise functions. This included the launch of an AI-powered customer service chatbot, the integration of AI into Fraud Risk Management and transaction monitoring, deployment of AI-enabled legal and compliance tools, and the introduction of an AI-driven security threat assistant to strengthen cyber-defence



**BHD
3,966.2m**

Customer deposits increased by 6% year-on-year to reach BHD 3,966.2 million (USD 10,520.4 million).



Total Assets increased to BHD 6,276.6 million, with customer loans and deposits growing by 6%”

Usman Ahmed
Group Chief Executive Officer

and risk response. In parallel, we established the AI & Digital Learning Academy to upskill employees across all levels and empowered our workforce with AI productivity tools, resulting in efficiency gains of up to 75% in selected processes. The Bank continues to progress multiple AI use cases across business and control functions, demonstrating strong early returns and reinforcing AI as a strategic enabler of sustainable growth and operational excellence.

Our digital-first and convenient banking solutions witnessed increased customer adoption. During 2025, we opened 95% of our retail accounts digitally, with retail and corporate digital transaction volumes

increasing by 43% and 10%, respectively. DigiCorp, our online banking platform for businesses is now enabled with new features such as Open Banking, the Wage Protection System, automated audit confirmations and more extensive 24x7 USD clearing capabilities. These enhancements have significantly improved transaction throughput and allowed us to better serve existing and new clients. We also launched a Virtual Account Management solution, strengthening NBB’s position as a regional enabler for Banking-as-a-Service infrastructure.

This year also saw the culmination of an 18-month transformation with the successful commissioning of NBB’s Tier 3 certified Data Centre - making us the first and only bank in Bahrain to design, build and operate a facility of this standard. This major milestone enhances operational resilience, strengthens our digital backbone and embeds energy-efficient, more sustainable technologies directly into the Bank’s infrastructure.

Our customer expansion strategy also gained momentum as we activated new business verticals, including Wealth Management, Private Banking, FinTech partnerships, and Digital Assets Providers, while Bahrain Islamic Bank delivered strong financial performance and growth in it’s core business. We broadened our reach to new customer segments and markets through initiatives such as SME-focused solutions in Bahrain and UAE, Escrow account services in the UAE and

a focus on emerging sectors in Saudi Arabia and the UAE. These developments reflect our ambition to diversify our offerings, deepen our regional presence and create long-term value for our customers.

Our people remain at the heart of our success. In 2025, we continued to invest in talent and leadership development, technical upskilling and succession planning through collaborations with world-class institutions, including Harvard University, MIT and the Oxford Business School. The expansion of youth programmes such as Evolve, Entaliq (with Injaz Bahrain), the Watheq University Preparatory Programme and The TakeOff Exhibition (with AlMabarrah AlKhalifa Foundation) and other experiential learning initiatives demonstrates our belief in nurturing the next generation of Bahraini leaders. We also strengthened succession planning and individual development pathways through curated programmes, ensuring the Bank is well positioned for the future.

Sustainability continued to advance as a central and deep-rooted pillar of our long-term strategy. During 2025, we further enhanced our ESG Policy in alignment with global standards. We also progressed the development of our Decarbonisation Plan and the establishment of a baseline for Scope 1, 2 and 3 emissions with a view to eventually setting interim 2030 targets aligned with SBTi and NZBA principles.

Our Sustainable Finance Framework was fully embedded across both assets and liabilities, enabling enhanced classification, reporting and pipeline development for sustainable transactions. The expansion of our ESG Risk Identification and Assessment Toolkit across the full eligible corporate credit portfolio further strengthened the integration of climate and ESG considerations into our lending and investment decision-making.

Through our community initiatives, we continued to support national priorities in education, youth empowerment, culture, healthcare, social welfare and sports. Our partnerships with key organisations across the Kingdom remain fundamental to our mission of delivering long-term positive impact.

As we look to the year ahead, NBB continues its growth trajectory with a clear focus on enriching customer experiences, accelerating digital transformation and strengthening our presence across the region, while pursuing our inorganic growth ambitions through the potential merger with BBK. With the dedication of our people and the trust of our customers and shareholders, we will continue to build a resilient, sustainable and future-ready regional financial institution.

Usman Ahmed

Usman Ahmed
Group Chief Executive Officer

Message from the Group CEO continued

Our Sustainability Journey

Since 2021, NBB has progressively aligned its operations with the broader needs of the economy, environment, and society through the development of a comprehensive Sustainability Framework and Roadmap. Sustainability is now fully embedded within the Group’s governance structure and overall business strategy.

This section summarises the progress achieved to date and outlines the next steps in NBB’s sustainability journey. It follows the structure of IFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information, presenting the Group’s approach across Governance, Strategy, Risk Management, and Metrics & Targets.

Further details on these elements, as well as metrics and targets linked to material topics, are provided within the relevant capital sections of this report.

Sustainability Governance

The Nomination, Remuneration, Governance, and Sustainability Committee (NRGSC) is responsible for ensuring that ESG risks and opportunities are fully integrated into Board-level strategic planning and decision-making.

The Committee oversees the implementation of the Sustainability Roadmap and holds quarterly progress meetings with the Sustainability Working Group to review performance and alignment with Group objectives.

To further strengthen executive oversight, NBB established an Executive Sustainability Management Committee in 2024, chaired by the Group CEO. This Committee advises on the Group’s sustainability strategy and recommends

policies, procedures, and initiatives across all operations and core activities.

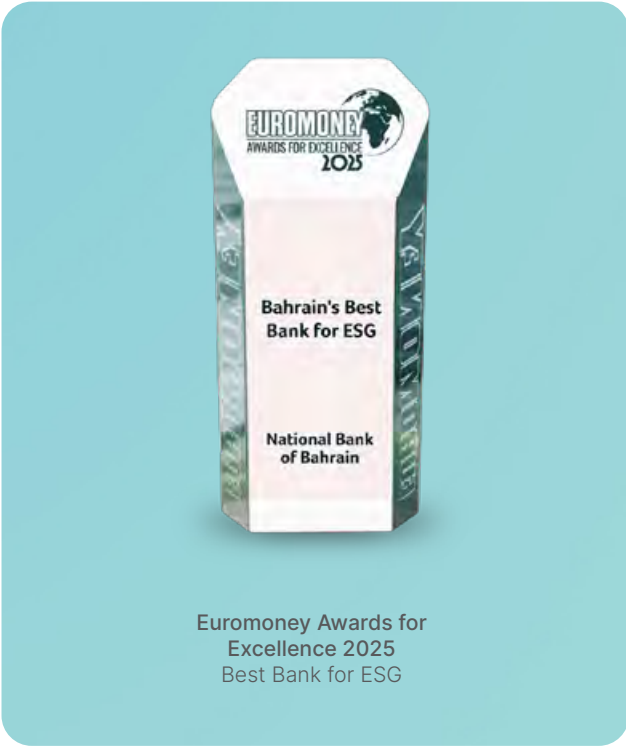
In 2025, NBB developed a comprehensive ESG Policy and Procedure to guide the integration of environmental, social, and governance considerations across the Group. Approved by the Board of Directors, the Policy establishes clear principles, commitments, and implementation requirements to ensure ESG factors are embedded into strategic planning, risk management, lending and investment decisions, and day-to-day operations. The Policy is aligned with the Bahrain Vision 2030, the CBB ESG Rulebook, and recognised international frameworks including the GRI Standards and SDGs, among others. Together, the Policy and Procedure reinforce NBB’s commitment to

responsible banking and position the Group to meet evolving stakeholder expectations and regulatory requirements.

Furthermore, NBB also formed a Sustainable Finance Working Group (SFWG) in 2025 to oversee the day-to-day management of all sustainable-labelled transactions and ensure alignment with the Bank’s Sustainable Finance Framework. The SFWG is responsible for reviewing and approving eligible sustainable projects, monitoring the eligible asset pool, facilitating regular reporting on sustainable issuances, and maintaining the Framework’s alignment with evolving market standards. The SFWG meets at least twice annually and operates within NBB’s existing governance and loan approval structures.

The Sustainability Working Group includes representatives from multiple departments who act as Sustainability Officers alongside their primary roles. This cross-functional structure ensures sustainability responsibilities are embedded throughout the organisation.

NBB also formed a Sustainable Finance Working Group (SFWG) in 2025 to oversee the day-to-day management of all sustainable-labelled transactions and ensure alignment with the Bank’s Sustainable Finance Framework.



Our Sustainability Journey continued

The following table provides an overview of the various bodies that govern sustainability at NBB and describes their key functions.

Level	Entity / Committee	Chair / Lead	Key Responsibilities
Board Oversight	Board of Directors	Chairperson of the Board	- Provides overall oversight of ESG strategy and performance. - Approves the Sustainability Roadmap and key policies. - Reviews progress against strategic sustainability goals.
Board Committee	NRGSC	Board Member (NRGSC Chair)	- Ensures ESG risks and opportunities are integrated into Board-level strategy and decision-making. - Oversees the implementation of the Sustainability Roadmap. - Holds quarterly progress meetings with the Sustainability Working Group.
Executive Management Oversight	Executive Sustainability Management Committee	Group CEO	- Advises on sustainability strategy and integration across operations. - Recommends policies, procedures, and initiatives. - Oversees Sustainable Finance Framework activities. - Reviews ESG reporting and ensures compliance with CBB and international standards. - Promotes awareness and engagement across the Group.
Specialised Oversight	Sustainable Finance Working Group (SFWG)	Group Head of Corporate Finance	- Oversees the day-to-day management of all sustainable-labelled transactions. - Reviews and approves eligible sustainable projects in line with the Sustainable Finance Framework. - Monitors the eligible asset pool and facilitates regular reporting on sustainable issuances. - Ensures continued alignment of the Framework with evolving standards and regulatory requirements. - Reports to the Executive Sustainability Management Committee.
Operational Implementation	Sustainability Working Group	Chief of Strategy and Sustainability/ Designated Coordinator	- Comprised of departmental Sustainability Officers. - Coordinates execution of sustainability initiatives. - Monitors KPIs and performance metrics. - Reports progress to the Executive Sustainability Management Committee.
Bank-wide Integration	All Departments & Employees	Executive Management & Department Heads	- Implement sustainability initiatives within business units. - Deliver on ESG-related KPIs (minimum 15% weighting in executive KPIs). - Participate in sustainability training and culture-building programmes.

To reinforce accountability, all departments have ESG-related KPIs, with at least 15% of Executive Management performance indicators linked to sustainability objectives. For Sustainability Officers, 20% of their KPIs are directly related to their sustainability performance.

These are cascaded to departmental and individual KPIs, aligning employee incentives with the Group's sustainability goals.

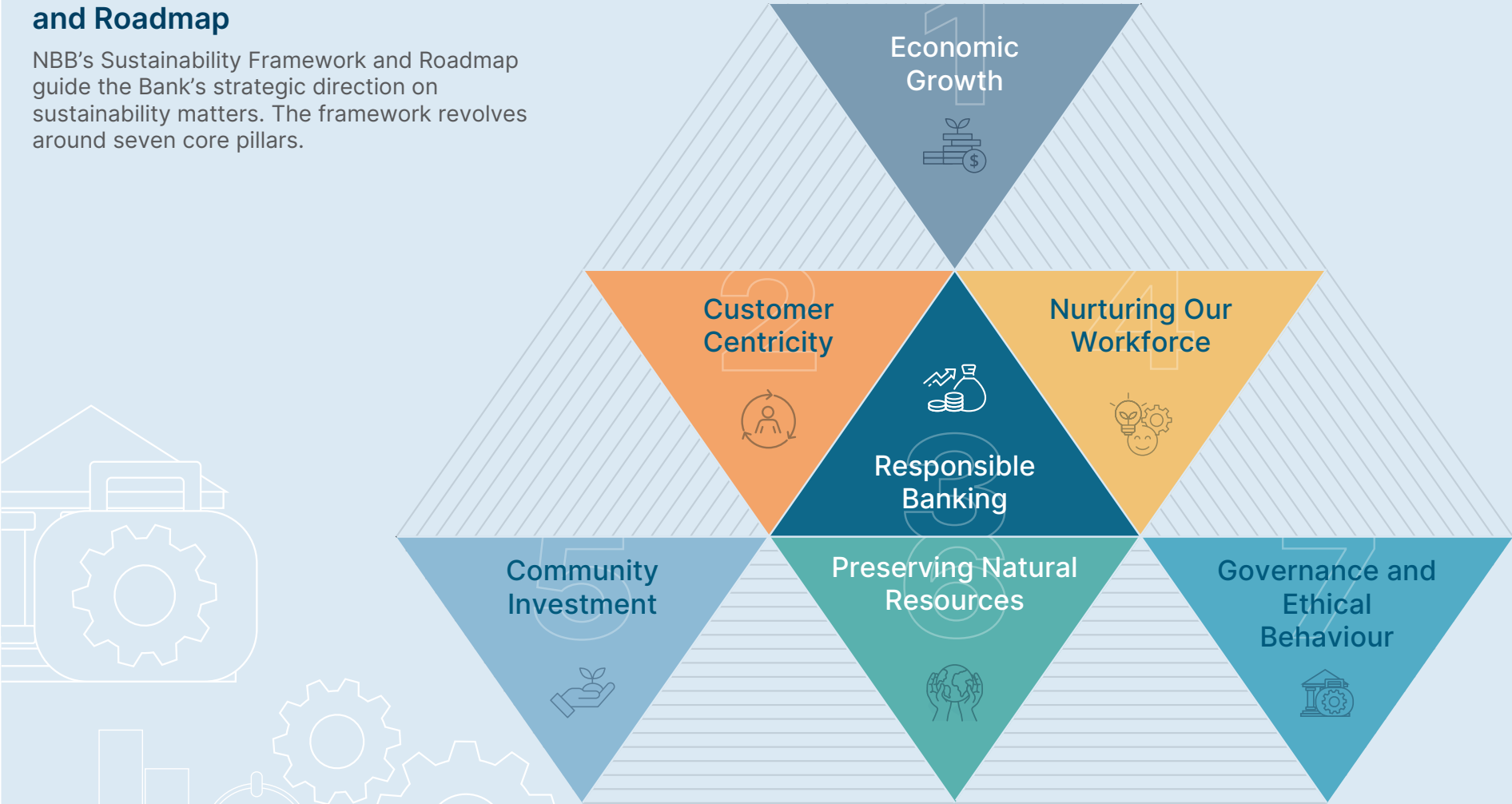
NBB also ensures that employees involved in sustainability governance possess the necessary knowledge and skills through

targeted training programmes. As part of building a strong sustainability culture, the Bank offers a wide range of courses for employees at all levels, as detailed in the Professional Development & Empowerment section.

Finally, NBB is a signatory to the United Nations Global Compact (UNGC), reinforcing its commitment to uphold the Ten Principles covering human rights, labour, environment, and anti-corruption.

Sustainability Strategy, Framework and Roadmap

NBB's Sustainability Framework and Roadmap guide the Bank's strategic direction on sustainability matters. The framework revolves around seven core pillars.

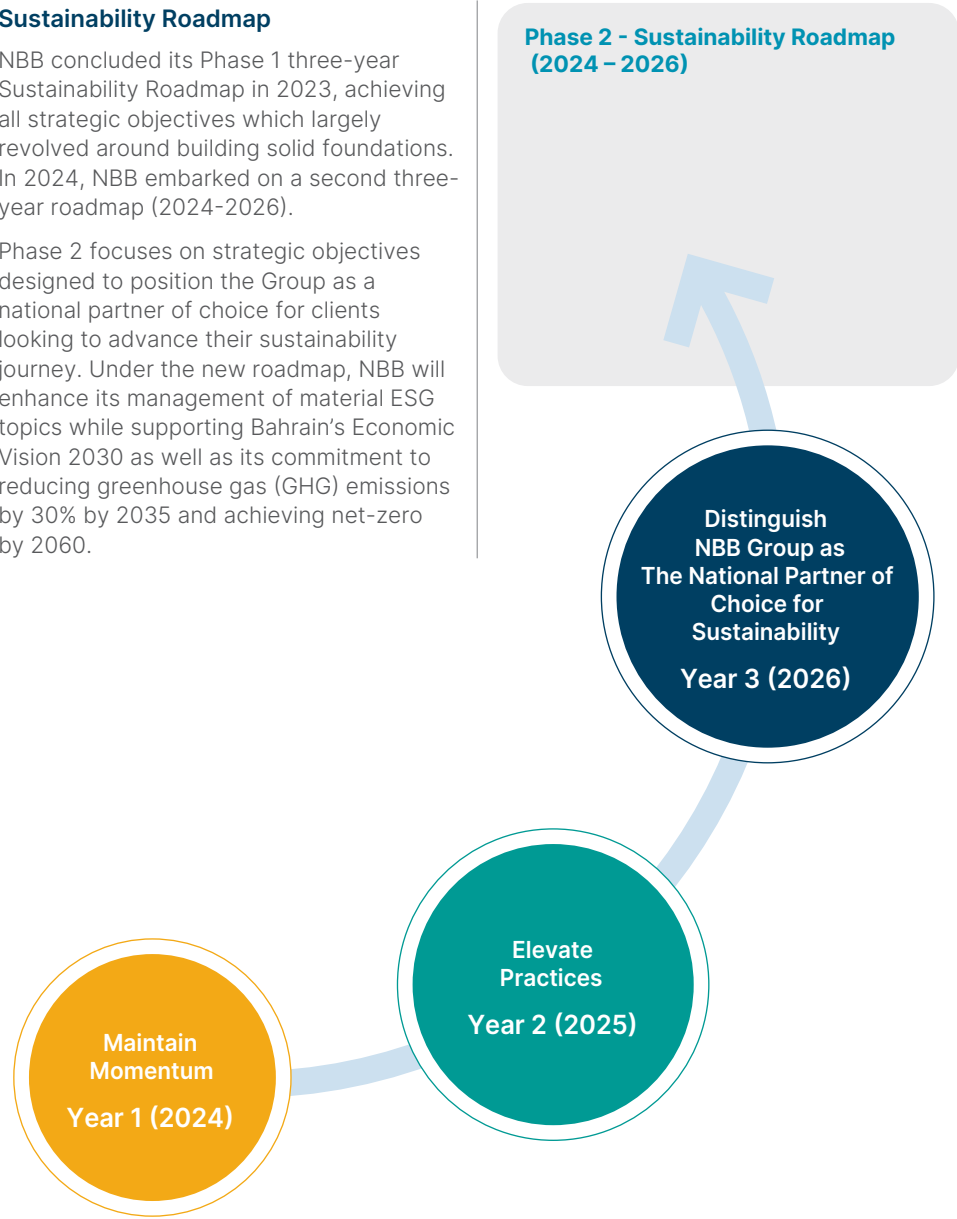


Our Sustainability Journey continued

Sustainability Roadmap

NBB concluded its Phase 1 three-year Sustainability Roadmap in 2023, achieving all strategic objectives which largely revolved around building solid foundations. In 2024, NBB embarked on a second three-year roadmap (2024-2026).

Phase 2 focuses on strategic objectives designed to position the Group as a national partner of choice for clients looking to advance their sustainability journey. Under the new roadmap, NBB will enhance its management of material ESG topics while supporting Bahrain's Economic Vision 2030 as well as its commitment to reducing greenhouse gas (GHG) emissions by 30% by 2035 and achieving net-zero by 2060.



Materiality Assessment and Stakeholder Engagement

NBB's Sustainability Strategy is guided by a comprehensive assessment of the Group's material ESG topics, conducted in line with global standards and informed by broad stakeholder input.

In 2025, NBB conducted a double materiality assessment using a structured six-step process involving stakeholders across the Group, external partners, and senior leadership. The updated assessment ensures alignment with evolving regulatory requirements, stakeholder expectations, and emerging risks and opportunities. It also strengthens the integration of material topics into the sustainability strategy and overall decision-making.

To enhance clarity and avoid overlap, several existing topics were consolidated based on shared financial and impact characteristics.

- 'Talent Attraction, Engagement and Retention' and 'Training & Development' were merged to become 'Talent Attraction, Retention and Development'.
- 'Equal and Fair Opportunity' and 'Workforce Wellbeing' were combined to become 'Equal Opportunity & Workforce Wellbeing'.

Two new topics were also added:

- 'Partnerships, Collaboration & Active Stewardship' within the social pillar, reflecting NBB's strengthened emphasis on strategic partnerships and cross-sectoral collaboration to amplify impact.
- 'Risk Management and Business Continuity' within the governance pillar, recognising their prominent role they play within the Bank's long-term resilience.

Finally, the definition of 'Responsible Customer Relationship' was expanded to explicitly include reference to product and service quality, reflecting its importance to customer experience and trust.

Material Topics

The assessment resulted in 16 refined material topics, which form the foundation for NBB's sustainability strategy, management approach, and reporting. Topics are ranked in order of importance and grouped into three categories.

Very Material Topics

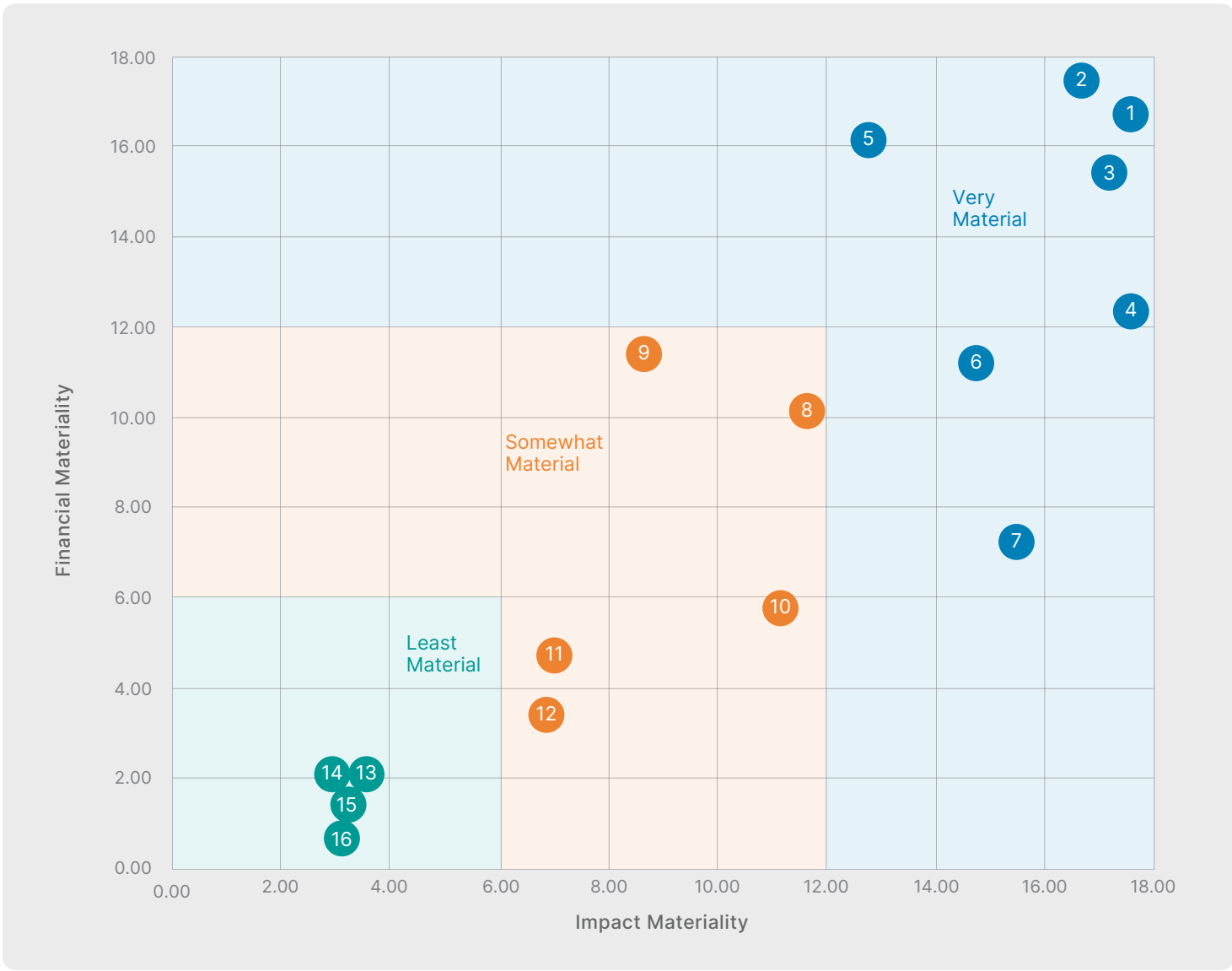
1. Data Privacy and Security
2. Compliance and Ethical Behaviour
3. Governance, Transparency, and Accountability
4. Risk Management and Business Continuity
5. Financial and Economic Performance
6. Responsible Customer Relationships
7. Climate Change

Somewhat Material Topics

8. Talent Attraction, Retention, & Development
9. Digital Transformation
10. Sustainable Finance
11. Equal Opportunity & Workforce Wellbeing
12. Community Investment

Least Material Topics

13. Financial Inclusion
14. Partnerships, Collaboration & Active Stewardship
15. Responsible Sourcing
16. Direct Environmental Footprint



Definitions for these material topics can be found in the appendix

Our Sustainability Journey continued

Stakeholder Engagement

NBB maintains regular engagement with its stakeholders to understand their expectations and the issues they consider most important. Insights gathered through this process directly inform the materiality assessment and help shape the Group's long-term sustainability strategy. NBB continually reviews and enhances its communication channels to ensure effective, transparent, and meaningful engagement with all key stakeholder groups.

The following table summarises the stakeholder engagement process and key insights.

Stakeholder	Relationship	Engagement Method	Key Concerns
Employees	Employees are vital to the business and play a crucial role in its operations and growth. A content and fulfilled workforce is essential for long-term success, and NBB supports their aspirations and career development.	• Intranet • Human Resource Management Software (HRMS) • Newsletters • CEO Communications • Management/ Townhall Meetings • Performance Reviews • Surveys • Team Building & In-house Training Events	• Employee Wellbeing • Equal and Fair Opportunity • Health & Safety • Training & Development • Sustainable Workplace • Business Ethics
Customers	Customers depend on NBB for essential wealth and business services, while the Bank relies on their trust and loyalty for long-term business growth.	• Customer Services & Interaction via Multiple Platforms (i.e. in person, phone, email, website, apps, social media, etc) • NPS Surveys & Feedback	• Customer Experience and Service • Data Protection • Customer Satisfaction
Investors	NBB's growth and development relies on attracting investors to provide capital while investors depend on the Bank to deliver consistent returns.	• Market Disclosures • General Assembly Meeting • Personal Contacts by Investor Relations • Corporate Notices	• Business Ethics • ESG Integration • Economic Performance • Data Protection • Environmental Impact • Marketing & Labelling Climate Risk
Suppliers	NBB contributes to the national economy by prioritising local suppliers and promoting their transition to sustainability. Collaborating with local entities on various initiatives creates value for stakeholders, including employees, customers, and the community.	• Training & Workshops • Events • Service Portals	• Fair Procurement Practices • Business Ethics • ESG Integration
Regulators	NBB relies on regulators for governance and oversight, ensuring a well-functioning and healthy banking system and a level playing field for all.	• Voluntary Participations • Interviews • Publications & Social Events Exchange of Ideas & Communications with Regulators • Projects & Surveys	• Economic growth • Regulatory • Alignment with national strategies • Nationalisation • Cybersecurity • Compliance • Community Wellbeing • Climate Change
Community	NBB creates value for the local community, including families and vulnerable groups, by contributing to initiatives that promote social development and opportunities for all.	• Volunteering • Events & Sponsorships • Charitable Contributions	• Financial Inclusion • Education • Healthcare • Social welfare • Environmental Conservation • Diversity & Inclusion • Sport

Sustainability Risk Management

NBB considers risk management a core pillar of its governance framework and business strategy, with ESG risks integrated into decision-making at the highest levels of the organisation. This approach enables the Bank to safeguard the interests of clients, investors, and stakeholders while supporting opportunities that contribute to long-term value creation and the transition to a more sustainable economy.

NBB's commitment to managing ESG risks demonstrates a belief that responsible banking drives positive environmental and social outcomes and strengthens the Bank's resilience and long-term growth.

Integrating ESG into Lending and Investment Analysis

To strengthen the integration of ESG considerations into financing decisions, NBB updated its Global Credit Policy in 2022 to include an ESG Risk Identification and Assessment chapter and rolled out an ESG Risk Identification and Assessment Toolkit in 2023.

Aligned with the Equator Principles and the International Finance Corporation (IFC) Performance Standards, the toolkit assesses potential adverse environmental and social impacts associated with client activities and project finance. The toolkit serves two main objectives:

1. Client ESG Preparedness

Embedded within NBB's credit risk management processes, the toolkit assesses a client's ESG readiness - including climate-related actions - and identifies gaps that may require mitigation. A risk-based eligibility approach prioritises clients with material exposure, revenues above predefined thresholds, or activities in medium- or high-risk sectors. Sector classifications follow the European Bank for Reconstruction and Development (EBRD) model to ensure robust and credible benchmarking.

In 2025, the toolkit was expanded to cover the full eligible corporate credit portfolio, marking a significant scale-up from earlier phases where usage was limited to high-risk or large-exposure borrowers.

The toolkit covers a wide range of material ESG topics, reviewed regularly for relevance. Using information from public sources and client questionnaires, NBB evaluates whether clients have established policies, targets, or initiatives.

Each topic is scored on a 0–100 scale, with equal weighting across E, S, and G pillars, enabling the Bank to quantify ESG risks, identify portfolio exposures, and highlight potential sustainability-linked opportunities. These results inform lending and investment decisions across commercial, industrial, and project finance portfolios.

The scoring methodology was enhanced in 2025 to incorporate:

- Climate transition risk parameters (e.g., carbon intensity, decarbonisation plans);

- Expanded social and governance factors, including supply chain resilience and board diversity; and
- Integration of financed-emissions data into borrower-level assessments.

In addition, as of 2025, the toolkit is now embedded within the Group's Risk Management Framework, supporting the integration of climate-related considerations into broader risk management processes. Outputs from the toolkit feed into climate-related analysis and risk assessments, including stress testing and sectoral risk analysis, and inform capital planning where relevant. Further details can be found in the Climate Change section.

2. Project Finance Risk Assessment

The toolkit also supports the identification and assessment of ESG risks across the full lifecycle of project finance, particularly during infrastructure phases where risk levels tend to be higher. Assessment criteria follow the Equator Principles classification:

- Category A: Projects with significant adverse impacts, broad in scale and potentially irreversible
- Category B: Projects with limited adverse impacts, generally site-specific and reversible
- Category C: Projects with minimal adverse impacts and high potential for reversibility

This process ensures that ESG considerations remain embedded in project planning, appraisal, and monitoring.

Sustainability-related risks within labelled financing are further supported by the Sustainable Finance Working Group (SFWG), which reviews eligible sustainable transactions and ensures alignment with the Bank's Sustainable Finance Framework.

Training & Awareness

To support the enhanced application of the toolkit, NBB rolled out targeted bank-wide ESG training in 2025 for credit officers, relationship managers, and investment teams. This ensures consistent and effective use of the toolkit in day-to-day decision-making and aligns with the Group Sustainability Roadmap.

ESG Risk Management through ISO

NBB maintains several ISO certifications that support the management of operational ESG risks. In line with ISO 14001 (Environmental Management Systems), the Bank conducts annual environmental risk assessments, and similarly performs occupational health and safety risk assessments aligned with ISO 45001.

Risks are evaluated for likelihood and impact, and classified as high, medium, or low. Existing control measures are reviewed and strengthened where necessary, ensuring continual improvement in environmental, health, and safety performance. A monthly report is submitted to Executive Management summarising the environmental, health and safety (EHS) performance indicators and developments.

A full list of ISO certifications is included in the Business Risk Management section and the role of each ISO is discussed under the relevant material topics.



Responsible Business Practices

Responsible Business Practices

Our Commitment

Sustainability Pillars

- Customer Centricity
- Governance and Ethical Behaviour

Material Topics

- Compliance and Ethical Behaviour
- Governance, Transparency and Accountability
- Responsible Customer Relationships
- Data Privacy and Security

Policies

- Group ESG Policy
- Code of Conduct
- Group Human Rights Policy
- Group Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) Policy
- Group Anti Bribery & Anti-Corruption Policy
- Group Compliance Policy
- Group Regulatory Engagement Policy
- Group Conflict of Interest Policy
- Group Information Security Policy
- Group Whistleblowing Policy

Our Alignment

Bahrain Vision 2030



- An efficient and effective government

GRI Standards

- GRI 2 - General Disclosures
- GRI 418 - Customer Privacy
- GRI 205 - Anti Corruption
- GRI 405 - Diversity and Equal Opportunity

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Responsible Business Practices

NBB’s Corporate Governance Framework is aligned with international best practices and ensures that the Bank consistently upholds the highest standards of ethical conduct, transparency, accountability and compliance with applicable laws and regulations.

This section provides a high-level overview of NBB’s commitment to responsible business practices. For more detailed information, please refer to the Corporate Governance Report, which outlines the Bank’s governance structure, policies, and performance in greater depth.

Responsible Governance

The Board of Directors

The Board of Directors is responsible for enforcing NBB’s corporate governance framework and overseeing the Group’s strategy and its implementation by the Executive Management team. The Board comprises 11 members, bringing together diverse expertise and experience to guide the Bank’s strategic direction and ensure effective oversight. Detailed profiles of each member are provided in the Board of Directors Profile section of this report.

Board Diversity

NBB’s Board of Directors brings diverse perspectives, experience, and expertise to strengthen decision-making and governance. The Board includes one female member, representing 9% of its composition. Detailed profiles and qualifications are Provided on the website.

Board Committees

Seven committees advise the Board of Directors on specific governance areas:

Executive Committee

Advises on lending and investments in debt securities and other non-delegated matters. Approves credit and investment proposals, reviews budgets, plans major initiatives for Board approval, and monitors business plan performance related to the Group.

Audit Committee

Oversees effective internal control system, financial accounting and reporting integrity, and internal and external audit matters.

Donations and Contributions Committee

Manages fund distribution for corporate donations and contributions aligned with the NBB’s values and community outlook.

Risk and Compliance Committee

Identifies, measures, assesses, monitors and advises on the risk and compliance related matters the Bank, including its subsidiaries and overseas branches, is exposed to.

Nomination, Remuneration, Governance and Sustainability Committee

Identifies candidates for Board and senior management; reviews and recommends remuneration policies, the corporate governance framework, and sustainability strategy.

Digitalisation Committee

Oversees the implementation of the Bank’s digital transformation and monitors associated risks to support the Risk and Compliance Committee.

Board Advisory Committee

Oversees activities related to the proposed merger with Bank of Bahrain and Kuwait B.S.C. and makes certain recommendations to the Board as and when necessary. Assesses the fairness of any contemplated transaction for all shareholders.

Board Training

Board members are required to complete 15 hours of continuous professional development training per year, in accordance with CBB requirements, covering a variety of financial and sustainability-related topics.

Business Ethics and Compliance

Business Ethics

NBB upholds the highest standards of ethical conduct, guided by the Board of Directors which sets the tone and promotes a culture of integrity and accountability across all operations.

The Board approves key ethics and Compliance policies - including the Code of Conduct, Group Compliance Policy, Group Regulatory Engagement Policy, Group Anti-Money Laundering, Combating the Financing of Terrorism And Proliferation, Sanctions Policy, Group Anti-Bribery and

Anti-Corruption Policy, Group Conflict of Interest Policy, Group Whistleblowing Policy, Group Human Rights Policy, Supplier Code of Conduct, Group Environmental Policy, Group Health & Safety Policy and receives regular updates on compliance performance, regulatory developments, audit findings, and significant issues requiring oversight.

Internal Audit reviews AML/CFT compliance annually as part of the audit plan, while anti-corruption controls are assessed through various audits across business processes to ensure adherence to the company’s policy and international standards.

These policies apply across all operations and business units and extend to employees, customers, suppliers, and third parties. They are communicated through onboarding and mandatory training programmes, internal platforms, employee handbooks, and through contracts, service-level agreements (SLAs), and due-diligence processes for external partners. Awareness is reinforced through regular policy updates and targeted communication campaigns. All employees are expected to adhere to these policies and report any concerns, fostering a culture of integrity throughout the organisation.

The Code of Conduct provides a clear framework for ethical behaviour and decision-making and sets expectations for all directors, officers, and employees to act with fairness, transparency, and

professionalism in their dealings with clients, regulators, and other stakeholders.

In line with CBB requirements, NBB maintains a Whistleblowing Policy that enables employees and third parties - including agents, consultants, suppliers, auditors, and other service providers - to confidentially report unethical conduct, financial irregularities, or violations of the Code of Conduct without fear of retaliation. Reports submitted through the Bank’s automated whistleblowing channel are reviewed by the Chairperson of the Audit Committee and investigated by the Group Chief Internal Auditor, with outcomes escalated to the Committee and discussed with executive management when required. The full policy is available on NBB’s website.

Anti-Bribery and Anti-Corruption

Guided by its Anti-Bribery and Anti-Corruption Policy, NBB maintains a zero-tolerance stance on bribery and corruption in any form. The Bank ensures that expectations are clearly communicated to stakeholders and implements robust procedures for prevention, detection, and investigation.

NBB applies a proactive approach to risk management by identifying and mitigating potential corruption and bribery risks before they materialize. This includes enhanced due diligence, early risk assessments, and preventive controls across business relationships and operations. No incidents of bribery or corruption were reported during 2025.

Compliance Governance and Framework

NBB’s Compliance function develops and implements policies and procedures, monitors adherence to regulatory requirements, and reports compliance risks to the Group Compliance Management Committee and the Board Risk and Compliance Committee.

The Compliance Department operates through five pillars:

- Regulatory Affairs
- Compliance Risk Assessment & Assurance
- Financial Crime Compliance
- Compliance Governance & Conduct Risk
- Complaints Management

This structure ensures focused management of compliance and conduct risks across the Group. While the Board holds overall oversight responsibility, the Group Chief Compliance Officer (GCCO) manages the Compliance Programme. The establishment of the Compliance Governance & Conduct Risk pillar further strengthened proactive risk management and the timely remediation of regulatory findings.

The Compliance Department works closely with business and support units to conduct gap assessments, perform compliance testing, assess product and service risks, and advise on regulatory interpretation. NBB maintains active engagement with the CBB and other regulators to stay abreast of emerging requirements. The Compliance

Department also participates in key management committees to ensure that compliance considerations are integrated into strategic and operational decision-making.

Financial Crime Compliance (FCC)

NBB applies a risk-based approach to managing financial crime risks, supported by a comprehensive framework that includes Transaction Monitoring, Screening, and Know Your Customer (KYC) processes. This framework is underpinned by robust policies and procedures governing Anti-Money Laundering (AML), Sanctions, and Customer Due Diligence (CDD).

The Bank continues to enhance its FCC capabilities through ongoing improvements to the framework and systems including name and payment screening and transaction monitoring.

Compliance Culture, Training & Effectiveness

NBB reinforces a strong culture of compliance through structured training, policy awareness, and ongoing engagement with employees, customers, suppliers, and regulators. Compliance expectations are communicated through onboarding, mandatory training, internal platforms, and contractual requirements for external partners. Awareness is strengthened through regular policy updates and targeted communication campaigns.

Mandatory training includes:

- Regulatory Compliance
- AML/CFT
- Cybersecurity
- ESG
- Health & Safety
- Fraud Prevention

Training is delivered through webinars, virtual learning systems, and in-person sessions. Targeted training sessions are also designed and conducted on an ad-hoc basis in response to emerging risks or identified needs.

Feedback gathered through training sessions, policy communications, regulatory consultations, internal reporting channels, and the whistleblowing mechanism informs updates to policies, procedures, and training content. The effectiveness of compliance actions is monitored through defined KPIs, training completion rates, audit findings, remediation timelines, independent assurance reviews, and real-time compliance dashboards reported to senior management and the Board Risk and Compliance Committee. These measures support continuous strengthening of the compliance framework and embed ethical conduct throughout the organisation.

Responsible Business Practices continued

Risk Management

NBB maintains a robust risk management framework designed to safeguard stakeholder interests and ensure the Bank's long-term resilience. The framework identifies, assesses, and mitigates material risks, balancing risk and return while fostering a culture of transparency, accountability, and continuous improvement.

The Bank continuously evaluates risks related to political, economic, and market conditions, as well as client creditworthiness, that may affect income and asset values. In an evolving financial environment shaped by digital transformation and regulatory change, NBB regularly reviews and enhances its framework to remain aligned with global standards. This includes the enhanced management of ESG and climate-related financial risks, which are covered in detail in the Sustainability Risk Management and Natural Capital sections of this report.

NBB manages a comprehensive range of risks, including:

- Credit Risk
- Legal Risk
- Liquidity and Market Risk
- Operational Risk
- Fraud Risk
- Information Security Risk
- Reputation and Fiduciary Risk
- Regulatory Compliance and Financial Crime Risks
- ESG and Climate-related Risks

The Board of Directors holds ultimate responsibility for risk management, approving related policies and procedures based on recommendations from the Executive Management team, with oversight from the Board Risk and Compliance Committee (BRCC). Risk oversight is further supported by six specialised management committees:

- Operational Risk Management Committee (ORMC)
- Group Asset and Liability Committee (GALCO)
- Group Compliance Management Committee (GCMC)
- Management Credit Committee (MCC)
- Business Continuity Management Committee (BCMC)
- Information Security Committee (ISC)

NBB's risk management system is supported by multiple ISO certifications that reinforce structured and internationally recognised standards. All ISOs were audited and remained valid in 2025. Further details on the role of each ISO standard are provided under the relevant Material Topics section of this report.

ISO	Year of Completion
ISO27701 Privacy Information Management	2025
ISO45001 Occupational Health and Safety Management	2025
ISO22301 Business Continuity Management	2025
ISO14001 Environmental Management	2025
ISO27001 Information Security Management	2025

Each identified risk is analysed for likelihood and impact, categorised as high, medium, or low, and reviewed against existing control measures, with additional controls identified where necessary.

Business Continuity Management (BCM)

NBB has established and implemented a comprehensive Business Continuity and Resilience Programme, guided by its Group Business Continuity Management Policy and aligned with applicable regulatory requirements and global financial industry best practices. The Group is certified under the ISO 22301:2019 Business Continuity Management System (BCMS) standard and aligns with the Business Continuity Institute (BCI) Good Practice Guidelines (GPG) 7.0.

The Business Continuity Management Committee oversees programme implementation and ensures Group-wide readiness and resilience. Regular testing and simulation exercises are conducted to assess preparedness for potential disruptions. A dedicated Crisis Management Team (CMT) ensures the Group responds effectively to disruptions by providing guidance and enforcing

compliance with the approved response and communication plan.

During the year, NBB successfully conducted its annual Business Continuity Management (BCM) drill covering the BCM site and the Alternate Data Center. Operations were resumed seamlessly within the defined scope, ensuring continuity of critical services. Following the successful execution of the drill, services were restored to the primary data center, reaffirming NBB's commitment to operational resilience and preparedness.

In 2025, NBB advanced its BCM programme through the execution of strategic continuity actions and achieved a record number of independent platform tests. The Bank sustained its ISO 22301:2019 certification with zero non-conformities during recertification audits. Continuity and resilience capabilities were also evaluated through assessments related to other ISO standards, including information security and operational risk.

Strategic continuity and resilience actions are cascaded to internal and external stakeholders in line with ISO 22301 stakeholder-interest guidelines. Looking ahead, NBB will continue strengthening its resilience capabilities through ongoing testing and the adoption of the BCI Resilience Framework 1.0.

Data Security and Customer Privacy

NBB ensures that sensitive information is handled with the utmost care, maintaining stakeholder trust through strict governance, advanced technologies, and robust security protocols.

Data security and privacy are governed by the Group Information Security Policy, and by the Information Security Management System (ISMS) and Privacy Information Management System (PIMS).

The Information Security Committee oversees the framework, ensuring compliance with applicable laws and alignment with international standards. The Group Chief Information Security Officer (CISO) also serves as the Data Protection Officer (DPO), responsible for data protection strategies and regulatory compliance. The Bank complies with the Personal Data Protection Law (PDPL) of Bahrain, privacy regulations in KSA and the UAE, and adheres to ISO/IEC 27701:2019 requirements.

In 2024, NBB launched a comprehensive Group Information Security Strategy, approved by the Board of Directors, to address evolving risks and opportunities in data privacy and cybersecurity. The strategy aligns closely with the Bank's business objectives and supports ongoing digital transformation initiatives.

The strategy incorporates modern cybersecurity practices - including cloud security, zero-trust architecture, adaptive authentication, and enhanced third-party risk management - while strengthening overall cyber resilience. It is structured around the National Institute of Standards and Technology (NIST) Cybersecurity Framework and its five core pillars: Identify, Protect, Detect, Respond, and Recover. This approach enables robust asset governance, accurate risk assessment, continuous monitoring, and timely incident response and recovery.

NBB's cybersecurity risk landscape includes human risk, reputational risk, cyber attacks, emerging technology threats, third-party risks, fraud risk, resilience risks, and evolving regulatory requirements. The strategy embeds privacy by design and security by design principles across all digital systems and processes, with annual reviews to ensure responsiveness to emerging threats.

A three-year strategic roadmap defines annual milestones covering asset lifecycle management, data security governance, automation, threat intelligence, fraud management, and compliance audits. Regular internal and independent assessments verify effectiveness and ensure alignment with international standards.

Controls and Operational Measures

NBB employs comprehensive technical and organisational controls, including encryption, access management, logging and auditing, incident response planning, and regular employee training. Key objectives include:

- Conducting regular information security and privacy risk assessments
- Performing Privacy Impact Assessments (PIAs) for new systems, products, and processes
- Monitoring and addressing privacy incidents and breaches
- Delivering periodic information security and privacy training
- Conducting vulnerability assessments and penetration testing

NBB's data security framework aligns with international certification standards, including:

- ISO 27701:2019 – Privacy Information Management
- ISO 27001:2022 – Information Security Management
- ISO 22301:2019 – Business Continuity Management
- PCI-DSS 4.0 – Payment Card Industry Data Security Standard
- Swift CSCF 2024 – Swift Customer Security Controls Framework

These certifications reinforce the Bank's commitment to strong governance, operational resilience, and customer data protection.

In 2025, NBB implemented a series of advanced measures to further enhance data security, privacy management, and cyber resilience across the Group, including:

- Enhanced Security Assessments: Comprehensive vulnerability scans and penetration tests to identify and mitigate risks.
- Advanced Safeguards: Deployment of multi-factor authentication (MFA), advanced encryption, and soft token authentication.
- Continuous Monitoring: Real-time detection and response through Extended Detection and Response (XDR) solutions.
- Privacy Impact Assessments: Conducted PIAs for new projects and systems to manage privacy risks.
- Customer Consent Management: Improved consent processes to protect data-subject rights.
- Training and Awareness: 100% of employees completed privacy and security awareness training.





Our Financial Capital

Our Financial Capital

Our Commitment

Sustainability Pillars

- Economic Growth

Material Topics

- Financial and Economic Performance
- Risk Management and Business Continuity

Policies

- Group Global Credit Policy
- Code of Conduct

Our Alignment

Bahrain Vision 2030



- Robust economic growth that benefits the people

GRI Standards

GRI 201 - Economic Performance

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Our Financial Capital

Overview

NBB concluded 2025 with record financial results, reporting an attributable net profit of BHD 85.1 million – a 4% increase over the previous year and the highest annual profit in the Bank’s history. The growth in 2025 was a reflection of the Group’s diversified non-interest revenue streams and was also supported by the continued growth of our balance sheet, with total assets increasing by 14% relative to year-end levels. Loans and advances and customer deposits grew by 6%, reflecting sustained momentum across the Group’s core banking activities.

Reflecting this profitability, earnings per share rose to 38 fils, up from 36 fils in 2024. Meanwhile, the Group’s total assets grew by 14%, reaching BHD 6,276.6 million as of 31 December 2025, compared to BHD 5,522.2 million in the previous year. This increase underscores the Group’s prudent balance sheet management and continued business expansion. Customer deposits stood at BHD 3,966.2 million at year-end, accounting for 63% of total liabilities and equity, while shareholders’ funds represented 9% of total liabilities and equity.

Total comprehensive income attributable to NBB’s equity shareholders decreased by 9% to BHD 82.7 million in 2025 from BHD 91.0 million in 2024, largely driven by the negative mark-to-market movements of the equity portfolio.

Key performance indicators remained strong, with a return on average equity of 15.0% and a return on average assets of 1.5%, compared to 14.3% and 1.5% in 2024.

The Group continued to demonstrate financial resilience, maintaining a solid capital adequacy ratio of 20.5% as of 31 December 2025, compared to 21.5% recorded at the end of 2024.

Liquidity and funding remained strong, with the consolidated net stable funding ratio (NSFR) standing at 133% as of 31 December 2025, a reflection the Group’s robust long-term funding profile. Meanwhile, the average liquidity coverage ratio (LCR) for the fourth quarter reached 425%, underscoring exceptional short-term liquidity. Throughout the year, the Group consistently exceeded the minimum regulatory funding and liquidity requirements of 100%.

Net Interest Income

At the end of 2025, the Group’s net interest income stood at BHD 141.0 million compared to BHD 143.4 million in 2024. Net interest income remained at similar levels and is a reflection of the Group’s balance sheet expansion. Net interest margin (NIM) remained strong at 2.7% in 2025, compared to 3.0% in the previous year.

Net Fee and Commission and Other Income

The Group’s net fee and commission income for 2025 decreased by 10% to BHD 13.8 million compared to BHD 15.4 million in the previous year, with the movement disclosed in note 24 of the consolidated financial statements. Other income, however, increased by 37% to BHD 45.0 million, up from BHD 32.9 million in 2024. This growth was driven by the Group’s core and non-core activities, as detailed in note 25 of the consolidated financial statements.

The continued increase in non-interest income aligns with the Group’s business diversification strategy, aimed at enhancing contributions from non-interest-related activities and reducing reliance on traditional lending income.

Operating Expenses

Operating expenses marginally increased by 5% to BHD 106.4 million in 2025 from BHD 101.2 million in 2024, resulting mainly from our investment in infrastructure and people, in line with the Group’s transformation. Details of staff and other operating expenses, with comparative figures for the previous year, are set out in notes 26 and 27 of the consolidated financial statements.

Provisions

The Group continues to maintain a prudent approach to credit risk management, ensuring adequate provisions for potential impairments. Provisions for individually impaired credit exposures are determined by discounting expected future cash flows. However, impairment charges on the broader portfolio of financial assets, which are not individually classified as impaired, are assessed using a forward-looking methodology. This approach incorporates various factors, including internal risk ratings, historical default rates adjusted for multiple macroeconomic scenarios, loss ratios in the event of default, and rating migrations.

Based on the ongoing assessment of loans and advances provisions, the Group allocated BHD 8.6 million towards impairment in 2025, a level similar to the BHD 9.1 million allocated in 2024. The charge reflects the Group’s continued and proactive stance in maintaining precautionary buffers established in previous years to mitigate potential future impairment risks that may not yet be evident.

Loans and advances to customers are classified as part of the non-performing portfolio upon the occurrence of an impairment event and remain classified as such until the completion of a cooling-off period, in accordance with Central Bank of Bahrain (CBB) guidelines. The Group’s ratio of gross non-performing loans to total

gross loans (NPL ratio) at 31 December 2025 exclusive of POCI and inclusive of non-performing POCI is 3.3% and 3.9% respectively. This reflects an improvement from 3.8% and 4.5% in 2024.

Further details on the Group’s non-performing loans, collateral coverage, provision movements, and related disclosures can be found in note 7 of the consolidated financial statements.

Assets

At the end of 2025, the Group’s total assets stood at BHD 6,276.6 million, reflecting a 14% increase from BHD 5,522.2 million as of 31 December 2024. This growth was supported by a 6% expansion in the loan book, underscoring the Group’s strong lending momentum.

The Group maintains a well-diversified asset profile, with loans and advances accounting for 51% of total assets. At the same time, it upholds substantial liquidity reserves, comprising treasury bills, placements with banks, and cash balances, which collectively represent 16% of total assets. Investment securities, spanning various maturities and including a portfolio of high-quality liquid assets, constitute 28% of total assets.

The loan portfolio remains well-diversified, with broad participation in the domestic market alongside a continued expansion of business relationships in Bahrain and across the wider region. Meanwhile, the

investment portfolio is primarily composed of debt securities, with a significant portion allocated to Government of Bahrain bonds and Islamic Sukuk.

Comprehensive details on the distribution of total assets by geographical region and industry can be found in notes 31 and 32 of the consolidated financial statements.

Liabilities

The Group continued its successful strategy of expanding core customer deposits, recording a 6% increase in 2025 to BHD 3,966.2 million, up from BHD 3,743.8 million in 2024. This growth underscores the Group’s strong market position as the country’s national bank and its deep-rooted customer relationships.

Borrowings from banks and financial institutions stood at BHD 941.2 million as of 31 December 2025, compared to BHD 579.7 million in the previous year.

Customer deposits continue to serve as the Group’s primary funding source, with the ratio of customer deposits to total liabilities standing at 70% at the end of 2025. These deposits provide the foundation for 80% of the Group’s combined loan and investment portfolios, reinforcing its stable and sustainable funding structure.

Capital Strength

The Group’s total equity attributable to shareholders increased as of 31 December 2025 at BHD 585.0 million is in line with the BHD 583.8 million reported on 31 December 2024. The attributable profits earned during 2025 were offset by the cash dividend payout.

The Group’s capital adequacy ratio as of 31 December 2025 was 20.5%, and the common equity tier 1 (CET 1) ratio was 19.6% before the proposed appropriations. The ratios have been calculated in accordance with the Basel III regulations and the CBB guidelines, incorporating credit, operational and market risks.

The Group’s capital adequacy ratio is significantly above both the Basel Committee’s requirement for internationally active banks and above the minimum level of 12.5% set by the CBB. Additionally, according to the CBB rulebook, banks designated as domestic systemically important banks (DSIBs) must hold designated high loss absorbency (HLA) expressed as common equity tier 1 capital at 1.5% of the total risk weighted assets, as calculated for the purposes of capital adequacy.

The main factors that contribute to the Group’s strong capital adequacy ratio are the high capital base, prudent risk management practices and a low risk profile of on-balance sheet and off-balance

sheet exposures. The Group’s profile includes significant exposures to low-risk asset classes such as sovereigns, public sector undertakings and prime banks and financial institutions. Note 45 of the consolidated financial statements and the risk and capital management disclosures provide further details on the Group’s capital strengths.

This section provides a comprehensive overview of the Bank’s financial capital structure, its adequacy, and the strategies employed to maintain a robust financial position. Throughout 2025, NBB has remained steadfast in its dedication to prudential financial management, aligning with regulatory requirements and international best practices. The strength of the capital foundation not only ensures the Bank’s ability to absorb unforeseen risks but also supports its mission to be a responsible and trusted financial partner.



Our Relationship Capital

Our Relationship Capital

Our Commitment

Sustainability Pillars

- Customer Centricity
- Responsible Banking

Material Topics

- Responsible Customer Relationships
- Digital Transformation
- Sustainable Finance
- Financial Inclusion
- Responsible Sourcing

Policies

- Group ESG Policy
- Group Information Security Policy
- Supplier Code of Conduct
- Group Global Credit Policy
- Group Procurement Policy

Our Alignment

Bahrain Vision 2030



- Robust economic growth that benefits the people
- An efficient and effective government
- A just, thriving society

GRI Standards

- GRI 203** - General Disclosures
- GRI 204** - Procurement Practices
- GRI 416** - Health and safety impacts of products and services
- GRI 417** - Marketing and Labelling
- GRI 418** - Customer Privacy

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Our Relationship Capital

Customer centricity is at the heart of NBB's Relationship Capital and forms a core pillar of the Bank's Sustainability Framework. This section outlines how NBB strengthens trust and long-term value through four key focus areas: Responsible Banking, Digitalisation, Customer Relations, and Sustainable Supplier Relations.

Responsible Banking

NBB's commitment to responsible banking supports long-term business growth while delivering positive social, environmental, and economic outcomes.

NBB's approach to responsible banking is driven by two main pillars: Sustainable Finance and Financial Inclusion.

Sustainable Finance

NBB increasingly integrates ESG considerations across its lending activities and continues to expand its portfolio of sustainability-oriented products for retail, corporate, commercial, and project finance clients. NBB's definition of Sustainable Finance encompasses Use of Proceeds instruments, Sustainability-Linked structures, Sustainable Finance liabilities, and the provision of ESG advisory services, supporting both new financing and refinancing of eligible transactions.

The Bank's Sustainable Finance Framework - developed with Standard Chartered Bank Bahrain as Sustainability Structuring Advisor - aligns with the ICMA Green and Social Bond Principles and the Loan Market Association's Green and Social Loan

Principles. The Framework enables NBB to finance or refinance green, social, and sustainability projects, including "pure-play" companies deriving at least 90% of their revenues from eligible activities. It also allows the Bank to issue green, social, or sustainability-linked bonds, Sukuk, and loans. An independent Second Party Opinion (SPO) certifies the Framework's alignment with international standards.

In 2025, NBB expanded the application of the Sustainable Finance Framework to ensure that all assets and liabilities across the Bank (NBB Parent) are assessed for eligibility under the Framework's criteria. During the year, NBB successfully completed the classification of the Bank's (NBB Parent) assets from 2022 to 2025 in line with its published Sustainable Finance Framework. The Bank now reports

sustainable finance assets and revenues in accordance with these criteria, providing enhanced transparency on the contribution of sustainable activities to the overall portfolio.

Sustainable Finance Portfolio Performance

The Sustainable Finance Assets maintained growth over the period, increasing by 7.23% in 2023, 52.75% in 2024, and 33.18% in 2025. The primary drivers of Sustainable Finance Asset growth in 2025 included financing for Affordable Housing and exposure to pure-play social sector clients, defined as clients deriving 90% or more of revenues from sustainable activities. This sustained expansion reflects the Bank's continued focus on advancing its sustainable finance agenda.



The share of Sustainable Finance Assets as a proportion of the NBB Parent's total Loans and Advances increased from 10.29% in 2022 to 10.86% in 2023, then strengthened to 13.23% in 2024, reaching 16.26% in 2025. Year-on-year changes in this ratio rose by 5.52% in 2023, 21.80% in 2024, and 22.92% in 2025, reflecting increasing emphasis on sustainable financing within the Bank's overall credit strategy. This progression highlights the deliberate integration of sustainability considerations into the Bank's core lending activities.

From a revenue perspective, Sustainable Finance Revenues - which include income generated from Sustainable Finance Assets and Sustainability-Linked Loans - increased by 51.94% in 2023, 18.56% in 2024, and 14.92% in 2025. This performance indicates the increasing commercial contribution of sustainable finance to the Bank's income base and its longer-term growth potential.

Looking ahead, the Bank aims to expand its Sustainable Finance Asset

base by 30% by 2030, relative to a 2025 baseline, reaffirming its long-term commitment to sustainability and its continued role in supporting national and sectoral transition objectives.

To support consistent and effective implementation of the Framework, NBB conducted multiple training sessions during the year, delivered in collaboration with an external partner and the Head of the Sustainable Finance Working Group. These sessions were complemented by targeted training for in-scope functions, including Business and Risk teams, strengthening internal understanding and application of sustainable finance requirements.

Further details on the Sustainable Finance Framework can be found [here](#) or visit www.nbbonline.com.

A. Retail Banking

NBB's retail portfolio includes products that encourage sustainable and socially beneficial outcomes. Examples include:

Auto Financing: Preferential rates for hybrid and electric vehicles, with discounts linked to fuel efficiency.

	Sustainable Finance Performance Trends		
	2023	2024	2025
Sustainable Finance Assets – % Change Year on Year (YoY)	7.23%	52.75%	33.18%
Sustainable Finance Assets – % of NBB Parent Loans & Advances	10.86%	13.23%	16.26%
Growth in Sustainable Finance Portfolio Share (YoY)	5.52%	21.80%	22.92%
Sustainable Finance Revenue – % Change (YoY)	51.94%	18.56%	14.92%

Solar panel financing: Affordable financing options for residential solar installations from any local provider.

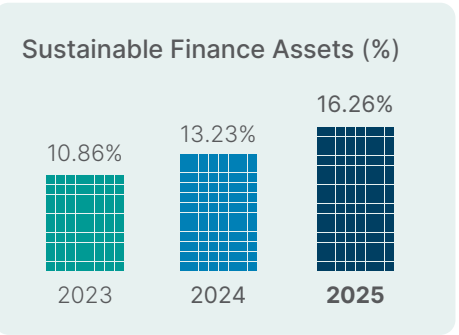
Education Finance Programme: Covering the cost of education at all levels.

Home Finance: NBB participates in national schemes that promote access to affordable housing. These include:

- **Mazaya Mortgage Financing Scheme:** Enables Bahraini citizens to obtain financing from the Bank while benefiting from the Mazaya subsidy scheme. NBB's Mazaya portfolio grew by 2% in comparison to 2024.
- **Tas'heel and Tas'heel+:** A government scheme to expand home ownership to a larger number of citizens through joint financing with Eskan Bank.
- **Innovative Mortgage:** Combining housing and solar financing under one product with flexible terms and energy cost savings.

B. Group Corporate & Commercial Banking (GCCB)

NBB provides tailored financing solutions that support business growth and sustainability objectives:



• **Tamkeen:** Shariah-compliant, subsidised financing for SMEs through Tamkeen's Financing Support Programme.

• **Tamweel Al Watani:** NBB's SME financing scheme offering simplified processes, relaxed terms, and lower costs.

• **Green Factory Seal Programme:** NBB is the exclusive banking partner for the Ministry of Industry and Commerce (MOIC) initiative promoting eco-friendly industrial practices, in line with the Kingdom's Industrial Sector Strategy 2022-2026.

• **National SME Fund:** In 2025, NBB also partnered in the launch of the national SME Fund to enhance access to finance for Bahraini SMEs (see highlight box).

• **Liquidity Support Fund (LSF):** Joint initiative with the Ministry of Finance to assist private sector firms facing liquidity challenges.

Supporting SME Growth Through the National SME Fund

In 2025, NBB partnered with Bahrain Development Bank (BDB), Bank of Bahrain and Kuwait (BBK), and Al Salam Bank to launch the SME Fund, a national financing initiative exceeding USD 185 million. Managed by BDB, the Fund provides Shariah-compliant financing with profit-rate support of up to 50% from Tamkeen and repayment terms of up to five years. The initiative enhances access to finance for Bahraini SMEs, supporting entrepreneurship, employment generation, and economic diversification in line with Bahrain Economic Vision 2030. This initiative further reflects NBB's Sustainability Strategy and Roadmap, supporting the Bank's long-term value creation priorities.

Our Relationship Capital

C. Group Markets and Client Solutions

NBB structures and finances strategic projects and innovative capital market solutions that advance sustainability objectives and create long-term value for clients and communities. Additionally, by leveraging an increased volume of digital transactions to drive financial inclusion, the Transaction Banking department is embedding sustainable and responsible practices into the bank's core operations, ensuring every exchange contributes to a more equitable and resilient economy.

Financial Inclusion

Aligned with Bahrain's Economic Vision 2030, NBB aims to make financial services accessible and affordable for all, focusing on underrepresented and underserved

segments through financial literacy programmes and inclusive product design.

A. Financial Literacy Initiatives

NBB's financial literacy initiatives promote awareness among youth, low-income groups, small business owners, and other vulnerable populations. Initiatives are targeted at four groups:

- 1. Corporates and SMEs
- 2. Retail Customers
- 3. Individuals
- 4. Other educational organisations

NBB's Yalla Family Banking offers an example of how NBB promotes financial literacy. This digital platform helps parents and legal guardians teach children financial responsibility through an engaging, secure interface.

I literacy sessions throughout the year and frequently partners with non-profit organisations, charities, societies and other organisations. In 2025 the Bank partnered with INJAZ Bahrain to launch a campaign to deliver financial literacy workshops across 10 schools in Bahrain, reaching approximately 500 students. The sessions aim to build foundational financial knowledge and prepare students for real-world financial decisions.

The following sessions were held in 2025:

- A financial literacy and digital banking workshop was conducted in collaboration with Al Mabarrah AlKhalifia Foundation, targeting high school students.
- A series of gamified workshops were held at Youth City, teaching young participants of various ages essential financial skills such as budgeting, saving, and responsible spending in a fun and accessible format.

B. Financial Inclusion Products and Services

NBB designs products and applies customer-centric policies tailored to meet the needs of specific segments of society, with a particular focus on affordability and equitable access to essential banking services. Examples include:

- Yalla Family Banking: Inclusive digital banking for customers of all ages. In 2025, the initiative was further enhanced with the launch of the Yalla Pockets feature, a savings tool designed specifically to instill smart money habits among youth.

- AlGhalya Credit Card: A credit card designed for women.
- Accessible Banking Features: Card options for visually impaired customers.

In addition, in line with Central Bank of Bahrain (CBB) regulations, the Bank implements specific protections for vulnerable customer groups, including orphans, widows, pensioners, and individuals receiving social subsidies. These customers are exempt from minimum balance requirements on savings and saving investment accounts, are not charged fees when account balances fall below stipulated minimum thresholds, and benefit from the waiver of counter withdrawal fees for withdrawals below the applicable ATM withdrawal limits.

Digitalisation

Digital transformation remains central to NBB's mission to deliver superior banking solutions and seamless customer experiences. The Bank continues to invest in modernising its digital infrastructure to drive growth, improve operational efficiency, and expand digital access across all business units, while maintaining a strong focus on security and compliance.

Oversight of the digital agenda is maintained through the Board Digitalisation Committee, which supervises and advises on NBB's digital roadmap, monitors associated risks, and ensures Board-level engagement in technology and innovation. In 2025, NBB updated its Digital Transformation and Innovation Guidelines, reflecting the expanded scope of the digital banking strategy and objective

and its overarching emphasis on enhancing the customer experience. The revised policy sets expectations for scalable digital service delivery, integration of emerging technologies, enhanced security and risk governance, and clearer performance measurement mechanisms, including KPIs and cohort-based behavioural analysis to evaluate the impact of digital initiatives.

NBB's digital roadmap is guided by a digital-first approach that targets multiple customer personas and segments, recognising that each has distinct financial needs and expectations. The Bank aims to embed banking seamlessly into customers' lifestyles by delivering intuitive, fast, and accessible digital experiences.

NBB's digital roadmap combines short-term initiatives - such as online loan origination, instant card issuance, and process optimisation - with medium- to long-term objectives that include expanding digital partnerships, modernising core systems, and pursuing Banking-as-a-Service (BaaS) opportunities across Bahrain, KSA, and the UAE. A key milestone delivered in 2025 was the launch of end-to-end digital loan origination, offering multiple options including new-to-bank loans and personal loan top-ups, with certain scenarios enabling loan approvals within minutes through fully digital processing and digital signature services. The journey is fully digital, including in-app execution of loan agreements through digital signature services, significantly reducing turnaround times and delivering a frictionless customer experience.

Dedicated innovation teams and cross-functional working groups support the development, testing, and commercialisation of new solutions, including partnerships with regional and global digital-native players.

Digital-related risks and opportunities are identified and assessed through existing governance mechanisms, including the Digitalisation Committee, operational risk assessments, and NBB's broader materiality and risk management processes. Business units perform regular Risk & Control Self-Assessments (RCSAs), while Key Risk Indicators (KRIs) such as system resilience, cybersecurity, and onboarding performance support ongoing monitoring. Emerging topics - including digital assets, fintech collaborations, and open banking - are reviewed through specialised working groups to ensure compliance, security, and regulatory alignment.

In 2025, NBB accelerated its digital journey through several major initiatives including, but not limited to, the following:

- Tier 3 Certified Data Centre: Successfully launched on NBB premises, enhancing resilience and reducing operational and energy costs (see Case Study).
- Upgraded digital infrastructure and customer portals to improve accessibility and operational efficiency.
- Digital onboarding using eKey: NBB adopted Bahrain's National Digital ID solution through a partnership with Beyon Connect and the Information &

eGovernment Authority (iGA), becoming the first bank in Bahrain to launch the service. This initiative enhances onboarding efficiency and security while supporting the Kingdom's national digital transformation ecosystem.

- Digital Wealth Management services: NBB introduced Wealth Management capabilities within NBB Digital, enabling customers to seamlessly invest in government securities, treasury bills, and sukuk through a fully digital platform.
- "Power of One" programme, aligning front-end and back-end processes to deliver a unified, seamless customer experience across all channels.
- Innovation framework expansion, enabling the piloting of emerging technologies and continuous process improvement.
- FinTech enablement through virtual account management & other solutions.
- Scaling AI and machine learning to support personalised experiences, enhance fraud detection, automate internal workflows, and improve decision-making across retail and corporate banking.

While digitalisation is considered strategically at the Group level, many initiatives are implemented at the business unit level. Together, these initiatives reinforce NBB's position as a digital-first, customer-centric bank, leveraging technology to drive innovation, enhance efficiency, and ensure secure, future-ready banking experiences.

Case Study

NBB becomes first bank in Bahrain's to operate a Tier 3 Certified Data Centre

NBB enhanced its operational resilience with the inauguration in 2025 of its newly upgraded Data Centre, becoming the first and only bank in Bahrain to design, build, and operate an Uptime Institute Tier 3 certified facility, reflecting international standards for reliability, security, and infrastructure quality.

The upgrade was the result of an 18-month infrastructure transformation, supported by the CBB, involving modernisation of legacy systems and eight phased migration activities, all completed without customer disruption. The new facility incorporates energy-optimised technologies, reinforcing both operational stability and the Bank's ESG commitments.

This investment strengthens the backbone of NBB's digital ecosystem and positions the Bank as a sector leader in service reliability and resilient technology infrastructure.



Our Relationship Capital continued

A. Retail Banking

Retail Banking’s digitalisation strategy remains customer-centric, focusing on accessible, secure, and convenient digital solutions. The following upgrades and launches accelerated digital transformation in 2025.

Digital Loan Origination: Retail Banking enhanced its end-to-end digital lending journey in 2025, enabling customers to apply for new loans and loan top-ups directly through the app. In certain scenarios, approvals are completed within minutes, with loan agreements executed digitally through in-app signature functionality. This fully digital process reduces turnaround times, enhances convenience, and supports the shift towards seamless, self-service lending.

Enhanced Digital Onboarding & Verification:

The customer onboarding and identity verification process was significantly streamlined in 2025 through advanced digital authentication tools, including the adoption of Bahrain’s National Digital ID solution (eKey). This enhancement improves security, reduces onboarding time, and delivers a smoother, more intuitive onboarding experience for new customers.

Digital Wealth Management: NBB expanded its retail digital offering in 2025 with the introduction of Wealth Management services within NBB Digital, enabling customers to invest seamlessly in government securities, treasury bills, and sukuk through a fully digital platform.

Yalla Pockets: A new feature under the Yalla umbrella, designed to promote financial literacy and budgeting among youth. Through gamified tools and educational content, Yalla Pockets helps embed smart financial habits early, positioning NBB as a digital-first partner in youth empowerment.

B. Group Corporate & Commercial Banking (GCCB)

Following the successful 2024 migration of all Business Online Banking (BOB) users to DigiCorp, NBB’s flagship corporate digital banking platform, in 2025 the Bank continued to enhance the platform’s functionality in response to client needs, empowering businesses with tools to streamline daily operations,

automate workflows, and manage finances efficiently. A significant number of clients were onboarded to DigiCorp in 2025, reflecting a 43% growth in platform adoption and continued momentum across our corporate digital services.

DigiCorp has received highly positive feedback from clients, resulting in increased transaction throughout and greater adoption across corporate segments. Multiple system enhancements and client-specific customisations helped NBB secure several major corporate mandates.

Advanced features introduced during the year include:

- 24/7 USD processing, improving transaction speed and availability for business clients



- Automated audit confirmation reports, streamlining documentation and reducing turnaround times
- Open Banking enablement, with DigiCorp participating in Bahrain’s corporate open-banking pilot
- Wage Protection System (WPS) readiness, ensuring full compliance with Labour Market Regulation Authority (LMRA) and CBB requirements
- Enhanced mobile capabilities, supporting the onboarding and servicing of SME clients

These enhancements underscore NBB’s commitment to digital innovation and delivering a seamless, modern corporate banking experience.

C. Group Markets & Client Solutions

NBB structures digital solutions for institutional and non-retail clients through the Group Markets & Client Solutions (GMCS) unit, which drives the Group’s digital innovation in payments, liquidity management, and trade finance. In addition to the enhancements to DigiCorp detailed above under Group Corporate & Commercial Banking (GCCB), in 2025, the GMCS unit introduced the following digitalisation initiatives:

Enterprise Liquidity Management Solution (ELMS): NBB launched the Enterprise Liquidity Management Solution (ELMS) for Corporate and SME customers, enabling them to optimise their balances and pool funds from different accounts and manage daily liquidity, all in one place.

Digital platform for Treasury Bills: The launch of a digital platform for Treasury

Bills and BHD Bonds enables customers to seamlessly explore, subscribe to, and manage fixed income products.

NBB GO: Building on the successful launch in 2024 of NBB GO, an innovative SoftPos (Software based Point of Sale) solution, NBB expanded its reach in 2025 to taxi operators, water distributors, and micro-businesses, replacing traditional devices and introducing referral partnerships to integrate NBB GO into bundled services, further advancing Bahrain’s 2030 cashless vision.

Unified Payment Solution partnership: NBB added more services under the Unified Payment Solution, including Benayat Services, Al Tajir Mobile App, Municipalities, Bahraini Passport Issuance, and the new Foreign Yacht Entry Portal.

Trade Supply Chain Finance: In 2025, NBB successfully launched its Supply Chain Finance solution via a white-labelled platform, aimed at enhancing liquidity and optimising working capital for both corporate clients and SMEs

D. Strategic Accounts

In 2025, the business unit prioritised advancing automated transaction adoption in alignment with the Bank’s Digital First strategy. This initiative was targeted at key government sector clients, reinforcing NBB’s commitment to operational efficiency & client-centric innovation, and digital growth.

Strategic Accounts also continued its focus in 2025 to expand the digitally onboarded portfolio of private sector entities with substantial local and cross-border transaction volumes. The unit successfully onboarded high-value clients across both

government and private domains, including one of the Kingdom’s largest public sector employers and several prominent private enterprises marking a significant milestone in NBB’s client acquisition strategy and reinforcing its role as a trusted financial partner across sectors.

E. Private Banking

Private Banking remains a strategic growth engine within the Group’s wealth management ambitions.

During 2025, the division strengthened regional integration across Bahrain, KSA and the UAE, delivering a unified client experience while expanding its engagement with select ultra-high-net-worth clients internationally.

The offering continues to evolve through specialised solutions, including trust and company formation services via strategic partnerships, alongside enhanced capabilities supporting international property investments and structured mortgage solutions, particularly in the UK.

Customer Relations

NBB has earned a reputation for building enduring customer relationships founded on trust, transparency, and service excellence. The Bank continuously seeks to understand customer needs and deliver high-quality experiences across all touch points.



Our Relationship Capital continued

NBB’s Code of Conduct requires all employees to communicate with fairness, accuracy, and transparency. Client-facing staff complete the Financial Advice Programme, covering regulatory requirements, ethical selling practices, and product suitability to ensure that customers receive clear and appropriate advice.

The Bank regularly monitors sales practices, using grievance tracking and mystery shopping to ensure compliance with ethical standards. Performance metrics for sales staff also include measures of integrity and conduct. Loan and financing decisions are criteria-based, with clear, immediate communication to applicants when requirements are not met.

Assessing Customer Risks

NBB manages customer-related risks through continuous evaluation of creditworthiness, transaction behaviour,

and industry exposure. The Bank uses credit scoring models, financial analyses, and portfolio diversification strategies to mitigate potential concentration risks. Regular monitoring of economic indicators enables proactive adjustments to customer risk management. All customer interactions comply with local and international regulations, ensuring that relationships adhere to the highest standards of legal and ethical conduct.

Measuring Customer Satisfaction

NBB measures customer satisfaction through a combination of independent research, digital feedback tools, branch-level input, and direct customer engagement. In 2025, the Bank enhanced its approach by implementing a unified customer experience platform that gathers feedback across branches, the Digital Banking App, and the call centre. Survey results feed into a real-time dashboard

that tracks key indicators, including Net Promoter Score (NPS), and are shared with relevant departments to drive service improvements.

At the branch level, QR codes enable customers to provide instant feedback, while the Retail business unit conducts an annual Customer Satisfaction (CSAT) survey from September to November. On digital channels, customers can rate services directly within the NBB App, with further insights collected from app-store ratings and reviews.

NBB also engages customers through focus groups, one-on-one interviews, and targeted surveys to understand expectations and identify opportunities to improve service quality. Customer complaints, discussed below, form another key input, with insights used to inform ongoing enhancements.

Complaints Management

NBB’s Complaints Management Policy and Procedures, aligned with CBB guidelines, ensure that customer concerns are handled promptly, fairly, and transparently. Customers can submit complaints through branches, the website, the call centre, or live chat. The Bank provides regular updates during the resolution process, and Customers who remain unsatisfied with the resolution of their complaint may escalate the case to the regulator through the formal appeal mechanism.

Insights gathered through complaint analysis are used to identify service gaps, understand recurring issues, and develop corrective actions that improve customer experience across all channels.

Protecting Customer Privacy

As detailed in the Data Security and Customer Privacy section, NBB maintains



robust systems to prevent loss, misuse, or unauthorised access to confidential information, ensuring strong safeguards for customer trust and data protection.

Sustainable Supplier Relations

NBB recognises that sustainable procurement plays an important role in advancing the Bank’s broader sustainability commitments. ESG considerations - particularly environmental, health and safety, and social factors - are integrated across procurement processes to ensure responsible and ethical sourcing and are outlined in the Procurement Policy.

In line with its Human Rights Policy, NBB engages exclusively with third parties that uphold human rights, labour standards, and ethical business conduct. These expectations are set out in the Bank’s Supplier Code of Conduct, which includes commitments to support the protection of internationally proclaimed human

rights, combat forced labour (including modern slavery and human trafficking) and child labour, and avoid the supply of products that may contribute to human rights abuses, including those associated with conflict minerals. All suppliers are required to meet clearly defined compliance obligations, competence standards, and control measures, which are communicated during the onboarding process. Comprehensive due diligence is conducted before engagement, and supplier performance is monitored regularly to ensure continued alignment with ESG criteria.

The Supplier Code of Conduct further requires suppliers to comply with all applicable environmental, health and safety regulations and to protect the health and safety of their employees and surrounding communities. While the Bank does not currently provide dedicated health and safety training for suppliers, adherence to

these requirements forms part of supplier onboarding and ongoing oversight.

Supplier compliance with environmental, social, and governance requirements is monitored and assessed on an ongoing basis. In accordance with the Supplier Code of Conduct, the Bank reserves the right to conduct audits or assessments to verify compliance, including with respect to environmental practices such as resource efficiency and the reduction of waste and emissions. Where non-compliance is identified, suppliers may be required to implement corrective actions, and the Bank reserves the right to discontinue relationships in cases of failure to remediate issues, repeated breaches, or non-adherence to applicable standards and international principles.

NBB also recognises potential challenges in integrating ESG standards into supply chains, such as supply disruptions, higher

compliance costs, and the complexity of impact measurement. To mitigate these risks, the Bank conducts ongoing reviews and performance assessments. The Bank’s Supplier Code of Conduct Statement is publicly available on its website.

Local Procurement

Supporting the local economy is a key priority within NBB’s sustainable procurement strategy. Wherever possible, the Bank sources products and services from local suppliers, reducing operational risks while creating shared value within the Kingdom.

The Bank’s fully digitalised procurement system enhances efficiency and encourages local suppliers to adopt digital processes. In 2025, 82% of NBB’s total procurement spend was directed to local suppliers.





Our Human Capital

Our Human Capital

Our Commitment

Sustainability Pillars	Nurturing our Workforce
Material Topics	- Equal Opportunity and Workforce Wellbeing - Talent Attraction, Retention, & Developmen
Policies	- Group ESG Policy - Group Human Rights Policy - Group Health and Safety Policy - Code of Conduct - Group Human Resources and Talent Development Policy

Our Alignment

Bahrain Vision 2030



- Robust economic growth that benefits the people
- A just, thriving society

GRI Standards

GRI 2 - General Disclosures	GRI 404 - Training and Education
GRI 202 - Market Presence	GRI 405 - Diversity and Equal Opportunity
GRI 401 - Employment	GRI 406 - Non-Discrimination
GRI 403 - Occupational Health & Safety	GRI 410 - Security Practices

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Our Human Capital

NBB is recognised as an employer of choice in the Kingdom of Bahrain and known for its culture of empowerment, inclusion, and continuous learning. Since 2021, the Bank has held the ‘We Invest in People’ Gold Accreditation from Investors in People (IIP) – becoming the first bank in the GCC and MENA region to achieve this distinction. The accreditation acknowledges NBB’s commitment to employee development and its focus on creating meaningful career growth opportunities.

The Bank attracts and develops the country’s finest talent, providing structured training, professional development, and a stimulating work environment. NBB’s



culture celebrates diversity, promotes employee wellbeing, and fosters a workplace where every individual can grow, contribute, and succeed.

Talent Management, Engagement and Retention

Attracting, developing, and retaining exceptional talent is central to NBB’s long-term growth and success. Guided by the Group Human Resources and Talent Development Policy, the Bank applies a rigorous recruitment process to secure the strongest candidates at every level and ensure business continuity.

NBB offers a competitive remuneration and benefits package designed to attract and retain top talent while supporting work-life balance. Benefits include:

- Life Insurance
- Health Care
- Disability and Invalidity Coverage

- Annual, Parental and Compassionate Leave
- Retirement Provision
- Flexible Working Hours
- Children’s Education Allowance

In addition, NBB offers medical and high-risk pregnancy support, paternity leave, grandparent leave, and child vaccination leave, reflecting the Bank’s commitment to employee wellbeing.

Performance Management

NBB’s Performance Management System aligns individual objectives with Group-wide strategic priorities, linking employee performance to measurable goals and supporting the Bank’s succession and continuity planning.

Performance reviews and development plans are managed through the HR Hub, NBB’s integrated digital platform for performance and learning, which

enhances transparency and ensures that employee goals remain closely aligned with organisational outcomes.

The reward management framework recognises and motivates high performance while promoting accountability and a culture of continuous improvement. In line with NBB’s sustainability commitments, ESG-related KPIs are embedded into all managers’ annual performance reviews and incentive structures.

Employee Engagement

NBB promotes open communication and engagement through town halls, social events, sporting activities, and recognition awards. The Group CEO Awards honour individuals and teams that exemplify excellence, innovation, and the Bank’s values.

Regular employee satisfaction surveys measure engagement and inform process



improvements. In 2025, employee participation levels remained at 89%, reflecting NBB’s strong internal culture.

Equal and Fair Opportunity

NBB upholds the highest standards of fairness, equality, and non-discrimination in line with its Human Rights Policy, Equal Opportunities Principles, and its commitment to the UN Global Compact and International Labour Organization (ILO) conventions.

The Bank ensures full compliance with local and international laws to safeguard human rights and dignity at work, maintaining a zero-tolerance policy toward discrimination, harassment, and workplace misconduct.

These principles are embedded within the Group HR Policy and Code of Conduct, which set clear expectations for all

directors, officers, and employees to uphold ethical behaviour and integrity in every interaction. The Human Rights and Equal Opportunities Policy Statements are publicly available on NBB’s website.

Collective bargaining does not apply to NBB, as no unions or collective agreements exist within the Bank. Contractual negotiations are conducted on a case by case basis with employees during the recruitment process.

Nationalisation

As one of Bahrain’s largest employers of nationals, NBB actively supports the Bahrain Economic Vision 2030 by fostering local talent and reducing unemployment. At the end of 2025, NBB Bahrain employed 727 Bahraini nationals, representing a Bahrainisation rate of 93.68% (excluding overseas branches). The Bank continues to prioritise local hiring, graduate

development, and leadership succession planning.

Female Empowerment

NBB promotes gender equality and female participation across all levels of the organisation. The Bank provides extensive support for working mothers, including paid maternity leave, flexible working options, remote work for up to six months post-maternity, and onsite nursing rooms.

Women represented 37.60% of total employees in 2025, consistent with previous years. The median total compensation ratio of women to men stands at 1:1.42.

People of Determination

NBB actively supports the inclusion of people of determination in the workforce. Through its partnership with the Bahraini Society of Down Syndrome, the Bank

has facilitated multiple hires in recent years. As of 2025, NBB employed eight staff members with disabilities, equally distributed by gender.

Youth Employment

As per its Youth Employment Support Policy Statement, NBB is committed to developing, training and providing potential employment opportunities to the youth, nurturing the next generation of finance professionals. The Bank collaborates with universities and participates in careers fairs to strengthen its early talent pipeline through the Thrive Programme – a six-month internship that offers participants full-time, real-world work experience. Thrive provides practical training that complements academic study and fulfils the graduation requirements of participating students.



38%

Women represented 38% of total employees in 2025, consistent with previous years.



Our Human Capital continued

Workforce Wellbeing

NBB places the health, safety, and wellbeing of its employees, customers, contractors, and visitors at the centre of its operations. The Bank is committed to preventing workplace injuries and illnesses, maintaining safe working environments, and reducing absenteeism and turnover through a proactive approach to health and safety management.

NBB’s Group Health and Safety Policy, developed in line with applicable regulations and international best practices – including guidance from the World Health Organization (WHO) – sets the foundation for managing occupational risks. The Bank was the first in the GCC to achieve ISO 45001 certification for its Occupational Health and Safety Management System, underscoring its leadership in workplace safety.

A dedicated Health and Safety Team oversees policy implementation, supported by trained first aiders and fire marshals stationed at every branch, operational site, and floor of headquarters. Health and safety awareness and training are mandatory for all employees, ensuring that everyone understands their role in maintaining a safe workplace.

In addition, NBB promotes a culture of holistic wellbeing, encouraging employees to adopt healthy habits and manage stress effectively. Through ongoing awareness initiatives and continuous system improvements, the Bank remains committed to providing a safe, supportive, and empowering workplace for all.

In 2025, NBB delivered a comprehensive calendar of health, safety, and wellbeing training, combining mandatory and voluntary sessions. Programmes included:

E-Learning

- Health & Safety Awareness 2025 (Mandatory)
- Investment in Emotional Health (Optional)
- Emotional Intelligence (Optional)

Virtual Webinars

- Situational Awareness conducted in March 2025 (Optional)

In addition, 15 awareness sessions were delivered in partnership with Marsh, our medical and life insurance broker, during 2025, covering a broad range of health and wellbeing topics:

- Lifestyle Disease Management
- Introduction to Medical & Life Insurance Policy
- Healthy Habits and Lifestyle during Ramadan
- Stronger Together: Women’s Health Empowerment
- Safety, Ergonomics and Health in the Workplace
- World Autism Day
- World Labor Day
- Healthy Heart Diet
- A Deep Dive into Common Food Triggers
- Hypertension Awareness Session
- Glaucoma Awareness
- Heat Stress
- Medical and Life Insurance Policy (session 2)
- Think Pink

Physical Trainings

In addition, in-person safety and security training sessions were conducted for staff across 20 branches during July and August.

- First Aid Training (July – Optional)
- Fire Marshal Training (October – Optional)

Conferences

NBB employees attended health and wellbeing related events during the year.

- People 5.0 Shaping Future Workforce
- The 10th Employee Wellbeing Conference

Professional Development & Empowerment

NBB continually invests in employee learning and development to ensure its people have the skills and capabilities required to support the Bank’s strategic goals. Training is guided by the Group Human Resources and Talent Development Policy and the Sustainability Roadmap (2024–2026), with a focus on capability building, leadership pipeline development, customer-centricity, and embedding ESG principles across the organisation. NBB regularly evaluates the effectiveness of its training programmes through feedback, performance metrics, and business outcomes to ensure they remain relevant and impactful. Methods and metrics include:

- Completion rates for mandatory programmes
- Average training hours per employee
- Post-training feedback surveys
- Behavioural and performance metrics
- Performance review integration
- ESG Academy participation rates
- Compliance dashboards and LMS reporting



Oversight of training and development is led by the Group Chief Human Resources Officer, with line managers responsible for identifying team-specific needs through the Performance Management System. ESG-related training is overseen by the Sustainability Management Committee. Training delivery and tracking are supported by HR Hub, NBB’s central digital platform that manages KPIs, appraisals, and access to nearly 10,000 courses covering technical, regulatory, leadership, and sustainability topics. The adoption of digital learning tools also enables more agile delivery and personalised development pathways tailored to employee career goals.

NBB incorporates continuous stakeholder input into its training programmes through post-training evaluations, performance reviews, employee surveys, and direct managerial feedback. Insights from these

channels guide the refinement of learning content, the introduction of new modules, and alignment with succession planning, digital transformation, and regulatory requirements. Partnerships with external training providers further support the delivery of targeted and high-quality learning solutions.

Training and Development Programmes

NBB empowers employees through structured training programmes that support career growth, adaptability, and long-term employability. These initiatives prepare employees for current responsibilities while equipping them with skills for future roles and internal mobility.

1. Structured Training and Development Programmes

NBB delivers a range of tailored programmes designed to build technical,

leadership, and behavioural capabilities, including:

NBB Group Strategic Management Programme

The NBB Group Strategic Management Programme is the Bank’s flagship leadership development initiative, designed to elevate strategic thinking, enterprise leadership, and decision-making capabilities across senior levels of the organisation. Delivered in collaboration with Emeritus Management Institute and the Massachusetts Institute of Technology (MIT), the programme focuses on building the mindset, agility, and enterprise-wide perspective required of modern banking leaders. In 2025, the programme was delivered across two cohorts, with a total of 46 group employees completing the programme and delivering their final presentations during the year.

Leadership and Management Training

Leadership and Management training targets employees across all divisions within the bank to improve the culture and productivity through the utilisation of Bahrain Institute of Banking and Finance (BIBF) levy offerings. In 2025, 157 employees completed 246 leadership and management courses under the BIBF levy framework.

In parallel, NBB supported selective participation in advanced executive leadership development through external institutions. In 2025, 13 NBB employees were selected to participate in the Harvard Executive Leadership Training Programmes organised by Tamkeen, reinforcing the Bank’s focus on developing high-potential Bahraini leaders for future senior roles.



Our Human Capital continued

NBB Group AI & Digital Banking Academy

The NBB Group AI & Digital Banking Academy is a structured learning journey aimed at building digital, analytical, and emerging-technology capabilities in support of the Bank’s digital transformation agenda. The Academy targets employees across multiple functions to strengthen digital literacy, innovation, and data-driven decision-making.

In 2025, two cohorts of the AI & Digital Banking Programme were delivered in June and November in partnership with BIBF, reaching 60 employees across two batches. The one-week programme covered agile methodologies, digital banking, payment systems, and emerging technologies including AI, machine learning (ML), robotic process automation (RPA), and blockchain, and included a practical component delivered through the NBB Hackathon.

Additional initiatives included a four-month Data Analytics Bootcamp delivered by General Assembly in partnership with Tamkeen, attended by 18 employees, and a three-day AI Training Programme organised by Tamkeen for 50+ employees, covering AI Generalist, AI Specialist, and AI for Executives tracks.

Sustainability Academy

The Sustainability Academy 2025 was launched in collaboration with Emeritus and Columbia Business School to strengthen organisational capabilities in ESG and sustainable finance - areas of growing strategic importance for the banking sector. The programme was designed to embed sustainability considerations across risk management, treasury activities, governance, and product development.

The Academy commenced with a pre-virtual session in November 2025, titled “*The ESG Imperative: What Every Banker Must Know*”, followed by four intensive days of learning. Key topics included Sustainability from a Risk Perspective, Sustainability from a Treasury Perspective, Sustainable Finance, and ESG Governance, reinforcing NBB’s commitment to responsible banking and long-term value creation. A total of 35 employees completed the Sustainability Academy in 2025.

Corporate Credit Programme

The Corporate Credit Programme is a specialised technical training initiative designed to strengthen analytical capability and credit risk assessment in line with the Bank’s risk appetite and lending policies. The programme focuses on financial statement analysis, cash flow assessment, and credit risk evaluation relevant to Bahrain’s banking market. In 2025, the programme was delivered in October as a condensed five-day course for senior bankers, with 18 employees participating.



Customer Centricity Training

NBB continued to reinforce a customer-first culture through targeted customer centricity programmes aimed at enhancing service excellence, behavioural skills, and relationship management across the Bank. In February 2025, a one-day Customer Centricity programme delivered by Berlitz was conducted for 20 front-facing branch employees, focusing on practical strategies to improve customer experience. In parallel, a bank-wide Customer Centricity Programme delivered by EMIC was rolled out between August and November 2025, delivered across eight batches of 20 customer-facing employees each, combining classroom training, coaching sessions, and a virtual e-learning pathway.

2. Internal Transfer Training

As part of the Bank’s redeployment and talent mobility strategy, employees moving into new roles or teams receive a tailored

training plan focused on the competencies and knowledge required for their new responsibilities, ensuring a smooth and effective transition.

3. Internal and External Learning Opportunities

NBB offers a blended learning ecosystem comprising:

- Internal Training: Role-specific programmes addressing operational needs and identified skill gaps.
- External Training: Access to industry conferences, professional certifications, and specialised seminars.
- E-Learning Platforms: HR Hub, LinkedIn Learning, providing access to thousands of technical, regulatory, leadership, and digital-skills courses.
- Training Academies: Deep-dive development pathways focused on areas such as ESG & Sustainability, Group Compliance and Regulatory Engagement

Policy, AI & Digital Transformation, Customer Centricity and Customer Experience, Cyber Security, and other specialist topics.

4. Financial Literacy and Career Readiness Initiatives

NBB remains committed to empowering the wider community and future talent through:

- Evolve Internship Programme, offering vocational training and career exploration for students pursuing careers in banking and finance.
- Financial Literacy Campaigns targeting youth, migrants, and low-income groups, supporting economic empowerment and inclusion.
- UAE Financial Literacy Training, delivered in line with CB-UAE regulatory requirements, ensuring UAE employees gain essential financial knowledge and awareness of market trends.



Case Study

Embedding ESG Capabilities Across the Organisation

ESG training remains an integral component of NBB’s development framework. In addition to the Sustainability Academy, NBB provides mandatory annual courses covering Sustainability Awareness, AML & Financial Crime, Cybersecurity, Health & Safety, and ESG. NBB achieved 100% completion of all mandatory training programmes in 2025.

Additional ESG-focused training conducted during the year included:

- Financed Emissions training delivered by an external provider
- Sustainable Finance sessions delivered by Standard Chartered and NBB’s Head of Project Finance
- Climate Change Stress Testing workshop delivered by an external expert
- Technical training on the enhanced ESG Risk Assessment Toolkit
- A series of tailored ESG Academy programmes for different departments

Most of these sessions were recorded and made available for future reference.

In addition, employees can access an extensive range of sustainability and ESG specific trainings through virtual and in-person sessions conducted internally and courses offered through HR HUB.

Our Social Capital



Our Social Capital

Our Commitment

Sustainability Pillars

- Community Investment

Material Topics

- Partnerships, Collaboration & Active Stewardship
- Community Investment

Policies

- Group ESG Policy
- Group Human Rights Policy
- Code of Conduct
- Donations & Contributions Policy

Our Alignment

Bahrain Vision 2030



- A just, thriving society

GRI Standards

GRI 413 - Local Community

Our Achievements

Awards & Achievements

- Euromoney Awards for Excellence 2025 "Bahrain's Best Bank for Corporate Responsibility"

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Our Social Capital

NBB recognises that its long-term success is closely linked to the prosperity and well-being of the communities it serves. As a responsible financial institution, the Bank is committed to giving back to these communities through initiatives that create positive social and economic impact. Corporate Social Responsibility (CSR) is integral to NBB's strategy and sustainability commitments, enhancing brand reputation, managing risk, and generating shared value.

Community support

NBB's approach to community investment is guided by the Donations and Contributions Committee which oversees corporate

donations and contributions in line with the Donations & Contributions Policy.

Furthermore, NBB's ESG Policy underscores the Bank's long-standing commitment to Community Initiatives and Promotion of Social and Economic Development and reiterates the Bank's commitment to allocate 5% of its annual net profits to programmes and initiatives aligned with its Donations and Contributions pillars.

CSR priorities are identified through continuous engagement with local stakeholders and assessments of pressing social and environmental needs, ensuring

that initiatives are aligned with national development priorities and the Bank's values. Projects are evaluated and prioritised based on their alignment with NBB's strategic goals, including promoting financial inclusion, supporting sustainable development, and enhancing community well-being. This structured approach ensures that social investments create measurable impact and long-term value.

In the short-term, NBB directs its community initiatives toward the following key focus areas:

- Education and Youth Development
- Healthcare and Well-being

- Social Welfare
- National Development Initiatives (including Equal Opportunities; Environmental Sustainability; Governance and Ethics; and Tourism, Culture and Patriotism)
- Sports and Physical Activity

Examples of NBB's commitment to education and youth development include the Evolve Internship Programme and Financial Literacy Initiatives. Now in its fourth cohort, the Evolve Programme hosted 157 students in 2025. Delivered in partnership with schools, universities, and training institutes, Evolve offers students hands-on experience and vocational



training led by NBB's Talent Development Team and employee volunteers.

Launched in 2021, NBB's Financial Literacy Initiatives promote financial awareness among underrepresented groups, including youth, migrants, low-income earners, and small business owners. Further details of 2025 sessions are included in the Relationship Capital section.

Programmes and Partnerships

Over the long term, NBB strengthens its community impact through partnerships with non-profit organisations, government entities, educational institutions, and community groups. These collaborations enable the Bank to amplify its outreach, leverage external expertise, and deliver sustainable benefits across society.

The oversight of each partnership sits with the relevant department - whether sustainability, HR, community engagement, or business-related - ensuring clear accountability and alignment with strategic objectives. NBB evaluates the success of partnerships through criteria such as strategic alignment, programme outcomes, stakeholder feedback, improvements in customer or community experience, and broader contributions to social well-being.

Key partnerships include:

INJAZ Bahrain

A longstanding partner to NBB, INJAZ Bahrain empowers youth through financial literacy, entrepreneurship, STEM, and sustainability programmes. Together, NBB and INJAZ run the Job Shadowing Initiative, in collaboration with the Sumow

Organisation for Down Syndrome, providing work experience opportunities for youth of determination. NBB also supports INJAZ's Innovation Camp workshops. In 2025, 414 NBB volunteers contributed 894 hours across INJAZ programmes.

NBB Innovation Programme 2025

In partnership with Bahrain FinTech Bay (BFB), NBB launched a three-week accelerator programme for early-stage fintech startups, announced during Fintech Forward 2025. The initiative supports Bahrain's national innovation agenda by helping startups refine their business models, integrate AI solutions, and scale their offerings, reinforcing NBB's role in advancing the Kingdom's fintech ecosystem.

Social Housing Innovation Summit 2025

Through collaborations with several leading real estate partners, NBB participated in the Social Housing Innovation Summit 2025 to expand access to diversified property options for social housing beneficiaries. The initiative is anchored by NBB's Tas'heel+ financing solution, which supports national housing objectives while strengthening the Bank's mortgage finance portfolio.

EVOLVE 2025 Institutional Partnerships

NBB enhanced its EVOLVE Internship Programme through partnerships with the Royal Humanitarian Foundation, AIMabarrah AlKhalifia Foundation, BIBF, Bahrain FinTech Bay, INJAZ Bahrain, and educational institutions across the Kingdom. These collaborations broaden



Our Social Capital continued

the programme's reach and deepen NBB's contribution to talent development, employability, and youth engagement in Bahrain.

NBB signs MoU with Banco BPM

NBB signed a strategic Memorandum of Understanding with Banco BPM to strengthen bilateral trade and investment between Bahrain and Italy. Timed alongside the visit of His Royal Highness to Italy, the agreement reinforces economic cooperation between the two countries while positioning NBB as a key facilitator of cross-border business and financial collaboration.

2025 Initiatives

During the year, NBB launched or participated in a wide variety of initiatives

designed to create a positive impact for social groups.

Asian Youth Games

NBB supported the 3rd Asian Youth Games, enabling young Bahraini athletes to compete on a regional stage and contributing to the development of youth sports in the Kingdom. The sponsorship reflects the Bank's commitment to empowering young people and promoting active, healthy lifestyles.

Ministry of Information Affairs – BTV National Day Programme

NBB partnered with the Ministry of Information Affairs to support the BTV National Day Programme, helping promote national identity and community engagement through public broadcast

media. The initiative strengthened NBB's cultural outreach and presence on a widely viewed national platform.

Ministry of Interior – Alternative Penal Code

NBB sponsored the Ministry of Interior's Alternative Penal Code initiative, which advances social reform and community rehabilitation within the Kingdom. The sponsorship underscores the Bank's support for justice, reintegration, and long-term social stability.

Bahrain Volleyball Association – Annual Sponsorship

NBB renewed its annual sponsorship of the Bahrain Volleyball Association, supporting national tournaments, player development, and youth participation in the sport. The continuing partnership

reflects NBB's long-standing commitment to team sports and national athletic excellence.

General Sports Authority – Bahrain Sports Day

For Bahrain Sports Day, NBB sponsored a series of community sporting activities aimed at encouraging physical fitness and inclusive participation across all age groups. The initiative reinforces the Bank's commitment to public health, wellness, and active lifestyles.

Bahrain Cinema Club – Bahrain Film Festival

NBB supported the Bahrain Film Festival through its partnership with the Bahrain Cinema Club, contributing to the promotion of local filmmaking, cultural expression, and creative industry growth. The sponsorship

aligns with NBB's broader commitment to arts and cultural development.

Supreme Council for Women – Bahraini Women's Day 2025

NBB sponsored the Bahraini Women's Day 2025 celebration, held under the theme "Bahraini Women... Excellence – Creativity – Innovation." The initiative highlights the Bank's continued support for women's empowerment, gender equality, and national talent advancement.

Bahrain Association of Banks – BAB Reception at IMF 2025

NBB sponsored the BAB Reception held during the IMF 2025 meetings, supporting Bahrain's financial sector representation on an international stage. The initiative reflects the Bank's role in advancing national financial

diplomacy and industry collaboration.

MIT Design & Sustainability Class (OFFCUT/ONCUT)

NBB sponsored the MIT Design & Sustainability class hosted at the American University of Bahrain, supporting academic collaboration on design innovation and sustainability. The partnership reflects the Bank's investment in future skills and higher-education engagement.

INJAZ Bahrain – Signature Award 2025

NBB supported the INJAZ Bahrain Signature Award 2025, recognising youth entrepreneurship and innovation across the Kingdom. The sponsorship reinforces the Bank's commitment to youth empowerment, skills development, and economic diversification.

BIBF – Annual Graduation Ceremony

NBB sponsored Bahrain Institute of Banking and Finance (BIBF)'s annual graduation ceremony, providing training and internship opportunities to top-performing graduates. This initiative supports the development of future talent and strengthens pathways from education to employment.

Bahrain Olympic Committee – 3x3 Basketball Tournament

NBB sponsored the Bahrain Olympic Committee's 3x3 Basketball Tournament, supporting an accessible and fast-growing sport that encourages youth engagement and community participation. The initiative forms part of the Bank's wider support for inclusive sports development.

FinTech Forward 2025

NBB sponsored FinTech Forward 2025 through its partnership with Bahrain FinTech Bay, contributing to the growth of the Kingdom's fintech ecosystem and its position as a regional technology hub. The initiative aligns with NBB's strategic focus on innovation and digital transformation.

NBB Innovation Challenge

NBB launched and sponsored the NBB Innovation Challenge in collaboration with Bahrain FinTech Bay, providing a platform for fintech startups to develop solutions alongside the Bank. The initiative supports the Bank's digital transformation agenda and strengthens industry-innovation collaboration.



Our Social Capital continued

**Al Mabarrah Al Khalifah –
Watheq Leadership Programme
& TakeOff Exhibition**

NBB supported Al Mabarrah Al Khalifah Foundation's Watheq Leadership Programme and The TakeOff exhibition, offering youth leadership development and career readiness opportunities. This partnership reflects NBB's investment in national talent cultivation and future workforce skills.

**Fab Lab – Tech Stride Summer
Programme**

NBB sponsored Fab Lab's Tech Stride Summer Programme, enabling young participants to gain hands-on experience in technology, design, and innovation. The initiative supports the Bank's commitment to developing STEM competencies among youth.

**Ministry of Municipalities Affairs
& Agriculture – MARA'EE**

NBB supported the MARA'EE event, contributing to community engagement in agriculture, environmental awareness, and

local heritage. The sponsorship aligns with the Bank's sustainability values and support for community-driven environmental initiatives.

**American Mission Hospital –
Island Classic Golf Tournament**

NBB sponsored the Island Classic Golf Tournament organised by American Mission Hospital, helping raise funds for the hospital's renovation and enhanced community healthcare services. This support reflects NBB's commitment to health, philanthropy, and community well-being.

**INJAZ Bahrain –
Entaliq Programme (3rd Edition)**

NBB sponsored the third edition of INJAZ Bahrain's Entaliq Programme, helping university students transform business ideas into real companies. The initiative strengthens youth entrepreneurship and supports national economic diversification.

**Bahrain Athletics Association –
2025 World Championships**

NBB supported the Bahrain Athletics Association's participation in the 2025 World Championships in Tokyo, contributing to elite athlete development and international sporting representation for Bahrain.

**Bahrain National Football Team –
Gulf Cup Finals**

NBB provided sponsorship to the Bahrain National Football Team during the Gulf Cup finals, reinforcing national pride and supporting the Kingdom's representation in a major regional sporting event.

**BSCM Society – Inspiring Success Story
(H.H. Shaikh Hessa Al Khalifa)**

NBB sponsored the "Inspiring Success Story" event hosted by the BSCM Society, featuring H.H. Shaikh Hessa Al Khalifa. The initiative celebrates leadership and encourages youth aspiration, aligning with NBB's commitment to community inspiration and empowerment.

DP World Tour Golf Tournament 2025

NBB supported the Bahrain Olympic Committee's hosting of the 2025 DP World Tour Golf Tournament, contributing to sport tourism, international event visibility, and Bahrain's global sporting presence.

**Under-21 Football Tournament
(2nd Edition)**

NBB sponsored the second edition of the Under-21 Football Tournament organised by Eleven Sports Media, helping develop the youth football talent pipeline and encouraging increased sports participation among young people.

**NUWAT – Conservation Catalyst
Research**

NBB partnered with NUWAT as an Enabler Sponsor to support research in water conservation and environmental sustainability. The collaboration reinforces the Bank's environmental stewardship and commitment to climate-related community initiatives.

**Shamsaha –
Programmes & Initiatives 2025**

NBB provided financial support to Shamsaha to deliver its 2025 programmes, strengthening the organisation's ability to empower and support women and families across local communities.

**Shura Council & Ministry of Finance –
Sustainable Economic Development
Conference**

NBB sponsored the "Towards Comprehensive & Sustainable Economic Development" conference, supporting national policy dialogue and contributing to strategic economic planning and stakeholder engagement.

Smile Initiative – Gold Ribbon Campaign

NBB supported the Smile Initiative for children with cancer by purchasing Gold Ribbons during the September awareness campaign, helping raise visibility and solidarity for young patients and their families.

Youth City 2025 – Summer Programme

NBB sponsored the 2025 Youth City Summer Programme, providing young people with access to workshops, career readiness activities, and skill-building opportunities. The initiative supports NBB's commitment to youth development and national talent pipelines.





Our Natural Capital

Our Natural Capital

Our Commitment

Sustainability Pillars

- Preserving Natural Resources

Material Topics

- Climate Change
- Direct Environmental Footprint

Policies

- Group ESG Policy
- Group Environmental Policy

Our Alignment

Bahrain Vision 2030



- Robust economic growth that benefits the people
- An efficient and effective government

GRI Standards

GRI 302 - Energy

GRI 303 - Water and Effluents

GRI 305 - Emissions

GRI 306 - Waste

SDGs



*Detailed quantitative disclosures can be found in the corresponding section of the ESG Fact Sheet which can be found on Page 86 at the back of the report.

Our Natural Capital

NBB’s commitment to environmental stewardship is anchored in Pillar 6 – Preserving Natural Resources of the Group Sustainability Framework. This pillar reflects a dual approach to environmental management that focuses on:

- 1. Strengthening climate action and environmental performance, and
- 2. Minimising the direct environmental footprint of the Bank’s operations.

Accordingly, this section covers two material topics: 1) Climate Change and 2) Direct Environmental Footprint. While each topic is presented separately, the overall section has been prepared in line with IFRS S2 – Climate-related Disclosures, outlining NBB’s strategy for managing climate-related risks, opportunities, and impacts across its operations.

NBB’s overall approach to environmental management is guided by its Environmental Policy which is approved by the Board of Directors and reviewed every two years. The Policy sets out the Group’s commitment to:

- Preventing and mitigating pollution and other adverse environmental impacts where possible;
- Assigning clear roles and responsibilities for environmental management; and
- Monitoring, reducing, and reporting energy use, GHG emissions, water consumption, paper usage, and waste.

The Policy applies across the organisation and is implemented by a cross-functional structure led by the Property, Administration and Business Continuity (PABC) Department, with support from Compliance, Legal, HR, and Internal Audit. It also provides the foundation for setting environmental objectives and annual reduction targets across both climate and operational footprint initiatives.

Implementation of the Policy is supported by NBB’s ISO 14001-certified Environmental Management System (EMS), which provides a structured framework for environmental planning, monitoring, and continuous improvement across the Bank’s major facilities.

Climate Change

NBB continues to strengthen its approach to identifying, assessing, and managing climate-related risks and opportunities in alignment with Bahrain’s national climate commitments and international disclosure standards. In 2025, the Bank advanced its climate strategy through continued work on the development of a comprehensive Decarbonisation Plan, including a baseline assessment of Scope 1, 2, and relevant Scope 3 emissions, as well as the development of methodologies and internal validation processes aligned with the Science-Based Targets initiative (SBTi) and the Net-Zero Banking Alliance (NZBA) principles. Work on net-zero alignment is ongoing, and the Bank plans to disclose specific climate targets once internal governance and validation processes are complete.



Governance

Climate oversight is embedded within NBB’s broader sustainability governance framework, led by the Nomination, Remuneration, Governance and Sustainability Committee (NRGSC), the Executive Sustainability Management Committee, and the Sustainability Working Group (SWG).

These bodies oversee the Bank’s climate-related initiatives - including the development and monitoring of climate targets and the development and implementation of the Decarbonisation Plan - while ensuring alignment with regulatory expectations and the Group’s Sustainability Roadmap.

In addition, the Sustainable Finance Working Group (SFWG), established in 2025, reviews and approves climate-aligned and sustainability-labelled financing under the Bank’s Sustainable Finance Framework, ensuring that eligible green and transition projects support NBB’s climate objectives and broader decarbonisation ambitions.

In 2025, NBB finalised an ESG Policy and accompanying procedure that explicitly address climate-related risks and opportunities. The Policy commits the Bank to integrating climate considerations into risk management, credit assessment, and business development processes, and aligns with leading international frameworks including the GRI, SASB, IFC Performance Standards, the Equator Principles, TCFD, IFRS Sustainability Standards, UN Global Compact, and SDG.

Strategy

NBB’s climate strategy supports Bahrain’s target of reducing GHG emissions by 30% by 2035 and achieving net zero by 2060. In line with the Group’s 2024–2026 Sustainability Roadmap, in 2025 NBB advanced its Decarbonisation Plan, conducting a baseline emissions assessment targeting Scope 1, 2, and 3 emissions and worked towards establishing interim 2030 targets aligned with the SBTi and NZBA principles, which will be disclosed in due course.

NBB has identified six core areas that will support the achievement of its climate goals:

- Assign responsibilities across the organisation
- Build climate-related knowledge and capacity
- Extend GHG accounting to include full Scope 3 emissions
- Create a Scope 1 and 2 decarbonisation pathway
- Identify and assess climate-related financial risks
- Mitigate climate impacts through products and initiatives

This reports highlights progress that NBB has made across each of these areas over the past year.

In addition, NBB has developed near- to long-term initiatives to achieve its climate objectives:

Near-Term Initiatives

Embedding Sustainable Finance

The Bank continues to expand its sustainable finance offerings under its Sustainable Finance Framework, supporting clients’ climate-related initiatives through green, social, and sustainability-linked products.

ESG Risk Identification and Assessment Toolkit

The Toolkit integrates environmental considerations including Environmental Management and Eco Design; Atmospheric Emissions; Energy Use; Water Management; Waste Management; Pollution Prevention; and Biodiversity Conservation into lending and investment decisions and supports engagement with high-impact clients.

In 2025, NBB strengthened the climate-related functionality of the toolkit, with a particular focus on transition and physical risk assessment. The Toolkit is now applied across the full eligible corporate credit portfolio, enabling a more comprehensive evaluation of climate-related exposure at both client and portfolio levels.

Enhancements introduced in 2025 include the integration of financed-emissions data, climate transition risk indicators (such as sectoral carbon intensity and decarbonisation plans), and climate-sensitive scoring parameters aligned with NBB’s Decarbonisation Plan. The toolkit also now feeds directly into the Bank’s

broader risk management processes, supporting climate scenario analysis, credit risk models, and capital planning.

These updates allow NBB to more effectively identify climate vulnerabilities, assess client preparedness for transition risk, and identify opportunities for climate-aligned financing, particularly in carbon-intensive and high-impact sectors.



Our Natural Capital continued

Green Factory Seal Programme

Through collaboration with Bahrain’s Ministry of Industry and Commerce (MOIC), NBB provides preferential financing to industrial clients that meet recognised green criteria, supporting their decarbonisation efforts and reducing NBB’s financed emissions over time.

Mid- to Long-Term Initiatives

Addressing Financed Emissions

NBB’s most material environmental impact is associated with financed emissions from its lending and investment portfolios. In 2025, the Bank became a signatory to the Partnership for Carbon Accounting Financials (PCAF) and continued to strengthen its financed-emissions assessment in alignment with the PCAF methodology, incorporating portfolio-level

emissions data into climate-risk analysis and related decision-making processes. Further details can be found in the relevant section of the ESG Fact Sheet.

Risk Management

NBB continues to enhance the Bank’s ability to identify, assess, and manage climate-related risks in line with Bahrain’s net-zero commitments and emerging regulatory expectations. This includes the integration of climate considerations into the Bank’s broader risk framework.

Climate risks are identified using the following processes:

- Enterprise-Wide Risk Assessment: Climate-related risks are identified through the ESG Risk Identification and Assessment Toolkit, applied across the full corporate credit portfolio.
- Scenario Analysis: Uses Network for Greening the Financial System (NGFS)-aligned climate scenarios to assess both transition and physical risks, feeding into credit risk models and capital planning (see Climate Scenario Analysis below).
- Materiality Assessment: Conducted annually to prioritise climate risks and opportunities based on financial impact and regulatory expectations.
- Cross-Functional Governance: Oversight by the NRGSC and Executive Sustainability Management Committee, ensure integration into strategic planning and risk appetite frameworks.
- Stakeholder Engagement: Inputs from regulators, clients, and sustainability experts inform emerging risk identification.

Inputs include sectoral exposures, financed emissions data, ESG scores, macroeconomic variables, carbon pricing assumptions, and external guidance from global standards and frameworks.

Integration of Climate-Related Opportunities

NBB also integrates climate-related opportunities into its overall management processes to support long-term strategic positioning and sustainable growth:

- Strategic Planning: Climate-related opportunities - such as green financing, renewable energy projects, and ESG-linked products - are embedded in the Phase 2 Sustainability Roadmap and the Decarbonisation Plan, influencing long-term business and product development strategies.
- Credit & Investment Decisions: The ESG Risk Identification and Assessment Toolkit evaluates both risks and opportunities, enabling lending and investment decisions that favour low-carbon, climate-resilient, and sustainability-aligned sectors.
- Product Development: Opportunities for green bonds, sustainability-linked loans, transition finance, and other climate-aligned products are prioritised in the product pipeline to meet rising market demand.
- Capital Allocation: Portfolio diversification strategies increase exposure to climate-resilient sectors while gradually reducing reliance on carbon-intensive industries.



Climate Scenario Analysis

In 2025, NBB conducted climate-related stress testing to evaluate the resilience of its portfolio and operations under various climate scenarios. The exercise applied NGFS scenarios - including orderly and disorderly transitions and high-warming pathways - to assess both transition and physical risks. These scenarios were used to measure potential impacts on credit risk parameters such as Probability of

Default (PD), Loss Given Default (LGD), and Expected Credit Losses (ECL), as well as implications for Capital Adequacy Ratios (CAR).

The results were integrated into credit risk models, capital planning, and risk appetite frameworks, influencing sectoral exposure limits and lending strategies. The stress testing also incorporated financed emissions data and ESG risk scores to evaluate portfolio sensitivity

to climate-related shocks. Oversight of the process was provided by the Risk Committee and NRGSC, which reviewed outcomes quarterly and linked them to the Decarbonisation Plan.

This process ensures that climate risk considerations are embedded in strategic decision-making, enabling NBB to anticipate regulatory requirements, manage transition risks, and identify opportunities for sustainable finance growth.

Through collaboration with Bahrain’s Ministry of Industry and Commerce (MOIC), NBB provides preferential financing to industrial clients that meet recognised green criteria, supporting their decarbonisation efforts and reducing NBB’s financed emissions over time.

Climate Scenario Analysis Parameters

Category	Details
Time Horizons	Short-term (1–3 years): Operational and credit risk impacts Medium-term (3–10 years): Transition risk and capital planning Long-term (10–30 years): Physical risk and strategic positioning
Risk Types Assessed	Credit, market, operational, reputational
Scope of Assessment	Corporate lending portfolio, investment portfolios, and operational assets
Core Assumptions	• Gradual tightening of carbon pricing in GCC and global markets • Increasing share of renewables in the regional energy mix • Acceleration of low-carbon technology adoption post-2030 • Macroeconomic moderation (GDP softening) under disorderly transition pathways
Key Analytical Parameters	Sectoral carbon intensity, policy timelines, energy system shifts, technology adoption rates

Our Natural Capital continued

NBB’s operational approach considers the interrelated priorities of energy security, energy affordability, and energy transition, ensuring that environmental performance improvements support both business resilience and national development objectives.

Climate-Related Risks and Opportunities

Risks

NBB’s 2025 climate assessment and NGFS-aligned scenario analysis identify several material risk categories relevant to the Bank’s lending portfolio, operations, and long-term strategy:

- Financial and Credit Risk: Transition policies and market shifts affecting carbon-intensive sectors may influence borrower cashflows, collateral values, and credit metrics (PD, LGD, ECL).
- Operational Risk: Physical climate impacts – such as heat stress, flooding, or supply chain disruption – could affect branch operations, employee mobility, and outsourced service delivery.
- Regulatory and Compliance Risk: Evolving GCC and international climate disclosure and capital requirements may increase compliance obligations and associated costs.
- Reputational Risk: Failure to demonstrate credible climate action could affect customer, investor, or regulator confidence, although NBB’s continued ESG integration helps mitigate this.
- Technology and Market Risk: Rapid deployment of low-carbon technologies and innovative green financial products by digital competitors may challenge traditional product offerings.

Opportunities

The assessment also identifies several strategic opportunities:

- Expansion of Sustainable Finance: Growing customer demand for green, transition, and sustainability-linked financing supported by NBB’s Sustainable Finance Framework.
- Client Decarbonisation Support: Financing energy efficiency, renewable energy, and operational transition initiatives across corporate value chains.
- Public-Private Partnerships: Opportunities to collaborate with government entities on national climate initiatives (e.g., Green Factory Seal).
- Portfolio Diversification: Increasing exposure to climate-resilient, low-carbon sectors through enhanced ESG and climate-risk integration in credit and investment decisions.

Financial Impacts and Opportunities

NBB has not yet experienced any negative direct financial impacts from climate-related risks. However, potential future impacts may arise from:

- Investment in mitigation and adaptation initiatives (e.g., solar installation)
- Capacity-building and recruitment of climate specialists
- Third-party advisory services
- Client decarbonisation financing needs
- Regulatory changes requiring higher climate resilience or capital requirements

Opportunities arise through NBB’s ability to support national climate goals, expand sustainable finance solutions, participate in public-private climate partnerships, and finance client decarbonisation across value chains.

Direct Environmental Footprint

NBB strives to minimise the direct environmental impact of its operations in line with Pillar 6 of the Group’s Sustainability Framework and its Phase 2 Sustainability Roadmap. As the national bank of a country that remains reliant on hydrocarbons, NBB’s operational approach considers the interrelated priorities of energy security, energy affordability, and energy transition, ensuring that environmental performance improvements support both business resilience and national development objectives.

Environmental Management System

NBB was the first bank in Bahrain to achieve ISO 14001:2015 Environmental Management System certification in 2021, enhancing its environmental management capabilities. The certification covers 100% of NBB’s owned facilities in Bahrain.

Implementation and oversight of both the ISO 14001 Environmental Management System and ISO 45001 Occupational Health & Safety Management System are managed by a dedicated Environmental, Health, and Safety (EHS) team comprising representatives from several departments including the Property, Administration & Business Continuity department (PABC), Legal, Human Resources (HR), Internal Audit, and Corporate Communications.

The PABC department monitors environmental performance through a central Environmental Dashboard, reporting monthly to Executive Management.

In line with ISO standards, NBB conducts regular assessments of environmental, health, and safety risks and opportunities, rating them based on likelihood and impact and identifying required corrective actions.

Environmental Targets

NBB tracks various environmental performance indicators and has set year-on-year reduction targets to drive continuous improvement:

- 5% reduction in electricity and fuel consumption
- 5% reduction in water consumption
- 5% reduction in Scope 1 and 2 greenhouse gas emissions
- 5% reduction in paper consumption
- Recycle at least 25% of total waste generated

Targets are integrated into departmental KPIs and reviewed annually by external auditors as part of ISO 14001 assessments.

Environmental Initiatives

To achieve its environmental objectives, NBB has launched a number of initiatives across its owned facilities to reduce its operational environmental footprint. These include both previously implemented measures and new initiatives introduced in 2025:

Energy Efficiency and Building Performance

NBB continued to refurbish and upgrade its headquarters with technologies to improve energy and water efficiency. Initiatives include:

- Replacement of conventional light fittings with energy-efficient LED lighting equipped with dimmable controls on one floor of the building.
- Installation of an Energy Management System (EMS) to enhance monitoring, optimisation, and real-time control of electricity consumption across key facilities.
- Application of thermal emittance coating and insulation to improve building envelope efficiency and reduce cooling demand.
- Installation of a Variable Frequency Drive (VFD) control panel for duplex transfer pumps to reduce energy use and improve system performance.
- Installation of motion-sensor washbasin taps on one floor of the building to optimise water conservation and minimise unnecessary consumption.

Low-Emission Transport

- Replacement of five gasoline-powered vehicles in the Bank’s fleet with plug-in hybrid electric vehicles (PHEVs).

Ongoing Environmental Initiatives

- NBB’s LEED Platinum certified branch, opened in 2024, generated a full year of environmental benefits.
- Solar panels installed across five branches reduced energy-related emissions.

- Plastic bottles have been replaced by glass bottles which are disposed of through approved recycling streams, reducing plastic waste.

In 2025, NBB invested in environmental initiatives, including LEED certification, solar infrastructure maintenance, ISO surveillance audits, and e-waste recycling.

As a result of its rigorous approach to environmental management, NBB has recorded no environmental violations or fines in the past three years.

Metrics & Targets

NBB monitors environmental data monthly and assesses performance against its annual ISO 14001-aligned Environmental Plan. Reduction targets are validated annually by external auditors and assigned as KPIs to relevant departments to ensure accountability and continuous improvement. Quantitative environmental disclosures can be found in the relevant section of the ESG Fact Sheet. Data covers NBB’s operations in Bahrain, with additional datasets for selected environmental metrics relating to operations in the UAE and KSA, which are clearly labelled in the ESG Fact Sheet.

ESG Fact Sheet

ESG Fact Sheet

The ESG Fact Sheet contains quantitative disclosures aligned with the main sections of the report, with “N/A” indicating information that was not available at the time of reporting.

In accordance with GRI 2: General Disclosures 2021, Disclosure 2-4, NBB has restated certain previously reported figures to reflect refinements in measurement and reporting methodologies and improvements in data management practices. As a result, figures disclosed in this report may differ from those published in prior years. Where restatements have occurred, explanatory footnotes have been included alongside the relevant tables.

NBB recognises that data accuracy and availability are integral to transparency and continues to strengthen internal processes to improve the quality, reliability, and coverage of reported information over time.

Responsible Business Practices

	Board of Directors (Gender)				
	Female	Male	Total	Female %	Male %
2023	1	10	11	9%	91%
2024	1	10	11	9%	91%
2025	1	10	11	9%	91%

	Board of Directors (Age Group)						
	Below 30 years old	Between 30-50 years old	Over 50 years old	Total	Below 30 years old %	Between 30-50 years old %	Over 50 years old %
2023	0	2	9	11	0%	18%	82%
2024	0	6	5	11	0%	55%	45%
2025	0	6	5	11	0%	55%	45%

	Incidents of Corruption					
	Total number of confirmed incidents of corruption	Nature of incidents	Number of confirmed incidents when contracts with business partners were terminated or not renewed due to violations related to corruption	Total amount of monetary losses as a result of legal proceedings associated with incidents of corruption	Total amount of monetary losses as a result of legal proceedings associated with fraud, insider trading, anti-trust, anti-competitive behaviour, market manipulation, malpractice, or other related financial industry laws or regulations	Total number of confirmed incidents in which employees were dismissed or disciplined for corruption
2023	0	N/A	0	N/A	0	0
2024	0	N/A	0	N/A	0	0
2025	0	N/A	0	N/A	0	0

	Board Completed Training Hours – General Overview				
	Governance and ESG related	Information Security	Banking Finance	Others	Total Number of Training Hours
2023	128	19	84	54	285
2024	88	11	104	122	324
2025	96	0.5	123	94.5	314

	Board Completed Training Hours – Overview Across Sustainability Pillars						
	Economic growth	Serving Our Customers	Responsible Banking	Nurturing Our Workforce	Community Investment	Preserving Natural Resources	Governance and Ethical Behavior
2023	44.5	4	26.5	3	5	7	194.5
2024	89.5	13	84.5	43	0	6	88
2025	64	1.5	28	40	88	5	127.5

	Total number of significant instances of non-compliance with laws and regulations	
	Instances for which fines were incurred	Instances for which non-monetary sanctions were incurred
2023	0	0
2024	0	0
2025	0	0

ESG Fact Sheet continued

Responsible Business Practices continued

	Total number of governance body members that the organization's anti-corruption policies and procedures have been communicated to	Percentage of governance body members that the organization's anti-corruption policies and procedures have been communicated to
2023	11	100%
2024	11	100%
2025	11	100%

	Total number of employees that the organization's anti-corruption policies and procedures have been communicated to by Region		
	Bahrain	KSA	UAE
2023	702	31	38
2024	728	34	45
2025	734	38	47

	Total % of employees that the organization's anti-corruption policies and procedures have been communicated to by Region		
	Bahrain	KSA	UAE
2023	89%	100%	86%
2024	94%	94%	92%
2025	95%	95%	92%

Note: 100% of employees required to receive communication on anti-corruption policies and procedures have received such communication.

	Total number of employees that the organization's anti-corruption policies and procedures have been communicated to by level		
	Non-Management (Staff)	Middle	Senior
2023	480	285	6
2024	456	318	33
2025	446	350	23

	Total % of employees that the organization's anti-corruption policies and procedures have been communicated to by level		
	Non-Management (Staff)	Middle	Senior
2023	95%	89%	16%
2024	93%	97%	85%
2025	100%	100%	100%

	Total number of governance body members that have received training on anti-corruption	Percentage of governance body members that have received training on anti-corruption
2023	7	64%
2024	6	55%
2025	3	27%

	Total number of employees that NBB anti-corruption policies and procedures have received training on by region		
	Bahrain	KSA	UAE
2023	702	31	38
2024	762	34	46
2025	734	38	47

	Total % of employees that NBB anti-corruption policies and procedures have received training on by region		
	Bahrain	KSA	UAE
2023	89%	100%	86%
2024	98%	94%	94%
2025	95%	95%	92%

Note: 100% of employees required to receive training on anti-corruption policies and procedures have received training.

Responsible Business Practices continued

	Total number of employees that NBB anti-corruption policies and procedures have received training on by level		
	Non-Management (Staff)	Middle	Senior
2023	480	285	6
2024	479	325	38
2025	446	350	23

	Total % of employees that NBB anti-corruption policies and procedures have received training on by level		
	Non-Management (Staff)	Middle	Senior
2023	95%	89%	16%
2024	97%	99%	97%
2025	100%	100%	100%

	Number of the workforce that has formally certified its compliance with the Ethics and/or Anti-Corruption policy	Percentage of the workforce that has formally certified its compliance with the Ethics and/or Anti-Corruption policy
2023	773	89%
2024	777	90%
2025	819	95%

Note: 100% of employees required to formally certify their compliance have done so.

Type of training provided	Data Security Training		
	2023	2024	2025
	Webinar, Physical classroom, VLS	Webinar, Physical classroom, VLS	Webinar, Physical classroom, VLS
Number of employees that completed the training	846	860	893
Number of total equivalent training hours	2,042	1,965	2,194

	Cybersecurity Training		
	2023	2024	2025
% of employees that completed Cybersecurity Training	100%	100%	100%

	Substantiated complaints concerning breaches of customer privacy and losses of customer data		
	2023	2024	2025

Total number of identified leaks, thefts, or losses of customer data	0	0	2
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Number of data security breaches involving customers' personally identifiable information	0	0	0
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% of data security breaches involving customers' personally identifiable information	0	0	0
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Number of unique account holders affected by data security breaches, includes all those whose personal data was compromised in a data breach	0	0	0
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ESG Fact Sheet continued

Financial Capital

	2023	2024	2025
Direct Economic Value Generated			
Total Profit Income, BHD'000 000	81.4	83.0	87.2
Economic Value Distributed			
Staff costs, BHD'000 000	49.3	52.3	54.9
Other expenses, BHD'000 000	46.7	48.9	51.5
Impairment allowance and other provisions, BHD'000 000	-7.7	-8.6	-8
Retained earnings and other reserves, BHD'000 000	180.0	199.4	200.6

Relational Capital

	% of Loan Portfolio of Products and Services Designed to Deliver a Specific Social Benefit		
	2023	2024	2025
Mazaya programme (%)	60%	59%	61%
Total Social Housing as % of Total Mortgage	62%	62%	68%
Personal loans catered for retirees (%)	20%	20%	19%
Joint housing (BHD'000 000)	3.93	6.67	8.19
Joint housing (%)	N/A	N/A	3%

	Number of loans outstanding qualified to programmes designed to promote small business and community development	Number of past due and nonaccrual loans qualified to programmes designed to promote small business and community development
2023	2	N/A
2024	5	N/A
2025	17	3

	Amount of loans outstanding qualified to programmes designed to promote small business and community development, BHD'000	Amount of past due and nonaccrual loans qualified to programmes designed to promote small business and community development
2023	140	N/A
2024	250	N/A
2025	2,114	971

	Retail Banking Financial Inclusion		
	2023	2024	2025
Number of branches in low populated and economically disadvantaged areas	1	1	1
Number of ATMs in low populated and economically disadvantaged areas	5	5	5

Relational Capital continued

	Retail Banking Digitalization		
	2023	2024	2025
Digitally registered customers	167,924	194,946	244,084
Annual increase in digitally registered customers in %	23%	16%	25%
Total new to bank accounts onboarded digitally	40,324	88,876	136,065
Total new to bank accounts onboarded digitally in %	63%	120%	53%
New to Bank customers onboarded digitally	45,406	69,463	98,859
% increase in new to bank customer that where onboarded digitally	44%	53%	42%
Credit and pre-paid cards sold digitally	14,889	24,178	35,085
% Increase in number of Credit and Pre-paid cards sold digitally	38%	62%	51%
Retail end-to-end products and services offered digitally (%)	32%	42%	48%
Number of logins to the NBB mobile app	N/A	6,847,943	8,800,969
Number of retail transactions made through mobile app	1,170,531	1,626,765	2,227,136
% increase of number of retail transactions made through mobile app	85%	39%	43%
Increase in registered to digital payment wallets in %	122%	25%	33%
Increase in Digital Wallets Number of Transaction	N/A	40%	32%
Increase in digital wallets spent	N/A	22%	34%

	Retail Banking Points by NBB		
	2023	2024	2025
% of digital banking users attracted by Points by NBB	15%	16% of all DB customers 47.8% of all Active DB customers	22%
% of prepaid and credit card users attracted by Points by NBB	38%	39%	54%

	Corporate Digitalization		
	Percentage increase in transactions executed via DigiCorp (%)	Percentage increase in clients on-boarded (%)	Percentage increase in value of transactions executed via DigiCorp (%)
2022-2023	9.50%	20.00%	6.5%
2023-2024	2.7%	11.00%	8.00%
2024-2025	10.38%	43.04%	17.74%

	Customer Data		
	2023	2024	2025
Total number of retail banking customers	310,000	330,500	356,180
% increase of total retail banking customers	5.1%	6.6%	8%
Total number of ATMs	91	85	78
Total number of Retail CDMs	26	25	24
Total number of Corporate CDMs	38	39	39
Total number of POS Terminals	2,609	2,472	2,179
Total number of Interactive Teller Machines	3	4	4
Total number of Branches	21	20	20
Total number of Coin Deposit machines	N/A	2	2

ESG Fact Sheet continued

Relational Capital continued

Incidents of non-compliance concerning the health and safety impacts of products and services			
	Incidents of noncompliance with regulations that resulted in a fine or penalty	Incidents of noncompliance with regulations that resulted in a warning	Incidents of noncompliance with voluntary codes
2023	0	0	0
2024	0	0	0
2025	0	0	0

Customer Satisfaction Index	
2023	0.79
2024	0.79
2025	0.83

Annual Customer Complaints statistics			
	2023	2024	for the period ended June 2025 ***
Number of Complaints as per CBB report *	16	11	3
Customer Complaints Response Rate as per Regulatory TAT **	100%	100%	100%

* Number of Complaints: The number of complaints per year represents the figures illustrated in the CBB Quarterly Reports issued throughout the year.

** Regulatory Turnaround Timeframe (TAT): The TAT is 5 working days for acknowledging customer complaints and 30 calendar days for responding to these complaints, explaining the Bank's position on the redress process and/or how NBB proposes to deal with each complaint case

*** Complaint statistics for the period ended June 2025

	Bahrain Operations		
	2023	2024	2025
Total number of suppliers engaged	318	382	271
Number of local suppliers engaged	235	284	195
% of local suppliers	74%	74%	72%
Number of SME suppliers engaged	155	186	126
Number of women-owned suppliers engaged	51	65	46
Total procurement spending, BHD'000 000	43	44	45
Procurement spending on local suppliers, BHD'000 000	36	37	37
% of procurement spending on local suppliers	84%	84%	82%
% of suppliers formally certified their compliance with the sourcing code of conduct	N/A	N/A	98%
Number of suppliers assessed against sourcing code of conduct	308	372	265
% of suppliers who comply with the company's code of conduct and compliance assessment mechanism	97%	97%	98%

Relational Capital continued

	Environmental Supplier Assessment		
	2023	2024	2025
Total Number of New Suppliers in specified year	N/A	N/A	56
Total Number of New Suppliers in specified year that were screened using environmental criteria	N/A	N/A	54
Total Percentage of New Suppliers in specified year that were screened using environmental criteria	0	0	96%

	KSA Operations		
	2023	2024	2025
Total number of suppliers engaged	88	93	59
Number of local suppliers engaged	67	69	46
% of local suppliers	76%	74%	78%
Number of SME suppliers engaged	0	0	0
Number of women-owned suppliers engaged	0	0	0
Total procurement spending, BHD'000 000	3.1	2.8	1.3
Procurement spending on local suppliers, BHD'000 000	2.9	2.6	1.0
% of procurement spending on local suppliers	93%	94%	75%
% of suppliers formally certified their compliance with the sourcing code of conduct	N/A	N/A	N/A
Number of suppliers assessed against sourcing code of conduct	0	0	N/A
% of suppliers who comply with the company's code of conduct and compliance assessment mechanism	0%	0%	0%

	UAE Operations		
	2023	2024	2025
Total number of suppliers engaged	N/A	N/A	27
Number of local suppliers engaged	N/A	N/A	24
% of local suppliers	0	0	88%
Number of SME suppliers engaged	N/A	N/A	4
Number of women-owned suppliers engaged	N/A	N/A	N/A
Total procurement spending, BHD'000 000	1.8	2.0	1.65
Procurement spending on local suppliers, BHD'000 000	0.9	1.2	1.58
% of procurement spending on local suppliers	0	0	95%
% of suppliers formally certified their compliance with the sourcing code of conduct	N/A	N/A	N/A
Number of suppliers assessed against sourcing code of conduct	N/A	N/A	N/A
% of suppliers who comply with the company's code of conduct and compliance assessment mechanism	0	0	N/A

Human Capital

	Total Employees (Gender)				
	Female	Male	Total	Female %	Male %
2023	326	540	866	38%	62%
2024	326	533	859	38%	62%
2025	326	541	867	38%	62%

ESG Fact Sheet continued

Human Capital continued

	Total Employees (Age Group)						
	Below 30 years old	Between 30-50 years old	Over 50 years old	Total	Below 30 years old%	Between 30-50 years old%	Over 50 years old%
2023	186	606	74	866	21.48%	69.98%	8.55%
2024	153	629	77	859	17.81%	73.22%	8.96%
2025	148	634	85	867	17.07%	73.13%	9.80%

	Total Employees (Employment Category)						
	Non-Management (Staff)	Middle Management	Senior Management	Total	Non-Management (Staff) %	Middle Management %	Senior Management %
2023	506	322	38	866	58.43%	37.18%	4.39%
2024	492	328	39	859	57.28%	38.18%	4.54%
2025	473	352	42	867	54.56%	40.60%	4.84%

	Interns and Trainees		
	Female	Male	Total
2023	0	0	0
2024	44	31	75
2025	54	40	94

	Interns and Trainees		
	Female %	Male %	Total Workforce %
2023	N/A	N/A	N/A
2024	58.67%	41.33%	8.73%
2025	57.45%	42.55%	10.84%

	Total Employees (By Location)						
	Bahrain	KSA	UAE	Total	Bahrain	KSA	UAE
2023	791	31	44	866	91.34%	3.61%	5.08%
2024	774	36	49	859	90.10%	4.19%	5.70%
2025	776	40	51	867	89.50%	4.61%	5.88%

	Total New Hires (Gender)			
	Female	Male	Female %	Male %
2023	40	75	12.27%	13.89%
2024	20	35	6.13%	6.57%
2025	28	53	8.59%	9.80%

Human Capital continued

	Total New Hires (Age Group)					
	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old%	Between 30-50 years old%	Over 50 years old%
2023	60	48	7	32.26%	7.92%	9.46%
2024	26	25	4	16.99%	3.97%	5.19%
2025	35	42	4	23.65%	6.62%	4.71%

	Total Employees that Left Voluntarily (Gender)			
	Female	Male	Female %	Male %
2023	30	56	9.20%	10.37%
2024	20	42	6.13%	7.88%
2025	29	44	8.90%	8.13%

	Total Employees that Left Voluntarily (Age group)					
	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old%	Between 30-50 years old%	Over 50 years old%
2023	20	50	16	10.75%	8.25%	21.62%
2024	19	33	10	12.42%	5.25%	12.99%
2025	14	51	8	9.46%	8.04%	9.41%

Employee Voluntary Turnover %	
2023	9.93%
2024	7.22%
2025	8.42%

	Total Percentage of Employees Receiving Regular Performance Reviews	
	Female %	Male %
2023	93.56%	94.07%
2024	95.40%	96.25%
2025	98%	97%

Employee Engagement Survey Participation	
2023	81%
2024	80%
2025	89%

	Total Employees By Job Category and By Gender					
	Non-Management (Staff + Entry Level)		Middle Management		Senior Management	
	Male	Female	Male	Female	Male	Female
2023	270	236	235	87	35	3
2024	258	234	238	89	37	3
2025	250	223	254	98	37	5

	Total Employees By Job Category and By Gender					
	Non-Management		Middle Management		Senior Management	
	Male	Female	Male	Female	Male	Female
2023	53.36%	46.64%	72.98%	27.02%	92.11%	7.89%
2024	52.44%	47.56%	72.78%	27.22%	92.50%	7.50%
2025	52.85%	47.15%	72.16%	27.84%	88.10%	11.90%

ESG Fact Sheet continued

Human Capital continued

	TOTAL EMPLOYEES BY JOB CATEGORY AND BY AGE GROUP								
	Non-Management			Middle Management			Senior Management		
	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old	Between 30-50 years old	Over 50 years old
2023	172	314	20	14	264	44	0	28	10
2024	160	313	19	14	273	40	0	28	12
2025	132	314	27	16	291	45	0	29	13

	TOTAL EMPLOYEES BY JOB CATEGORY AND BY AGE GROUP								
	Non-Management			Middle Management			Senior Management		
	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old	Between 30-50 years old	Over 50 years old	Below 30 years old	Between 30-50 years old	Over 50 years old
2023	33.99%	62.06%	3.95%	4.35%	81.99%	13.66%	0.00%	73.68%	26.32%
2024	32.52%	63.62%	3.86%	4.28%	83.49%	12.23%	0.00%	70.00%	30.00%
2025	27.91%	66.38%	5.71%	4.55%	82.67%	12.78%	0.00%	69.05%	30.95%

	Total number of incidents of discrimination	Total number of incidents of harassment
2023	0	0
2024	0	0
2025	0	0

	Number of employees with disabilities		
	Female	Male	Total
2023	4	4	8
2024	4	4	8
2025	4	4	8

Employees with Disabilities %	
2023	0.92%
2024	0.93%
2025	0.92%

	Number of Bahraini employees		
	Female	Male	Total
2023	297	454	751
2024	293	437	730
2025	295	432	727

Human Capital continued

	Percentage of Bahraini employees		
	Female %	Male %	Bahrainisation Rate
2023	99.00%	92.46%	94.94%
2024	98.99%	91.42%	94.32%
2025	90.49%	79.85%	93.69%

	Percentage of Bahraini employees		
	Non-Management (Staff) %	Middle Management %	Senior Management %
2023	99.15%	89.36%	83.33%
2024	99.12%	88.30%	80.56%
2025	92.90%	76.30%	79.49

Bahraini Student Internships	
2023	186
2024	75
2025	249

Note: Variations between 2024 and 2025 internship figures reflect differences in scope. The 2025 data includes the Evolve programme, which was excluded from the 2024 figures.

	Work-Related Injuries Employees				
	Number of Fatalities	Number of Lost Time Injuries	Number of high-consequence work-related injury	Number of recordable work-related injury	Main types of work-related injury
2023	0	3	1	4	Minor/ Moderate Injuries: Cuts/ Trips and Fractures
2024	0	0	0	0	Not applicable
2025	0	2	1	3	Minor/ Moderate Injuries: Trips & Fractures

Work-Related Ill Health Employees			
	Number of Fatalities as a Result of Work-Related Ill Health	Number of Cases of Recordable Work-Related Ill Health	Main types of work-related ill-health
2023	0	0	Not applicable
2024	0	0	Not applicable
2025	0	0	Not applicable

ESG Fact Sheet continued

Human Capital continued

	Work-Related Injuries Non-Employees						
	Number of Fatalities	Number of Lost Time Injuries	Number of high-consequence work-related injury	Number of non-lost time injury	Number of recordable work-related injury	Main types of work-related injury	Lost days due to injuries
2023	0	0	0	N/A	0	0	0
2024	0	0	0	N/A	0	0	0
2025	0	0	0	N/A	0	0	0

	Work-Related Ill Health Non-Employees			
	Number of Fatalities as a Result of Work-Related Ill Health	Number of Cases of Recordable Work-Related Ill Health	Main types of work-related ill-health	Lost Days to ill-health
2023	0	0	N/A	0
2024	0	0	N/A	0
2025	0	0	N/A	0

	Total Training Hours (Gender)		
	Female	Male	Total
2023	17,380	26,502	43,882
2024	19,171	27,971	47,142
2025	17,500	26,560	44

	Average Training Hours per Employee (Gender)		
	Female	Male	Total
2023	53	49	51
2024	59	52	55
2025	51	46	97

	Total Training Hours (Employment Category)			
	Non-Management (Staff) (Labor + Entry Level)	Middle Management	Senior Management	Total
2023	25,293	16,701	1,888	43,882
2024	24,883	19,997	2,261	47,141
2025	23,007	18,882	2,160	44,048

	Average Training Hours per Employee (Employment Category)		
	Non-Management (Staff)	Middle Management	Senior Management
2023	50	52	50
2024	51	61	57
2025	44	48	50

	Average Hours per Employee (Employment Type)		
	Permanent	Full-Time	Internship
2023	55	56	N/A
2024	55	55	14
2025	47	47	36

Human Capital continued

	% of employees who completed the training				
	AML and Cybersecurity Training	Source of Fund Declaration Training	Health & Safety Training	ESG Training	Fraud prevention Training
2023	100%	100%	100%	100%	100%
2024	100%	100%	100%	100%	100%
2025	100%	100%	100%	100%	100%

Average Training and Development Cost per Employee (BHD)	
2023	362
2024	391
2025	462

% of security personnel who have received formal training in the organization's human rights policies or specific procedures and their application to security	
2023	100%
2024	100%
2025	100%

Number of Employees that have completed sustainability awareness e-learning programme		% of
2023	814	94%
2024	819	95%
2025	761	88%

Note: 100% of employees required to complete the sustainability awareness e-learning programme have successfully completed it.

	Career Progression Opportunities filled						
	Non-management (Staff)		Middle Management		Senior Management		Total Promotions
	Female	Male	Female	Male	Female	Male	
2024	13	18	9	16	4	5	65
2025	20	36	6	13	2	8	85

Social Capital

	Financial Contributions		
	2023	2024	2025
Total amount invested in the community, BHD'000 000	3.0	3.2	2.4
Company revenue, BHD'000 000	184.0	191.7	199.8
Amount invested in the community as % of company revenue	1.6%	1.7%	1.3%

	Volunteering Hours		
	2023	2024	2025
Total Number of Employee Volunteering Hours	1,237	1,821	1,346
Employee volunteering hours in financial literacy initiatives for unbanked, underbanked, or underserved customers	558	63	81
Total Number of Employees	866	859	867
Average Volunteering Hours per Employee	1.43	2.12	1.5

Local Education Investment - Evolve Programme Participants	
2023	80
2024	113
2025	157

ESG Fact Sheet continued

Natural Capital

Bahrain			
	Direct Energy Consumption (GJ)		
	2023	2024	2025
Petrol - Non-Renewable	622.00	557.45	502.62
Diesel - Non-Renewable	114.35	32.02	63.46
Solar Energy - Renewable	318.40	1,109.10	1,320.04
Total Direct Consumption (GJ)	1,054.75	1,698.58	1,886.12
Direct Energy Intensity by Space (GJ/m2)	0.05	0.09	0.10
Direct Energy Intensity by FTE (GJ/FTE)	1.15*	1.89*	2.09
Target	5% reduction in petrol and diesel consumption vs 2024		

*Figure has been restated due to updated calculation methodology. The outsourced employee headcount has been included in the FTE calculation, resulting in updated workforce figures for 2023 and 2024.

Note: Calculation methodology and assumptions -

Total Direct Consumption (GJ)

Total Direct Consumption (GJ) refers to the sum of all energy consumed directly by the organization from primary sources, expressed in gigajoules (GJ). This includes:

- Non-renewable fuels (e.g., petrol, diesel) converted to GJ using standard energy conversion factors.
- Renewable sources (e.g., solar energy) converted to GJ based on generation data.

Gigajoule (GJ)

Energy (GJ) is calculated by multiplying the Net Calorific Value (GJ/ton) by the material density (kg/m³) and dividing by 1,000 to convert to tons.

Petrol - Non-Renewable

Calculated by converting total petrol consumption (in liters) to gigajoules using standard energy conversion factors.

Diesel - Non-Renewable

Calculated by converting total diesel consumption (in liters) to gigajoules using standard energy conversion factors

Solar Energy - Renewable

Based on total solar energy consumed and converted to gigajoules (1 kWh = 0.0036 GJ).

Direct Energy Intensity by Space (GJ/m2)

Calculated by dividing the total direct energy consumption (in GJ) by the total occupied floor area (in m²).

Direct Energy Intensity by FTE (GJ/FTE)

Calculated by dividing the total direct energy consumption (in GJ) by the number of full-time employees (FTE).

	Indirect Energy Consumption (GJ)		
	2023	2024	2025
Purchased Electricity - Non-Renewable (GJ)	47,099.00	46,191.77	43,241.44
Indirect Energy Intensity by Space (GJ/m2)	2.36	2.31	2.20
Indirect Energy Intensity by FTE (GJ/FTE)	51.42*	51.38*	47.94
Target	5% reduction in electricity consumption vs 2024		

*Figure has been restated due to updated calculation methodology. The outsourced employee headcount has been included in the FTE calculation, resulting in updated workforce figures for 2023 and 2024.

	Total Energy Consumption (GJ)		
	2023	2024	2025
Total Energy Consumption	48,153.75	47,890.35	45,127.56
Energy Intensity by Space (GJ/m2)	2.41	2.43	2.29
Total Intensity by FTE (GJ/FTE)	52.57*	53.27*	50.03

*Figure has been restated due to updated calculation methodology. The outsourced employee headcount has been included in the FTE calculation, resulting in updated workforce figures for 2023 and 2024.

Note: Calculation methodology and assumptions -

Total Energy Consumption

Total Energy Consumption refers to the sum of all energy consumed by the organization from both direct and indirect sources, expressed in gigajoules (GJ). This includes:

- Direct energy (e.g., petrol, diesel, and solar energy used on-site)
- Indirect energy (e.g., purchased electricity from the grid)

Energy Intensity by Space (GJ/m2)

Calculated by dividing the total energy consumption (in GJ) by the total occupied floor area (in m²).

Total Intensity by FTE (GJ/FTE)

Calculated by dividing the total energy consumption (in GJ) by the number of full-time employees (FTE).

Natural Capital continued

	Renewable VS Non-Renewable (GJ)					
	2023		2024		2025	
	GJ	%	GJ	%	GJ	%
Total Non-Renewable Energy (GJ)	47,835.35	99.34%	46,781.25	97.68%	43,807.52	97.07%
Total Renewable Energy (GJ)	318.40	0.66%	1,109.10	2.32%	1,320.04	2.93%
Total Energy (GJ)	48,153.75	100.00%	47,890.35	100.00%	45,127.56	100.00%

Note: Calculation methodology and assumptions -

Total Non-Renewable Energy (GJ)

Refers to the sum of all energy consumed from non-renewable sources, expressed in gigajoules (GJ). This typically includes fuels such as petrol, diesel, and purchased electricity generated from non-renewable sources.

Total Renewable Energy (GJ)

Refers to the sum of all energy consumed from renewable sources, expressed in gigajoules (GJ). This typically includes energy generated from sources such as solar, wind, hydro, or other renewable technologies used within the organization.

	Electricity Consumption (MW)					
	2023		2024		2025	
	MW	%	MW	%	MW	%
Purchased Electricity	13,080.61	99.34%	12,831.05	97.66%	11,894.99	96.10%
Solar Energy Electricity	86.83	0.66%	308.08	2.34%	366.68	2.96%
ATMs Electricity	N/A	N/A	N/A	N/A	116.52	0.94%
Total Electricity Consumption	13,167.43	100.00%	13,139.13	100.00%	12,378.19	100.00%

Note: ATM Reporting of electricity consumption from ATMs commenced in 2025

Calculation methodology and assumptions -

Total Electricity Consumption

Total Electricity Consumption (including purchased electricity and solar-generated electricity) is calculated by summing all electricity consumed during the year and converting it to megawatts (MW).

Purchased Electricity

Refers to the amount of electricity bought from the grid, expressed in megawatts (MW).

Solar Energy Electricity

Solar Energy Electricity (MW) refers to the installed capacity or power output of solar energy systems, expressed in megawatts (MW).

	Percentage of Energy Used by Source					
	2023		2024		2025	
	GJ	%	GJ	%	GJ	%
Petrol	622.00	1.29%	557.45	1.16%	502.62	1.11%
Diesel	114.35	0.24%	32.02	0.07%	63.46	0.14%
Solar Energy	318.40	0.66%	1,109.10	2.32%	1,320.04	2.93%
Purchased Electricity	47,099.00	97.81%	46,191.77	96.45%	43,241.44	95.82%
Total Energy	48,153.75	100.00%	47,890.35	100.00%	45,127.56	100.00%

Note: ATM Reporting of electricity consumption from ATMs commenced in 2025.

Calculation methodology and assumptions -

The table shows the percentage of total energy consumption by source (petrol, diesel, solar energy, and purchased electricity) for each year, illustrating the contribution of each energy type to overall usage.

ESG Fact Sheet continued

Natural Capital continued

GHG Emissions (MT CO2e)				
	Item	2023	2024	2025
Scope 1	Power Generators - Diesel	8.52	2.37	4.70
	Company Fleet - Petrol	44.05	40.53	36.55
Total Scope 1 GHG Emissions		52.57	42.90	41.24
Scope 1 GHG Emissions Intensity by FTE (MT CO2e/FTE)		0.06*	0.05*	0.05
Scope 2	Electricity - Non-Renewable	6,412.56	6,554.82	6,012.80
	ATMs Electricity- Non-Renewable	N/A	N/A	58.90
Total Scope 2 GHG Emissions		6,412.56	6,554.82	6,012.80
Scope 2 GHG Emissions Intensity by FTE (MT CO2e/FTE)		7.00*	7.29*	6.67
Target				5% reduction in Scope 1 and Scope 2 emissions vs 2024
Scope 3	Non-Hazardous Waste: General Waste and Recycled Waste	47.30	50.16	53.14
	Hazardous Waste: E-waste	0.03	0.01	0.00
	Paper Purchased	10.24	10.31	10.38
	Water Supply and Water Treatment	5.57	6.56	3.75
	Employee Commute	1,107.20	1,005.00	1038.24
	Financed Emissions	N/A	2,171,111.00	3,129,072
Total Scope 3 GHG Emissions		1,170.34	2,172,183.04	3,130,177.51
Scope 3 GHG Emissions Intensity by FTE (MT CO2e/FTE)		1.28*	2,416.22*	3,470.26
Total GHG Emissions		7,635.47	2,178,780.77	3,136,231.56
Total GHG Emissions Intensity by FTE (MT CO2e/FTE)		8.34*	2,423.56*	3,476.98

*Figure has been restated due to updated calculation methodology. The outsourced employee headcount has been included in the FTE calculation, resulting in updated workforce figures for 2023 and 2024 calculations.

Note: Revisions to the 2023 and 2024 Scope 3 figures reflect the use of updated DEFRA 2025 emission factors, which affected the calculation of emissions associated with paper purchased.

Calculation methodology and assumptions -

GHG Emissions (MTCO2e)

The table summarizes greenhouse gas (GHG) emissions by scope (Scope 1, Scope 2, and Scope 3) for each reporting period, including intensity metrics per full-time employee (FTE) and highlighting the contribution of different sources such as company fleet, power generators, purchased electricity, waste, paper, water, and employee commute calculated using Defra emission factors.

Scope 1

Direct emissions from company-owned sources, such as fuel used in generators and vehicles.

Scope 2

Indirect emissions from purchased electricity consumed by the organization

Scope 3

Other indirect emissions across the value chain, including waste, paper, water, commuting, and financed activities.

Natural Capital continued

Emissions Avoided (MTCO2e)				
	2023	2024	2025	Growth
Using Electricity Generated by Solar Energy	43.91	157.39	187.32	327%

Note: Calculation methodology and assumptions -

Represents the amount of greenhouse gas emissions that were avoided by using electricity generated from solar energy instead of conventional sources.

Waste Generated (MT)				
	2023	2024	2025	
Non-Hazardous Waste in MT	Paper Recycled	23.50	12.75	17.46
	Plastic Recycled	0.60	0.47	0.63
	Cans Recycled	0.10	0.14	0.20
	Glass Bottles Recycled	0.00	0.39	0.90
	General Waste	89.90	96.24	101.90
Hazardous Waste in MT	E-Waste (Electronic Waste) Recycled	1.60	2.26	0.68
Total Non-Hazardous Waste		114.10	109.98	121.10
Total Hazardous Waste		1.60	2.26	0.68
Total Waste		115.70	112.24	121.78
Total Waste Intensity (MT/FTE)		0.13	0.12	0.14

Note: Calculation methodology and assumptions -

The data outlines the types and quantities of waste generated and managed, covering both non-hazardous materials—such as recycled paper, plastic, cans, and glass—as well as general waste and hazardous waste including electronic waste. Total waste and waste per employee are reported in metric tons (MT).

Waste Recycled in MT				
		2023	2024	2025
Waste Recycled	Non-Hazardous	24.20	13.74	19.20
	Hazardous	1.60	2.26	0.68
Total Waste Recycled		25.80	16.00	19.88
Waste Recycling Ratio		22.30%	14.26%	16.32%
Target				Target of Waste Recycling Ratio is 25%

Note: NBB manages waste in line with ISO-aligned environmental standards, with waste streams segregated, labelled, and stored in designated containers. Waste is collected by approved third-party service providers, with periodic reporting received on the volumes of waste collected. Disposal methods include secure shredding of confidential paper documents, recycling of electronic waste such as IT equipment and storage devices, and the use of certified recycling vendors for general office waste including paper, plastic, and cans.

Calculation methodology and assumptions -

This shows the amount of waste recycled, categorized into non-hazardous and hazardous materials, along with the total recycled waste, recycling ratio, and the target ratio of 25%, all expressed in metric tons (MT).

Water Withdrawal (M3)			
	2023	2024	2025
Water Withdrawal	14,731	19,347	19,590
Water Withdrawal Intensity by Space (m3/m2)	1	1	1
Water Withdrawal Intensity by FTE (m3/FTE)	16.08	21.52	21.72
Target			Reduction of 5% compared to 2024

Note: Calculation methodology and assumptions -

Explains water withdrawal, which refers to the total volume of water taken from all sources such as surface water, groundwater, seawater, or third-party water for use within the organization, as defined by the GRI Standards. It also covers water withdrawal intensity per space and per employee, expressed in cubic meters (m³), and outlines the organization's target for reducing water withdrawal.

ESG Fact Sheet continued

Natural Capital continued

Water Consumption			
	2023	2024	2025
Water Consumption (m3)	0	0	0

Note: Calculation methodology and assumptions -

Explains water consumption, which refers to the total volume of water used by the organization for its operations, expressed in cubic meters (m³).

Water Recycled			
	2023	2024	2025
Water Recycled (m3)	0	0	0

Note: Calculation methodology and assumptions -

Explains water recycled, which refers to the total volume of water that has been treated and reused within the organization's operations, expressed in cubic meters (m³).

Paper Consumption			
	2023	2024	2025
Papers Purchased (Ream)	7,945*	8,001*	8,056

*2023 and 2024 figures have been restated to include letterhead paper numbers that were previously excluded.

Note: Calculation methodology and assumptions -

Explains paper consumption, which refers to the total quantity of paper purchased and used by the organization for its operations, expressed in Reams, as part of monitoring resource efficiency and sustainability performance.

UAE

Electricity	
Electricity Consumption (GJ)	2025
Purchased Electricity	2,080.92
Total Electricity	2,080.92
Electricity Intensity by Space(GJ/m2)	0.16
Total Intensity by FTE (GJ/FTE)	40.02
GHG Emissions (MT Co2e)	2025
Scope 2 - Purchased Electricity	211.10
Scope 2 GHG Emissions Intensity (MT CO2e/FTE)	4.06

Note: Electricity consumption has been estimated

Water	
Water Withdrawal (m3)	2025
Water Withdrawal	1,073
Water Withdrawal Intensity by Space (m3/m2)	0.08
Water Withdrawal Intensity by FTE (m3/FTE)	20.63
Water Consumption (m3)	2025
Water Consumption	0
Water Recycled (m3)	2025
Water Recycled	0

Note: Water consumption has been estimated

KSA

Electricity	
Electricity Consumption (GJ)	2025
Purchased Electricity	2,814.21
Total Electricity	2.814.21
Electricity Intensity by Space (GJ/m2)	1.74
Total Intensity by FTE (GJ/FTE)	62.54
GHG Emissions (MTCO2e)	2025
Scope 2- Purchased Electricity	464.98
Scope 2 GHG Emissions Intensity (MT CO2e/FTE)	10.33

Water	
Water Withdrawal (m3)	2025
Water Withdrawal	1,503
Water Withdrawal Intensity by Space (m3/m2)	0.93
Water Withdrawal Intensity by FTE (m3/FTE)	33.40
Water Consumption (m3)	2025
Water Consumption	0
Water Recycled (m3)	2025
Water Recycled	0

Corporate Governance and Ethical Behaviour

Corporate Governance and Ethical Behaviour

Corporate Governance Report

The Board of Directors is responsible for the overall governance of the National Bank of Bahrain. The Board ensures that high ethical standards are established across the bank and regularly reviews the bank's compliance with CBB regulations and applicable legislation regarding corporate governance. The Board recognises that good corporate governance is a vital ingredient in the creation of sustainable shareholder value and protecting the interests of all stakeholders.

Maintaining the best standards of corporate governance has provided the bank's clients, counterparties, shareholders, regulators, employees and rating agencies with a high degree of confidence in the institution. In maintaining these standards, the bank has achieved an appropriate balance between long-term growth and short-term objectives, created a sound portfolio of assets, a stable client base, income diversity as well as the ability and resources to face economic cycles and uncertainties. The Board has set the moral tone for the bank with a high degree of intolerance for any instances of malpractice, fraud and unethical behaviour and ensured the highest degree of adherence to laws, rules and regulations.

Board of Directors

The Board's composition is governed by the bank's Memorandum and Article of Association and comprises of eleven members. Four members of the Board are appointed by Bahrain Mumtalakat Holding Company, which holds 44.06% of the bank's share capital and one member is appointed by Social Insurance Organisation, which holds 10.85% of the bank's share capital. The remaining six members of the Board are elected by secret ballot at the ordinary general meeting of the shareholders, by a simple majority of valid votes. The members of the Board remain in office for a term not exceeding three years, which may be renewed. To be eligible for being nominated for directorship, the individuals concerned should meet the 'fit and proper' criteria established by the Central Bank of Bahrain and their appointment is subject to prior approval by the Central Bank of Bahrain. The present Board was elected at the Ordinary General Meeting in March 2024 and its term is scheduled to expire by the Ordinary General Meeting expected to be held in March 2027.

On joining the bank's Board, all Directors attend induction sessions and are provided with a "Director's Kit" which includes the Board's code of conduct, the bank's Memorandum and Articles of Association, key policies, charters of the Board and its committees, Corporate Governance Policy and the bank's financial position and strategy. Induction sessions, attended by the Group Chief Executive Officer and the senior management of the bank, focuses on strategy, business profile, opportunities, challenges and risks faced by the bank and other elements.

In accordance with the definitions stipulated by the Central Bank of Bahrain, Directors are categorised as independent, executive, and non-executive. The Board currently comprises of five independent directors and six non-executive directors. The roles of the Chairperson and the Group Chief Executive Officer are separate and exercised by different persons.

The Board's primary responsibility is to deliver sustainable value to all stakeholders by monitoring the strategic direction of the bank as well as setting the risk appetite and the overall capital structure of the bank. The Board is also responsible for monitoring management's running of the business within the agreed framework. The Board seeks to ensure that the Management strikes an appropriate balance between long-term growth and the short-term objectives. The Board is ultimately accountable and responsible for the affairs and performance of the bank. Accordingly, the main functions of the Board are to:

- Maintain an appropriate Board structure.
- Maintain an appropriate management and organisation structure in line with the bank's business requirements.
- Plan the strategic future of the bank, approve annual business plans, approve and monitor major initiatives.
- Monitor the operations framework of the bank and the integrity of internal controls.
- Ensure compliance with laws and regulations.
- Monitor the bank's performance and approve financial results, ensure transparency and integrity in stakeholders reporting including financial statements.
- Evaluate periodically the Board's own performance including that of Board committees and the performance of each Board member.
- Assure equitable treatment of all shareholders including minority shareholders.

The Chairperson is mainly responsible for the leadership of the Board, ensuring that it operates effectively and fully discharges its legal and regulatory responsibilities.

The Board meets regularly throughout the year and maintains full and effective control over strategic, financial, operational, internal control and compliance issues. As per its approved charter, the Board shall meet at least once every calendar quarter.

In its role as the primary governing body, the Board provides oversight for the bank's affairs and constantly strives to improve and build on the bank's strong corporate governance practices. The business performance of the bank is reported regularly to the Board. Performance trends as well as performance against budget and prior periods are closely monitored. Financial information is prepared using appropriate accounting policies, in accordance with International Financial Reporting Standards as promulgated by the International Accounting Standards Board and are consistently applied. Operational procedures and controls have been established to facilitate complete, accurate and timely processing of transactions and the safeguarding of assets.

The Board has unlimited authority within the overall regulatory framework. The Board has delegated specific approval authorities to its committees and the Group CEO; all transactions falling outside the delegated limits are referred to the Board for approval. In addition, the Board approves on a yearly basis the annual budget and operating limits for various activities of the bank.

Corporate Governance and Ethical Behaviour continued

Committees of the Board

The Board has set up several committees which provide effective support to the full Board in carrying out its responsibilities. These are the Executive Committee, the Audit Committee, the Risk and Compliance Committee, Nomination, Remuneration, Governance and Sustainability Committee, Digitalisation Committee, the Donations and Contributions Committee and the Board Advisory Committee.

Executive Committee

The Executive Committee comprises of four Board members selected and appointed by the Board, with one member being an independent director. The Executive Committee meets at least five times a year. The role of the Executive Committee is to assist the Board in fulfilling its responsibilities regarding lending and investments in debt securities, as well as any other matters not delegated to a specific Board Committee. Accordingly, the Executive Committee is empowered to approve specific credit and investment proposals, review budgets, plans and major initiatives for eventual submission to the Board for approval, in addition to monitoring the bank's performance against business plan objectives.

Audit Committee

The Audit Committee comprises of three Board members selected and appointed by the Board, two of whom are independent directors, including the Chairperson. The Audit Committee meets at least four times a year. The primary function of the committee is to review the bank's accounting and financial practices, reinforce the internal and external audit process and assist the Board in fulfilling its responsibility in ensuring an effective system of internal control and financial statements. The Audit Committee is responsible for recommending to the Board, the appointment and compensation of the external auditors, reviewing the integrity of the bank's financial reporting, reviewing the activities and performance of the internal audit function, and reviewing compliance with relevant laws and regulations. The Audit Committee is supported by the Internal Audit Department, which regularly monitors the system of internal controls. Monitoring includes an assessment of the risks and controls in each operating unit and matters arising therefrom are reported to the Audit Committee on a regular basis.

Risk and Compliance Committee

The Risk and Compliance Committee comprises of three members selected and appointed by the Board, the Chairperson of which is an independent director. The Risk and Compliance Committee meets at least four times a year. The role of the committee is to oversee and monitor the risk management framework established by the Board including reviewing and reporting its conclusions and recommendations to the Board on the bank's current and future risk appetite and policies. The committee is additionally responsible for overseeing and assessing the bank's compliance framework.

Nomination, Remuneration, Governance and Sustainability Committee

The Nomination, Remuneration, Governance and Sustainability Committee (NRGSC) comprises of four Board members selected and appointed by the Board. Including the Chairperson, half of the members are independent. The NRGSC meets at least three times a year. The role of the committee is to assist the Board in fulfilling its responsibilities with regard to the bank's nomination, remuneration policies, corporate governance guidelines and sustainability targets, based on regulatory requirements or industry best practices. The NRGSC has the mandate of identifying persons qualified to become members of the Board, CEO, CFO, Corporate Secretary, and any other officer positions considered appropriate by the Board. The Committee also has the responsibility of reviewing and recommending the remuneration policies for the Board and management.

Digitalisation Committee

The Digitalisation Committee is responsible, amongst other things, for supervision and advising on matters relating to the digital strategy of the bank and its implementation, guiding its innovation, and related data frameworks. The Digitalisation Committee will also discuss and monitor the associated risks, however, only to support the Risk and Compliance Committee to prevent overlap in mandates. The Digitalisation Committee shall, in its oversight of digitalisation report to the Board, including reporting its conclusions and recommendations on (i) the bank's digital transformation covering, including but not limited to, defining the adequate digital strategy, related technology adoption, digital operations, and reviewing and recommending the budget proposed by management for this purpose, and (ii) the bank's execution of its digitalisation and related technology strategies to support its digital banking and IT functions. In this regard, the Digitalisation Committee will take a forward-looking perspective, seeking to anticipate changes in business conditions.

Donations and Contributions Committee

The Donations and Contributions Committee is created to manage the distribution of funds allocated towards corporate donations and contributions ensuring that it adheres to the bank's strategic outlook and positioning reflected through its pillars. The committee comprises of four Directors. The allocated amount towards the fund is up to 5% of the bank's net profit. .

Board Advisory Committee

The Board Advisory Committee is responsible for assisting the board in fulfilling its regulatory responsibilities in relation to the proposed merger with Bank of Bahrain and Kuwait B.S.C. These responsibilities include (i) supporting, advising, directing and overseeing the activities related to the transaction (ii) making certain recommendations to the Board as and when necessary, in relation to the transaction and (iii) assessing the fairness of any contemplated transaction for all shareholders. The committee is comprised of four directors and the tenor of the members shall be until the transaction is concluded.

Corporate Governance and Ethical Behaviour continued

Board Meetings and Attendance

The Board and the sub-committees of the Board meet regularly to effectively discharge their responsibilities. For meeting the requirements of the Corporate Governance Policy and the Central Bank of Bahrain Rulebook, the bank considers attendance of Directors at Board and sub-committee meetings. All meetings were held in the Kingdom of Bahrain except where indicated otherwise.

A summary of the Board meetings and sub-committee meetings held during the year 2025 and attendance are detailed below:

Board Meetings: Total number of meetings held: 5

Name of the Director	Meeting dates					Total	
	25/2/2025	13/5/2025	12/8/2025	11/11/2025	9/12/2025	Total No of meetings	Meetings attended % of Meetings attended
Hala Ali Husain Yateem Chairperson	✓	✓	✓*	✓	✓	5	5100
Yusuf Abdulla Alireza Vice Chairperson	✓	✓	✓*	✓*	✓	5	5100
Sh. Rashed Bin Salman Al-Khalifa Director	✓	✓*	✓*	✓	✓	5	5100
Rishi Kapoor Director	✓	✓*	✓*	✓	✓*	5	5100
Vincent Van den Boogert Director	✓	✓	✓*	✓	✓*	5	5100
Zaid Khalid Abdulrahman Director	✓	✓	✓*	✓	✓	5	5100
Dr. Paul David Pester Director	✓	✓	✓*	✓	✓	5	5100
Isa Hasan Maseeh Director	✓	✓	✓*	✓	✓*	5	5100
Mohamed Farouk Almoayyed Director	✓	✓	✓*	✓	✓	5	5100
Ahmed Fawzi Kanoo Director	✓	✓	✓*	✓	✓	5	5100
Alaa Abdulkhaleq Saeed Director	✓	✓	✓*	✓	✓	5	5100

*Attended by video conference.

Corporate Governance and Ethical Behaviour continued

Board Meetings and Attendance (continued)

Dates of meetings and attendance details

Executive Committee Meetings: Total number of meetings held: 5

Name	Meeting dates					Total No. of meetings	Meetings Attended
	22/1/2025	16/4/2025	25/6/2025	24/09/2025	23/11/2025		
Yusuf Abdulla Alireza Chairperson	✓*	✓*	✓*	✓	✓*	5	5
Dr. Paul David Pester Director	✓*	✓	✓	✓	✓*	5	5
Isa Hasan Maseeh Director	✓*	✓*	✓*	✓	✓	5	5
Mohamed Farouk Almoayyed Director	✓*	✓*	✓*	✓	✓*	5	5

* Attended through video conference.

Audit Committee Meetings: Total number of meetings held: 5

Name	Meeting dates					Total No. of meetings	Meetings Attended
	17/2/2025	7/5/2025	6/8/2025	5/11/2025	10/12/2025		
Zaid Khalid Abdulrahman Chairperson	✓	✓	✓*	✓	✓	5	5
Vincent Van Den Boogert Director	✓*	✓*	✓*	✓*	✓*	5	5
Ahmed Fawzi Kanoo Director	✓	✓	✓*	✓*	✓	5	5

* Attended through video conference.

Corporate Governance and Ethical Behaviour continued

Board Meetings and Attendance (continued)

Digitalisation Committee Meetings: Total number of meetings held: 4

Name	Meeting dates				Total No. of meetings	Meetings Attended
	24/2/2025	12/5/2025	11/8/2025	10/11/2025		
Dr. Paul David Pester Chairperson	✓	✓	✓*	✓	4	4
Vincent Van Den Boogert Director	✓	✓	✓*	✓	4	4
Mohamed Farouk Almoayyed Director	✓*	✓*	✓*	✓*	4	4
Alaa Abdulkhaleq Saeed Director	✓	✓	✓*	×	4	3

* Attended through video conference.

Risk and Compliance Committee Meetings: Total number of meetings held: 5

Name	Meeting dates					Total No. of meetings	Meetings Attended
	9/3/2025	11/5/2025	3/8/2025	3/11/2025	7/12/2025		
Rishi Kapoor Chairperson	✓*	✓*	✓*	✓*	✓*	5	5
Vincent Van Den Boogert Director	✓*	✓*	✓*	✓*	✓*	5	5
Alaa Abdulkhaleq Saeed Director	✓*	✓*	✓*	×	×	5	3

* Attended through video conference.

Corporate Governance and Ethical Behaviour continued

Board Meetings and Attendance (continued)

Nomination, Remuneration, Governance and Sustainability Committee Meetings: Total number of meetings held: 5

Name	Meeting dates					Total No. of meetings	Meetings Attended
	27/1/2025	17/2/2025	23/6/2025	9/9/2025 (Ad-Hoc)	19/11/2025		
Hala Ali Husain Yateem Chairperson	✓	✓	✓	✓*	✓	5	5
Sh. Rashed Bin Salman Al Khalifa Director	✓	✓	✓	✓*	✓	5	5
Rishi Kapoor Director	✓	✓*	✓*	✓*	✓*	5	5
Dr. Paul David Pester Director	Joined the NRGs Committee on 20 th July 2025			✓*	✓	2	2

* Attended through video conference.

Donations and Contributions Committee Meeting: Total number of meetings held: 2

Name	Meeting dates		Total No. of meetings	Meetings Attended
	20/2/2025	12/10/2025		
Hala Ali Husain Yateem Chairperson	✓	✓	2	2
Zaid Khalid Abdulrahman Director	✓	✓	2	2
Mohamed Farouk Almoayyed Director	✓	✓	2	2
Ahmed Fawzi Kanoo Director	✓	✓	2	2

* Attended through video conference.

Corporate Governance and Ethical Behaviour continued

Board Meetings and Attendance (continued)

Board Advisory Committee Meetings: Total number of meetings held: 13

	Meeting dates													Total No. of meetings	Meetings Attended
Name	15/1/2025	27/1/2025	4/2/2025	16/2/2025	5/3/2025	24/3/2025	10/4/2025	13/5/2025	18/6/2025	24/7/2025	22/10/2025	11/11/2025	9/12/2025		
Hala Ali Husain Yateem Chairperson	✓*	✓	✓*	✓*	✓*	✓*	✓*	✓	✓*	✓*	✓*	✓	✓	13	13
Yusuf Abdulla Alireza Director	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓	✓*	✓*	×	✓*	✓	13	12
Rishi Kapoor Director	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓	✓*	13	13
Dr. Paul David Pester Director	✓*	✓*	✓*	✓*	✓*	✓*	✓*	✓	✓*	✓*	✓*	✓	✓	13	13

* Attended through video conference.

Management Structure

The Board has established a management structure that clearly defines roles, responsibilities and reporting lines, the details of which are annexed to this report.

Within the management structure there are separate committees responsible to meet on a regular basis to discuss and decide on the various strategic and tactical issues within their respective areas.

Committee Name	Members (as of 31 December 2025)	Objective
Executive Management Team (EMT) Frequency: weekly	1- Usman Ahmed - Group Chief Executive Officer (Chairperson) 2- Abdulaziz Al Ahmed - Chief Executive, Strategic Accounts 3- Ali Abdulkarim - Group Chief Executive - Corporate and Commercial Banking 4- Ali Ehsan - Group Chief Risk Officer 5- Bassam AlTattan - Head of Private Banking 6- Fadhel Abbas - Group Chief Internal Auditor 7- Gaby El Hakim - Group Chief Legal Officer and Corporate Secretary 8- Hisham Abu Alfateh - Chief Corporate Communications Officer 9- Mansour AlSaghayer - Chief Executive, Kingdom of Saudi Arabia 10- Hend Mahmood - Group Chief Human Resources Officer 11- Mohsin Rahim - Group Chief Financial Officer 12- Nabeel Mustafa - Group Chief Operating Officer 13- Rana Qambar - Group Chief Compliance Officer 14- Razi Amin - Group Chief Technology Officer 15- Subah Al Zayani - Chief Executive, Retail Banking 16- Yogesh Kale - Chief Executive, United Arab Emirates 17- Zaina Al Zayani - Group Chief Strategy & Sustainability Officer 18- Zied Jalali - Group Head of Corporate Finance 19- Husain Askar - Head of Capital Market Trading 20- Vineet Munot - Group Head of Transaction Banking	The Executive Management Team (EMT) meets on a weekly basis and was created by the bank to provide a regular forum for the discussion of strategic matters among executive/ senior management. While the EMT does not serve as a committee and does not have any decision-making powers, it serves as an advisory role and provides a sounding forum for the major decisions or actions that need to be taken by the Group Chief Executive Officer within his delegation.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Management Credit Committee	1- Usman Ahmed - Group Chief Executive Officer (Chairperson)	Overseeing the effective implementation of the bank's credit risk framework.
Frequency: weekly	2- Ali Ehsan - Group Chief Risk Officer 3- Zied Jalali - Group Head of Corporate Finance	Approving credit proposals and monitoring the credit portfolio in line with the bank's defined risk appetite and policies.
Operational Risk Management Committee (ORMC)	1- Usman Ahmed - Group Chief Executive Officer	Review and assess different aspects of risk arising from the bank's business processes to ensure that material risks are captured, monitored and mitigated.
Frequency: monthly	2- Ali Ehsan - Group Chief Risk Officer (Chairperson) 3- Rana Qambar - Group Chief Compliance Officer 4- Nabeel Mustafa - Group Chief Operating Officer 5- Husain Majeed Askar - Head of Capital Market Trading* 6- Hend Mahmood - Group Chief Hunan Resources Officer 7- Subah Al Zayani - Chief Executive Retail Banking 8- Jaffar Mohammed Naser - Head of Enterprise Risk Management 9- Razi Amin - Group Chief Technology Officer 10- Fadhel Abbas - Group Chief Internal Auditor (Observer) 11- Mahmood Alhoori - Operational Risk Manager (Secretary) * Interim further to the departure of Hisham Al Kurdi - Group Chief Executive of Markets and Client Solutions	Serve as a forum for senior management to discuss, evaluate and decide key Operational Risk, management and fraud risk management.
Group Asset Liability Committee (GALCO)	1- Usman Ahmed - Group Chief Executive Officer (Chairperson)	Serve as a forum for senior management discussion and evaluation of key issues concerning the bank's balance sheet structure and performance, pricing of assets and liabilities, funding and capital planning, contingency planning, market risk, interest rate risk, and liquidity risk.
Frequency: monthly	2- Mohsin Rahim - Group Chief Financial Officer (Deputy Chairperson) 3- Fatema Alalawi – Chief Executive Officer, Bahrain Islamic Bank 4- Ali Ehsan - Group Chief Risk Officer 5- Husain Almohri - Group Chief Executive of Markets and Client Solutions* 6- Ali Al Moulani - Group Head of Treasury & ALM 7- Vineet Munot - Group Head of Transaction Banking 8- Ali Muslem - Group Head of Liquidity & Market Risk 9- Yogesh Kale - Chief Executive Officer, NBB United Arab Emirates 10- Mansour Alsaghayer - Chief Executive Officer, NBB Kingdom of Saudi Arabia 11- Abdulaziz Al Ahmed - Chief Executive, Strategic Accounts 12- Ali Abdulkarim - Group Chief Executive of Corporate and Commercial Banking 13- Subah Alzayani - Chief Executive, Retail Banking 14- Namila Weerasekara - Group Corporate Treasury Lead (Secretary) * Interim further to the departure of Hisham Al Kurdi - Group Chief Executive of Markets and Client Solutions	Ensure that appropriate action consistent with market developments and the bank's policies are taken to address the above key issues.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Group Project Steering Committee	1- Usman Ahmed - Group Chief Executive Officer (Chairperson)	Group PSC is established to ensure proper governance across Group and Group related Projects' Portfolios while providing direction in taking necessary decisions to achieve projects' goals within set schedules and budgets and ensure total alignment with Group strategic objectives and Group Strategy.
Frequency: quarterly	2- Nabeel Mustafa - Group Chief Operating Officer 3- Razi Amin - Group Chief Technology Officer 4- Mohsin Rahim - Group Chief Financial Officer 5- Konstantinos Monogios - Group Head of Enterprise Project Management Office (EPMO) (Coordinator)	Group PSC main Responsibilities are: 1. Governance Act as governance body to the Group projects' portfolio. Ensure activating related working groups and control Group spending and investments. Hold Sponsors accountable to the agreed-upon project constraints. 2. Advisory Review and monitor projects' health and advise on overall portfolio and program risks, and provide recommendations on issues, scope, schedule, resources, cost, and governance concerns. 3. Go/No-Go Decision Oversee Group Capex requests and provide Go/No-Go recommendations on new and running projects. 4. Prioritization Manage prioritization of projects and ensure project's portfolio and projects roadmap are aligned with Group and Group Strategy. 5. Approval and Authorization Approve projects' Capex allocations and authorize the utilization of budget for new requests/ projects, provide decisions on additional capex requests, and authorize corrective and preventive actions required to achieve planned project objectives.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Group Compliance Management Committee Frequency: six times per year	1- Usman Ahmed - Group Chief Executive Officer (Voting) 2- Rana Qambar - Group Chief Compliance Officer (Chairperson) 3- Ali Ehsan - Group Chief Risk Officer (Voting) 4- Nabeel Mustafa - Group Chief Operating Officer (Voting) 5- Razi Amin - Group Chief Technology Officer (Voting) 6- Husain Askar - Head of Capital Market Trading* (Non-Voting) 7- Vineet Munot - Group Head of Transaction Banking* (Non-Voting) 8- Zied Ali Jalali - Group Head of Corporate Finance (Non-Voting) 9- Abdulaziz Al Ahmed - Chief Executive, Strategic Accounts (Non-Voting) 10- Hend Mahmood - Group Chief Human Resources Officer (Non-Voting) 11- Mansour Alsaghayer - Chief Executive Officer, Kingdom of Saudi Arabia (Non-Voting) 12- Yogesh Kale - Chief Executive Officer, United Arab Emirates (Non-Voting) 13- Ali Abdulkarim - Group Head of Corporate & Commercial Banking (Non-Voting) 14- Abdulnasir Rafique - Group Head - First Line Risk, Control & Governance (Non-Voting) 15- Fatema Moosa Al Alawi - Chief Executive Officer, Bahrain Islamic Bank (Non-Voting) 16- Subah Alzayani - Chief Executive Retail Banking (Non-Voting) * Interim further to the Departure of Hisham Al Kurdi - Group Chief Executive of Markets and Client Solutions.	Provide governance and oversight of group-wide compliance risks, ensuring robust assessment and effective management. This includes but not limited to: - Identifying and implementing appropriate controls to mitigate Compliance risks, as well as the review and assessment of material initiatives / developments issued by relevant regulatory authorities. - Monitoring and assessing adherence of NBBs' Group to regulatory requirements (Central Bank of Bahrain ("CBB"), Central Bank of UAE (CBUAE) as well as the Central Bank of Saudi Arabia (SAMA)) and internal policies. - Promoting a solid compliance culture across the Group targeting to promote Banks' values of honesty, transparency, and integrity.
Information Security Committee (ISC) Frequency: quarterly	1- Ali Ehsan - Group Chief Risk Officer (Chairperson) 2- Rana Qambar - Group Chief Compliance Officer 3- Abdulaziz Al Ahmed - Chief Executive, Strategic Accounts 4- Razi Amin - Group Chief Technology Officer 5- Subah Alzayani - Chief Executive Retail Banking 6- Ali Abdulkarim - Group Chief Executive of Corporate and Commercial Banking 7- Ali Al Majed - Group Chief Information Security Officer 8- Ali AlSaegh - Group Head of Cyber Security and Access Management 9- Abdulnasir Rafique - Group Head - First Line Risk, Control & Governance 10- Fadhel Abbas - Group Chief Internal Auditor (Observer) 11- Salman Radhi - Information Security Technical Support Manager and Sustainability (Secretary)	Set the direction in establishing an Information Security Management System (ISMS). Review and recommend security policies to the Board for approval. Review the periodical information security reports. Ensure that processes are created to measure the effectiveness of the security controls specified in this policy. Approve the bank's information security plan and monitor its implementation.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Business Continuity Management Committee Frequency: quarterly	1- Nabeel Mustafa - Group Chief Operating Officer (Chairperson) 2- Ali Ehsan - Group Chief Risk Officer (Vice Chair) 3- Razi Amin - Group Chief Technology Officer 4- Haitham Seyadi - Group Head of Property, Procurement and Administration 5- Mohammed Hammad - Group Head of BCM, Chief Information Security Officer 6- Abdul Nasir Rafique - Group Head - First Line Risk, Control & Governance 7- Yusuf Al Najmi - Head of Branches and Administration, United Arab Emirates 8- Mohammed Alshammari - Head of Operations, Kingdom of Saudi Arabia 9- Ajay Kumar - Chief Risk Officer, Bahrain Islamic Bank 10- Abdulla Naqi - Group First Line Risk, Control, and Business Continuity Manager (Secretary)	This Committee was established to provide the top management governance and oversight for the Business Continuity Plan (BCP) of National Bank of Bahrain (NBB) in line with the industry best practices and relevant standards. The scope of this committee encompasses all the business units and locations for both NBB and BisB business units in Bahrain, its overseas branches in KSA and UAE, and all subsidiary entities associated with the bank. This Committee's functions and responsibilities are to: - Provide strategic direction and communicate essential messages to the relevant stakeholders. - Ensure effective continuance of the Bank's operations in the event of a moderate, major or potentially catastrophic incident. - Establish, review and test Bank-wide Business Continuity and Disaster Recovery Plans - Coordinate the planning and delivery of the training on Crisis and Emergency Management and Disaster Recovery - Function as a point of liaison with the local authority and Crisis Management Team at the Bank at times of crisis. - Oversee the creation of appropriate task force groups, working groups and teams to develop and execute the BCP, whenever is required.
Product and Service Approval Committee Frequency: as and when a new product and/or service is considered for launch	1- Usman Ahmed - Group Chief Executive Officer (Chairperson) 2- Ali Ehsan - Group Chief Risk Officer 3- Mohsin Rahim - Group Chief Financial Officer 4- Nabeel Mustafa - Group Chief Operating Officer 5- Rana Qambar - Group Chief Compliance Officer 6- Gaby El Hakim - Group Chief Legal Officer and Corporate Secretary 7- Razi Abdulatif Amin - Group Chief Technology Officer 8- Chief of presenting Business Unit (Varies based on the Product, usually Chief of Retail Banking Management (Subah Alzayani) or Chief of Market & Client Solution)	Approve new products and services. Approve material changes to existing products and services. Ensure that the key risks associated with the introduction of products and services are identified, thoroughly considered, and addressed in a controlled manner before the launch/ reactivation of the product or services.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Tendering and Asset Disposal Committee Frequency: meetings convened as deemed necessary by the meeting administrator or their nominated alternate	1- Mohsin Rahim - Group Chief Financial Officer (Chairperson) 2- Konstantinos Monogios - Group Head of Enterprise Project Management Office 3- Rana Qambar - Group Chief Compliance Officer 4- Zaid Khonji - Head of Legal and Corporate Governance	Reinforce corporate governance, integrity, and transparency in the procurement process, contract management and asset disposal. The responsibilities are: • Ensure adherence to the bank Code of Conduct, Procurement Management Framework and Tendering Policy and procedure at all time. • Reinforce the principles of probity and accountability to ensure transparency of processes, fairness, confidentiality, and effective management of conflicts of interest. • Review evaluation criteria and raise any concerns related to the proposals submitted against such criteria. • Approve the tender awarding of all NBB Group tenders. • Approve disposal of assets with NBV up to BHD 10,000. All asset disposals with NBV of BHD 10,000 and above should be referred to GCEO for approval. • Raise recommendations for any proposed award of project procurement contract that is not within the committee authority to the appropriate authority for the approval.
Provisioning Committee Frequency: quarterly	1- Usman Ahmed - Group Chief Executive Officer (Chairperson) 2- Ali Ehsan - Group Chief Risk Officer 3- Mohsin Rahim - Group Chief Financial Officer 4- Gaby El Hakim - Group Chief Legal Officer and Corporate Secretary	Reviewing and recommending the remedial course of action for clients that are designated as non-performing loans (NPLs). The Provisioning Committee is also responsible for reviewing and approving specific provisions for NPLs as well as governing expected credit loss.
Sustainability Management Committee Frequency: quarterly	1- Usman Ahmed - Group Chief Executive Officer (Chairperson) 2- Zaina AlZayani - Group Chief Strategy and Sustainability Officer 3- Ali Ehsan - Group Chief Risk Officer 4- Hend Mahmood - Group Chief Human Resources Officer 5- Hisham Abu Alfateh - Chief Corporate Communications Officer 6- Nabeel Mustafa -Group Chief Operating Officer 7- Subah Al Zayani - Chief Executive, Retail Banking 8- Husain Askar - Head of Capital Market Trading* 9- Ali Abdulkarim - Group Chief Executive Corporate & Commercial Banking 10- Fatema Al Alawi - Chief Executive Officer, Bahrain Islamic Bank 11- Ameer Dairi - Chief Financial and Strategy Officer, Bahrain Islamic Bank 12- Jenan Almosawi - Strategy & Sustainability Assistant Manager (Committee Secretary) * Interim further to the Departure of Hisham Al Kurdi - Group Chief Executive of Markets and Client Solutions.	Advise and support on the NBB Group's Sustainability issues and recommend policies, procedures and initiatives across its operations and core activities. This includes setting sustainability-related direction and strategy of the NBB Group.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

Committee Name	Members (as of 31 December 2025)	Objective
Saving Scheme Committee (SSC) Frequency: four times a year	1- Hussain Majeed Askar - Head of Capital and Market Trading* (Chairperson) 2- Khaled AlMuharraqi - Head of Treasury Middle Office & Investment Fund Operations 3- Khaled Altamimi - Senior Prestige Banking Relationship Manager 4- Nawaf Zubari - Head of Reward Management (Committee Secretary) * Interim further to the Departure of Hisham Al Kurdi - Group Chief Executive of Markets and Client Solutions.	Managing NBB Bahrain's Saving Scheme Fund in the best interest of the contributing employees and recommend investments as per policy guidelines and criteria. Monitor performance of the Saving Scheme Fund and oversight of Saving Scheme activities. Act as points of contact with employees on saving scheme issues and raise awareness and education among employees to encourage participation.
UAE Senior Management Committee Frequency: minimum of 6 times per year with a minimum attendance requirement of 75%	1- Yogesh Kale - Chief Executive Officer, United Arab Emirates (Chairperson) 2- Mohsin Rahim - Group Chief Financial Officer 3- Yusuf Alnajmi - UAE Head of Branches and Administration 4- Ahmed Moussa - UAE Chief Operating Officer, subsequently replaced by Ali Ghuloom - Group Head of Technology & Enterprise Architecture 5- Jassim AlAbbasi - Group Head of Financial Crime & MLRO 6- Zaid Khonji - Head of Legal and Corporate Governance 7- Isa Budaraj - Head of Regulatory and Overseas Branches Audit, subsequently replaced by Ali Husain Abdulwahab - Head of Banking Audit 8- Ashraf Calcuttawala - Chief Credit & Risk Officer, Unitaed Arab Emirates 9- Abdul Nasir Rafique - Group Head - First Line Risk, Control and Governance 10- Vineet Munot - Group Head of Transaction Banking 11- Ali Al Moulani - Group Head of Treasury and Asset Liability Management 12- Sara Anwahi - Head of Human Resources, United Arab Emirates, Subsequently replaced by Maram Waleed Buallay - Acting Group Chief Human Resources Officer, subsequently replaced by Shatha Kuleib - UAE Head of Human Resources 13- Sandeep Satalkar - UAE Head of Credit Administration (Secretary)	The SMC, established in 2023, is responsible for establishing a robust control function and helping the Branch meet the corporate governance responsibilities in line with the Corporate Governance Policy and Regulation. The committee is comprised of twelve members, with a hybrid structure having representation of senior managers from the UAE and the Head Office in Bahrain. The SMC members are appointed by Group CEO and are subject annual evaluation with respect to their effectiveness and contribution. Upon their appointment, an induction is carried out whereby the members are educated as to their roles and responsibilities. The term of the current SMC members has started from 18th October 2023 and was renewed in May 2024. SMC Members report to their respective line managers while performing their routine duties and will report to Chair of SMC while performing duties in capacity of the SMC. The SMC members are subject to bank's group policies including the code of conduct, conflict of interest policy, whistle blowing policy mechanism and insider trading policy. The SMC monitors its compliance through periodical disclosure and disclosure in the annual report. The duties of the SMC include. • To establish robust control functions in order to meet corporate governance guidelines. • Implementing the strategy approved by the GCEO, as well as implementation of business plans, policies, procedures, and budgets. • To oversee the compliance of the applicable laws and legislations of the UAE, and the implementation of the UAE Central Bank regulations. • Implementation and monitoring of various risk functions and sound risk management culture. Formalizing the risk appetite statement for UAE branch. • Monitoring and reviewing the operating and financial performance of the UAE branches. Monitoring and reporting of unresolved audit compliance, risk and legal issues. • Presentation and discussion of business budget and productivity reports. • To manage resources and develop talent strategy, staff communications and engagement. • Developing and recommending changes to the corporate governance policy framework. • Annual assessment and evaluation of the SMC. • The SMC monitors its compliance through periodical disclosure and disclosure in the annual report. • One SMC member is responsible for review and finalization of financial statement and the SMC Chair signs on the financial statements, and all related party transactions are subject to approval from the Board.

Corporate Governance and Ethical Behaviour continued

Management Structure (continued)

The Group Chief Risk Officer and the Group Chief Compliance Officer report directly to the Board Risk and Compliance Committee and administratively to the GCEO. The Group Chief Internal Auditor report directly to the Board Audit Committee and administratively to the GCEO. The Corporate Secretary reports directly to the Board and administratively to the GCEO in accordance with Corporate Governance requirements.

With respect to the SMC, the committee meets regularly to effectively discharge their responsibilities and comply with its objectives. A summary of the SMC meetings held during the year 2025 and attendance are detailed below:

Total number of meetings held in 2025: 8

Name	Senior Management Committee								Attendance Percentage	Notes
	28/01/2025	20/03/2025	30/04/2025	23/06/2025	11/08/2025	17/09/2025	21/10/2025	27/11/2025		
Yogesh Kale - Chief Executive Officer, United Arab Emirates (Chairperson)	✓	✓	✓	✓	✓	✓	✓	✓	100%	
Mohsin Rahim - Group Chief Financial Officer	✓*	✓*	✓*	✓*	✓*	×	✓*	✓*	88%	
Yusuf Alnajmi - Head of Branches and Administration, United Arab Emirates	✓	✓	✓	×	✓	✓	✓	✓	88%	
Ahmed Moussa / Ali Ghuloom - Group Head of Technology & Enterprise Architecture	✓	×	×	✓*	✓	✓	✓*	×	63%	Ali Ghuloom joined the SMC on 16 June 2025, in place of Ahmed Moussa who left in 20 March 2025
Jassim AlAbbasi - Group Head of Financial Crime	✓	✓*	✓	✓	✓*	✓	✓	✓*	100%	
Zaid Khonji - Head of Legal and Corporate Governance	✓	✓	✓	✓	✓	✓	✓	✓	100%	
Isa Budaraj / Ali Abdulwahab - Head of Banking Audit	✓*	✓	✓	✓	✓	✓	✓*	✓	100%	Ali Abulwahab joined the SMC on 16 June 2025, in place of Isa Budaraj
Ashraf Calcuttawala - Head of Credit Risk, United Arab Emirates	✓	✓	✓	✓	✓	✓	✓	✓	100%	
Abdul Nasir Rafique - Head of in-Business Risk, Control and Governance	✓	✓	✓	×	×	✓	✓	✓	75%	
Vineet Munot - Group Head of Transaction Banking	✓	✓	✓	✓*	✓	×	✓	×	75%	
Ali Almoulani - Head of Treasury and Asset Liability Management	✓	✓	✓	✓	✓	✓	✓	✓	100%	
Sara Anwahi / Maram Buallay / Shatha Kuleib - Head of Human Resources, United Arab Emirates	✓*	✓	✓*	✓	✓	✓	✓	✓	100%	Shatha Kuleib joined the SMC on 21 October 2025, in place of Maram Buallay, who joined the SMC on 16 June 2025 and left on 21 October 2025, and Sara Anwahi, who left the SMC on 14 May 2025
Sandeep Satalkar - Head of Credit Administration, United Arab Emirates (Secretary)	✓	✓	✓	✓	✓	✓	✓	✓	100%	

*Attended by proxy.

Corporate Governance and Ethical Behaviour continued

Performance Evaluation of Board of Directors and Committees

NBB continues to strive to apply well-developed and balanced governance practices, ethical standards and fair dealings. As part of this continuing initiative, the bank has revamped its Board performance evaluation process and enhanced its format to identify improvement opportunities to enhance the overall performance of the Board, the Board Committees and each Board member.

The Board performance evaluation for the year 2025 was conducted electronically through a structured performance evaluation questionnaire against pre-defined criteria, as per the mandate of the Board and each of its Committees. The evaluation covers effectiveness and contribution of the overall performance of the Board, its committees and the performance of each Board member. The Group Chief Legal Officer and Corporate Secretary and the Board Secretary collated the responses, analysed them and submitted a summary report to the NRGSC. The NRGSC is responsible for overseeing the Board performance evaluation process and has presented its findings to the Board of Directors in the first quarter of 2026. The evaluation confirms that the Board, its Committees and Board members continue to operate with a high level of excellency and effectiveness in light of the result of the evaluation being 93.7%. The Board considers this a beneficial exercise that can enhance governance and therefore deliver and unlock value to the bank and its shareholders.

Related Party Transactions and Conflict of Interest

All directors have a duty under the Commercial Companies Law, the Central Bank of Bahrain regulations and the bank’s corporate governance policy and the conflict of interest policy to avoid situations in which they may have conflicts of interest with those of the bank, unless they are specifically authorised by the Board. This includes potential conflicts that may arise when a director takes up a position with another company or has any material transactions with the bank. The bank has policies and procedures for handling related party transactions including loans and advances to directors, senior management and their related parties, as well as transactions and agreements in which a director or an employee has a material interest. In addition, exposures to directors and senior management are governed by the regulations of the CBB. Details of related party transactions involving the bank in 2025 are disclosed in Note (29) of the consolidated financial statements.

The independent directors play a key role in protecting minority shareholders’ interests throughout their participation at a Board level and at the level of the committees which they are members of. Independent members are regularly informed and reminded of their right to conduct separate meetings comprised of only the independent members and this is exercised as and when requested by the independent members. For 2025 no such meeting were held.

As per the Group Conflict of Interest Management Policy, the Directors concerned do not participate in decisions in which they have or may have a potential conflict of interest. Related party transactions are entered into in compliance with Article 189 of the Commercial Companies Law.

They are entered into following the satisfaction of the bank’s tender processes and procedures to ensure that the bank receives optimal services from its counterparties at the best pricing available. Decisions relating to the approval of related party transactions, whether with connected parties of Directors, Controllers or significant shareholders of the bank, or employees are approved after appropriate disclosures have been made and the related parties and their connected persons refrain from participating in the decision-making process.

The bank’s shareholders are referred to Note (29) of the consolidated financial statements setting out disclosures of related party transactions in compliance with Article 189(C) of the Commercial Companies Law. The Board is satisfied with the procedures in place for the approval of related party transactions and the outcomes of related party contracts entered into in 2025.

Disclosures of Conflicts of interest (as of 31 December 2025)

Members	Instances of abstaining from voting	Status
Mrs. Hala Yateem	2	Unanimously approved by the Board of Directors
Mr. Yusuf Alireza	2	Unanimously approved by the Board of Directors
Sh. Rashed Al Khalifa	16	Unanimously approved by the Board of Directors
Mr. Vincent Van Den Boogert	3	Unanimously approved by the Board of Directors
Dr. Paul Pester	3	Unanimously approved by the Board of Directors
Mr. Zaid Abdulrahman	33	Unanimously approved by the Board of Directors
Mr. Rishi Kapoor	33	Unanimously approved by the Board of Directors
Mr. Ahmed Kanoo	7	Unanimously approved by the Board of Directors
Mr. Mohamed Almoayyed	9	Unanimously approved by the Board of Directors
Mr. Isa Maseeh	33	Unanimously approved by the Board of Directors
Mr. Alaa Saeed	33	Unanimously approved by the Board of Directors

Corporate Governance and Ethical Behaviour continued

Employment of Relatives

The bank has a Board approved policy in place on employment of relatives to prevent the potential favouritism and conflict of interest in decision-making due to factors of blood relations amongst employees and Board including Approved Persons. The Human Resources and Talent Development must be informed of any familial relationship to review reporting lines and responsibilities and mitigate any associated risks.

Code of Conduct

The Board has adopted a comprehensive Code of Conduct that provides a framework for directors, officers and employees on the conduct and ethical decision-making integral to their work. All officers and employees subscribe to this Code of Conduct and are expected to observe high standards of integrity and fairness in their dealings with clients, regulators and other stakeholders.

Shareholder's Rights

The bank has a public disclosure on its website on shareholder's rights. It includes, amongst other things, the right to deal in the bank's shares, to attend the general assembly and the right to receive dividends as decided by the general assembly.

Whistle Blower Policy

In line with CBB requirements and leading practices, the bank has have implemented a whistleblowing policy to protect its employees from any form of retaliation. If employees or other parties providing the bank with services (including agents, consultants, auditors, suppliers and other service providers under contract with the bank) observe any unethical or improper practice or behaviour, a wrongful conduct of a financial of legal nature, or any activity that violates the code of conduct, they have the opportunity to report these to the chairperson of the Audit Committee without fear of repercussion, through an automated whistleblowing channel. The Chief Internal Auditor will be delegated by the chairperson to

investigate in a timely and fair manner allegations raised by the whistle-blower. The Chief Internal Auditor will keep the Audit Committee advised of the outcome of the investigation and depending on the materiality of the investigation results, the Audit Committee members may meet with the executive management to discuss the results and explore the available disciplinary actions. The full whistleblowing policy is available in the bank's official website.

Communication Strategy

The bank has a public disclosure policy approved by the Board. The bank is committed to support the timely and accurate disclosure of material information in accordance with the requirements set out in the rules and regulations of the CBB and the Bahrain Bourse as well as other applicable laws, to facilitate efficient capital market activities. The bank believes in the principle of transparency about its financial performance thus enabling all stakeholders to have access to such information on a timely basis.

In addition to the annual audit, the external auditors conduct reviews on the bank's quarterly financial statements. These statements are subsequently published in the newspapers and posted on the bank's website in accordance with regulatory requirements. The annual report including the complete financial statements for the current financial year and a minimum of five preceding financial years are provided on the bank's website.

The communication strategy of the UAE and KSA branches is managed by head office corporate communications.

Corporate Governance and Ethical Behaviour continued

Directors and Executive Management Interests

The number of shares held by directors and their related parties and trading during the year is as follows:

Name	Type of shares	31 December 2025	Sales during 2025	Purchases during 2025	Other ¹	31 December 2024
Hala Ali Husain Yateem - Chairperson	Ordinary	11,298,568	-	20,000	-	11,278,568
Yusuf Abdulla Alireza - Vice Chairperson	Ordinary	-	-	-	-	-
Sh. Rashed Bin Salman Al Khalifa - Director	Ordinary	-	-	-	-	-
Rishi Kapoor - Director	Ordinary	-	-	-	-	-
Vincent Van Den Boogert - Director	Ordinary	-	-	-	-	-
Zaid Khalid Abdulrahman - Director	Ordinary	1,001,380	-	200,000	-	801,380
Dr. Paul David Pester - Director	Ordinary	-	-	-	-	-
Isa Hasan Maseeh - Director	Ordinary	-	-	-	-	-
Mohamed Farouk Almoayyed - Director	Ordinary	635,595	-	-	558,703	94,892
Ahmed Fawzi Kanoo - Director	Ordinary	6,143	-	-	-	6,143
Alaa Abdulkhaleq Saeed - Director	Ordinary	-	-	-	-	-
Total shares	Ordinary	12,959,686	-	220,000	558,703	12,180,983
As a % of the total number of shares		0.57%	-	0.01%	0.02%	0.5%

Notes

1. Represents shares transferred as part of the Employee Share Incentive Scheme and shares transferred to or from other shareholders during the year.

Corporate Governance and Ethical Behaviour continued

Directors and Executive Management Interests (continued)

The number of shares held by executive management and their related parties and trading during the year is as follows:

Name	Type of shares	31 December 2025	Sales during 2025	Purchases during 2025	Other ¹	31 December 2024
Usman Ahmed - Group Chief Executive Officer	Ordinary	-	-	-	-	-
Abdulaziz Al Ahmed - Chief Executive Strategic Accounts	Ordinary	514,097	-	-	125,682	388,415 ²
Sarah Abdulaziz Jamal - Group Chief Human Resources Officer	Ordinary	Left the Bank during the year				-
Hend Mahmood - Group Chief Human Resources Officer	Ordinary	-	-	-	-	-
Nabeel Mustafa -Group Chief Operating Officer	Ordinary	100,289	-	-	30,599	69,690
Hisham Alkurdi - Group Chief Executive of Markets and Client Solutions	Ordinary	Left the Bank during the year				20,359
Fadhel Abbas - Group Chief Internal Auditor	Ordinary	444,869	-	-	47,452	397,417
Mohsin Rahim - Group Chief Financial Officer	Ordinary	-	-	-	-	-
Gaby El Hakim - Group Chief Legal Officer and Corporate Secretary	Ordinary	611,268	-	-	90,220	521,048
Ali Ehsan - Group Chief Risk Officer	Ordinary	224,269	-	-	41,886	182,383
Rana Qambar - Group Chief Compliance Officer	Ordinary	93,131	-	-	46,171	46,960
Subah Al Zayani - Chief Executive, Retail Banking	Ordinary	192,639	-	-	69,615	123,024
Razi Amin - Group Chief Technology Officer	Ordinary	33,445	41,000	-	-	74,445
Hisham Abu Alfateh - Chief Corporate Communications Officer	Ordinary	89,746	-	-	35,304	54,442
Mansour Al Saghayer - Chief Executive, Kingdom of Saudi Arabia	Ordinary	-	37,255	-	37,255	-
Yogesh Kale - Chief Executive, United Arab Emirates	Ordinary	98,912	-	-	54,679	44,233
Ali Abdulkarim - Group Chief Executive - Corporate and Commercial Banking	Ordinary	-	79,793	-	79,793	-
Zaina Al Zayani - Group Chief Strategy and Sustainability Officer	Ordinary	21,264	-	-	15,859	5,405
Total shares		2,423,929	158,048	-	674,515	1,927,821

Notes

1. Represents shares transferred as part of the Employee Share Incentive Scheme and shares transferred to or from other shareholders during the year.

2. 2024 figures have been restated to reflect changes in the Senior Management member's related parties change during the year, to ensure comparability with the current-year disclosures

Approved and Senior Management Position Holders

The total interest in the shares held by approved persons and their related parties is as follows:

Name	Type of shares	31 December 2025	31 December 2024
Total number of shares held	Ordinary	15,383,615	15,732,470
As a % of the total number of shares	Ordinary	0.68%	0.7%

Corporate Governance and Ethical Behaviour continued

Remuneration

Board of Directors Remuneration

The Board is paid an annual remuneration as approved by the shareholders at the Ordinary General Meeting in line with the provisions of Article 188 of Bahrain's Commercial Companies Law, 2001. The Board of Directors' remuneration will be capped so that the total remuneration (excluding sitting fees) does not exceed 10% of the bank's net profit, after all the required deductions outlined in Article 188 of the Companies law, in any financial year. While the amount of remuneration is not directly linked to the performance of the bank, factors such as the bank's performance, industry comparison and the time and effort committed by the directors to the bank, are considered for determining the total remuneration. Remuneration of non-executive directors does not include performance-related elements such as grants of shares, share options or other deferred stock-related incentive schemes, bonuses or pension benefits. Directors' remuneration is accounted as an expense as per International Financial Reporting Standards and Central Bank of Bahrain regulations. In addition, the directors are paid sitting fees for the various committees of the Board.

Employees Remuneration Policy

The employees of the bank are critical for the bank's success and future business sustenance. Hence, it is imperative to recruit and retain talented resources from the competitive employment market. To achieve this objective, the bank's remuneration policy is developed to attract, retain and motivate the best talent. Accordingly, employee remuneration and benefits are reviewed and revised in the context of business performance, industry and local practices. In addition to fixed monthly salary and allowances, employees are provided with several other benefits like variable remuneration in the form of bonus, medical, life insurance cover, retirement benefits and employee savings scheme. While doing so, the bank gives paramount importance to the interests of the shareholders and to this end, the bank has implemented the Sound Remuneration Practices mandated by the Central Bank of Bahrain. While aligning the compensation of the employees with the risk outcomes and performance levels of the bank, the revised policies for Variable Remuneration i.e. the Bonus and Share Incentive Scheme also endeavour to align senior management's interest with shareholders' interests. The total variable remuneration paid to all employees including the Share Incentive Scheme is within the range of 7% to 9% of the net profit before the bonus and the variable remuneration of senior management is reviewed and approved by the Board Nomination, Remuneration, Governance and Sustainability Committee of the bank.

Remuneration of Board Members, Executive Management, UAE Senior Management Committee and Fees Paid to External Auditors

The aggregate remuneration paid to board members and executive management personnel are disclosed in detail in the Board Report which includes all required regulatory disclosures in this regard. The aggregate remuneration paid to the UAE Senior Management Committee in 2025 is BHD 1,987,407.

KPMG Fakhro are the bank's external auditors for the financial year ended 31 December 2025. Fees related to KPMG during the year 2025 amount to BHD 452,409 out of which BHD 214,742 is for audit services, BHD 142,383 is for CBB mandatory review requirements under the Agreed Upon Procedures and BHD 95,285 is for non-audit services. The Board assessed that the incumbent external auditor had performed their duties and responsibilities diligently throughout the year and have therefore recommended their reappointment.

Status of Compliance with CBB's Corporate Governance Guidelines (High Level Controls Module)

Banks are required to comply with the High-Level Controls (HC) Module of the CBB Rulebook. The HC Module contains both Rules and Guidance; unless specific exemptions or approvals are provided by the regulator, Rules must be complied with. Guidance may either be complied with or not, provided non-compliance is explained.

The bank has provided the following explanations related to the items below:

Guidance/Rules

- HC-3.5.1 states that the Board should establish a Risk Committee of at least three directors of which the majority should be independent. The bank has combined the responsibility of the Risk Committee with the Compliance Committee, which has three members one of whom is independent, which does not satisfy the requirements of HC-3.5.1. However, it is the Board's determination that the Risk and Compliance Committee is sufficiently independent to meet its requirements and responsibilities, and on this basis the CBB has confirmed that it has no objection to the composition of the Risk and Compliance Committee in this manner.
- HC-3.8.2 states that the Board should establish a Corporate Governance Committee and HC-3.3.3 allows combination of committees. The bank has combined the responsibility of the Corporate Governance Committee with that of the Nomination, Remuneration, Governance and Sustainability Committee. The Board is of the view that this does not compromise the high standards of corporate governance as the Nomination, Remuneration, Governance and Sustainability Committee has sufficient resources and time to discharge its duties and holds sufficient number of meetings to fulfil its responsibilities, and on this basis the CBB has confirmed that it has no objection to the combination of these committees in this manner.
- HC-2.2.2 (e) states that Board candidates must not have more than two (2) directorships of Bahraini banks, bearing in mind that two directorships of licensees of the same license category (e.g. 'Retail Bank') are not permitted. However, Mr. Zaid Khalid Abdulrahman is a Director of NBB and a Director of Bahrain Islamic Bank ("BisB"). Accordingly, in this instance, NBB has obtained the necessary regulatory approvals from the CBB for his appointment as a Director of BisB.

Corporate Governance and Ethical Behaviour continued

Guidance/Rules (continued)

- HC-3.6.2 states that members of the Remuneration Committee must be independent of any risk-taking function or committee. HC-3.7.1 states that the Nomination Committee must have either three independent directors or three non-executive directors of whom the majority must be independent directors’ including the chairperson. Dr. Paul Pester is a member of the Executive Committee and is also a member of the Nomination, Remuneration, Governance and Sustainability Committee. The Nomination, Remuneration, Governance and Sustainability Committee is comprised of two independent directors and two non-executive members. The Board is of the view that this does not compromise the make-up of Nomination, Remuneration, Governance and Sustainability Committee which has sufficient independence and expertise to discharge its duties, and on this basis, the CBB has confirmed that it has no objection to the appointment of Dr. Paul Pester and the composition of the Nomination, Remuneration, Governance and Sustainability Committee.

Remuneration Report

Our Philosophy

The bank has adopted a total rewards philosophy which translates its vision, strategy and values into a framework that guides its decision making when it comes to all elements of its reward. The bank aims, through this adoption to:

- Attract and retain the best performers.
- Provide incentive variable pay based on the attainment of specific organisational performance goals as well as the attainment of individual performance goals in a manner which is completely aligned to the organisational values.
- Develop industry leaders who positively impact the performance of the bank and act as catalyst for growth within the economies in which it operates.

In its elements, the bank's philosophy encompasses the following:

- Encourage competency building by better linking career development, performance management and rewards.
- Support a performance-driven work culture that generates organisational growth.
- Reward (in the form of fixed and variable compensation) performance, skills and competencies, development and growth, and effective visible commitment to the organisation.
- Generate opportunities for individuals’ growth through career development, training, and succession planning and talent development.
- Support a work environment which is governed by the organisation's values, sound leadership, and a culture conducive to success through team-based oriented work relationships and a work life balance.

This translation of the bank's philosophy has been implemented through compliance with a strong corporate governance framework, one which is both in adherence with regulatory requirements and aligned with industry benchmarks and best practices. In terms of oversight, the NRGSC is responsible for ensuring adherence to policy and regulations.

The bank's Remuneration Policy ensures that all employees who occupy Approved Positions and are Material Risk Takers are remunerated fairly and responsibly. Approved Positions are functions that require prior approval from the CBB. Material Risk Takers are employees who are heads of significant business lines and any individuals within their control who have a material impact of the bank's risk profile.

To ensure alignment between what employee pay and the bank's business strategy, the bank assess individual performance against annual and long-term financial and non-financial objectives summarized in line with its performance management system. This assessment also considers adherence to the bank's values, risk, compliance measures and, above all, the need to act with integrity. Altogether, performance is judged not only on what is achieved over the short and long-term but also importantly on how it is achieved, as the bank believes the latter contributes to the long-term sustainability of the business.

NRGSC Role and Focus

The NRGSC has oversight of all compensation policies for the bank's employees. The NRGSC is the supervisory and governing body for compensation policy, practices and plans. It is responsible for determining, reviewing and proposing variable remuneration policy for approval by the Board. It is responsible for setting the principles and governance framework for all compensation decisions. The NRGSC ensures that all persons must be remunerated fairly and responsibly. The remuneration policy is reviewed on a periodic basis to reflect changes in market practices and the business plan and risk profile of the bank.

The responsibilities of the NRGSC with regards to the variable compensation policy of the bank, as stated in its mandate, include, but are not limited to, the following:

- Recommend to the Board, monitor and review the remuneration system to ensure the system operates as intended.
- Recommend to the Board the remuneration policy and approve the remuneration package amounts for each Approved Person and Material Risk Taker, as well as the total variable remuneration to be distributed, taking account of total remuneration including salaries, fees, expenses, bonuses and other employee benefits.
- Ensure remuneration is adjusted for all types of risks.
- Ensure that for Material Risk Takers, variable remuneration forms a substantial part of their total remuneration.
- Review the stress testing and back testing results before approving the total variable remuneration to be distributed including salaries, fees, expenses, bonuses and other employee benefits.

Corporate Governance and Ethical Behaviour continued

NRGSC Role and Focus (continued)

- Carefully evaluate practices by which remuneration is paid for potential future revenues whose timing and likelihood remain uncertain. The NRGSC will question payouts for income that cannot be realised or whose likelihood of realisation remains uncertain at the time of payment.
- Recommend Board member remuneration based on their attendance and performance and in compliance with Article 188 of Bahrain's Commercial Companies Law.
- Ensure appropriate compliance mechanisms are in place to ensure that employees commit themselves not to use personal hedging strategies or remuneration and liability-related insurance to undermine the risk alignment effects embedded in their remuneration arrangements.

The Board has established the NRGSC to address the above-mentioned objectives. Details of the committee, including its meeting dates, are included within the Corporate Governance Report. The aggregate remuneration paid to the NRGSC members during the year in the form of sitting fees amounted to BHD 8,500.

Scope of Application of the Remuneration Policy

The remuneration policy has been adopted on a NBB parent-wide basis and shall apply to its overseas branches and subsidiaries.

Variable remuneration is performance related and consists primarily of the annual performance bonus award. The variable remuneration reward is linked to individuals’ contributions towards the attainment of the bank's goals and targets working within a value-based culture, in the context of a highly efficient, pragmatic and delivery-oriented environment.

The bank has a Board approved framework to develop a transparent link between performance and variable remuneration. The framework is designed on the basis that the combination of financial performance and achievement of other non-financial factors, would, all other things being equal, deliver a target bonus pool for the employees. The bonus pool is then adjusted to take account of risk via the use of risk-adjusted measures (including forward-looking considerations). In the framework adopted in determining the variable remuneration pool, the NRGSC aims to balance the distribution of the bank's profits between shareholders and employees.

The key performance metrics at the bank level include a combination of short and long-term measures and include profitability, solvency, liquidity and growth indicators.

The NRGSC carefully evaluates practices by which remuneration is paid for potential future revenues whose timing and likelihood remain uncertain. NRGSC demonstrates that its decisions are consistent with the assessment of the bank's financial condition and prospects.

The bank uses a formalized and transparent process to adjust the bonus pool for quality of earnings. It is the bank's objective to pay out bonuses out of realized and sustainable profits. Based on the quality of earnings, the bonus base could be adjusted based on the discretion of the NRGSC.

For the bank to have any funding for distribution of bonus pool, thresholds of financial targets have to be achieved. The performance measures ensure that the total variable remuneration is generally considerably reduced where subdued or negative financial performance occurs. Furthermore, the target bonus pool as determined above is subject to risk adjustments in line with the risk adjustment and linkage framework. The performance management process ensures that all goals are appropriately cascaded down to respective business units and employees.

As mentioned above, the total variable remuneration paid to all employees including the Share Incentive Scheme is within the range of 7% to 9% of the net profit before the bonus.

Remuneration of Control and Support Functions

The remuneration level of staff in the control and support functions allows the bank to employ qualified and experienced personnel in these functions. The bank ensures that the mix of fixed and variable remuneration for control and support function personnel should be weighted in favour of fixed remuneration. The variable remuneration of control functions is based on function-specific objectives and is not determined by the individual financial performance of the business area they monitor.

The bank's performance management system plays a major role in deciding the performance of the support and control units based on the objectives set for them. Such objectives are more focused on non-financial targets that include risk, control, compliance, and ethical considerations as well as the market and regulatory environment other than value adding tasks which are specific to each unit.

Variable Compensation for Business Units

Variable compensation for the business units is primarily decided by the key performance objectives set through the bank's performance management system. Such objectives contain financial and non-financial targets, including risk control, compliance, and ethical considerations as well as market and regulatory environment. The consideration of risk assessment in the performance evaluation of individuals ensures that any two employees who generate the same short-run profit but take different amounts of risk on behalf of the bank are treated differently by the remuneration system.

Corporate Governance and Ethical Behaviour continued

Risk Assessment Framework

The purpose of the risk linkages is to align variable remuneration to the risk profile of the bank. In seeking to do so, the bank considers both quantitative measures and qualitative measures in the risk assessment process. Quantitative measures and human judgement play a role in determining risk adjustments. The risk assessment process encompasses the need to ensure that the remuneration policy is designed to reduce employees’ incentives to take excessive and undue risk is symmetrical with risk outcomes and has an appropriate mix of remuneration that is consistent with risk alignment.

The NRGSC considers whether the variable remuneration policy is in line with the bank’s risk profile and ensures that through the bank’s ex-ante and ex-post risk assessment framework and processes, remuneration practices where potential future revenues whose timing and likelihood remain uncertain are carefully evaluated.

Risk adjustments consider all types of risk, including intangible and other risks such as reputation risk, liquidity risk and the cost of capital. The bank undertakes risk assessment to review financial and operational performance against the business strategy and risk performance prior to the distribution of the annual bonus. The bank ensures that the total variable remuneration does not limit its ability to strengthen its capital base.

The NRGSC keeps itself abreast of the bank’s performance against the risk management framework. The NRGSC will use this information when considering remuneration to ensure the return, risk and remuneration are aligned.

In years where the bank suffers material losses in its financial performance, the risk adjustment framework includes several adjustments. The NRGSC carefully examines the results of stress tests and back tests conducted on the variable remuneration policy framework and makes necessary corrections to the staff bonus by reduction of bonus pool, possible changes to vesting period, additional deferrals and malus or clawback provisions.

The NRGSC, with Board’s approval, can rationalize and make the following discretionary decisions:

- Increase/ decrease the ex-post adjustment.
- Consider additional deferrals or increase in the quantum of share awards.
- Recovery through malus and clawback arrangements.

Malus and Clawback Framework

The bank’s malus and clawback provisions allow the Board to determine that, if appropriate, unvested elements under the deferred bonus plan can be forfeited/ adjusted or the delivered variable compensation could be recovered in certain situations. The intention is to allow the bank to respond appropriately if the performance factors on which reward decisions were based turn out not to reflect the corresponding performance in the longer term. All deferred compensation awards contain provisions that enable the bank to reduce or cancel the

awards of employees whose individual behaviour has had a materially detrimental impact on the bank during the concerned performance year.

Any decision to take back an individual’s award can only be taken by the Board.

The bank’s malus and clawback provisions allow the bank’s Board to determine that, if appropriate, vested/unvested elements under the deferred bonus plan can be adjusted/ cancelled in certain situations. These events include (i) reasonable evidence of wilful misbehaviour, material error, negligence or incompetence of the employee causing the bank/the employee’s business unit to suffer material loss in its financial performance, material misstatement of the bank’s financial statements, material risk management failure or reputational loss or risk due to such employee’s actions, negligence, misbehaviour or incompetence during the concerned performance year, and (ii) the employee deliberately misleads the market and/or shareholders in relation to the financial performance of the bank during the concerned performance year.

Clawback can be used if the malus adjustment on the unvested portion is insufficient, given the nature and magnitude of the issue.

Components of Variable Remuneration

Variable remuneration has the following main components:

Upfront cash	The portion of the variable compensation awarded and paid out in cash on conclusion of the performance evaluation process for each year.
Deferred cash	The portion of variable compensation awarded and paid in cash on a pro-rata basis over three years.
Upfront share awards	The portion of variable compensation awarded and issued in the form of shares on conclusion of the performance evaluation process for each year.
Deferred shares	The portion of variable compensation awarded and paid in the form of shares on a pro-rata basis over three years.
Long Term Incentive Plans	The portion of variable compensation awarded and paid in the form of shares on a cliff vesting basis after three years based on performance and retention conditions.

All deferred awards are subject to malus provisions. All share awards are released to the benefit of the employee after a six-month retention period from the date of vesting. The number of equity share awards is linked to the bank’s share price as per the rules of the bank’s share incentive scheme. Any dividend on these shares is released to the employee along with the shares (i.e. after the retention period).

Corporate Governance and Ethical Behaviour continued

Deferred Compensation

Employees occupying CBB approved positions or identified as material risk takers with annual total compensation of BHD 100,000 and above shall be subject to deferral of variable remuneration as follows:

Element of variable remuneration	GCEO and above	5 highest paid business emp.	SMs and AGMs	Deferral period	Retention	Malus	Clawback
Upfront cash	40%	40%	50%	Immediate	-	-	Yes
Upfront shares	-	-	10%	Immediate	6 months	Yes	Yes
Deferred cash	10%	10%	-	3 years*	-	Yes	Yes
Deferred share awards	50%	50%	40%	3-5 Years*	6 months	Yes	Yes

Note:
* The deferral vests on a pro-rata basis over a three-year period.

Employees

1-Employee remuneration

2025											
BHD 000's	Number of Staff*	Fixed Remuneration		Sign on Bonuses	Guaranteed Bonuses	Variable Remuneration *****					Total
		Cash	Others	(Cash / shares)	(Cash / shares)	Upfront		Deferred			
						Cash	Shares	Cash	Shares	Others	
Approved Persons											
- Business Lines ***	7	1,695	222	0	0	477	1	118	595	0	3,108
- Control and Support	13	1,657	299	17	0	405	74	0	295	0	2,747
Other Material Risk Takers ****	31	2,386	367	0	0	499	63	9	297	0	3,621
Other Staff	770	17,849	3,699	0	0	4182	0	0	0	0	25,730
Overseas Staff	46	1,361	79	0	0	257	0	0	0	0	1,697
TOTAL	867	24,948	4,666	17	0	5820	138	127	1187	0	36,903

* This represents staff as at 31 December 2025. 73 staff who left during the year are not included in the number of staff however their respective remuneration has been disclosed in the relevant captions.

** Approved persons remuneration disclosed is for those for those occupying approved positions and senior management identified as part of the updated Fit & Proper module effective 1st October 2025

*** Two overseas staff have been included as part of the Approved Business Line Category

**** An updated list of material risk taker positions has been approved by NRGSC which is reflected in 2025’s figures compared to previous year submissions of which, six overseas staff have been included in the category.

***** Variable Remuneration Payment includes a BHD 20,000 discretionary payment from BlsB in addition to the NBB Bonus Pool.

Corporate Governance and Ethical Behaviour continued

Employees (continued)

2024											
BHD 000's	Number of Staff*	Fixed Remuneration		Sign on Bonuses	Guaranteed Bonuses	Variable Remuneration					Total
		Cash	Others	(Cash / shares)	(Cash / shares)	Upfront		Deferred			
						Cash	Shares	Cash	Shares	Others	
Approved Persons											
- Business Lines	6	1,240	185	-	-	505	-	126	631	-	2,687
- Control and Support	16	2,132	328	116	-	470	89	-	355	-	3,490
Other Material Risk Takers	4	704	73	-	-	114	20	4	98	-	1,013
Other Staff	751	16,871	3,504	-	-	3,886	171	-	683	-	25,115
Overseas Staff**	82	3,109	344	-	-	474	13	-	52	-	3,992
TOTAL	859	24,056	4,434	116	-	5,449	293	130	1,819	-	36,297

* This represents staff as at 31 December 2024. 62 staff who left during the year are not included in the number of staff however their respective remuneration has been disclosed in the relevant captions.

** One overseas staff has been included as part of the Approved Persons Business Lines category and two overseas staff have been inclded as part of the other Material Risk Takers category.

2. Deferred Awards

	2025				
	Cash	Shares	Others	Total	
	BHD 000's	Number	BHD 000's*	BHD 000's	BHD 000's
Opening Balance	435	5,047,850	2,899	-	3,334
Awarded during the year	130	4,247,997	2,111	-	2,241
Adjustment based on final awards for 2024	-	18	-	-	-
Cash/Stock dividend awarded during the year	297	-	-	-	297
Interest on deposits	15	-	-	-	15
Paid out/released during the year	(299)	(2,844,915)	(1,612)	-	(1,911)
Closing balance	578	6,450,950	3,398	-	3,976

* Based on the original award price for each award period.

Corporate Governance and Ethical Behaviour continued

Compliance

The bank is committed to fostering a robust compliance culture that extends throughout every aspect of its operations. This commitment is endorsed by the bank's Board of Directors and senior management, who set the tone for compliance from the top and plays a leading role in establishing the Groups' compliance culture and values, and adherence to all applicable regulatory requirements. The bank's reputation and client's interests are safeguarded by upholding the highest standard of ethical standards, through conducting the bank's business responsibly.

In 2025, the bank continued to refine its compliance framework, ensuring that it aligns with the evolving regulatory landscape in the Kingdom of Bahrain and other jurisdictions where it operates.

Compliance Culture

The bank is dedicated to nurturing a compliance-oriented culture through a comprehensive training and awareness program. All employees, including the Board of Directors, participate in mandatory Anti-money laundry and combatting terrorism financing trainings sessions. Additionally, compliance various awareness sessions are conducted for all staff to reinforce the importance of compliance and its role in achieving the bank's strategic objectives. These efforts foster a culture of ethical decision-making and ensure that the bank consistently deliver fair outcomes for our clients and stakeholders in accordance with the regulatory requirements.

Compliance Governance and Conduct Risk

The Group Compliance Management Committee ("GCMC"), established in 2019, oversees all compliance-related risks.

The objective of the committee is to develop, identify, measure, document and assess compliance risks across the group, and monitor the adherence of NBBs' Group to the CBB, Central Bank of UAE ("CBUAE") as well as the Central Bank of Saudi Arabia ("SAMA") requirements with the relevant rules and regulations.

Additionally, provides regular updates to senior management on progress towards resolving compliance related regulatory observations, compliance audit findings, and self-identified issues. The GCMC also serves as an escalation point for any compliance-related matters requiring immediate attention. The Group Chief Compliance Officer reports relevant management information from GCMC sessions to the Board Risk and Compliance Committee ("BRCC").

Both the GCMC and the BRCC operate under approved terms of reference, ensuring clear governance structures and accountability for compliance matters. The bank continues to strengthen its processes by advancing conduct risk management initiatives, developing and enhancing controls to detect, investigate, and monitor misconduct risks, supporting market integrity and reinforcing the banks commitment to ethical standards.

Compliance (continued)

Compliance Framework

To maintain a robust compliance framework that structures a set of guidelines and principles to aggregate, harmonize, and integrate all regulatory requirements that apply to the bank and ensure full adherence to all applicable regulatory requirements.

Financial Crime Compliance (FCC)

The bank is committed in applying rules, principles, and the highest level of standards to manage Anti-Money Laundering ("AML"), Combating Financing of Terrorism ("CFT") and proliferation risks in line with the financial crime laws and regulations as required by the CBB.

Additionally, the bank adopts a risk based approach to ensure mitigation of compliance risks. The bank's comprehensive AML, CFT, and Sanctions Policy outlines the principles and direction to control and adhere to the relevant applicable laws and regulations.

Compliance Testing and Assurance

Compliance Testing and Assurance play a crucial role in ensuring that the bank effectively manages regulatory risks and prevent non-compliant activities. Compliance regularly assesses the bank's adherence to regulatory requirements and the effectiveness of the bank's first and second lines of defense activities. This risk-based approach compliance testing plan ensures that the business operates in compliance with all relevant regulations.

Customer Complaints

The bank is committed to providing exceptional customer service and promptly addressing customer complaints. The bank's Complaints Management Policy and procedures align with guidelines provided by the CBB. The bank value customer feedback and utilize complaints as an opportunity to identify and rectify shortcomings, ultimately enhancing our services and products.

Regulatory Engagements

The bank proactively engages with regulatory authorities to stay abreast of evolving regulatory requirements. A dedicated team monitors regulatory releases from relevant regulatory bodies, promptly identifying and assessing the potential impact of any new or updated regulations on its operations. The bank then implement the necessary changes to its policies, procedures, and controls to ensure ongoing compliance.

Corporate Governance and Ethical Behaviour continued

Internal Audit

The Internal Audit function is a core pillar of the bank’s risk management and governance framework. It independently evaluates the effectiveness and adequacy of internal controls and the independence of risk management functions and conducts periodic reviews to confirm adherence to established policies, procedures, and approved terms. Findings and areas of concern are promptly communicated to enable timely corrective action. The function itself is subject to an independent external quality assurance review.

Internal Audit adopts a risk-based approach. Each engagement verifies the availability and currency of comprehensive policies and procedures and assesses the clarity and completeness of applicable systems and documentation. The approved risk-based audit plan developed following an annual risk assessment which covers control effectiveness, risk model validation, and operational compliance, and forms part of a rolling three-year strategic audit plan that ensures full coverage of functions and processes across NBB’s local and overseas operations. The department operates in conformance with the Institute of Internal Auditors (IIA) Global Standards for the Professional Practice of Internal Auditing. More than 70% of Internal Audit staff hold professional qualifications from leading international bodies, including CIA, CISA, CMA, CPA, and ACCA.

Risk Management

The financial sector continues to grow in complexity and sophistication with ongoing changes in regulatory and operating environments globally. Technology advancements are introducing new challenges and opportunities for banks. With this dynamic environment comes a growing need to continue to strengthen existing frameworks and bolster controls. NBB has, over the years, developed risk management into a core competence and remains well-positioned to meet these challenges. The bank evaluates risk in terms of the impact on income and asset values. The evaluation reflects the bank’s assessment of the potential impact on its business on account of changes in political, economic and market conditions and in the creditworthiness of its clients. Risk management at NBB has always been prudent and proactive, with the objective of achieving the optimum balance between risk and expected returns.

Overall authority for risk management in the bank is vested in the Board. A Board Risk and Compliance Committee has been established to provide oversight and advice to the Board. The Board authorises appropriate credit, operational, liquidity, market and information security risk policies based on the recommendations of management. Approval authorities are delegated in a hierarchy depending on the amount, type of risk and collateral security. The bank has also established an Operational Risk Management Committee (ORMC), Group Asset Liability Committee (GALCO), Management Credit Committee (MCC), Business Continuity Management Committee (BCMC), and Information Security Committee (ISC) to address different areas of risk.

The bank’s risk management process encompasses the various dimensions of risk as outlined below.

Credit Risk

Credit Risk is the likelihood that a counterparty of the bank will not meet its obligations in accordance with the agreed terms. It largely arises in assets shown on the balance sheet, but it can also show-up off the balance sheet in a variety of contingent obligations. The bank actively strives to manage risk to protect and enable the business by establishing a framework for a robust, unified and consistent credit culture across the bank. NBB has maintained a conservative and consistent approach to risk since its inception, helping to ensure protection of client’s funds, lend responsibly, and support the local economy. The team at Credit Risk works carefully to ensure the alignment between the bank’s credit risk appetite and the vision in its corporate strategy.

With regulatory and market pressures driving the industry to heightened risk controls and wise use of capital, the team continues to undertake more scrutiny in detailed reviews of the bank’s portfolios. It actively assesses clients and sectors likely to come under stress, taking corrective risk management action plans when necessary.

An internal grading system and review process ensures prompt identification of any deterioration in credit risk and consequent implementation of corrective action. The bank’s internal risk ratings are based on a 22-point scale that considers the financial strength of a borrower as well as qualitative aspects, to arrive at a comprehensive assessment of the risk of default associated with the borrower. Risk ratings assigned to each borrower are reviewed at least annually. Regular monitoring of the portfolio enables the bank to address accounts that evidence deterioration in risk profile.

The bank follows stringent criteria in setting credit limits for countries and financial institutions. Prudent norms have been implemented to govern the bank’s investment activities. Not only are regular appraisals conducted to judge the creditworthiness of the counterparty but day-to-day monitoring of financial developments across the globe ensures timely identification of any event affecting the risk profile.

The bank has systems and procedures in place to generate alerts in case of past dues in any account. A stringent classification process is followed for all such accounts. The bank applies rigorous standards for provisioning and monitoring of non-performing loans.

The bank’s Global Credit Policy integrates ESG factors into the credit process, as follows:

- Controlled Credits: One up level approval required for borrowers violating prudential norms of responsible corporate behaviour including environmental, social and governance-related norms related to human rights, working conditions, child labour, environmental impact, anti-corruption, production of banned weapons, and tobacco.

Corporate Governance and Ethical Behaviour continued

Risk Management (continued)

- Credit application templates require specific mention of risks arising from environmental, social and governance factors.
- Business units shall not consider requests from borrowers engaged in activities considered harmful or inappropriate (without proactive mitigating actions) from an environmental, social and governance point of view.
- During the year, the ESG scorecard was updated by incorporating Physical and Transition Risks to ensure climate risk factors are assessed during credit approvals

Aiming to make a positive contribution to both internal and external stakeholders, The bank has the sought to embed sustainability in its Global Credit Policy and credit activity since 2020. The bank’s ambition is to be recognised as a regional leader in responsible lending and sustainable finance stems from its commitment to make positive impact on the clients and communities it serve. ESG risk factors are examined across the/the bank’s financing activity with clients. The Bank continues to work with leading specialists in the field to enhance ESG risk assessment methodologies, enabling deeper incorporation of ESG factors into the organisation’s overall credit risk management framework.

Legal Risk

The Legal Department manages and mitigates legal risks through prompt review and advice on bank-wide matters and on transactions including all related documents. The main goal is to ensure the bank’s interests are protected and the bank is in a position to make informed decisions in transactional and operational matters. The team keeps abreast of latest developments in domestic and relevant international legislation that would have an impact on the bank’s operations and initiates corrective action when the bank’s business is likely to be affected. In-house expertise independently ensures the above objectives are properly maintained. In addition, the Legal Department manages its panel of internationally renowned firms and conducts engagements with firms where specific advice on local and foreign legal matters is required, or when the bank requires transaction or contentious representation.

Privacy and Personal Data Protection Law (PDPL)

At NBB, the safeguarding of client privacy and protection of personal information remains a core priority, essential to maintaining trust and confidence. The Bank has implemented robust security and privacy measures to ensure the protection of client data and to support secure transactions across all channels, including online, mobile, and ATM platforms.

The bank’s comprehensive Data Privacy Policy, available on the website, reflects this commitment. The bank has also introduced an electronic solution to keep clients informed through social media about how their data is collected and used.

As part of its ongoing Information Security Awareness Program, the bank provide employees with privacy trainings to reinforce best practices and ensure compliance with data protection standards.

Liquidity and Market Risk

Liquidity risk refers to the Bank’s potential inability to fulfill its financial obligations as they fall due, arising from mismatches in the maturities of assets and liabilities. management ensures that sufficient funds are always available to meet the funding requirements of the bank. Liquidity risk management remains a core focus, with the bank’s liquidity profile displaying resilience and stability, supported by a strong client deposit base and prudent asset-liability strategies. The bank’s Asset and Liability Management (ALM) framework enforces stringent liquidity measures, including robust liquidity gap limits, maintaining minimum level of high-quality liquid assets, and adequate liquidity ratios, enabling the bank to maintain sufficient funding capacity under both normal and stress conditions.

The bank’s Assets and Liability Committee (GALCO) plays an integral role by establishing liquidity risk appetite and set appropriate business limits and targets. GALCO routinely reviewing liquidity metrics and taking proactive measures to ensure a sound liquidity position.

The bank also is complying with two Basel III liquidity ratios, Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) requirements as stipulated by the CBB’s Liquidity Risk Management Module. While the LCR measures the bank’s ability to meet its short-term liquidity requirements as a ratio of the stock of High-Quality Liquidity Assets (HQLA) to the net outflow over the next 30 calendar days, the NSFR measures the bank’s long-term liquidity resilience as a ratio of available stable funding to required stable funding.

As part of its strategy to maintain a strong liquidity buffer addressing immediate liquidity requirement for unexpected drawdowns and margin calls for derivative activities, the bank maintains USD Liquidity book to provide USD liquidity as needed.

The bank’s ability to maintain a stable liquidity profile is primarily on account of its success in retaining and growing its client deposit base. While the bank’s strategy is to build a strong customer base deposit base, it also ensures the maintenance of a balanced mix of demand and time deposits.

The bank has implemented a new ALM system which has significantly strengthened the ability to manage interest rate risk exposures. The ALM system is capable of capturing the bank’s different balance sheet components along with their underlying risk profiles, ensuring a comprehensive view of potential risks. The system includes advanced analytics capabilities, which are particularly valuable for managing Interest Rate Risk in the Banking Book (IRRBB), a critical component for monitoring and managing interest rate fluctuations and the calculation of pillar II risk as part of ICAAP. Through these analytics, the bank can proactively adjust its strategies to safeguard against adverse rate changes and optimize earnings under various interest rate scenarios.

Corporate Governance and Ethical Behaviour continued

Risk Management (continued)

Market risk is defined as the risk to the potential loss in the value of on-balance sheet and off-balance sheet trading positions arising from changes in interest rates, foreign exchange, commodity, and equity prices. The bank's trading activities are governed by conservative policies, stringent adherence to controls, structured net open position limits and stop loss limits, strict segregation of front and back-office duties and regular reporting of positions. The governance framework includes regular independent reviews of all controls and limits, as well as rigorous testing of pricing, trading and risk management systems. The limits are set annually and regularly reviewed.

The bank actively manages market risk through a disciplined approach that leverages a state-of-the-art analytical system. This system allows for daily calculation of Value at Risk (VaR), providing a clear picture of potential losses across key risk areas such as interest rates, foreign exchange, commodities, and equities. By conducting VaR analyses, The bank can quantify its exposure and set parameters that align with its risk appetite.

Beyond VaR, we also employ daily stress testing to evaluate the impact of adverse market movements on the bank's trading and investment portfolios. These stress tests simulate extreme yet plausible scenarios, allowing us to gauge resilience under unexpected conditions. This process supports proactive decision-making and enables the bank to adjust its trading and investment risk profile as needed.

To ensure robust oversight, the results of this analysis, along with detailed trading and investment activity reports, are shared daily with senior management. This continuous reporting framework not only enhances transparency but also facilitates swift responses to market fluctuations, maintaining alignment with the bank's strategic objectives. By combining advanced analytics with rigorous reporting practices, the bank is well positioned to manage market risk and safeguard the financial stability of the bank.

The bank uses the standardized method to calculate capital charge for market risk, the capital that is required to be held on account of the various risk factors affecting the trading book and currency positions. Capital requirements on account of interest rate risk, foreign exchange risk, equity risk, commodity risk and options risk are calculated separately and then summed up to arrive at the total market risk capital requirement of the bank.

Operational Risk

Operational risk refers to the risk of loss resulting from inadequate or failed internal processes, people, systems, or external events. This includes legal risk, defined as the potential loss (including litigation costs, settlements, and regulatory fines) arising from the bank's failure to comply with laws, regulations, ethical standards, or contractual obligations across any aspect of its operations.

Operational risks can lead to significant disruptions that may impair the bank's ability to deliver critical services to customers. Technology-related risks may cause unmanaged disruptions to IT systems due to malicious acts, accidental errors, poor execution, substandard IT practices, or system failures.

Operational risk is inherent in the bank's business activities and supporting functions and can result in financial and reputational losses. The bank manages this risk in accordance with a framework aligned with the CBB's requirements. The objective is to maintain operational risk at levels appropriate to the nature of the bank's businesses, market presence, product offerings, technological infrastructure, and regulatory obligations. This involves actively managing exposures within the bank's defined operational risk appetite.

The Operational Risk Management Department (ORMD), operating under Enterprise Risk Management, oversees operational risk across the Group. In 2025, ORMD continued to guide the implementation of operational resilience capabilities in line with Group policies and CBB standards. It reviewed and challenged the operational resilience self-assessment against internal procedures, policies, and regulatory expectations, working closely with the first line of defence to embed ownership and accountability for resilience outcomes within business units and functional leadership.

People are central to the bank's success. Managing the risk of not having the right talent with the necessary skills-and ensuring that staff consistently prioritize customer interests-is critical. The ORMC monitors people risk and employee conduct through ORMD reports and dashboards. In collaboration with the Group's Chief Human Resources Officer, ORMD is addressing people risk through the lens of the four Cs: capacity, capability, culture, and conduct.

ORMD also received reports on system incidents and outages across the Group, including immediate actions taken to ensure continuity of service and communication with customers. Measures to strengthen resilience controls and prevent recurrence were also implemented. The ORMC regularly reviewed the Group's technology risk profile, receiving monthly updates on the risk and control environment, threat landscape, and emerging risks.

In its drive for efficiency and responsiveness, ORMD focused on automating incident management and control processes, including self-assessments. It also promoted a culture of awareness, encouraging staff across the Group to report and contain incidents promptly. In 2025, ORMD launched a comprehensive issue management dashboard across NBB. This initiative goes beyond traditional incident reporting by proactively identifying and addressing resilience risks within processes before they escalate.

Issues spanning internal audit, compliance, and operational risk are systematically reported and escalated to executive management through the ORMC.

Corporate Governance and Ethical Behaviour continued

Risk Management (continued)

Information Security

Information security addresses risks related to the operation and use of information systems and personal data that support the bank's mission and business functions. Risk is defined as the likelihood of a threat source exploiting a vulnerability and the resulting impact on the organization

NBB has aligned its security and privacy functions with ISO/IEC 27001 and ISO/IEC 27701, achieving certification in 2020 and 2023 respectively. This alignment is implemented through an Information Security and Privacy Management System (ISMS/PIMS) framework, which consists of policies and procedures that support risk management processes. The approach integrates people, processes, and technology to ensure sensitive information remains secure. The strategic objective is to embed risk-based security practices into the lifecycle of all information systems and infrastructures, mitigating risks to an acceptable level.

The bank continues to strengthen ISMS/PIMS and enhance process maturity. The framework incorporates administrative controls such as policies, standards, and procedures, as well as technical controls through advanced security measures. This risk-based program continuously evaluates technology and personal data processing risks and addresses them accordingly. Oversight is provided by the ISC, with periodic reports reviewed by the Board. In 2025, the bank recorded zero security and privacy breaches.

To strengthen detection and response capabilities, the Bank has implemented stricter controls and deployed advanced monitoring systems. In addition to holding ISO certifications, NBB maintains full PCI-DSS compliance and certification. The bank also proactively complies with Bahrain's Personal Data Privacy Law (PDPL) as mandated by the CBB.

Internal audits on information security are conducted throughout the year, complemented by an annual external audit. External penetration testing is performed twice a year, while internal testing is conducted annually. Quarterly ASV scans are carried out as required by PCI-DSS. Internal vulnerability scans are performed weekly for critical systems and monthly for others, and an internal Wi-Fi detection scan is conducted once a year. All penetration tests are performed by third-party consultants.

NBB remains strengthening its technical controls and is enhancing its Security Operations Centre (SOC) and Cyber Incident Management Plan. The bank continues to engage external suppliers for cyber compromise checks, forensic investigations, and resilience. Multiple vendors support SOC management, cyber intelligence, and extended detection and response, while security updates and recommendations are received from various CERT bodies in the region.

Fraud Risk Management

Fraud risk refers to a deliberate act of omission or commission by any individual during a banking transaction or within the bank's accounting records-whether maintained manually or electronically-that results in wrongful gain to any party, either temporarily or permanently, with or without causing monetary loss to the bank. Such risks can impact the bank, its customers, or its vendors.

All banks are inherently exposed to fraud risks. While it is impossible to eliminate these risks entirely, implementing robust frameworks for prevention, detection, and deterrence significantly enhances the bank's ability to identify and mitigate fraud in a timely manner, while also reinforcing a strong deterrent effect.

To combat fraud risks, the bank has adopted the Three Lines of Defense model. This approach promotes consistent organizational behavior by establishing clear guidelines and assigning responsibilities for developing preventive controls, conducting investigations, and reporting fraud cases to executive management, the Board (via the Board Risk & Compliance Committee), the Central Bank of the UAE, and other relevant authorities.

The bank's fraud risk management (FRM) strategy is deeply embedded in its organizational culture. Both internal and external stakeholders are encouraged to embrace evolving procedures and recognize the serious implications of fraud. To further strengthen its defenses, the bank has established a 24/7 Fraud Transaction Monitoring Unit (FTMU). This team monitors customer transactions using dynamic, analytics-driven anti-fraud rules to protect against a wide range of fraud schemes.

The bank's FRM approach emphasizes proactive risk mitigation by identifying, assessing, and addressing potential fraudulent activities. This safeguards the bank's assets, reputation, and compliance with regulatory standards. As a result of these efforts, the bank has achieved a notable reduction in customer financial losses from third-party fraud schemes compared to previous years.

Significant advancements have been made in fraud detection capabilities through the integration of artificial intelligence and machine learning. These technologies enable the FRMD to identify and prevent fraudulent transactions with greater speed and accuracy. The department's multi-layered, proactive strategy has delivered strong results, reinforcing the bank's commitment to protecting both institutional and customer assets.

In 2025, the bank achieved zero financial losses from account takeovers on its Digital Banking platform and electronic funds transfers, despite rising threats from social engineering and impersonation schemes. Additionally, fraud risk exposure related to Fawateer, Apple Pay provisioning, and wallet transactions has been significantly reduced through targeted anti-fraud measures.

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Independent Auditors’ Report
To the Shareholders of

National Bank of Bahrain B.S.C. P.O. Box 106, Manama, Kingdom of Bahrain Opinion We have audited the consolidated financial statements of National Bank of Bahrain B.S.C. (the “Bank”) and its subsidiaries (together the “Group”), which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising material accounting policies and other explanatory information. In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).	Basis for Opinion We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors’ responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants’ International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), as applicable to audits of the consolidated financial statements of public interest entities, together with the ethical requirements that are relevant to audits of the consolidated financial statements of public interest entities in the Kingdom of Bahrain. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Key Audit Matters Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.
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Impairment of loans and advances to customers	
Refer to the use of estimates and management judgment in note 2(d), impairment policy in the note 2f(x), note 7 and disclosures of credit risk in note 3 of the consolidated financial statements	
The key audit matter	How the matter was addressed in our audit
We focused on this area because: - of the significance of loans and advances to customers representing 51% of total assets (by value); - impairment of loans and advances to customers involves: - complex estimates and judgement over both timing and recognition of impairment including susceptibility to management bias; - use of statistical models and methodologies for determination of expected credit losses. The Group exercises significant judgments and makes a number of assumptions in developing its ECL models which is determined as a function of the assessment of the probability of default (“PD”), loss given default (“LGD”), and exposure at default (“EAD”) associated with the underlying financial assets; and - complex disclosure requirements regarding credit quality of the portfolio including explanation of key judgments and material inputs used in determination of expected credit losses;	Our audit procedures, amongst others, to address significant risks associated with impairment of loans and advances to customers included: - Evaluating the appropriateness of the accounting policies adopted based on the requirements of IFRS 9, our business understanding, and industry practice. - Confirming our understanding of management’s processes, systems and controls implemented, including controls over expected credit loss (“ECL”) model development. Controls testing We performed process walkthroughs to identify the key systems, applications and controls used in the ECL processes. We tested the relevant General IT and application controls over key systems used in the ECL process. Key aspects of our control testing involved the following: - Performing detailed credit risk assessment for a sample of performing and non-performing loans to test controls over credit rating and its monitoring process; - Testing the design and operating effectiveness of the key controls over the completeness and accuracy of the key inputs and assumptions elements into the IFRS 9 ECL models; - Testing controls over the transfer of data between underlying source systems and the ECL models that the Group operates; - Testing controls over the modelling process, including governance over model monitoring, validation and approval; - Testing key controls relating to selection and implementation of material economic variables; and - Testing controls over the governance and assessment of model outputs and authorisation and review of post model adjustments and management overlays including selection of economic scenarios and the probability weights applied to them.

Independent Auditors’ Report to the Shareholders continued

The key audit matter	How the matter was addressed in our audit
• The need to measure ECLs on an unbiased forward-looking basis incorporating a range of economic conditions. Significant management judgment is applied in determining the economic scenarios used and the probability weighting applied to them; and • Adjustments to the ECL model results are made by management to address known impairment model limitations or emerging trends or risks.	Key aspects of our testing involved: • Sample testing over key inputs and assumptions impacting ECL calculations including economic forecasts and weights to confirm the accuracy of information used; • Re-performing key aspects of the Group's significant increase in credit risk ("SICR") determinations and selecting samples of financial instruments to determine whether a SICR was appropriately identified; • Re-performing key elements of the Group's model calculations and assessing performance results for accuracy; and • Selecting a sample of post model adjustments and management overlays in order to assess the reasonableness of the adjustments by challenging key assumptions, testing the underlying calculation and tracing a sample back to source data. Use of specialists For the relevant portfolios examined, we have involved KPMG specialists to assist us in assessing IT system controls and challenging key management assumptions used in determining expected credit losses. Key aspects of their involvement include: • We involved our information technology specialists to test controls over the IT systems and recording of data in source systems; • We involved our credit risk specialists in: ◦ evaluating the appropriateness of the Groups’ ECL methodologies (including the staging criteria used); ◦ re-performing the calculations of certain components of the ECL model (including the staging criteria); ◦ evaluating the appropriateness of the Group's methodology for determining the economic scenarios used and the probability weighting applied to them; and ◦ evaluating the overall reasonableness of the management economic forecast by comparing it to external market data and our understanding of the underlying sector and macroeconomic trends. Disclosures Assessed the adequacy of the Group’s disclosure in relation to use of significant estimates and judgment and credit quality of loans and advances to customers by reference to the requirements of relevant accounting standards.

Other Information

The board of directors is responsible for the other information. The other information comprises the annual report but does not include the consolidated financial statements and our auditors’ report thereon. Prior to the date of this auditors’ report, we obtained the Board of Directors’ report which forms part of the annual report, and the remaining sections of the annual report are expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon as part of our engagement to audit the consolidated financial statements.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditors’ report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent Auditors’ Report to the Shareholders continued

Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors’ report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the board of directors.
- Conclude on the appropriateness of the board of directors’ use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors’ report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors’ report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the Group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the board of directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the board of directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors’ report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Regulatory Requirements

As required by the Commercial Companies Law 2001 (as amended) and Volume 1 of the Central Bank of Bahrain (CBB) Rule Book, we report that:

- a) the Bank has maintained proper accounting records and the consolidated financial statements are in agreement therewith;
- b) the financial information contained in the Board of Directors’ report is consistent with the consolidated financial statements;
- c) we are not aware of any violations during the year of the Commercial Companies Law 2001 (as amended), the CBB and Financial Institutions Law No. 64 of 2006 (as amended), the CBB Rule Book Volume 1, applicable provisions of Volume 6 and CBB directives, the CBB Capital Markets Regulations and associated resolutions, the Bahrain Bourse rules and procedures or the terms of the Bank's memorandum and articles of association that would have had a material adverse effect on the business of the Bank or on its financial position; and
- d) satisfactory explanations and information have been provided to us by management in response to all our requests.

The engagement partner on the audit resulting in this independent auditors’ report is Jalil AlAali.

KPMG Fakhro

Partner Registration Number 100

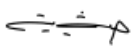
17 February 2026

Consolidated Statement of Financial Position

As at 31 December

	Note	2025		2024	
		BHD millions	USD millions	BHD millions	USD millions
Assets					
Cash and balances at central banks	4	198.5	526.5	184.8	490.2
Treasury bills	5	10.0	26.5	196.1	520.2
Placements with banks and other financial institutions	6	800.7	2,123.9	625.9	1,660.2
Loans and advances to customers	7	3,186.2	8,451.5	3,020.0	8,010.6
Investment securities	8	1,751.1	4,644.8	1,167.6	3,097.1
Investment in associates	9	39.6	105.0	44.1	117.0
Interest receivable and other assets	10	168.7	447.5	158.3	419.9
Property and equipment	11	71.5	189.7	74.3	197.1
Goodwill and other intangible assets	12	50.3	133.4	51.1	135.5
Total assets		6,276.6	16,648.8	5,522.2	14,647.8
Liabilities					
Due to banks and other financial institutions	13	941.2	2,496.6	579.7	1,537.7
Borrowings under repurchase agreements	14	609.2	1,615.9	384.8	1,020.7
Customer deposits	15	3,966.2	10,520.4	3,743.8	9,930.5
Interest payable and other liabilities	16	159.8	423.9	216.9	575.3
Total liabilities		5,676.4	15,056.8	4,925.2	13,064.2
Equity					
Share capital	20	226.6	601.1	226.6	601.1
Treasury shares	20	(4.2)	(11.1)	(2.5)	(6.6)
Shares unallocated under share incentive scheme	20	(0.6)	(1.6)	(0.5)	(1.3)
Share premium	21	16.9	44.8	15.1	40.1
Statutory reserve	21	113.3	300.5	113.3	300.5
General reserve	21	32.4	85.9	32.4	85.9
Other reserves and retained earnings	21	200.6	532.1	199.4	528.9
Equity attributable to the shareholders of the Bank		585.0	1,551.7	583.8	1,548.6
Non-controlling interest		15.2	40.3	13.2	35.0
Total equity		600.2	1,592.0	597.0	1,583.6
Total liabilities and equity		6,276.6	16,648.8	5,522.2	14,647.8

The consolidated financial statements were approved by the board of directors on 17 February 2026 and signed on its behalf by:


Mrs. Hala Ali Husain Yateem
Chairperson


Mr. Yusuf Abdulla Yusuf Alireza
Vice Chairperson

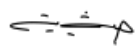

Mr. Usman Ahmed
Group Chief Executive Officer

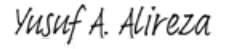
The accompanying notes 1 to 49 are an integral part of these consolidated financial statements.

Consolidated Statement of Profit or Loss

For the year ended 31 December

	Note	2025		2024	
		BHD millions	USD millions	BHD millions	USD millions
Interest income	23	307.1	814.6	308.2	817.5
Interest expense	23	(166.1)	(440.6)	(164.8)	(437.1)
Net interest income		141.0	374.0	143.4	380.4
Net fee and commission income	24	13.8	36.6	15.4	40.8
Other income	25	45.0	119.4	32.9	87.3
Total operating income		199.8	530.0	191.7	508.5
Staff expenses	26	54.9	145.6	52.3	138.7
Depreciation, amortisation and equipment expenses	27	23.5	62.3	21.7	57.6
Other operating expenses	27	28.0	74.3	27.2	72.1
Total operating expenses		106.4	282.2	101.2	268.4
Profit before results of associates, impairment and tax		93.4	247.8	90.5	240.1
Share of profits of associates, net	9	2.2	5.8	1.4	3.7
Net impairment losses on financial instruments	17	(8.0)	(21.2)	(8.6)	(22.8)
Profit before tax		87.6	232.4	83.3	221.0
Tax expense		(0.4)	(1.1)	(0.3)	(0.8)
Profit for the year		87.2	231.3	83.0	220.2
Attributable to:					
Shareholders of the Bank		85.1	225.7	81.9	217.3
Non-controlling interest		2.1	5.6	1.1	2.9
		87.2	231.3	83.0	220.2
Basic and diluted earnings per share attributable to the shareholders of the Bank	41	38 fils	10 cents	36 fils	10 cents


Mrs. Hala Ali Husain Yateem
Chairperson


Mr. Yusuf Abdulla Yusuf Alireza
Vice Chairperson


Mr. Usman Ahmed
Group Chief Executive Officer

The accompanying notes 1 to 49 are an integral part of these consolidated financial statements.

Consolidated Statement of Comprehensive Income

For the year ended 31 December

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Profit for the year	87.2	231.3	83.0	220.2
Other comprehensive income:				
Items that are or may be reclassified subsequently to profit or loss:				
Cash flow hedges:				
Net change in fair value	(0.7)	(1.9)	-	-
Fair value through other comprehensive income (debt instruments)				
Net change in fair value	9.0	23.9	13.6	36.0
Net amount transferred to profit or loss	(5.5)	(14.6)	(9.5)	(25.2)
Items that will not be reclassified to profit or loss:				
Net change in fair value of equity instruments at FVOCI	(5.3)	(14.1)	5.0	13.3
Total other comprehensive income for the year	(2.5)	(6.7)	9.1	24.1
Total comprehensive income for the year	84.7	224.6	92.1	244.3
Attributable to:				
Shareholders of the Bank	82.7	219.3	91.0	241.4
Non-controlling interest	2.0	5.3	1.1	2.9
Total comprehensive income for the year	84.7	224.6	92.1	244.3

The accompanying notes 1 to 49 are an integral part of these consolidated financial statements.

Consolidated Statement of Changes in Equity

For the year ended 31 December 2025	Share capital	Treasury shares	Unallocated shares	Share premium	Statutory reserve	General reserve	Other reserves and retained earnings				Total owners' equity	Non-controlling interest	Total equity	
							Fair value reserve	Cash flow hedge reserve	Donation and charity reserve	Retained earnings			BHD millions	USD millions
Balance at 31 December 2024	226.6	(2.5)	(0.5)	15.1	113.3	32.4	35.3	-	14.2	149.9	583.8	13.2	597.0	1,583.6
2024 appropriations:														
Cash dividend at 25%	-	-	-	-	-	-	-	-	-	(56.2)	(56.2)	-	(56.2)	(149.1)
Transfer to donations and charity reserve	-	-	-	-	-	-	-	-	2.0	(2.0)	-	-	-	-
2025 appropriations:														
Cash dividend at 10%	-	-	-	-	-	-	-	-	-	(22.6)	(22.6)	-	(22.6)	(59.9)
Balance after 2024 and 2025 appropriations	226.6	(2.5)	(0.5)	15.1	113.3	32.4	35.3	-	16.2	69.1	505.0	13.2	518.2	1,374.6
Employee shares assigned	-	-	(0.1)	1.8	-	-	-	-	-	-	1.7	-	1.7	4.5
Movement in treasury shares	-	(1.7)	-	-	-	-	-	-	-	-	(1.7)	-	(1.7)	(4.5)
Comprehensive income for the year:														
Profit for the year	-	-	-	-	-	-	-	-	-	85.1	85.1	2.1	87.2	231.3
Other comprehensive income	-	-	-	-	-	-	(1.7)	(0.7)	-	-	(2.4)	(0.1)	(2.5)	(6.7)
Total comprehensive income for the year	-	-	-	-	-	-	(1.7)	(0.7)	-	85.1	82.7	2.0	84.7	224.6
Utilisation of donation and charity reserve	-	-	-	-	-	-	-	-	(2.4)	-	(2.4)	-	(2.4)	(6.4)
Other movements	-	-	-	-	-	-	-	-	-	(0.3)	(0.3)	-	(0.3)	(0.8)
Balance at 31 December 2025 (notes 20-22)	226.6	(4.2)	(0.6)	16.9	113.3	32.4	33.6	(0.7)	13.8	153.9	585.0	15.2	600.2	1,592.0

The appropriations for the year 2025 will be submitted to the shareholders at the annual general meeting. These appropriations include BHD 79.0 million for cash dividend at 35% (2024: 35%) and BHD 0.5 million for donations and contributions.

	Other reserves and retained earnings											Total equity	
For the year ended 31 December 2024	Share capital	Treasury shares	Unallocated shares	Share premium	Statutory reserve	General reserve	Fair value reserve	Donation and charity reserve	Retained earnings	Total owners' equity	Non-controlling interest	BHD millions	USD millions
Balance at 31 December 2023	226.6	-	(0.9)	13.6	113.3	32.4	28.5	13.4	138.1	565.0	12.2	577.2	1,531.1
2023 appropriations:													
Cash dividend at 20%	-	-	-	-	-	-	-	-	(45.2)	(45.2)	-	(45.2)	(119.9)
Transfer to donations and charity reserve	-	-	-	-	-	-	-	4.0	(4.0)	-	-	-	-
2024 appropriations:													
Cash dividend at 10%	-	-	-	-	-	-	-	-	(22.7)	(22.7)	-	(22.7)	(60.2)
Balance after 2023 and 2024 appropriations	226.6	-	(0.9)	13.6	113.3	32.4	28.5	17.4	66.2	497.1	12.2	509.3	1,351.0
Employee shares assigned	-	-	0.4	1.5	-	-	-	-	-	1.9	-	1.9	5.0
Movement in treasury shares	-	(2.5)	-	-	-	-	-	-	-	(2.5)	-	(2.5)	(6.6)
Comprehensive income for the year:													
Profit for the year	-	-	-	-	-	-	-	-	81.9	81.9	1.1	83.0	220.2
Other comprehensive income	-	-	-	-	-	-	9.1	-	-	9.1	-	9.1	24.1
Total comprehensive income for the year	-	-	-	-	-	-	9.1	-	81.9	91.0	1.1	92.1	244.3
Utilisation of donation and charity reserve	-	-	-	-	-	-	-	(3.2)	-	(3.2)	-	(3.2)	(8.5)
Disposal of equity securities	-	-	-	-	-	-	(0.1)	-	0.1	-	-	-	-
Reclassification of equity securities	-	-	-	-	-	-	(2.2)	-	2.2	-	-	-	-
Other movements	-	-	-	-	-	-	-	-	(0.5)	(0.5)	(0.1)	(0.6)	(1.6)
Balance at 31 December 2024 (notes 20-22)	226.6	(2.5)	(0.5)	15.1	113.3	32.4	35.3	14.2	149.9	583.8	13.2	597.0	1,583.6

Unallocated shares are shares that remain unallocated to employees under the employee share incentive scheme.

The accompanying notes 1 to 49 are an integral part of these consolidated financial statements.

Consolidated Statement of Cash Flows

For the year ended 31 December

	2025			2024	
	Note	BHD millions	USD millions	BHD millions	USD millions
Cash flows from operating activities					
Profit for the year		87.2	231.3	83.0	220.2
Adjustments to reconcile profit for the year to net cash from operating activities:					
Depreciation and amortisation		10.9	28.9	10.0	26.5
Amortisation of right-of-use leased property		1.9	5.0	1.9	5.0
Fair value loss / (gain) of investment property		0.6	1.6	(0.7)	(1.9)
Net impairment losses on financial instruments	17	8.0	21.2	8.6	22.8
Share of profits of associates, net		(2.2)	(5.8)	(1.4)	(3.7)
Profit for the year after adjustments		106.4	282.2	101.4	268.9
Changes in operating assets and liabilities					
Balances with central banks (mandatory cash reserves)		(9.6)	(25.5)	(12.2)	(32.4)
Treasury bills		186.7	495.2	(0.6)	(1.6)
Placements with banks and other financial institutions		(3.8)	(10.1)	(15.8)	(41.9)
Loans and advances to customers		(180.7)	(479.3)	(497.0)	(1,318.3)
Investment securities		(565.0)	(1,498.7)	(5.4)	(14.3)
Interest receivable and other assets		(58.8)	(156.0)	(31.9)	(84.6)
Due to banks and other financial institutions		361.6	959.2	(91.3)	(242.2)
Borrowings under repurchase agreements		224.4	595.2	(75.9)	(201.3)
Customer deposits		222.2	589.4	239.0	634.0
Interest payable and other liabilities		(17.2)	(45.6)	52.5	139.3
Net cash from / (used in) operating activities		266.2	706.0	(337.2)	(894.4)
Cash flows from investing activities					
Dividends received from associates		0.8	2.1	0.1	0.3
Capital reduction of associates		1.0	2.7	0.7	1.9
Net investment in associates		-	-	(6.3)	(16.7)
Purchase of property and equipment, net		(7.7)	(20.4)	(11.3)	(30.0)
Net cash used in investing activities		(5.9)	(15.6)	(16.8)	(44.5)
Cash flows from financing activities					
Dividends paid		(78.8)	(209.0)	(68.0)	(180.4)
Net investment in treasury shares		(0.6)	(1.6)	-	-
Donations and charities paid		(2.8)	(7.4)	(3.7)	(9.8)
Payment of lease liabilities		(2.4)	(6.4)	(2.4)	(6.4)
Net cash used in financing activities		(84.6)	(224.4)	(74.1)	(196.6)
Net increase / (decrease) in cash and cash equivalents		175.7	466.0	(428.1)	(1,135.5)
Cash and cash equivalents at 1 January	4	664.8	1,763.4	1,092.9	2,898.9
Cash and cash equivalents at 31 December	4	840.5	2,229.4	664.8	1,763.4

The accompanying notes 1 to 49 are an integral part of these consolidated financial statements.

Notes to the Consolidated Financial Statements

For the year ended 31 December 2025

1. REPORTING ENTITY

The National Bank of Bahrain B.S.C., a public shareholding company, was incorporated in the Kingdom of Bahrain by an Amiri decree in January 1957. The Bank is licensed by the Central Bank of Bahrain (CBB) as a conventional retail bank.

The overseas branches in United Arab Emirates and Kingdom of Saudi Arabia operate under the laws of those respective countries.

The Bank’s registered address is National Bank of Bahrain B.S.C., P.O.Box 106, NBB Tower, Government Avenue, Manama, Kingdom of Bahrain. The shares of the Bank are listed on the Bahrain Bourse, Manama, Kingdom of Bahrain.

The consolidated financial statements include the results of the Bank and its subsidiary (together the Group). The Bank holds 78.8% of the share capital of Bahrain Islamic Bank B.S.C. (BISB) which operates under an Islamic retail banking license issued by the CBB and listed on Bahrain Bourse. The Group is principally engaged in providing retail and wholesale commercial banking services, treasury and investment activities, and investment advisory services.

2. MATERIAL ACCOUNTING POLICIES

a. Statement of compliance

The consolidated financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards), and in conformity with the requirements of the Commercial Companies Law and the Central Bank of Bahrain and Financial Institutions Law 2006.

b. Basis of preparation

The consolidated financial statements of the Group are presented in Bahraini Dinar (BHD) being the functional currency of the Group. The US Dollar (USD) amounts are presented for the convenience of the reader. The Bahraini Dinar has been translated to US Dollar at the rate of BHD 0.377 to USD 1 (2024: BHD 0.377 to USD 1).

The consolidated financial statements have been prepared on the historical cost convention except for financial instruments classified as fair value through profit or loss, fair value through other comprehensive income investments and derivative financial instruments which are measured at fair value. The principal accounting policies applied in the preparation of these financial statements have been consistently applied to all the years presented.

i) Adoption of new accounting standards and amendments to standards

There are no new standards or amendments to standards which became effective as of 1 January 2025 that were relevant and had a material impact on the consolidated financial statements.

ii) New and amended accounting standards issued but not yet effective

The following new standards, amendments and interpretations to standards are effective for annual periods beginning after 1 January 2026 and earlier application is permitted. The Group has not early adopted any of these standards in preparing these consolidated financial statements.

A. Amendments to the classification and measurement of financial instruments – amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: disclosures

The new amendments are more permissive in terms of classification and measurement and apply to all contingent features, not just ESG-linked features. While the amendments may allow certain financial assets with contingent features to meet the SPPI criterion, the Group may need to perform additional work to prove this. Judgement will be required in determining whether the new test is met.

Classifying financial assets with a contingent feature

The amendments introduce an additional SPPI test for financial assets with contingent features that are not related directly to a change in basic lending risks or costs – e.g. where the cash flows change depending on whether the borrower meets an ESG target specified in the loan contract. Under the amendments, certain financial assets including those with ESG-linked features could now meet the SPPI criterion, provided that their cash flows are not significantly different from an identical financial asset without such a feature.

The amendments also include additional disclosures for all financial assets and financial liabilities that have certain contingent features that are:

- not related directly to a change in basic lending risks or costs; and
- are not measured at fair value through profit or loss.

Contractually linked instruments (CLIs) and non-recourse features

The amendments clarify the key characteristics of CLIs and how they differ from financial assets with non-recourse features. The amendments also include factors that a company needs to consider when assessing the cash flows underlying a financial asset with non-recourse features (the ‘look through’ test).

Disclosures on investments in equity instruments

The amendments require additional disclosures for investments in equity instruments that are measured at fair value with gains or losses presented in other comprehensive income (FVOCI).

Recognition and derecognition of financial assets and financial liabilities

The amendments address the recognition and derecognition of financial assets and financial liabilities, including an exception relating to the derecognition of financial liabilities that are settled using an electronic payment system. The Group does not expect any significant impact on the adoption of this standard.

B. IFRS 18 Presentation and Disclosure in Financial Statements

The standard requires a more structured income statement and greater disaggregation of information. It also makes management-defined performance measures part of the audited financial statements for the first time. This will bring more credibility to certain key performance indicators. The Group is in the process of assessing the impact on its consolidated financial statements for adopting this standard.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

c. Foreign currencies

i) Foreign currency transactions:

Foreign currency transactions are initially recorded at rates of exchange prevailing at the value date of the transactions. Monetary assets and liabilities in foreign currencies are translated to respective functional currencies at the rates of exchange prevailing at the statement of financial position date. Realised and unrealised exchange gains or losses are recognised in the statement of profit or loss and included in other income.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into the functional currency at the spot exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in the statement of profit or loss, except for differences arising on the retranslation of fair value through other comprehensive income equity instruments which are recognised directly in other comprehensive income as part of fair value changes.

ii) Foreign operations:

The assets and liabilities of the overseas branches are translated into Bahraini Dinar at the spot exchange rate at the reporting date. The income and expenses of these overseas branches for the year are translated into Bahraini Dinar at average exchange rates. Differences resulting from the translation of the opening net investment in these overseas branches are recognised in other comprehensive income.

d. Use of estimates and management judgement

The Group's consolidated financial statements and its financial results are influenced by accounting policies, assumptions, estimates and management judgement, which necessarily have to be made in the course of preparation of the financial statements.

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities. All estimates and assumptions required in conformity with IFRS are best estimates undertaken in accordance with the application of the standards. Estimates and judgements are evaluated on a continuous basis, and are based on past experience and other factors, including expectations with regard to future events.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure the fair value of the financial instruments.

The Group reviews its loan portfolios to assess impairment at least on a quarterly basis in order to determine whether an impairment loss should be recorded in the statement of profit or loss.

The Group has an internal credit rating model that uses qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower. The credit grades are calibrated such that the risk of default increases at each higher risk

grade. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade. The Group also uses external credit ratings for certain exposures. Internal or external credit ratings are a primary input into the determination of the non-retail PD term structure used for expected credit loss (ECL) computations.

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and expert credit assessment and includes forward-looking information.

In determining whether credit risk has increased significantly since initial recognition the following criteria are considered:

I. Downgrade in risk rating according to the approved ECL policy.

II. Facilities restructured during the previous twelve months.

III. Facilities overdue by 30 days as at the reporting date subject to rebuttal in applicable circumstances.

The Group makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets within credit risk characteristics and objective evidence of impairment similar to those in the portfolio to assess impairment.

The Group employs statistical models to incorporate macro-economic indicators on historical default rates for the computation of ECL. In the case that none of defined macro-economic parameters are statistically significant, qualitative overlays shall be used by management after analysing the portfolio as per the diagnostic tool as stated under relevant procedure. Incorporating forward looking information increases the level of judgment as to how changes in these macro-economic indicators will affect the ECL applicable to stages 1 and 2 exposures which are considered as performing. The methodologies and assumptions involved, including any forecasts of future economic conditions, are reviewed at least annually.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that period or in the period of the revision and future period if the revision affects both current and future periods.

The Group reviews its goodwill and intangibles on an annual basis to determine whether an impairment loss should be recorded in the statement of profit or loss, where assumptions and judgements are made in computing the recoverable value. Further details on impairment of non-financial assets are included in note 2g.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

e. Accounting for income and expenses

i) Interest income and expenses are recognised in the statement of profit or loss on an accrual basis using the effective interest rate method.

The effective interest rate method is a method of calculating the amortised cost of a financial asset or liability and of allocating the interest income or interest expense over the expected life of the asset or liability. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the financial asset or liability or, where appropriate, a shorter period, to the net carrying amount of the financial asset or liability. The application of the effective interest rate method has the effect of recognising interest income and interest expense evenly in proportion to the amount outstanding over the period to maturity or repayment. In calculating the effective interest rate, cash flows are estimated taking into consideration all contractual terms of the financial instrument but excluding future credit losses.

ii) Fees and commissions that are integral to the effective interest rate of a financial asset or liability are included in the calculation of the effective interest rate. Other fees and commissions are recognised as the related services are performed or received, and are included in fee and commission income.

iii) Dividend income is recognised when the right to receive a dividend is established.

iv) Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related services are provided. A provision is recognised for the amount expected to be paid under short-term cash bonus or profit sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

The Group has different retirement benefit schemes for its employees in Bahrain and its overseas branches, which are in accordance with the relevant labour laws of the respective countries. The retirement benefit scheme is in the nature of a 'Defined Contribution Plan' for employees who are covered by the social insurance pension schemes in Bahrain and the overseas branches. Other employees are entitled to leaving indemnities payable in accordance with the employment agreements or under the respective labour laws, based on length of service and final remuneration. This liability is provided for on the basis of the cost had all such employees left at the statement of financial position date. The cost of providing these retirement benefits is charged to the statement of profit or loss.

The Group has a voluntary employees saving scheme. The Group and the employees contribute monthly on a fixed percentage of salaries basis to the scheme. The scheme is managed and administered by a board of trustees who are the employees of the Group. The Group's share of contribution to this scheme is charged to the statement of profit or loss.

v) Other expenses are recognised in the period in which they are incurred on an accrual basis.

f. Financial assets and liabilities

i. Recognition and initial measurement

The Group initially recognises financial assets and liabilities on the date on which they are originated. A financial asset or financial liability is measured initially at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue.

ii. Classification

On initial recognition, a financial asset is classified as measured at: amortised cost, FVOCI or FVTPL.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI).

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI).

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in other comprehensive income. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining practical interest rate profile, realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

f. Financial assets and liabilities (continued)

Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, principal is defined as the fair value of the financial asset on initial recognition. Interest is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. There reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Group has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

The Group classifies its financial liabilities, other than financial guarantees, as measured at amortised cost.

iii. Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Group changes its business model for managing financial assets.

iv. Customer deposits

Customer deposits are initially recognised at their fair value and subsequently measured at their amortised cost using the effective interest rate method.

v. Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specific debtor fails to make payment when due in accordance with the contractual terms.

Financial guarantees are initially recognised at fair value (which is the premium received on issuance). The premium received is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The unamortised portion of the premium on these financial guarantees is included under other liabilities.

vi. Derivative financial instruments

All derivative financial instruments are initially recognised at cost, being the fair value at contract date, and are subsequently re-measured at their fair values. Fair values are obtained from quoted market prices in active markets including recent market transactions, and valuation techniques including discounted cash flow models and option pricing models as appropriate. Changes in the fair value of derivative financial instruments that do not qualify for hedge accounting are recognised in same statement of profit or loss line as the underlying item. In the case of fair value hedges that meet the criteria for hedge accounting, any gain or loss arising from remeasuring the hedging instruments to fair value as well as the related changes in fair value of the item being hedged are recognised in the statement of profit or loss under other income.

The Group designated certain derivatives as hedging instruments to hedge variability in fair values associated with interest rates.

In the case of cash flow hedges that meet the criteria of hedge accounting, the portion of the gain or loss on the hedging instrument that is determined to be an effective hedge is recognised directly in equity and the ineffective portion, if any, is recognised in the statement of profit or loss.

All derivative financial instruments are recognised in the statement of financial position as either assets (positive fair values) or liabilities (negative fair values).

vii. Repos and reverse repos

Where securities are sold subject to a commitment to repurchase them at a specified future date (repo) and at a predetermined price, they are not derecognised and the consideration received is classified as borrowings under repurchase agreements. The difference between the sale and repurchase price is treated as an interest expense and accrued over the life of the repo agreement using the effective yield method. Conversely, securities purchased under a commitment to resell them at a specified future date (reverse repo) and at a predetermined price are not recognised on the statement of financial position and the consideration paid is recorded in placements with banks and other financial institutions. The difference between the purchase and resale price is treated as an interest income and accrued over the life of the reverse repo agreement using the effective interest rate method.

viii. Cash and cash equivalents

Cash and cash equivalents comprise cash, balances at central banks excluding mandatory cash reserves, placements with banks and other financial institutions that mature within three months of the date of placement, and short-term highly liquid investments that are readily convertible to cash and which are subject to an insignificant risk of change in value and mature within three months of the date of acquisition and are used by the Group in the management of its short term commitments.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

f. Financial assets and liabilities (continued)

ix. Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Group measures the fair value of a financial instrument using quoted market prices in an active market for that instrument. This includes listed equity and debt securities. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

For unlisted debt securities, the fair value is based on brokers quotes, recent arm's length transactions between knowledgeable, willing parties (if available) and discounted cash flow analyses with accepted economic methodologies for pricing financial instruments. For unlisted equity securities, fair value is based on the net asset value of the underlying assets given the nature of their balance sheet or is based on a valuation determined by using the discounted cash flow methodology.

x. Identification and measurement of impairment

The Group recognises loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- Financial assets including loans and advances to customers, debt instruments and balances with banks;
- Financial guarantee contracts issued; and
- Loan commitments issued.

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Group assumes that the credit risk on an exposure subject to credit risk has increased significantly if it is 30 days past due or more, has been restructured due to a decrease in creditworthiness, or has experienced a rating downgrade since initial recognition.

The Group considers an exposure subject to credit risk to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full without recourse by the Group such as realising security, if any is held; or
- the financial asset is 90 days past due or more.

The Group applies a three-stage approach to measuring ECL on exposures subject to credit risk. Exposures migrate through the following three stages based on the change in credit quality since initial recognition.

Stage 1: 12-month ECL

Stage 1 includes exposures subject to credit risk on initial recognition, exposures that do not have a significant increase in credit risk since initial recognition or exposures that have low credit risk. 12-month ECL is the portion of ECL that results from probable default events on a financial instrument within 12 months after the reporting date.

Stage 2: Lifetime ECL - not credit impaired

Stage 2 includes exposures subject to credit risk that have had a significant increase in credit risk since initial recognition but that do not have objective evidence of impairment. For these assets, lifetime ECL is recognised. Lifetime ECL is a probability-weighted estimate of credit losses and is determined based on the difference between the present value of all cash shortfalls. The cash shortfall is the difference between all contractual cash flows that are due to the Group and the present value of the recoverable amount at the reporting date.

Stage 3: Lifetime ECL - credit impaired

Stage 3 includes exposures subject to credit risk that have objective evidence of impairment at the reporting date in accordance with the indicators specified in the CBB's rule book. For these assets, lifetime ECL is recognised.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

i) Measurement of ECL

ECL is a probability-weighted estimate of credit losses. It is measured as follows:

- Exposures subject to credit risk that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- Exposures subject to credit risk that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- Undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- Financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover.

The key parameters to measure the ECL are the following:

- Probability of default (PD);
- Loss given default (LGD);
- Exposure at default (EAD).

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

f. Financial assets and liabilities (continued)

x. Identification and measurement of impairment (continued)

PD defines the probability that the borrower will default on its obligations in the future. The PD estimation is based on a transition matrix approach, gross flow analysis and net flow analysis with application of regression analysis for incorporation of macro-economic factors. These statistical models are based on internally compiled data comprising both quantitative and qualitative factors.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the actual recoveries of the defaulted accounts over a defined period. In case of insufficient recovery information, a proxy LGD based on industry practice is used. The 3 essential blocks for LGD estimation are:

1.

Cure rate: defined as the ratio of accounts which have fallen to default and have managed to move backward to the performing accounts.
2.

Recovery rate: defined as the ratio of liquidation value (forced sale value) to market value of the underlying collateral at the time of default. The recovery rate will also account for expected recovery from a general claim on the customer's assets for the unsecured portion of the exposure.
3.

Discounting rate: defined as the opportunity cost of the recovery value not being realised on the day of default (i.e. time value of money). Discounting rate is accounted for by discounting back the recoveries to the time of default using the effective interest rates (EIR) i.e., the same rate used to recognise the interest income, or a portfolio approximation in case granular data is not available. Discount factor shall be calculated based upon the discounting rate.

The EAD for on-balance sheet items represents the exposure outstanding at the time of default. The EAD estimation of off-balance sheet exposures is calculated by applying the credit conversion factor (CCF) to the nominal amount of the off-balance sheet instrument. The EAD for revolving credit lines is the sum of outstanding on-balance sheet item and the undrawn off-balance sheet amount post CCF.

The following table compares the ECL (stages 1 and 2) used by the Group against alternative scenarios (Best:Base:Worst) which apply a more conservative weighting to the base case or worst case:

	Actual mix (15:70:15) BHD millions	Scenario 1 (10:60:30) BHD millions	Scenario 2 (10:50:40) BHD millions
As at 31 December 2025			
Loans and advances to customers	24.3	26.7	28.0
Investments, nostros, and placements	0.2	0.2	0.2
Contingent liabilities and undrawn loan commitments	0.7	0.9	1.0

	Actual mix (15:70:15) BHD millions	Scenario 1 (10:60:30) BHD millions	Scenario 2 (10:50:40) BHD millions
As at 31 December 2024			
Loans and advances to customers	30.0	33.1	34.9
Investments, nostros, and placements	0.1	0.1	0.1
Contingent liabilities and undrawn loan commitments	0.7	0.8	0.9

ii) Credit-impaired exposures

At each reporting date, the Group assesses whether exposures subject to credit risk are credit-impaired. An exposure subject to credit risk is credit-impaired when one or more events that have detrimental impact on the estimated future cash flows of the exposures have occurred.

Evidence that an exposure subject to credit risk is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default;
- The restructuring of a financing facility by the Group on terms that the Group would not consider otherwise; or
- It is becoming probable that the borrower will enter bankruptcy or other financial reorganisation.

iii) Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as a deduction from gross carrying amount of exposures subject to credit risk. Loss allowances for ECL on financing commitments and financial guarantee contracts are presented as a provision under other liabilities.

iv) Write off

Financing asset exposures are either fully or partially written off when there is no expectation for further recovery. Indicators that there is no reasonable expectation of recovery include (i) borrower insolvency or (ii) all possible recovery options have been exhausted.

If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to other income.

xi. Derecognition of financial assets and liabilities

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a ‘pass-through’ arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset; or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

f. Financial assets and liabilities (continued)

xi. Derecognition of financial assets and liabilities (continued)

If the terms of the financial assets are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised. If the cash flows of the renegotiated asset are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and the new financial asset is recognised at fair value. The impairment loss before an expected restructuring is measured as follows:

- If the expected restructuring will not result in derecognition of an existing asset, then the estimated cash flows arising from the modified financial asset are included in the measurement of the existing asset based on their expected timing and amounts discounted at the original effective interest rate of the existing financial asset.
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of derecognition. This amount is discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

g. Impairment of non-financial assets

At each statement of financial reporting period, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss, if any. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount.

An impairment loss is recognised in the statement of profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease. Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the statement of profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

h. Investment in associates

Associates are those entities in which the Group has significant influence, but not control or joint control, over their financial and operating policies. Significant influence is presumed to exist when the Group holds between 20 and 50 percent of the voting power of another entity. Associates are accounted for using the equity method and are recognised initially at cost, which includes the transaction costs. The financial statements of the Group include its share of the income and expenses and equity movements of associates,after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases. On cessation of significant influence, even if an investment in an associate becomes an investment in a joint venture, the entity does not re-measure the retained interest. When the Group's share of losses exceeds its interest in an associate, the carrying amount of that interest is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the associate.

i. Leases

At the inception of the contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for the period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether:

- the contract involves the use of an identified asset, this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Group has the right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either:

-

the Group has the right to operate the asset; or

-

the Group designed the asset in a way that predetermines how and for what purpose it will be used.
- At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of land and buildings in which it is a lessee, the Group has elected not to separate non-lease components and to account for the lease and non-lease components as a single lease component.
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Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

i. Leases (continued)

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises:

- the amount of the initial measurement of the lease liability;
- any lease payment made at or before the commencement date, less any lease incentives received;
- any initial direct cost incurred by the lessee; and
- estimated cost to dismantle and to remove the underlying asset, or to restore the underlying asset or the site on which it is located.

The right-of-use asset is subsequently depreciated using the straight line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined based on the lease term.

Lease liability is measured as the present value of the future lease payments that are not paid at the commencement date. The lease payments are discounted based on the Group's incremental borrowing rate. Lease liability comprises the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under residual value guarantees;
- the exercise price of a purchase option if the Group is reasonably certain to exercise that option;
- lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option; and
- penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and for leases of low-value assets. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

j. Property and equipment

Property and equipment are initially recorded at cost and subsequently stated at cost less accumulated depreciation and impairment losses. Land is not depreciated and is stated at cost at the date of acquisition. Where an item of property and equipment comprises major components having different useful lives, they are accounted for separately. The cost of an item of property and equipment comprises its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be put to its intended use. Depreciation is charged to the statement of profit or loss on a straight-line basis over the estimated useful lives of the property and equipment. The estimated useful lives are as follows:

Buildings	20 to 40 years
Furniture and equipment	3 to 15 years
Software	5 years

The residual value and the useful life of property and equipment are reviewed periodically and, if expectations differ from previous estimates, the change is recognised prospectively in the statement of profit or loss over the remaining estimated useful life of the property and equipment.

Software is amortised on a straight-line basis in profit or loss over its estimated useful life, from the date on which it is available for use.

k. Goodwill and intangibles

The Group accounts for business combinations using the acquisition method when control is transferred to the Bank. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Transaction costs are expensed as incurred.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred, and the amount recognised for non-controlling interests and any previous interest held over the net identifiable tangible and intangible assets acquired and liabilities assumed.

After initial recognition, goodwill and other intangibles are measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units. Further details on impairment of non-financial assets is included in note 2g.

Where goodwill has been allocated to a cash-generating unit ("CGU") and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained. Intangibles with indefinite useful lives are subject to impairment testing at least on an annual basis, while those with definite useful lives are amortised.

l. Other provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

2. MATERIAL ACCOUNTING POLICIES (continued)

m. Off-setting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set-off the recognised amounts and the Group intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

n. Settlement date accounting

All "regular way" purchases and sales of financial assets except for derivatives and assets classified as fair value through profit or loss are recognised on the settlement date i.e. the date the Group receives or delivers the asset. Regular way purchases and sales are those that require delivery of assets within the time frame generally established by regulation or convention in the market place. Derivative and assets classified as fair value through profit or loss transactions are recognised on trade date, representing the date the Group contracts to purchase or sell.

o. Proposed appropriations

Dividends and other proposed appropriations are recognised as a liability in the period in which they are approved by the shareholders.

p. Remuneration policy

Board of Directors - The remuneration of the Board of Directors is approved by the shareholders. In addition, directors are paid nominal fees for attending meetings of the sub-committees of the Board.

Employees - The remuneration primarily consists of monthly salaries and allowances. The Group also has a discretionary bonus scheme based on the net income for the year and considering the employees' performance during the year.

The above is in compliance with the sound remuneration practices regulation of the Central Bank of Bahrain.

q. Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenues and expenses that relate to transactions with any of the other components of the Group. All operating results of the operating segments are reviewed regularly by the Chief Executive Officer to make decisions about resource allocation and assess its performance, and for which discrete financial information is available.

r. Earnings per share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

s. Income tax liability

The Group's operations in Bahrain is not liable to income tax. The Group's Saudi Arabia and United Arab Emirates branches are subject to income tax in accordance with the Saudi and UAE Income Tax Law. Income tax, if any, is charged to the statement of profit or loss.

t. Repossessed property

In certain circumstances, property is repossessed following the foreclosure on loans and advances to customers that are in default. Repossessed properties are measured at the lower of their carrying amount and their fair value less costs to sell and are recognised within other assets.

u. Investment property

Properties held for rental or capital appreciation purposes are classified as investment properties. Investment properties are initially measured at cost, being the fair value of the consideration given and acquisition charge. Subsequently, investment properties are measured at fair value with any changes therein recognised within other income in the statement of profit or loss.

v. Assets under management

The Group acts as a trustee / manager and in other capacities that result in holding or placing of assets on behalf of a trust or other institution. These assets and income arising thereon are not included in the Group's financial statements as they are not assets of the Group.

w. Employee share-based payment transactions

All share awards are released to the benefit of the employee after a six-month retention period from the date of vesting. The number of equity share awards is linked to the Bank's share price as per the rules of the Bank's share incentive scheme and is representative of the award fair value at the grant date. The fair value of the share awards is recognised as an expense in the consolidated statement of profit or loss, with a corresponding credit to retained earnings over the vesting period.

3. FINANCIAL RISK MANAGEMENT

The Group is exposed to the following types of risks:

- credit risk
- liquidity risk
- market risk
- operational risk

Risk management framework

The overall authority for risk management in the Group is vested with the Board of Directors. The Board authorises appropriate credit, liquidity, market, and operational risk policies based on the recommendation of the Board Risk Committee and Management of the Group. The Group has established various committees that review and assess all risk issues. Approval authorities are delegated to different functionaries in the hierarchy depending on the amount, type of risk and nature of operations or risk. The Risk division of the Group provides the necessary support to Senior Management and the business units in all areas of risk management. The Risk division functions independent of the business units and reports directly to the Board Risk Committee and administratively to the Group Chief Executive Officer.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

3. FINANCIAL RISK MANAGEMENT (continued)

The Board Risk Committee is responsible for identifying and monitoring risks within the framework of the risk appetite established by the Board of Directors including reviewing and reporting its conclusions and recommendations to the Board on the Group's current and future risk appetite, the Group's risk management framework as well as the Group's risk culture.

The Group's risk management policies are established to identify and analyse the risk faced by the Group, to set appropriate limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

Credit risk

Credit risk represents the potential financial loss as a consequence of a customer's inability to honour the terms and conditions of a credit facility. Such risk is measured with respect to counterparties for both on-balance sheet assets and off-balance sheet items.

The Group has well laid out procedures, not only to appraise but also to regularly monitor credit risk. Credit appraisal is based on the financial position of the borrower, performance projections, market position, industry outlook, external ratings (where available), track record, account conduct, repayment sources and ability, tangible and intangible security, etc. Regular reviews are carried out for each account and risks identified are mitigated in a number of ways, which include obtention of collateral, counter-guarantees from shareholders and/or third parties.

The Credit Risk Department of the Group independently analyses risks and puts forth its recommendations prior to approval by the appropriate authorities for facilities falling outside pre-approved product criteria. In addition to rigorous credit analysis, the terms and conditions of all credit facilities are strictly implemented by the Credit Administration Department. An internal grading system and annual review process supports the identification of any deterioration in credit risk and consequent implementation of corrective action.

The Group uses an internal risk rating system that has 10 risk rating grades with “+” or “-” modifiers resulting in a 22-point scale. The system takes into account the financial strength of a borrower as well as qualitative aspects to arrive at a comprehensive snapshot of the risk of default associated with the borrower. Risk ratings assigned to each borrower are reviewed at least on an annual basis. The internal risk rating grades range from 1 (highest quality with minimal credit risk) to 10 (lowest quality, typically in default with little prospect for recovery of principal or interest). For categories from 2 to 7, the Group uses modifiers ‘+’ or ‘-’ to show relative standing within these major rating categories. Regular monitoring of the portfolio enables the Group to identify accounts, which witness deterioration in risk profile. Retail credit facilities which are granted based on pre-defined criteria such as salary assignment, maximum repayment obligation as a percentage of salary etc., are excluded from this rating system.

The Group also uses the ratings by established rating agencies as part of the appraisal process while considering exposures to rated entities.

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk management ensures that funds are available at all times to meet the funding requirements of the Group.

The asset and liability management policies of the Group define the proportion of liquid assets to total assets with the aim of minimising liquidity risk. The Group maintains adequate liquid assets such as inter-bank placements, treasury bills and other readily marketable securities, to support its business and operations. The Treasury Department monitors the maturity profile of assets and liabilities so that adequate liquidity is maintained at all times. The Group Asset Liability Committee (GALCO) chaired by the Chief Executive Officer reviews the liquidity gap profile and the liquidity scenario and addresses strategic issues concerning liquidity.

Market risk

Market risk is the risk of potential losses arising from movements in market prices of interest rate related instruments and equities in the trading portfolio and foreign exchange and commodities holdings throughout the Group. The Group's trading activities are governed by policies that are clearly documented, by adherence to comprehensive limit structures set annually and by regular reviews. Quality and rating are the main criteria in selecting a trading asset. The Group uses the standardised method under Basel III for allocating market risk capital based on the risk assessed for underlying factors of interest rate risk, equity risk, foreign exchange risk, options risk and commodity risk.

Operational risk

Operational risk is the risk of monetary loss on account of human error, fraud, system failures or the failure to record transactions. The Group has well laid out procedures and systems that set out the methodologies for carrying out specific tasks. These systems and procedures are constantly reviewed and revised to address any potential risks. Additionally, new products and services are reviewed and assessed for operational risks prior to their implementation.

Capital management

The Group's policy is to maintain sufficient capital to sustain investor, creditor and market confidence and to support future development of the business. The impact of the level of capital on the return on shareholder's equity is also recognised, and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

4. CASH AND CASH EQUIVALENTS

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Cash and balances at central banks	198.5	526.5	184.8	490.2
Less: mandatory cash reserves	(147.3)	(390.7)	(137.7)	(365.2)
	51.2	135.8	47.1	125.0
Treasury bills (less than 3 months)	10.0	26.5	9.4	24.9
Placements with banks and other financial institutions (less than 3 months)	779.3	2,067.1	608.3	1,613.5
	840.5	2,229.4	664.8	1,763.4

5. TREASURY BILLS

Treasury bills are short-term in nature and include treasury bills, Islamic Sukuk and certificate of deposits issued by the Government of Bahrain, the Government of Saudi Arabia and the United States Government.

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Government of Saudi Arabia	10.0	26.5	9.8	26.0
Government of Bahrain	-	-	9.4	24.9
United States Government	-	-	176.9	469.3
	10.0	26.5	196.1	520.2

6. PLACEMENTS WITH BANKS AND OTHER FINANCIAL INSTITUTIONS

Placements with banks and other financial institutions are part of the Group's money market activities and comprises short-term lending to banks and other financial institutions.

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Placements with banks	796.9	2,113.8	621.5	1,648.5
Placements with other financial institutions	3.8	10.1	4.4	11.7
	800.7	2,123.9	625.9	1,660.2

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Term placements	613.8	1,628.1	489.0	1,297.1
Current and call accounts	152.2	403.7	108.1	286.7
Reverse repos	34.7	92.1	28.8	76.4
	800.7	2,123.9	625.9	1,660.2

7. LOANS AND ADVANCES TO CUSTOMERS

a) As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Loans and advances to non-banks	3,210.0	8,514.6	3,087.1	8,188.6
Loans and advances to banks	68.3	181.2	35.9	95.2
Gross loans and advances	3,278.3	8,695.8	3,123.0	8,283.8
Less: impairment loss allowance	(92.1)	(244.3)	(103.0)	(273.2)
	3,186.2	8,451.5	3,020.0	8,010.6

b) As at 31 December 2025, the amount of floating rate loans for which interest was being reset by the Group on agreed dates and based on an agreed fixed margin over a benchmark interest rate amounted to BHD 1,327.6 million (USD 3,521.5 million) [31 December 2024: BHD 1,293.7 million (USD 3,431.6 million)].

c) In accordance with the Group's policy and the Central Bank of Bahrain guidelines, loans on which payments of interest or repayments of principal are 90 days past due are immediately defined as non-performing. Any interest accrued is reversed and future interest is only recognised on a cash basis. The ageing schedule of non-performing loans and advances based on the time period since the last repayment of principal or interest by the customer, is as follows:

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Up to 1 year	68.1	180.6	62.8	166.6
1 to 3 years	38.2	101.3	50.6	134.2
Over 3 years	2.3	6.1	4.8	12.7
	108.6	288.0	118.2	313.5
Fair market value of collateral	101.5	269.2	117.1	310.6
Stage 3 provisions	59.3	157.3	66.9	177.5

Loans that have been classified as non-performing should remain classified as such until the completion of a cooling off period in accordance with the Central Bank of Bahrain guidelines.

Loans that are past due below 90 days but not impaired are those for which contractual interest or principal payments are past due but the Group believes that specific impairment is not appropriate on the basis of the level of security or collateral available and / or the stage of collection of amounts owed to the Group. As at 31 December 2025, loans past due below 90 days but not impaired amounted to BHD 136.4 million (USD 361.8 million) [31 December 2024: BHD 114.3 million (USD 303.2 million)].

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

7. LOANS AND ADVANCES (continued)

d) The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been substantially modified may be de-recognised and the renegotiated loan recognised as a new loan.

The Group renegotiates loans to customers as a result of financial difficulties (referred to as 'forbearance activities') or changes in anticipated cash flows to maximise collection opportunities and minimise the risk of default. During 2025, credit facilities amounting to BHD 41.7 million (USD 110.6 million) were restructured [2024: BHD 37.0 million (USD 98.1 million)]. Restructuring concessions mainly related to deferral of loan installments to assist customers overcome temporary cash flow situations or to realign the repayment with the borrower's revised cash flow projections, and amending the terms of loan covenants. Due to the minor nature of concessions, there was no significant impact on the Group's impairment charge or the future earnings. Loans that have been restructured are reported as stage 2 and should remain as such until the completion of a cooling off period in accordance with the Central Bank of Bahrain guidelines.

e) The Group holds collateral against loans and advances to customers in the form of lien over deposits, mortgage over properties and / or shares and sovereign / bank guarantees. Some of these collaterals are held through a special purpose vehicle. As at 31 December 2025, loans and advances amounting to BHD 868.5 million (USD 2,303.7 million) [31 December 2024: BHD 847.6 million (USD 2,248.3 million)] were fully collateralised and loans and advances amounting to BHD 331.5 million (USD 879.3 million) [31 December 2024: BHD 274.6 million (USD 728.4 million)] were partly collateralised with a collateral value of BHD 177.5 million (USD 470.8 million) [31 December 2024: BHD 152.3 million (USD 404.0 million)]. Therefore, fully or partially collateralised loans represented 36.6% of gross loans (31 December 2024: 35.9%).

f) Exposure to credit risk

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
1. Impaired (stage 3)				
Substandard	40.9	108.4	36.2	96.0
Doubtful	38.8	102.9	39.7	105.3
Loss	28.9	76.7	42.3	112.2
Gross amount	108.6	288.0	118.2	313.5
Stage 3 provisions	(59.3)	(157.3)	(66.9)	(177.5)
Impaired (stage 3) carrying amount	49.3	130.7	51.3	136.0
2. Past due below 90 days but not impaired				
Gross amount	130.7	346.7	114.0	302.4
Stage 1 or 2 provision	(4.2)	(11.2)	(8.3)	(22.0)
Past due but not impaired carrying amount	126.5	335.5	105.7	280.4

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
3. Neither past due nor impaired by internal rating				
Stage 1				
Rating grade 1	328.3	870.8	332.7	882.5
Rating grades 2 to 8	148.0	392.6	167.0	443.0
Rating grades 9 to 13	1,020.6	2,707.2	872.7	2,314.8
Rating grades 14 to 19	72.0	191.0	114.6	304.0
Unrated	1,381.9	3,665.5	1,311.7	3,479.3
Gross amount	2,950.8	7,827.1	2,798.7	7,423.6
Stage 1 provisions	(13.9)	(36.9)	(14.0)	(37.1)
Carrying amount of stage 1	2,936.9	7,790.2	2,784.7	7,386.5
Stage 2				
Rating grades 2 to 8	1.0	2.7	0.9	2.4
Rating grades 9 to 13	13.5	35.8	16.2	43.0
Rating grades 14 to 19	39.2	104.0	35.7	94.7
Unrated	4.6	12.2	6.3	16.7
Gross amount	58.3	154.7	59.1	156.8
Stage 2 provisions	(6.2)	(16.4)	(7.7)	(20.4)
Carrying amount of stage 2	52.1	138.3	51.4	136.4
Neither past due nor impaired carrying amount				
	2,989.0	7,928.5	2,836.1	7,522.9
Total carrying amount (excluding POCI)				
	3,164.8	8,394.7	2,993.1	7,939.3

Ratings 1 to 19 represent performing loans. Unrated includes mainly consumer loans and other facilities that are not assigned any ratings at inception.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

7. LOANS AND ADVANCES (continued)

f) Exposure to credit risk (continued)

By staging						
Total loans						
As at 31 December 2025						
	Stage 1 BHD millions	Stage 2 BHD millions	Stage 3 BHD millions	POCI BHD millions	Total BHD millions	Total USD millions
Loans and advances to customers	3,049.3	90.5	108.6	29.9	3,278.3	8,695.8
Less: impairment loss allowance	(15.1)	(9.2)	(59.3)	(8.5)	(92.1)	(244.3)
Net loans and advances to customers	3,034.2	81.3	49.3	21.4	3,186.2	8,451.5

As at 31 December 2024						
	Stage 1 BHD millions	Stage 2 BHD millions	Stage 3 BHD millions	POCI BHD millions	Total BHD millions	Total USD millions
Loans and advances to customers	2,867.3	104.5	118.2	33.0	3,123.0	8,283.8
Less: impairment loss allowance	(15.7)	(14.3)	(66.9)	(6.1)	(103.0)	(273.2)
Net loans and advances to customers	2,851.6	90.2	51.3	26.9	3,020.0	8,010.6

By staging						
Corporate						
As at 31 December 2025						
	Stage 1 BHD millions	Stage 2 BHD millions	Stage 3 BHD millions	POCI BHD millions	Total BHD millions	Total USD millions
Loans and advances to customers	1,613.8	74.9	86.2	29.9	1,804.8	4,787.3
Less: impairment loss allowance	(5.3)	(6.3)	(45.1)	(8.5)	(65.2)	(172.9)
Net loans and advances to customers	1,608.5	68.6	41.1	21.4	1,739.6	4,614.4

As at 31 December 2024						
	Stage 1 BHD millions	Stage 2 BHD millions	Stage 3 BHD millions	POCI BHD millions	Total BHD millions	Total USD millions
Loans and advances to customers	1,515.4	85.2	84.1	33.0	1,717.7	4,556.2
Less: impairment loss allowance	(4.9)	(9.1)	(41.2)	(6.1)	(61.3)	(162.6)
Net loans and advances to customers	1,510.5	76.1	42.9	26.9	1,656.4	4,393.6

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

7. LOANS AND ADVANCES (continued)

f) Exposure to credit risk (continued)

By staging						
Retail						
	Stage 1	Stage 2	Stage 3	POCI	Total	Total
	BHD millions	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
As at 31 December 2025						
Loans and advances to customers	1,435.5	15.6	22.4	-	1,473.5	3,908.5
Less: impairment loss allowance	(9.8)	(2.9)	(14.2)	-	(26.9)	(71.4)
Net loans and advances to customers	1,425.7	12.7	8.2	-	1,446.6	3,837.1

	Stage 1	Stage 2	Stage 3	POCI	Total	Total
	BHD millions	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
As at 31 December 2024						
Loans and advances to customers	1,351.9	19.3	34.1	-	1,405.3	3,727.6
Less: impairment loss allowance	(10.8)	(5.2)	(25.7)	-	(41.7)	(110.6)
Net loans and advances to customers	1,341.1	14.1	8.4	-	1,363.6	3,617.0

As at 31 December 2025, stage 2 included BHD 1.3 million (USD 3.4 million) of loans designated as FVTPL [31 December 2024: BHD 1.7 million (USD 4.5 million)].

Purchased or originated credit impaired ("POCI") financial assets were acquired as part of the business combination at fair value and reflect the credit losses on which a lifetime ECL is already recognised. The POCI portfolio comprises performing and non-performing credit facilities and is 96.6% covered by provisions and / or high quality collateral as at 31 December 2025 (31 December 2024: 93.9%).

The non-performing loan ratio at 31 December 2025 exclusive of POCI and inclusive of non-performing POCI is 3.3% and 3.9% respectively (31 December 2024: 3.8% and 4.5%).

g) Impairment provisions on loans and advances to customers

	Stage 1	Stage 2	Stage 3	POCI	Total	Total
	BHD millions	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
2025						
Impairment at 1 January 2025	15.7	14.3	66.9	6.1	103.0	273.2
Net transfer between stages	7.7	(8.0)	0.3	-	-	-
Write off during the year	-	-	(18.8)	(0.7)	(19.5)	(51.7)
Charge for the year (net)	(8.3)	2.9	10.9	3.1	8.6	22.8
Impairment at 31 December 2025	15.1	9.2	59.3	8.5	92.1	244.3

	Stage 1	Stage 2	Stage 3	POCI	Total	Total
	BHD millions	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
2024						
Impairment at 1 January 2024	14.2	18.3	60.3	5.1	97.9	259.7
Net transfer between stages	4.5	(4.3)	(0.2)	-	-	-
Write off during the year	-	-	(4.0)	-	(4.0)	(10.6)
Charge for the year (net)	(3.0)	0.3	10.8	1.0	9.1	24.1
Impairment at 31 December 2024	15.7	14.3	66.9	6.1	103.0	273.2

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

8. INVESTMENT SECURITIES

i. Composition

Investment securities comprise the following:

	2025		2024	
As at 31 December 2025	BHD millions	USD millions	BHD millions	USD millions
AA+	-	-	65.8	174.5
AA	16.9	44.8	-	-
AA-	45.6	121.0	-	-
A+	175.2	464.7	-	-
B+	-	-	1,012.3	2,685.2
B	1,429.4	3,791.5	-	-
Unrated	5.9	15.7	5.8	15.4
	1,673.0	4,437.7	1,083.9	2,875.1

	FVTPL	FVOCI	Amortised cost	Total	Total
As at 31 December 2025	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
Quoted investments:					
Debt instruments	27.8	527.8	327.2	882.8	2,341.7
Equity instruments	-	50.4	-	50.4	133.7
Total quoted investments	27.8	578.2	327.2	933.2	2,475.4
Unquoted investments:					
Debt instruments	26.3	64.8	699.1	790.2	2,096.0
Equity instruments	3.8	23.9	-	27.7	73.4
Total unquoted investments	30.1	88.7	699.1	817.9	2,169.4
Total investment securities	57.9	666.9	1,026.3	1,751.1	4,644.8

	FVTPL	FVOCI	Amortised cost	Total	Total
As at 31 December 2024	BHD millions	BHD millions	BHD millions	BHD millions	USD millions
Quoted investments:					
Debt instruments	-	287.9	221.2	509.1	1,350.4
Equity instruments	-	55.2	-	55.2	146.4
Total quoted investments	-	343.1	221.2	564.3	1,496.8
Unquoted investments:					
Debt instruments	0.2	59.4	515.2	574.8	1,524.7
Equity instruments	4.0	24.5	-	28.5	75.6
Total unquoted investments	4.2	83.9	515.2	603.3	1,600.3
Total investment securities	4.2	427.0	736.4	1,167.6	3,097.1

ii. Breakdown between repricing nature of debt instruments

	2025		2024	
As at 31 December	BHD millions	USD millions	BHD millions	USD millions
Fixed rate debt instruments	951.8	2,524.7	507.9	1,347.2
Floating rate debt instruments	721.2	1,913.0	576.0	1,527.9
	1,673.0	4,437.7	1,083.9	2,875.1

iii. Breakdown of debt instruments by rating

The ratings given below are by established rating agencies.

	2025		2024	
As at 31 December	BHD millions	USD millions	BHD millions	USD millions
AA+	-	-	65.8	174.5
AA	16.9	44.8	-	-
AA-	45.6	121.0	-	-
A+	175.2	464.7	-	-
B+	-	-	1,012.3	2,685.2
B	1,429.4	3,791.5	-	-
Unrated	5.9	15.7	5.8	15.4
	1,673.0	4,437.7	1,083.9	2,875.1

The debt instruments rated B and B+ in 2025 and 2024 primarily represent instruments issued by sovereigns.

As at 31 December 2025, all debt instruments were classified as stage 1.

iv. Investments designated as fair value through profit or loss

The Group holds investments in managed funds and securities designated as fair value through profit or loss amounting to BHD 57.9 million (USD 153.6 million) [2024: BHD 4.2 million (USD 11.1 million)].

9. INVESTMENT IN ASSOCIATES

The Group has a 39.7% (2024: 39.7%) interest in The Benefit Company B.S.C. (c) which is incorporated in the Kingdom of Bahrain. The Benefit Company has been granted a license for ancillary services by the Central Bank of Bahrain to provide payment systems, Bahrain cheque truncation and other related financial services for the benefit of commercial banks and their customers in the Kingdom of Bahrain.

The Group has a 30.3% (2024: 30.3%) interest in Seef Umm Al Hassam Real Estate W.L.L., which was incorporated in 2024 as a Special Purpose Vehicle (SPV). The company is involved in real estate activities and owns a portfolio of properties.

The Group has a 25.0% (2024: 25.0%) interest in Liquidity Management Centre B.S.C. (c) which was incorporated in 2002 as a bank, licensed and regulated by the Central Bank of Bahrain to facilitate the creation of an Islamic inter-bank market that allow Islamic financial services institutions to effectively manage their assets and liabilities.

The Group has a 23.5% (2024: 23.5%) interest in the units issued by the Bahrain Liquidity Fund (BLF). BLF was set up in 2016 as an open ended fund registered as Private Investment Undertaking "PIU" as per Central Bank of Bahrain rulebook volume 7. The main objective of BLF is to add liquidity to Bahrain Bourse, which over a period of time should result in enhancing investor confidence in the market's listed securities.

The Group has a 21.1% (2024: 21.1%) interest in SICO B.S.C. (c), which is a leading regional asset manager, broker, market maker, and investment bank. SICO operates under a wholesale banking license from the Central Bank of Bahrain and oversees two wholly-owned subsidiaries, an Abu Dhabi-based brokerage firm, SICO Invest, and a full-fledged capital markets services firm, SICO Capital, based in the Kingdom of Saudi Arabia.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

9. INVESTMENT IN ASSOCIATES (continued)

During the year, the Group entered into a swap agreement resulting in the derecognition of LS Real Estate Company W.L.L with a carrying value of BHD 3.9 million (USD 10.3 million) and the recognition of an investment property at a fair value of BHD 3.9 million (USD 10.3 million).

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Balance on 1 January	44.1	117.0	26.3	69.8
Share of profit	2.2	5.8	1.4	3.7
Dividends received	(0.8)	(2.1)	(0.1)	(0.3)
Additions	-	-	19.0	50.4
Disposal	(3.9)	(10.4)	-	-
Redemptions	(2.0)	(5.3)	(2.5)	(6.6)
At 31 December	39.6	105.0	44.1	117.0

The following table comprises of the most recent available summarised financial information of associates that have been equity accounted for in these consolidated financial statements, not adjusted for percentage of ownership held by the Group).

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Total assets	637.0	1,689.7	483.2	1,281.7
Total liabilities	498.3	1,321.8	313.0	830.3
Total revenues	31.8	84.4	26.7	70.7
Total net profit / (loss)	6.8	18.0	5.6	14.8

10. INTEREST RECEIVABLE AND OTHER ASSETS

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Interest receivable	73.9	196.0	63.2	167.6
Positive fair value of derivatives	57.0	151.2	67.5	179.1
Accounts receivable and prepayments	15.4	40.9	8.1	21.5
Others	22.4	59.4	19.5	51.7
	168.7	447.5	158.3	419.9

Others include BHD 4.2 million (USD 11.1 million) [31 December 2024: BHD 0.2 million (USD 0.5 million)] in respect of land and buildings acquired from customers through enforcement of security over loans and advances and now held for disposal. The land and buildings are stated at lower of their carrying value and fair value less costs to sell.

The Group holds BHD 17.2 million (USD 45.6 million) [31 December 2024: BHD 18.8 (USD 49.9 million)] of investment properties accounted for at fair value. The fair values of investment properties were determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued using valuation techniques based on observable inputs (level 2). The independent valuers provide the fair values of the Group's investment property portfolio every 12 months.

11. PROPERTY AND EQUIPMENT

	Leased property right-of-use BHD millions	Land BHD millions	Buildings BHD millions	Furniture and equipment BHD millions	Total	
					BHD millions	USD millions
Cost	8.5	8.0	43.8	102.9	163.2	432.9
Accumulated depreciation / amortisation	(4.0)	-	(33.0)	(54.7)	(91.7)	(243.2)
Net book value at 31 December 2025	4.5	8.0	10.8	48.2	71.5	189.7
Net book value at 31 December 2024	4.9	8.0	12.2	49.2	74.3	197.1

The depreciation charge for 2025 amounted to BHD 10.1 million (USD 26.8 million) [2024: BHD 9.2 million (USD 24.4 million)]. The above includes capital work in progress at cost, amounting to BHD 6.0 million (USD 15.9 million) [2024: BHD 23.6 million (USD 62.6 million)].

The amortisaion related to the right-of-use of leased property in 2025 amounted to BHD 1.9 million (USD 5.0 million) [2024: BHD 1.9 million (USD 5.0 million)].

12. GOODWILL AND OTHER INTANGIBLE ASSETS

On 22 January 2020, the Bank's stake in BISB increased from 29.1% as reported at 31 December 2019 to 78.8%, resulting in a transition from an investment in associate to an investment in a subsidiary, with the acquisition being accounted for using the acquisition method. The acquisition enabled the Group to position itself at the forefront of the regional Shariah-compliant banking sector in addition to its current leading conventional role. The two brands will continue to operate independently but asset, revenue, cost, technology and other operational synergies will provide customers and shareholders with enhanced services and returns.

Goodwill of BHD 41.8 million (USD 110.9 million) and intangibles of BHD 12.6 million (USD 33.4 million) arose from the acquisition of BISB. The intangibles comprises the value assigned to the expected benefits arising from the Islamic banking license and BISB brand being the oldest and predominant Islamic bank in the Kingdom of Bahrain. BHD 5.0 million (USD 13.3 million) of the intangibles were assigned a useful life of six years, with a remaining unamortised balance of BHD 0.9 million (USD 2.4 million) as of 31 December 2025 [31 December 2024: BHD 1.7 million (USD 4.5 million)].

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12. GOODWILL AND OTHER INTANGIBLE ASSETS (continued)

Goodwill impairment analysis

The recoverable amount of goodwill is based on value-in-use, calculated by discounting cash flow projections from Board approved financial forecasts, projected for five years to arrive at the terminal value. A growth rate of 2% (2024: 2%) and discount rate of 14% (2024: 15%) have been applied to the estimated cash flows.

The Bank assesses on an annual basis whether there is an indication, based on either internal or external sources of information, that goodwill may be impaired. As at 31 December 2025, there were no indicators of impairment of the cash generating unit (CGU) associated with the goodwill (2024: nil).

A sensitivity analysis was conducted by increasing the discount rate by 0.5% and reducing earnings by 10% to assess the impact on the recoverable amount as compared to the carrying value of the CGU. The carrying value of goodwill is lower than the reduced recoverable amount in the sensitivity analysis, further confirming no indications of impairment.

13. DUE TO BANKS AND OTHER FINANCIAL INSTITUTIONS

Due to banks and other financial institutions consists of short-term borrowings from banks and other financial institutions.

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Term deposits	892.2	2,366.6	537.3	1,425.2
Current and call accounts	49.0	130.0	42.4	112.5
	941.2	2,496.6	579.7	1,537.7

As at 31 December 2025 and 31 December 2024, the Group was a net contributor into the treasury bill and interbank money markets.

14. BORROWINGS UNDER REPURCHASE AGREEMENTS

Borrowings under repurchase agreements amount to BHD 609.2 million (USD 1,615.9 million) [31 December 2024: BHD 384.8 million (USD 1,020.7 million)] and the fair value of the investment securities pledged as collateral amounts to BHD 670.2 million (USD 1,777.8 million) [31 December 2024: BHD 418.8 million (USD 1,110.9 million)].

15. CUSTOMER DEPOSITS

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Repayable on demand or at short notice	1,705.9	4,524.9	1,605.9	4,259.7
Term deposits and call accounts	2,260.3	5,995.5	2,137.9	5,670.8
	3,966.2	10,520.4	3,743.8	9,930.5

16. INTEREST PAYABLE AND OTHER LIABILITIES

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Interest payable	81.5	216.2	80.2	212.7
Creditors and account payables	27.9	74.0	47.6	126.3
Negative fair value of derivatives	20.2	53.6	54.0	143.2
Employee benefits	12.3	32.6	11.5	30.5
Deferred income	7.0	18.6	8.3	22.0
Lease liability	4.3	11.4	4.7	12.5
Others	6.6	17.5	10.6	28.1
	159.8	423.9	216.9	575.3

Others include ECL and specific provisions against contingent liabilities amounting to BHD 2.0 million (USD 5.3 million) [31 December 2024: BHD 3.0 million (USD 8.0 million)].

Lease liabilities relate to the right-of-use of leased property. The maturity analysis of its contractual undiscounted cash flows are as follows:

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Less than 1 year	2.0	5.3	2.0	5.3
1 to 3 years	3.1	8.2	3.3	8.8
3 to 5 years	0.6	1.6	1.2	3.2
Total undiscounted lease liabilities	5.7	15.1	6.5	17.3
Lease liabilities included in the statement of financial position	4.3	11.4	4.7	12.5

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

17. NET IMPAIRMENT LOSSES ON FINANCIAL INSTRUMENTS

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Loans and advances to customers (note 7g)	8.6	22.8	9.1	24.1
Investment securities	0.1	0.3	-	-
Loan commitments and guarantees	(1.0)	(2.7)	(0.6)	(1.6)
Other (litigation claims and other assets)	0.3	0.8	0.1	0.3
	8.0	21.2	8.6	22.8

18. CONTINGENT LIABILITIES AND BANKING COMMITMENTS

The Group issues commitments to extend credit and guarantees the performance of customers by issuing standby letters of credit and guarantees to third parties. For these instruments, the contractual amount of the financial instrument represents the maximum potential credit risk if the counterparty does not perform according to the terms of the contract. The credit exposure for the contingent liabilities is reduced by obtaining counter guarantees and collateral from third parties. A large majority of these expire without being drawn upon, and as a result, the contractual amounts are not representative of the potential future credit exposure or liquidity requirements of the Group.

Based upon the level of fees currently charged, taking into account maturity and interest rates together with any changes in the credit worthiness of counterparties since origination, the Group has determined that the fair value excess or shortage of contingent liabilities and undrawn loan commitments is not material.

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Contingent liabilities				
Liabilities on confirmed documentary credits	78.5	208.2	90.6	240.3
Guarantees:				
Counter guaranteed by banks	77.0	204.2	70.4	186.7
Others	221.7	588.1	194.3	515.4
	377.2	1,000.5	355.3	942.4
Banking commitments				
Undrawn loan commitments	450.9	1,196.0	358.7	951.5
Forward commitments:				
Securities purchased	122.4	324.7	26.9	71.4
	573.3	1,520.7	385.6	1,022.9
	950.5	2,521.2	740.9	1,965.3

Credit risk exposure

As at 31 December 2025	Stage 1	Stage 2	Stage 3	Total
	BHD millions	BHD millions	BHD millions	BHD millions
Rating grade 1	0.8	-	-	0.8
Rating grades 2 to 8	129.7	2.9	-	132.6
Rating grades 9 to 13	412.7	2.9	-	415.6
Rating grades 14 to 19	194.6	11.2	-	205.8
Unrated	68.6	0.5	-	69.1
Non-performing	-	-	4.2	4.2
Total carrying amount	806.4	17.5	4.2	828.1
Less: impairment provision	(0.6)	(0.1)	(1.3)	(2.0)
Net carrying amount	805.8	17.4	2.9	826.1
Net carrying amount in USD	2,137.4	46.2	7.7	2,191.3

As at 31 December 2024	Stage 1	Stage 2	Stage 3	Total
	BHD millions	BHD millions	BHD millions	BHD millions
Rating grade 1	0.8	-	-	0.8
Rating grades 2 to 8	120.3	1.1	-	121.4
Rating grades 9 to 13	401.3	4.7	-	406.0
Rating grades 14 to 19	77.0	4.3	-	81.3
Unrated	98.2	0.5	-	98.7
Non-performing	-	-	5.8	5.8
Total carrying amount	697.6	10.6	5.8	714.0
Less: impairment provision	(0.5)	(0.2)	(2.3)	(3.0)
Net carrying amount	697.1	10.4	3.5	711.0
Net carrying amount in USD	1,849.1	27.6	9.3	1,886.0

The analysis above excludes forward commitments.

19. DERIVATIVE AND FOREIGN EXCHANGE FINANCIAL INSTRUMENTS

The Group utilises various derivative and foreign exchange financial instruments for trading, asset / liability management and hedging risks. These instruments primarily comprise futures, forwards, swaps and options.

Futures and forward contracts are commitments to buy or sell financial instruments or currencies on a future date at a specified price or yield, and may be settled in cash or through delivery. Swap contracts are commitments to settle in cash on a future date or dates, interest rate commitments or currency amounts based upon differentials between specified financial indices, as applied to a notional principal amount. Option contracts give the acquirer, for a fee, the right but not the obligation, to buy or sell within a limited period a financial instrument or currency at a contracted price.

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For the year ended 31 December 2025

19. DERIVATIVE AND FOREIGN EXCHANGE FINANCIAL INSTRUMENTS (continued)

In respect of the derivative and foreign exchange financial instruments, the contract / notional principal amounts do not represent balances subject to credit or market risk. Contract / notional principal amounts represent the volume of outstanding transactions and are indicators of business activity. These amounts are used to measure changes in the value of derivative products and to determine the cash flows to be exchanged. The replacement cost is the cost of replacing those financial instruments with a positive market value, together with an estimate for the potential future change in the value of the contract, and reflects the maximum credit loss for the Group had all these counterparties defaulted. The fair value represents the aggregate of the positive and negative cash flows which would have occurred if the rights and obligations arising from the instrument were extinguished by the Group in an orderly market as at the reporting date. The fair values of derivative financial instruments such as interest rate swaps and forward rate agreements were calculated using discounted cash flow models based on current market yields for similar types of instruments and the maturity of each instrument. The futures contracts, foreign exchange contracts and interest rate options were revalued using market prices and option valuation models as appropriate.

a) The following table summarises for each type of derivative and foreign exchange financial instrument, the aggregate notional amounts, the replacement cost and the fair value:

In BHD millions	Notional principal amount		Replacement cost		Fair value	
	2025	2024	2025	2024	2025	2024
Cross currency swaps	80.5	-	-	-	(0.7)	-
Interest rate swaps	6,850.2	6,618.2	50.1	53.5	12.0	26.2
Foreign exchange contracts:						
Outright spot and forward contracts	913.0	322.0	0.2	0.8	(0.4)	0.4
Swap agreements	2,473.5	1,454.7	3.0	2.4	2.5	1.6
	3,386.5	1,776.7	3.2	3.2	2.1	2.0
Total	10,317.2	8,394.9	53.3	56.7	13.4	28.2
Total in USD millions	27,366.6	22,267.6	141.4	150.4	35.5	74.8

Replacement costs by industry and geographical region are presented in note 33.

b) The remaining maturity profile by each class of derivative and foreign exchange financial instrument based on contract / notional principal amounts is as follows:

In BHD millions	2025			2024		
	Up to 1 year	Over 1 year	Total	Up to 1 year	Over 1 year	Total
Cross currency swaps	16.4	64.1	80.5	-	-	-
Interest rate swaps	2,292.9	4,557.3	6,850.2	227.3	6,390.9	6,618.2
Foreign exchange contracts:						
Outright spot and forward contracts	913.0	-	913.0	322.0	-	322.0
Swap agreements	2,416.7	56.8	2,473.5	1,454.7	-	1,454.7
	3,329.7	56.8	3,386.5	1,776.7	-	1,776.7
Total	5,639.0	4,678.2	10,317.2	2,004.0	6,390.9	8,394.9
Total in USD millions	14,957.6	12,409.0	27,366.6	5,315.6	16,952.0	22,267.6

20. SHARE CAPITAL

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Authorised share capital				
2,500,000,000 (2024: 2,500,000,000) ordinary shares of 100 fils each	250.0	663.1	250.0	663.1
Issued and fully paid share capital				
At 1 January 2025: 2,266,075,060 ordinary shares of 100 fils each (at 1 January 2024: 2,266,075,060 shares of 100 fils each)	226.6	601.1	226.6	601.1
At 31 December 2025 2,266,075,060 ordinary shares of 100 fils each (at 31 December 2024: 2,266,075,060 shares of 100 fils each)	226.6	601.1	226.6	601.1

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20. SHARE CAPITAL (continued)

The distribution of ordinary shares, setting out the number of shares and shareholders and percentage of total outstanding shares in the following categories, is shown below:

	31 December 2025			31 December 2024		
	Number of shares	Number of shareholders	% of total outstanding shares	Number of shares	Number of shareholders	% of total outstanding shares
Less than 1%	692,819,821	1,958	30.5%	696,026,575	1,929	30.6%
1% up to less than 5%	329,022,182	8	14.5%	325,815,428	8	14.4%
5% up to less than 10%	-	-	-	-	-	-
10% up to less than 20%	245,870,464	1	10.9%	245,870,464	1	10.9%
20% up to less than 50%	998,362,593	1	44.1%	998,362,593	1	44.1%
	2,266,075,060	1,968	100.0%	2,266,075,060	1,939	100.0%

The distribution of ordinary shares ownership based on nationality of the shareholder is shown below:

	31 December 2025			31 December 2024		
	Number of shares	Number of shareholders	% of total outstanding shares	Number of shares	Number of shareholders	% of total outstanding shares
Bahraini	2,140,049,059	1,805	94.4%	2,138,911,521	1,778	94.4%
Other GCC countries	121,926,221	118	5.4%	122,896,630	118	5.4%
Others	4,099,780	45	0.2%	4,266,909	43	0.2%
	2,266,075,060	1,968	100.0%	2,266,075,060	1,939	100.0%

44.1% of the Bank's share capital is held by the Bahrain Mumtalakat Holding Co, which is 100% owned by the Government of Bahrain. 10.9% of shares is owned by the Social Insurance Organisation, Kingdom of Bahrain. The rest of the share capital is widely held primarily by the citizens of, and entities incorporated in, the Kingdom of Bahrain.

Treasury shares

Treasury shares represent the Bank's purchase of its own shares. At the end of the year, the Bank held 8,512,635 of its own shares (2024: 5,155,725).

Employee share incentive scheme

The employee share incentive scheme ("Scheme") was approved at the ordinary general meeting on 11 March 2015 in pursuant to CBB's Sound Remuneration Practices regulation. As a result, 19,104,000 ordinary shares amounting to BHD 1.9 million were issued in 2015 to an independent party to hold the beneficial interest of the shares under the scheme. Shares are allocated to the employees under the scheme. The allocated share under the scheme are entitled to cash and stock dividend and subject to malus and clawback provisions of the scheme. As at 31 December 2025, there are 1,914,948 (2024: 5,514,116) shares unallocated. These unallocated shares under the scheme are deducted from equity.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

21. RESERVES

a) Statutory reserve

In accordance with the Commercial Companies Law, 10 percent of net profit is appropriated to a statutory reserve, which is not normally distributable except in accordance with Article 224 of the law. Such appropriations may cease when the reserve reaches 50 percent of paid up share capital.

b) General reserve

The reserve has been created in accordance with the Group's articles of association and underlines the shareholders' commitment to enhance the strong equity base of the Group.

c) Fair value reserve

The fair value reserve includes the cumulative net change in fair value of instruments classified as FVOCI. The fair value reserve also includes the Group's share of other comprehensive income of associates.

d) Donation and charity reserve

Based on the recommendations of the Board of Directors, upon shareholders' approval, an amount is transferred from the profit for the year to this donation and charity reserve. The reserve represents the amount of donations pending utilisation.

e) Share premium

Under the employee share incentive scheme, the Group allocated shares at market rates which resulted in increasing the share premium by BHD 1.8 million (USD 4.8 million) [2024: BHD 1.5 million (USD 4.0 million)].

f) Cash flow hedge reserve

The cash flow hedge reserve includes the cumulative changes in the fair value of hedging instruments that qualify for hedge accounting. The portion of any gain or loss on the hedging instrument, that is determined to be an effective hedge, is recognised initially in other comprehensive income and the ineffective portion is recognised in the consolidated statement of profit or loss.

22. APPROPRIATIONS

The appropriations relating to the year 2024 were approved at the annual general meeting held on 27 March 2025. The appropriations relating to the year 2025 will be approved at the annual general meeting on 18 March 2026.

23. INTEREST INCOME / INTEREST EXPENSE

a) Interest income

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Loans and advances to non-banks	176.0	466.9	169.3	449.1
Loans and advances to banks	3.1	8.2	2.3	6.1
Treasury bills	7.2	19.1	10.6	28.1
Placements with banks and other financial institutions	44.6	118.3	52.1	138.2
Investment securities	76.2	202.1	73.9	196.0
	307.1	814.6	308.2	817.5

b) Interest expense

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Customer deposits	108.1	286.7	106.7	282.9
Due to banks and other financial institutions	33.1	87.8	33.5	88.9
Borrowings under repurchase agreements	24.9	66.1	24.6	65.3
	166.1	440.6	164.8	437.1

24. NET FEE AND COMMISSION INCOME

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Fees and commission on loans and advances to customers	5.1	13.5	4.1	10.9
Fees and commission on trade finance related activities	3.1	8.2	3.4	9.0
Fees and commission on cards	17.5	46.4	16.3	43.2
Other fees and commission income	4.8	12.8	6.2	16.4
Less: other fees and commission expenses	(16.7)	(44.3)	(14.6)	(38.7)
	13.8	36.6	15.4	40.8

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25. OTHER INCOME

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Profit on trading securities, foreign exchange and derivatives	15.5	41.1	11.6	30.8
Profit on sale of debt investment securities	13.0	34.5	14.3	37.9
Gain on fair value through profit or loss investments	(0.1)	(0.2)	0.6	1.6
Other income from core activities	28.4	75.4	26.5	70.3
Dividend income	2.9	7.7	3.1	8.2
Other income	13.7	36.3	3.3	8.8
Other income from non-core activities	16.6	44.0	6.4	17.0
	45.0	119.4	32.9	87.3

Other income for the year ended 31 December 2025 includes a gain of BHD 9.7 million arising from the sale of land held by a subsidiary.

26. STAFF EXPENSES

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Salaries, allowances and bonuses	38.8	102.9	37.8	100.2
Social security and gratuity	5.6	14.9	4.3	11.4
Housing and other benefits	9.4	24.9	9.3	24.7
Others	1.1	2.9	0.9	2.4
	54.9	145.6	52.3	138.7

Staff expenses are inclusive of long-term incentive plan (LTIP), a variable compensation awarded and paid in the form of shares on a cliff vesting basis after three years based on performance and retention conditions.

The movement of employee share incentive scheme is as follows:

	2025	2024
Balance on 1 January	5,514,116	8,685,507
Grant of awards and allocation of shares to participants	(4,247,997)	(3,171,391)
Share buy-back during the year	648,829	-
At 31 December	1,914,948	5,514,116

The market price of the Bank's shares at 31 December 2025 was 506 fils per share (31 December 2024: 490 fils per share).

27. OTHER OPERATING EXPENSES

For the year ended 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Equipment expenses	12.6	33.4	11.7	31.0
Depreciation and amortisation	10.9	28.9	10.0	26.6
Depreciation, amortisation and equipment expenses	23.5	62.3	21.7	57.6
Communication expenses	5.9	15.7	6.0	15.9
Regulatory licenses, deposit protection and VAT expenses	5.9	15.7	5.6	14.9
Professional fees	4.8	12.7	4.2	11.1
Premises expenses	4.0	10.6	3.8	10.1
Advertising and public relations expenses	2.5	6.6	2.6	6.9
Audit, legal, insurance and board expenses	2.1	5.6	2.2	5.8
Other expenses	2.8	7.4	2.8	7.4
Other operating expenses	28.0	74.3	27.2	72.1
	51.5	136.6	48.9	129.7

Fees relating to KPMG, the Group's external auditor, during the year 2025 amounted to BHD 0.5 million (USD 1.3 million) [2024: BHD 0.4 million (USD 1.1 million)] out of which BHD 0.2 million (USD 0.5 million) [2024: BHD 0.2 million (USD 0.5 million)] was for audit services, BHD 0.2 million (USD 0.5 million) [2024: BHD 0.1 million (USD 0.3 million)] was for CBB mandatory review requirements and BHD 0.1 million (USD 0.3 million) [2024: BHD 0.1 million (USD 0.3 million)] was for non-audit services.

28. NET OPEN FOREIGN CURRENCY POSITIONS

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
US Dollar long position - unhedged	51.8	137.4	205.4	544.8
Saudi Riyal (short) / long position - unhedged	(4.5)	(11.9)	6.7	17.8
UAE Dirhams (short) / long position - unhedged	(5.0)	(13.3)	67.2	178.2

All of the above currencies have a fixed rate of exchange against the Bahraini Dinar. The Bank did not have any significant net open positions as at 31 December 2025 or 31 December 2024.

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29. RELATED PARTIES

Certain related parties (major shareholders, directors of the Group and families and companies of which they are principal owners, key management personnel and associates) were customers of the Group in the ordinary course of business. The transactions with these parties were made on an arm's length basis. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group. Typically, key management personnel include the Chief Executive Officer and persons directly reporting to this position. Significant balances at the reporting date in regard to related parties and transactions during the year with related parties are as below.

The Group qualifies as a government related entity under the definitions provided in IAS 24 as its significant shareholders are government owned. In addition to the government exposures reported below, in its normal course of business, the Group provides commercial lending, liquidity management and other banking services to, and also avails services from, various semi governmental organisations and government owned companies in the Kingdom of Bahrain.

In BHD millions As at 31 December	Major shareholder and related entities		Directors and key management personnel		Associates	
	2025	2024	2025	2024	2025	2024
Loans and advances to customers	368.9	570.9	3.0	4.5	-	-
Treasury bills and investment securities	1,451.8	1,052.1	-	-	39.6	44.1
Customer deposits	274.6	217.9	65.8	34.5	1.1	1.2
Contingent liabilities for irrevocable commitments, guarantees and other contingencies	207.2	67.7	34.4	28.0	1.6	0.1

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Loans advanced	291.7	448.8	3.1	2.3	-	-
Loans repaid	415.7	251.7	2.4	2.5	-	-
Net (decrease) / increase in overdrafts	(78.0)	102.6	(2.2)	(3.7)	-	-
Treasury bills, bonds and equities purchased	868.2	361.6	-	-	-	-
Treasury bills, bonds and equities matured / sold	468.5	484.6	-	-	-	-
Capital expenditures	0.1	0.4	0.7	1.1	-	-
Interest income	96.5	85.8	0.1	0.2	-	-
Interest expense	9.5	6.0	2.0	1.0	-	-
Share of profit of associates	-	-	-	-	2.2	1.4
Dividend income	2.1	2.4	-	-	-	-
Directors remuneration and sitting fees	0.2	0.2	0.5	0.6	-	-
Short term employee benefits	-	-	0.5	2.9	-	-
Post employment retirement benefits	-	-	-	0.4	-	-
Other operating expenses	4.3	4.5	4.0	3.4	0.6	0.9

During the year, no net provision charge (2024: no net provision charge) had been recorded against outstanding balances with related parties.

Certain transactions were approved by the Board of Directors under Article 189(b) of the Commercial Companies Law in the financial year ended 31 December 2025 where the chairman, directors or managers had a direct or indirect interest in the contracts or transactions.

During the year, the share-based payment granted to senior management amounted to BHD 0.5 million (USD 1.3 million) [2024: BHD 1.0 million (USD 2.7 million)].

Notes to the Consolidated Financial Statements continued

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30. ASSETS UNDER MANAGEMENT

Assets administered on behalf of customers to which the Bank does not have legal title are not included in the statement of financial position. At 31 December 2025, assets under administration amounted to BHD 280.2 million (USD 743.2 million) [31 December 2024: BHD 306.7 million (USD 813.5 million)].

31. GEOGRAPHICAL DISTRIBUTION

In BHD millions As at 31 December	Assets		Liabilities		Off balance sheet items	
	2025	2024	2025	2024	2025	2024
GCC	6,031.9	5,110.7	5,142.0	4,486.3	4,872.4	3,419.0
USA	123.6	323.4	25.4	21.1	10.7	10.8
Europe	44.7	47.1	394.6	366.8	6,213.3	5,601.6
Rest of the World	76.4	41.0	114.4	51.0	171.3	104.4
	6,276.6	5,522.2	5,676.4	4,925.2	11,267.7	9,135.8

Off balance sheet items include contingent liabilities, banking commitments, derivatives and forward exchange contracts.

32. DISTRIBUTION BY SECTOR

In BHD millions As at 31 December	Assets		Liabilities		Off balance sheet items	
	2025	2024	2025	2024	2025	2024
Government / sovereign	2,282.9	1,923.3	519.0	400.6	1,358.8	1,090.7
Manufacturing / trading	546.8	541.3	246.0	177.3	289.6	534.6
Banks / financial institutions	1,292.6	1,044.4	1,537.4	1,043.5	8,973.5	7,059.9
Construction	172.5	175.9	156.7	128.8	187.0	110.7
Personal	1,501.4	1,417.0	2,445.6	2,264.7	386.2	181.1
Others	480.4	420.3	771.7	910.3	72.6	158.8
	6,276.6	5,522.2	5,676.4	4,925.2	11,267.7	9,135.8

Off balance sheet items include contingent liabilities, banking commitments, derivatives and forward exchange contracts.

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33. CONCENTRATION OF CREDIT RISK

The following is the concentration of credit risk by industry and geographical regions:

a) By industry

In BHD millions As at 31 December 2025	Government / sovereign		Manufacturing/ trading	Banks/ financial institutions	Construction	Personal	Others	Total
	Bahrain	Other countries						
Assets								
Balances at central banks	-	-	-	156.9	-	-	-	156.9
Treasury bills	-	10.0	-	-	-	-	-	10.0
Placements with banks and other financial institutions	-	-	-	800.7	-	-	-	800.7
Loans and advances to customers	647.8	-	490.6	203.6	152.6	1,448.4	243.2	3,186.2
Investment securities - debt instruments	1,426.8	175.2	16.9	16.5	-	-	37.6	1,673.0
Interest receivable and other assets	21.2	1.9	20.3	33.8	0.5	2.7	62.5	142.9
Total assets	2,095.8	187.1	527.8	1,211.5	153.1	1,451.1	343.3	5,969.7
Contingent liabilities and banking commitments	278.1	-	114.2	215.4	184.3	85.9	72.6	950.5
Derivatives (replacement cost)	0.9	-	1.0	51.3	-	0.1	-	53.3

In BHD millions As at 31 December 2024	Government / sovereign		Manufacturing/ trading	Banks/ financial institutions	Construction	Personal	Others	Total
	Bahrain	Other countries						
Assets								
Balances at central banks	-	-	-	139.9	-	-	-	139.9
Treasury bills	9.4	186.7	-	-	-	-	-	196.1
Placements with banks and other financial institutions	-	-	-	625.9	-	-	-	625.9
Loans and advances to customers	647.3	-	498.3	138.0	152.2	1,363.6	220.6	3,020.0
Investment securities - debt instruments	999.1	65.8	-	19.0	-	-	-	1,083.9
Interest receivable and other assets	14.6	0.4	21.4	32.1	0.2	2.3	66.1	137.1
Total assets	1,670.4	252.9	519.7	954.9	152.4	1,365.9	286.7	5,202.9
Contingent liabilities and banking commitments	138.1	-	140.4	99.7	110.7	98.3	153.7	740.9
Derivatives (replacement cost)	0.4	-	3.1	53.2	-	-	-	56.7

The balances at the end of the year are representative of the position during the year and hence average balances have not been separately disclosed.

The above includes certain exposures to customers / counterparties which are in excess of 15% of the Group's capital base. These have the approval of the Central Bank of Bahrain or are exempt exposures under the large exposures policy of the Central Bank of Bahrain. The table below gives details of these exposures as at 31 December 2025.

In BHD millions Counterparty	Counterparty type	Total exposure
Counterparty A	Sovereign	1,713.8
Counterparty B	Central Bank	651.6
Counterparty C	Government related entity	301.4
Counterparty D	Sovereign	147.6
Counterparty E	Corporate	128.1
Counterparty F	Government related entity	126.1
Counterparty G	Central Bank	84.8
Counterparty H	Bank	74.9

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33. CONCENTRATION OF CREDIT RISK (continued)

(b) By geographical regions

In BHD millions As at 31 December 2025	GCC	USA	Europe	Rest of the World	Total
Assets					
Balances at central banks	156.9	-	-	-	156.9
Treasury bills	10.0	-	-	-	10.0
Placements with banks and other financial institutions	691.3	104.3	4.3	0.8	800.7
Loans and advances to customers	3,077.3	19.3	15.1	74.5	3,186.2
Investment securities	1,673.0	-	-	-	1,673.0
Interest receivable and other assets	116.5	-	25.3	1.1	142.9
Total assets	5,725.0	123.6	44.7	76.4	5,969.7
Contingent liabilities and banking commitments	794.6	10.7	42.5	102.7	950.5
Derivatives (replacement cost)	2.8	-	50.5	-	53.3

In BHD millions As at 31 December 2024	GCC	USA	Europe	Rest of the World	Total
Assets					
Balances at central banks	139.9	-	-	-	139.9
Treasury bills	19.2	176.9	-	-	196.1
Placements with banks and other financial institutions	539.4	80.2	5.7	0.6	625.9
Loans and advances to customers	2,979.9	-	-	40.1	3,020.0
Investment securities	1,018.1	65.8	-	-	1,083.9
Interest receivable and other assets	94.9	0.5	41.4	0.3	137.1
Total assets	4,791.4	323.4	47.1	41.0	5,202.9
Contingent liabilities and banking commitments	669.7	10.8	23.5	36.9	740.9
Derivatives (replacement cost)	6.2	-	50.5	-	56.7

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34. INTEREST RATE RISK

Interest rate risk is measured by the extent to which changes in the market interest rates impact margins, net interest income and the economic value of the Group's equity. Net interest income will be affected as a result of volatility in interest rates to the extent that the re-pricing structure of interest bearing assets differs from that of liabilities. The Group's goal is to achieve stable earnings growth through active management of the assets and liabilities mix while, selectively, positioning itself to benefit from near-term changes in interest rate levels. The Treasurer is primarily responsible for managing the interest rate risk. Reports on overall position and risks are submitted to senior management for review and positions are adjusted if deemed necessary. In addition, GALCO regularly reviews the interest rate sensitivity profile and its impact on earnings.

The Group's asset and liability management process is utilised to manage interest rate risk through the structuring of on-balance sheet and off-balance sheet portfolios. The Group uses various techniques for measuring and managing its exposure to interest rate risk. Duration analysis is used to measure the interest rate sensitivity of the fixed income portfolio. Duration of the portfolio is governed by economic forecasts, expected direction of interest rates and spreads. Modified duration gives the percentage change in value of the portfolio following a 1% change in yield. Interest rate swaps and forward rate agreements are used to manage the interest rate risk. The Group uses interest rate gap analysis to measure the interest rate sensitivity of its annual earnings due to re-pricing mismatches between rate sensitive assets, liabilities and derivative positions.

Assets and liabilities are placed in maturity buckets based on the remaining period to the contractual repricing or maturity dates, whichever is earlier. Customer deposits for which no specific contractual maturity or repricing date exists are placed in ladders based on the Group's judgement concerning their most likely repricing behaviour.

The repricing profile and effective interest rate of the various asset and liability categories are as follows:

In BHD millions As at 31 December 2025	Effective interest rate %	Up to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	More than 5 years	Rate insensitive	Total
Assets								
Cash and balances at central banks	-	-	-	-	-	-	198.5	198.5
Treasury bills	4.2%	10.0	-	-	-	-	-	10.0
Placements with banks and other financial institutions	5.3%	735.8	8.8	-	-	-	56.1	800.7
Loans and advances to customers	5.9%	1,250.2	209.2	218.6	1,120.0	388.2	-	3,186.2
Investment securities	5.8%	139.5	145.1	93.3	783.5	511.6	78.1	1,751.1
Investment in associates, interest receivable and other assets	-	-	-	-	-	-	208.3	208.3
Property and equipment	-	-	-	-	-	-	71.5	71.5
Goodwill and other intangible assets	-	-	-	-	-	-	50.3	50.3
Total assets		2,135.5	363.1	311.9	1,903.5	899.8	662.8	6,276.6
Liabilities and equity								
Due to banks and other financial institutions	4.9%	789.3	45.5	23.0	37.7	-	45.7	941.2
Borrowings under repurchase agreements	4.6%	483.3	87.6	38.3	-	-	-	609.2
Customer deposits	4.7%	1,421.1	404.4	407.5	27.3	-	1,705.9	3,966.2
Interest payable and other liabilities	-	-	-	-	-	-	159.8	159.8
Equity	-	-	-	-	-	-	600.2	600.2
Total liabilities and equity		2,693.7	537.5	468.8	65.0	-	2,511.6	6,276.6
On-balance sheet interest rate sensitivity gap		(558.2)	(174.4)	(156.9)	1,838.5	899.8	(1,848.8)	-
Off-balance sheet interest rate gap		587.8	59.4	224.8	(370.5)	(501.5)	-	-
Cumulative interest rate sensitivity gap		29.6	(85.4)	(17.5)	1,450.5	1,848.8	-	-

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34. INTEREST RATE RISK (continued)

In BHD millions As at 31 December 2024	Effective interest rate %	Up to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	More than 5 years	Rate insensitive	Total
Assets								
Cash and balances at central banks	-	-	-	-	-	-	184.8	184.8
Treasury bills	5.1%	69.4	126.7	-	-	-	-	196.1
Placements with banks and other financial institutions	6.2%	570.7	16.0	4.4	-	-	34.8	625.9
Loans and advances to customers	6.4%	835.3	371.3	206.6	944.0	662.8	-	3,020.0
Investment securities	6.6%	191.4	-	31.2	571.3	290.0	83.7	1,167.6
Investment in associates, interest receivable and other assets	-	-	-	-	-	-	202.4	202.4
Property and equipment	-	-	-	-	-	-	74.3	74.3
Goodwill and other intangible assets	-	-	-	-	-	-	51.1	51.1
Total assets		1,666.8	514.0	242.2	1,515.3	952.8	631.1	5,522.2
Liabilities and equity								
Due to banks and other financial institutions	5.6%	503.4	35.1	-	-	-	41.2	579.7
Borrowings under repurchase agreements	5.5%	178.1	38.6	168.1	-	-	-	384.8
Customer deposits	5.1%	1,201.1	505.7	391.3	18.1	-	1,627.6	3,743.8
Interest payable and other liabilities	-	-	-	-	-	-	216.9	216.9
Equity	-	-	-	-	-	-	597.0	597.0
Total liabilities and equity		1,882.6	579.4	559.4	18.1	-	2,482.7	5,522.2
On-balance sheet interest rate sensitivity gap		(215.8)	(65.4)	(317.2)	1,497.2	952.8	(1,851.6)	-
Off-balance sheet interest rate gap		569.0	-	14.4	(269.8)	(313.6)	-	-
Cumulative interest rate sensitivity gap		353.2	287.8	(15.0)	1,212.4	1,851.6	-	-

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35. MARKET RISK

a) The Group uses the standardised method for allocating market risk capital.

The following table shows the capital charges as at 31 December:

Risk type In BHD millions	2025	2024
Interest rate risk	2.0	2.0
Foreign exchange risk	0.2	5.1
Total minimum capital required for market risk	2.2	7.1
Multiplier	12.5	12.5
Market risk weighted exposure under the standardised method	27.1	88.8

b) The principal risk to which the Group portfolio is exposed is the risk of loss from fluctuations in future cash flows of financial instruments because of changes in the market interest rates. The interest rate risk management process is supplemented by monitoring the sensitivity of the Group's financial assets and liabilities to an interest rate shock of 200bps increase / decrease. An analysis of the Group's sensitivity to an increase or decrease in market interest rates on the Group's balance sheet (assuming no asymmetrical movement in yield curves and a constant balance sheet position) is as follows:

In BHD millions	2025		2024	
	200 bps parallel increase	200 bps parallel decrease	200 bps parallel increase	200 bps parallel decrease
At 31 December	(3.6)	3.6	2.5	(2.5)
Average for the year	(0.7)	0.7	5.8	(5.8)
Minimum for the year	(0.2)	0.2	2.5	(2.5)
Maximum for the year	(5.1)	5.1	8.6	(8.6)

c) The Group holds investments in quoted equities as part of investment securities. Equity risk is the potential adverse impact due to movements in individual equity prices or general market movements in stock markets. The Group manages this risk through diversification of investments in terms of geographical distribution and industrial concentration..

Overall non-trading interest rate risk positions are managed by the Treasury division, which uses investment securities, placements with banks, deposits from banks and derivative instruments to manage the overall position arising from the Group's non-trading activities. The use of derivatives to manage interest rate risk is described in note 19.

36. SEGMENT INFORMATION

For management purposes, the Group is organised into the following main strategic business units (SBUs) - Retail Banking, Corporate & Commercial Banking, Overseas Branches and Market & Client Solutions. These SBUs are the basis on which the Group reports its operating segment information.

The consumer banking and business banking related SBUs in Bahrain provide various banking products and services to the Group's customers. The SBUs are differentiated based on their respective customer segments. Retail Banking caters to individuals and non-borrowing SMEs, while Corporate & Commercial Banking caters to governments, corporates, commercial enterprises and borrowing SMEs.

Market & Client Solutions SBU has the overall responsibility of managing the Group's liquidity, interest rate, foreign exchange, market risk and investments and also offers structured and trade products. The Overseas Branches SBU provide various banking products and services to the Group's customers outside Bahrain.

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For the year ended 31 December 2025

36. SEGMENT INFORMATION (continued)

Financial information about the operating segments is presented in the following table:

In BHD millions For the year ended 31 December	Retail Banking		Corporate & Commercial Banking		Overseas Branches		Market & Client Solutions		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Interest income	75.0	70.6	59.3	58.0	26.9	25.9	145.9	153.7	307.1	308.2
Interest expense	(53.9)	(57.2)	(41.6)	(38.0)	(14.9)	(12.9)	(55.7)	(56.7)	(166.1)	(164.8)
Inter-segment interest income / (expense)	59.4	62.3	11.9	8.9	-	-	(71.3)	(71.2)	-	-
Net interest income	80.5	75.7	29.6	28.9	12.0	13.0	18.9	25.8	141.0	143.4
Net fee and commission and other income	9.9	5.5	4.7	2.5	3.9	2.5	40.3	37.8	58.8	48.3
Operating income	90.4	81.2	34.3	31.4	15.9	15.5	59.2	63.6	199.8	191.7
Segment result	39.7	33.5	12.7	9.5	(1.5)	(1.0)	50.1	55.6	101.0	97.6
Unallocated corporate expenses									(13.8)	(14.6)
Profit for the year									87.2	83.0
Other information										
As at 31 December										
Segment assets	1,656.7	1,575.0	1,083.0	1,097.1	613.8	485.7	2,923.1	2,364.4	6,276.6	5,522.2
Segment liabilities and Equity	2,725.5	2,674.6	1,399.3	1,343.0	401.1	343.0	1,750.7	1,161.6	6,276.6	5,522.2
For the year ended 31 December										
Depreciation and amortisation for the year	(6.4)	(5.4)	(1.3)	(1.4)	(1.2)	(1.4)	(2.0)	(1.8)	(10.9)	(10.0)
Provision for impaired assets	(2.0)	(2.4)	(4.7)	(4.7)	(1.1)	(0.8)	(0.2)	(0.7)	(8.0)	(8.6)

Segment revenues and expenses are directly attributable to the business segments. The benefit of the Group's capital has been distributed across the segments in proportion to their total assets employed. Expenses of departments whose services are jointly utilised by more than one segment have been allocated to the relevant segments on an appropriate basis.

Inter-segment interest income and expense represent the interest cost on the excess funds which are transferred by all the other business segments to Market & Client Solutions.

These segments are the basis on which the Group reports its information to the chief operating decision maker. Transactions between segments are generally recorded at estimated market rates. Interest is charged / credited to business segments based on a transfer pricing rate, which approximates the marginal cost of funds on a matched funded basis.

Total assets in the retail banking segment includes goodwill and other intangibles of BHD 50.3 million (2024: BHD 51.1 million).

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37. MATURITY PROFILE AND LIQUIDITY RISK

a) Maturity profile

The table below shows the maturity profile of total assets and liabilities based on contractual terms.

In BHD millions As at 31 December 2025	Up to 3 months	3 to 6 months	6 months to 1 year	1 to 3 years	3 to 5 years	5 to 10 years	10 to 20 years	Over 20 years	Total
Assets									
Cash and balances at central banks	198.5	-	-	-	-	-	-	-	198.5
Treasury bills	10.0	-	-	-	-	-	-	-	10.0
Placements with banks and other financial institutions	791.9	8.8	-	-	-	-	-	-	800.7
Loans and advances to customers	514.1	194.1	224.1	677.3	653.3	537.6	318.9	66.8	3,186.2
Investment securities	139.5	145.1	93.3	432.7	350.8	370.0	141.6	78.1	1,751.1
Investment in associates and other assets	145.9	6.6	0.2	-	1.4	-	-	176.0	330.1
Total assets	1,799.9	354.6	317.6	1,110.0	1,005.5	907.6	460.5	320.9	6,276.6
Liabilities and equity									
Due to banks and other financial institutions	571.1	45.5	23.0	301.6	-	-	-	-	941.2
Borrowings under repurchase agreements	483.3	87.6	38.3	-	-	-	-	-	609.2
Customer deposits	3,127.0	404.4	407.5	27.3	-	-	-	-	3,966.2
Interest payable & other liabilities	159.8	-	-	-	-	-	-	-	159.8
Equity	-	-	-	-	-	-	-	600.2	600.2
Total liabilities and equity	4,341.2	537.5	468.8	328.9	-	-	-	600.2	6,276.6

In BHD millions As at 31 December 2024	Up to 3 months	3 to 6 months	6 months to 1 year	1 to 3 years	3 to 5 years	5 to 10 years	10 to 20 years	Over 20 years	Total
Assets									
Cash and balances at central banks	184.8	-	-	-	-	-	-	-	184.8
Treasury bills	69.4	126.7	-	-	-	-	-	-	196.1
Placements with banks and other financial institutions	605.5	16.0	4.4	-	-	-	-	-	625.9
Loans and advances to customers	474.9	141.0	216.8	590.7	666.4	573.4	269.4	87.4	3,020.0
Investment securities	191.4	-	31.2	494.8	76.5	198.6	91.4	83.7	1,167.6
Investment in associates and other assets	139.7	4.6	0.3	0.6	0.4	-	-	182.2	327.8
Total assets	1,665.7	288.3	252.7	1,086.1	743.3	772.0	360.8	353.3	5,522.2
Liabilities and equity									
Due to banks and other financial institutions	416.4	35.1	-	128.2	-	-	-	-	579.7
Borrowings under repurchase agreements	178.1	38.6	168.1	-	-	-	-	-	384.8
Customer deposits	2,828.7	505.7	391.3	18.0	0.1	-	-	-	3,743.8
Interest payable & other liabilities	216.9	-	-	-	-	-	-	-	216.9
Equity	-	-	-	-	-	-	-	597.0	597.0
Total liabilities and equity	3,640.1	579.4	559.4	146.2	0.1	-	-	597.0	5,522.2

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37. MATURITY PROFILE AND LIQUIDITY RISK (continued)

b) Liquidity risk

The table below shows the undiscounted cash flows of the Group's financial liabilities and undrawn loan commitments on the basis of their earliest contractual liability. The Group's expected cash flows on these instruments vary significantly from this analysis; for example customers are expected to maintain stable or increased balances in demand deposits and not all undrawn loan commitments are expected to be drawn down immediately. For derivatives that have simultaneous gross settlement (e.g. forward exchange contracts and currency swaps) the gross nominal undiscounted cash inflow/(outflow) are considered while in the case of derivatives that are net settled the net amounts have been considered.

In BHD millions As 31 December 2025	Carrying amount	Gross nominal inflow	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	More than 5 years
Non derivative liabilities							
Due to banks and other financial institutions	941.2	967.5	573.6	46.5	23.6	323.8	-
Borrowings under repurchase agreements	609.2	618.4	486.6	90.6	41.2	-	-
Customer deposits	3,966.2	3,996.9	3,134.7	410.6	420.6	30.4	0.6
Total non derivative liabilities	5,516.6	5,582.8	4,194.9	547.7	485.4	354.2	0.6
Derivative liabilities							
Trading: outflow	-	3,386.5	1,925.3	1,039.5	364.9	56.8	-
Trading: inflow	2.1	3,382.4	1,924.4	1,037.2	364.2	56.6	-
Total derivative liabilities	2.1	6,768.9	3,849.7	2,076.7	729.1	113.4	-
Banking commitments	-	-	(403.4)	-	32.3	-	371.1
Financial guarantees	-	77.0	11.0	8.5	21.6	35.7	0.2

The Group's consolidated net stable funding ratio (NSFR) as at 31 December 2025 was 133% (31 December 2024: 128%), while the average LCR for the fourth quarter of the year stood at 425% (31 December 2024: 286%). The Group continues to meet minimum required regulatory liquidity ratios and is also in compliance with the minimum required capital adequacy ratio ("CAR"). Further details on NSFR and LCR are disclosed in note 38.

In BHD millions As 31 December 2024	Carrying amount	Gross nominal inflow / (outflow)	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	More than 5 years
Non derivative liabilities							
Due to banks and other financial institutions	579.7	585.7	417.8	35.8	-	132.1	-
Borrowings under repurchase agreements	384.8	394.7	179.8	40.3	174.6	-	-
Customer deposits	3,743.8	3,972.8	2,971.2	549.6	433.3	18.6	0.1
Total non derivative liabilities	4,708.3	4,953.2	3,568.8	625.7	607.9	150.7	0.1
Derivative liabilities							
Trading: outflow	-	1,776.7	1,101.0	357.8	317.9	-	-
Trading: inflow	2.0	1,775.9	1,101.0	357.1	317.8	-	-
Total derivative liabilities	2.0	3,552.6	2,202.0	714.9	635.7	-	-
Banking commitments	-	-	(324.8)	1.6	0.5	42.3	280.4
Financial guarantees	-	(70.4)	(10.0)	(6.9)	(13.8)	(39.6)	(0.1)

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38. LIQUIDITY RATIOS

a) Liquidity Coverage Ratio

The Bank calculates the liquidity coverage ratio ("LCR") in accordance with the CBB guidelines and the Basel III framework. LCR is defined as the ratio of the stock of high quality liquid assets ("HQLA") to total net cash outflows over a 30-day stress period. This measure is designed to ensure that the Bank maintains sufficient liquidity to withstand short-term financial stress. Banks are required to meet a minimum LCR of 100% on a continuous basis. The average daily LCR for the quarter ending 31 December 2025 and 31 December 2024 is presented below.

As at 31 December	2025	2024
Stock of HQLA	1,901.1	1,816.7
Net Cash outflows	461.0	662.9
LCR	425%	286%

b) Net Stable Funding Ratio

The main objective of the NSFR is to promote resilience in the banking system by improving the funding profile of banks by ensuring sufficient level of stable funding in relation to assets and commitments. The NSFR thus promotes banks to rely on funding from stable sources and long-term borrowing in order to reduce the risks of disruptions which might impact the bank's liquidity position. Banks are required to meet a minimum NSFR of 100% on a continuous basis.

The main drivers behind the Group's strong available stable funding (ASF) are the healthy capital base (16% of the Group's ASF), large deposits portfolio with strong contributions from the retail and small business sectors (56% of the Group's ASF) and the sizable corporate and sovereign deposits (27% of the Group's ASF).

The majority of the Group's investment security portfolio is classified as high-quality liquid assets (HQLA). The Group's HQLA securities accounted for 30% of the Group's required stable funding (RSF) before applying the relevant weights. Lending provided to financial institutions in the form of loans or placements was predominantly short-term in nature, which required a lower level of required funding, with 85% of total lending provided to financial institutions being in the less than 6 months maturity bucket.

The NSFR of 133% at 31 December 2025 is 5% higher than the 31 December 2024 ratio at 128%. The increase was due to a 8% increase in ASF resulting from a 14% increase in wholesale funding, which was partially offset by a 3% increase in RSF following a 6% increase in lending to corporates, SMEs, retails, and sovereigns.

Further details on the calculation of the NSFR is presented in the following tables.

In BHD millions As at 31 December 2025	Unweighted values (before applying factors)				Total weighted value
	No specified maturity	Less than 6 months	More than 6 months and less than one year	Over one year	
Item					
Available stable funding (ASF):					
Capital:					
Regulatory Capital	594.5	-	-	25.0	619.5
Retail Deposits and deposits from small business customers:					
Stable deposits	-	300.2	5.8	-	290.7
Less stable deposits	-	1,852.7	223.4	0.1	1,868.6
Wholesale funding:					
Operational deposits	-	-	-	-	-
Other wholesale funding	-	2,582.6	249.0	312.0	1,048.2
Other liabilities:					
All other liabilities not included in the above categories	-	130.0	-	15.3	15.3
Total ASF					3,842.3

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38. LIQUIDITY RATIOS (continued)

b) Net Stable Funding Ratio (continued)

In BHD millions As at 31 December 2025	Item	Unweighted values (before applying factors)				Total weighted value
		No specified maturity	Less than 6 months	More than 6 months and less than one year	Over one year	
Required stable funding (RSF):						
Total NSFR high-quality liquid assets (HQLA)		-	-	-	-	107.0
Performing loans and securities:						
Performing loans to financial institutions secured by non-level 1 HQLA and unsecured performing loans to financial institutions		-	316.6	8.6	47.3	99.0
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs:		-	497.5	188.1	1,553.6	1,663.3
-With a risk weight of less than or equal to 35% under the CBB Capital Adequacy Ratio guidelines		-	-	-	594.0	386.1
Performing residential mortgages, of which:						
-With a risk weight of less than or equal to 35% under the CBB Capital Adequacy Ratio guidelines		-	-	-	156.4	101.7
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities		-	14.9	44.4	18.1	46.4
Other assets:						
NSFR derivative assets		-	36.5	-	-	36.5
NSFR derivative liabilities before deduction of variation margin posted		-	3.6	-	-	3.6
All other assets not included in the above categories		355.6	-	-	-	355.6
OBS items		-	-	-	-	81.5
Total RSF						2,880.7
NSFR %						133%

In BHD millions As at 31 December 2024		Unweighted Values (before applying factors)				Total weighted value
		No specified maturity	Less than 6 months	More than 6 months and less than one year	Over one year	
Item						
Available Stable Funding (ASF):						
Capital:						
Regulatory Capital		601.7	-	-	28.7	630.4
Retail Deposits and deposits from small business customers:						
Stable deposits		-	285.9	5.0	-	276.3
Less stable deposits		-	1,677.8	226.2	11.6	1,725.3
Wholesale funding:						
Operational deposits		-	-	-	-	-
Other wholesale funding		-	2,015.6	338.2	129.0	923.3
Other liabilities:						
All other liabilities not included in the above categories		-	181.0	-	13.3	13.3
Total ASF						3,568.6

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38. NET STABLE FUNDING RATIO (continued)

b) Net Stable Funding Ratio (continued)

In BHD millions As at 31 December 2024	Item	Unweighted values (before applying factors)				Total weighted value
		No specified maturity	Less than 6 months	More than 6 months and less than one year	Over one year	
Required stable funding (RSF):						
Total NSFR high-quality liquid assets (HQLA)		-	-	-	-	76.6
Performing loans and securities:						
Performing loans to financial institutions secured by non-level 1 HQLA and unsecured performing loans to financial institutions		-	247.4	21.0	62.9	110.5
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs:		-	470.0	198.3	1,455.5	1,571.3
-With a risk weight of less than or equal to 35% under the CBB Capital Adequacy Ratio guidelines		-	-	-	619.4	402.6
Performing residential mortgages, of which:						
-With a risk weight of less than or equal to 35% under the CBB Capital Adequacy Ratio guidelines		-	-	-	121.2	78.8
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities		-	-	188.0	13.1	105.5
Other assets:						
NSFR derivative assets		-	13.6	-	-	13.6
NSFR derivative liabilities before deduction of variation margin posted		-	10.8	-	-	10.8
All other assets not included in the above categories		342.2	-	-	-	342.2
OBS items		-	-	-	-	74.1
Total RSF						2,786.0
NSFR %						128%

39. RETIREMENT BENEFIT COSTS

The Group's obligations to defined contribution pension plans for employees who are covered by the social insurance pension scheme in Bahrain and its overseas branches are recognised as an expense in the statement of profit or loss. The Group's contribution for 2025 amounted to BHD 4.1 million (USD 10.9 million) [2024: BHD 3.7 million (USD 9.8 million)].

Other employees are entitled to leaving indemnities payable in accordance with the employment agreements or under the respective labour laws. The movement in the provision for leaving indemnities during the year was as follows:

Provision for leaving indemnities Movements during the year	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
At 1 January	3.3	8.8	3.0	8.0
Charge for the year	0.9	2.3	0.9	2.4
Paid during the year	(0.4)	(1.1)	(0.6)	(1.6)
At 31 December	3.8	10.0	3.3	8.8

40. LEGAL CLAIMS

As at 31 December 2025, legal suits pending against the Group aggregated to BHD nil (USD nil) [31 December 2024: BHD nil (USD nil)].

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

41. EARNINGS AND DIVIDEND PER SHARE

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Profit attributable to the shareholders of the Bank	85.1	225.7	81.9	217.2
Dividend proposed at 35% (2024: 35%)	79.0	209.5	79.2	210.1
Weighted average number of shares issued (millions)				
Ordinary shares as at 1 January 2025	2,266.1	2,266.1	2,266.1	2,266.1
Less treasury shares	(8.5)	(8.5)	(5.2)	(5.2)
Less unallocated employee shares	(1.9)	(1.9)	(5.5)	(5.5)
Weighted average number of ordinary shares (millions) as at 31 December	2,255.7	2,255.7	2,255.4	2,255.4
Earnings per share	38 fils	10 cents	36 fils	10 cents
Dividend per share	35 fils	9 cents	35 fils	9 cents
Bonus / stock dividend per share	Nil	Nil	Nil	Nil

Diluted earnings per share is the same as basic earnings per share as the Group does not have any potential dilutive instruments in issue.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

42. ACCOUNTING CLASSIFICATION AND FAIR VALUE OF FINANCIAL INSTRUMENTS

a) The following table provides disclosure of the accounting classification for assets and liabilities:

In BHD millions As at 31 December 2025	Fair value through profit or loss	Fair value through other comprehensive income	Amortised cost	Total carrying amount
Cash and balances at central banks	-	-	198.5	198.5
Treasury bills	-	-	10.0	10.0
Placements with banks and other financial institutions	-	-	800.7	800.7
Loans and advances to customers	1.3	-	3,184.9	3,186.2
Investment securities	57.9	666.9	1,026.3	1,751.1
Interest receivable & other assets	17.2	-	312.9	330.1
Total assets	76.4	666.9	5,533.3	6,276.6
Due to banks and other financial institutions	-	-	941.2	941.2
Borrowings under repurchase agreements	-	-	609.2	609.2
Customer deposits	-	-	3,966.2	3,966.2
Interest payable & other liabilities	-	-	159.8	159.8
Total liabilities	-	-	5,676.4	5,676.4

In BHD millions As at 31 December 2024				
Cash and balances at central banks	-	-	184.8	184.8
Treasury bills	-	176.9	19.2	196.1
Placements with banks and other financial institutions	-	-	625.9	625.9
Loans and advances to customers	1.7	-	3,018.3	3,020.0
Investment securities	4.2	427.0	736.4	1,167.6
Interest receivable & other assets	18.8	-	309.0	327.8
Total assets	24.7	603.9	4,893.6	5,522.2
Due to banks and other financial institutions	-	-	579.7	579.7
Borrowings under repurchase agreements	-	-	384.8	384.8
Customer deposits	-	-	3,743.8	3,743.8
Interest payable & other liabilities	-	-	216.9	216.9
Total liabilities	-	-	4,925.2	4,925.2

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

42. ACCOUNTING CLASSIFICATION AND FAIR VALUE OF FINANCIAL INSTRUMENTS (continued)

b) Fair value of financial instruments

The Group measures fair values of financial instruments using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly observable from market data.

Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

All financial instruments other than those disclosed in the table below are classified as level 2.

(i) Loans and advances: The fair value of floating rate loans which have been disbursed at market rates approximate carrying value. The fair value of fixed rate loans, estimated by discounting future cash flows expected to be received and taking into account expected credit losses based on historical trends, also approximated the carrying value.

(ii) Customer deposits: The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is deemed to equal the amount repayable on demand, which is represented by the carrying value of the deposits. For interest bearing fixed maturity deposits, the Group estimates that fair value will approximate their book value as the majority of deposits are of short term nature and all deposits are at market rates.

(iii) Other financial assets and liabilities: The fair value is considered to approximate their book values due to their short term nature and negligible probability of credit losses.

The table below analyses financial assets and liabilities carried at fair value, by valuation method.

In BHD millions	2025				2024			
At 31 December	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Fair value through profit or loss:								
Equity instruments / managed funds	-	3.8	-	3.8	-	4.0	-	4.0
Debt instruments	27.8	26.3	-	54.1	-	0.2	-	0.2
Loans and advances to customers	-	-	1.3	1.3	-	-	1.7	1.7
Fair value through other comprehensive income:								
Debt instruments	527.8	64.8	-	592.6	464.8	59.4	-	524.2
Equity instruments	50.4	-	23.9	74.3	55.2	-	24.5	79.7
Derivative financial assets	-	53.3	-	53.3	-	56.7	-	56.7
Total	606.0	148.2	25.2	779.4	520.0	120.3	26.2	666.5
Derivative financial liabilities	-	1.0	-	1.0	-	28.5	-	28.5

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

42. ACCOUNTING CLASSIFICATION AND FAIR VALUE OF FINANCIAL INSTRUMENTS (continued)

b) Fair value of financial instruments (continued)

The following table analyses the movement in level 3 financial assets during the year. There were no transfers between level 1, level 2 and level 3 of the fair value hierarchy.

In BHD millions	Investment securities		Loans and advances	
	2025	2024	2025	2024
At 1 January	24.5	33.7	1.7	2.1
Total gains / losses in other comprehensive income	(0.6)	0.5	-	-
Transfer to investment in associates	-	(9.7)	-	-
Total gains in profit or loss	-	-	0.1	0.1
Principal reduction	-	-	(0.5)	(0.5)
At 31 December	23.9	24.5	1.3	1.7

Total gain for the year included in the statement of profit or loss for assets / liabilities classified as level 3 at 31 December 2025 is BHD 0.1 million (USD 0.3 million) [2024: BHD 0.1 million (USD 0.3 million)].

Level 3 comprises unquoted equity investments classified as fair value through other comprehensive income which are measured at their estimated fair value based on the investment's latest available financial information. The valuation of BHD 3.3 million (USD 8.8 million) [31 December 2024: BHD 3.1 million (USD 8.2 million)] of level 3 unquoted equities is based on discounted cash flow (DCF) method which involves the application of a discount rate to free cashflow to calculate the enterprise value. The discount rate applied for the purpose of valuation is weighted average capital cost (WACC) of 11.1% (31 December 2024: 10.2%).

Sensitivity analysis of the movement in fair value of the financial instruments in the level 3 category financial assets is assessed as not significant to the other comprehensive income and total equity.

43. AVERAGE BALANCES

The following are average daily balances for the year:

	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Total assets	5,846.4	15,507.7	5,427.4	14,396.3
Total liabilities	5,281.3	14,008.8	4,863.8	12,901.3
Total equity	565.1	1,498.9	563.6	1,495.0
Contingent liabilities and undrawn loan commitments	829.1	2,199.2	814.8	2,161.3

44. SHARIAH-COMPLIANT FACILITIES

The Group offers various shariah-compliant facilities through approved products at the Bank or through BISB, the Islamic retail banking subsidiary. The activities of each bank are supervised by their respective Shariah Supervisory Board.

The Group does not commingle funds raised from shariah-compliant products and does not use shariah-compliant sources of funding to finance its non shariah-compliant assets.

The Group's shariah-compliant assets and liabilities are as follows:

As at 31 December	2025		2024	
	BHD millions	USD millions	BHD millions	USD millions
Assets				
Cash and balances at central banks	56.3	149.3	55.2	146.4
Placements with banks and other financial institutions	307.3	815.1	177.8	471.6
Loans and advances to customers	1,666.6	4,420.7	1,564.8	4,150.7
Investment securities	497.0	1,318.3	322.6	855.7
Investment in associates	9.0	23.9	12.7	33.7
Interest receivable and other assets	24.0	63.7	23.1	61.3
Property and equipment	17.7	46.9	17.0	45.1
Goodwill and other intangible assets	50.3	133.4	51.1	135.5
	2,628.2	6,971.3	2,224.3	5,900.0

Liabilities

Due to banks and other financial institutions	302.0	801.1	313.0	830.2
Borrowings under repurchase agreements	114.9	304.8	41.4	109.8
Customer deposits	1,204.3	3,194.4	1,006.3	2,669.2
Interest payable and other liabilities	41.5	110.1	49.9	132.4
	1,662.7	4,410.4	1,410.6	3,741.6

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

44. SHARIAH-COMPLIANT FACILITIES (continued)

The Group's statement of profit and loss limited to shariah-compliant activities is presented below:

	2025		2024	
For the year ended 31 December	BHD millions	USD millions	BHD millions	USD millions
Profit income	122.8	325.7	99.4	263.7
Profit expense	(49.9)	(132.4)	(53.7)	(142.4)
Net profit income	72.9	193.3	45.7	121.3
Net fee and commission income	4.1	10.9	3.5	9.3
Other income	14.2	37.7	2.6	6.9
Total operating income	91.2	241.9	51.8	137.5
Staff expenses	15.6	41.4	14.0	37.1
Depreciation, amortisation and equipment expenses	4.8	12.7	3.9	10.3
Other operating expenses	7.7	20.4	9.2	24.4
Total operating expenses	28.1	74.5	27.1	71.8
Profit before results of associates, and impairment	63.1	167.4	24.7	65.7
Share of profits of associates, net	0.2	0.5	0.2	0.5
Net impairment losses on financial instruments	(9.5)	(25.2)	(6.8)	(18.1)
Profit for the year	53.8	142.7	18.1	48.1

The Group follows IFRS for accounting and measurement of all its financial assets and liabilities and for any resulting income and expenses. Note 2 of the consolidated financial statements outlines the details of the Group's accounting policies.

Revenue recognition and measurement for shariah-compliant financing assets

Shariah-compliant financing assets are classified under loans and advances in the consolidated financial statements and are carried at amortised cost less impairment allowances. Profit from shariah-compliant financing contracts are recognised in the income statement as it accrues, taking into account the effective yield of the asset or an applicable floating rate.

Unrestricted investment accounts

Unrestricted investment accounts are classified under deposits from customers in the consolidated financial statements and are carried at amortised cost. Finance expense on such accounts are recognised in the income statement as it accrues, taking into account the effective yield of the liability or an applicable floating rate.

The Group charges management fee (mudarib fees) to unrestricted investment account holders. The income attributable to customers from the total unrestricted investment accounts income is allocated to the investment accounts after setting aside provisions and deducting the Group's share of income.

The allocation of income is determined by the management of the Group within the allowed profit sharing limits as per the terms and conditions of the unrestricted investment accounts. Administrative expenses incurred in connection with the management of the funds are borne directly by the Group and are not charged separately to investment accounts.The allocation of income is determined by the management of the Group within the allowed profit sharing limits as per the terms and conditions of the unrestricted investment accounts. Administrative expenses incurred in connection with the management of the funds are borne directly by the Group and are not charged separately to investment accounts.

Conflicts with the requirements of the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI)

The Group's accounting and measurement policies differ from the requirements of AAOIFI in the following areas:

- In respect of income recognition from mudaraba and musharaka contracts, AAOIFI allows for recognition of income only on the basis of declaration and distribution of profits from the underlying contracts. However, as per the Group's current policies, income is recognised on an accrual basis taking into account the effective yield of the asset.
- In respect of finance lease contracts (ijarah muntahia bittamleek), AAOIFI standards require the Group to recognise the asset under lease on its books and depreciate it over the lease term. However, as per the Group's current policies, the amount financed is recognised as a loan and the income is recognised over the lease term on an accrual basis taking into account the effective yield of the asset. This accounting policy variation has no impact on the Group's consolidated statement of profit or loss.
- In respect of murabaha receivables (fixed profit products), AAOIFI requires recognition of receivables assets at its face value (i.e. the gross amount) and requires deferred profits to be netted against the receivable balance for the purpose of presentation in the consolidated financial statements. As per the Group's current policies, the amount receivable is recognised at its amortised cost (i.e. profits are recognised only on an accrual basis). However, the net amount of murabaha receivables for the purposes of the financial statements remains to be the same under both IFRS and AAOIFI.
- Funds raised from unrestricted investment account holders are required to be shown as a separate category between equity and liabilities. However, as the Group complies with IFRS, the funds raised from unrestricted investment account holders are disclosed under liabilities.
- In respect of investment properties, AAOIFI standards require the Group to recognise the changes in fair value (only gains) in the fair value reserve and losses to be adjusted against the fair value reserve to the extent of the available balance, with the remaining losses recognised in the consolidated statement of profit or loss. However, as per the Group's current policies, changes in the fair value of the investment properties subsequent to initial recognition are recorded in the consolidated statement of profit or loss. This has not resulted in any impact on the Group's consolidated statement of profit or loss during the year.

Notes to the Consolidated Financial Statements continued

For the year ended 31 December 2025

45. CAPITAL ADEQUACY

The Group operates as an independent banking institution with headquarters in Bahrain, subsidiary and branches in Bahrain, United Arab Emirates and Saudi Arabia.

The capital adequacy ratio has been calculated in accordance with Basel III and Central Bank of Bahrain guidelines incorporating credit risk, operational risk and market risk. The Group uses the standardised approach for computing credit risk. Operational risk is computed using the basic indicator approach. Market risk is computed using the standardised method.

The details of the Group's capital adequacy calculations are shown below:

	2025		2024	
As at 31 December	BHD millions	USD millions	BHD millions	USD millions
Common equity (CET1)	544.2	1,443.5	550.6	1,460.5
Additional tier 1	-	-	-	-
Total common equity tier 1 (CET)	544.2	1,443.5	550.6	1,460.5
Tier 2	25.0	66.3	28.7	76.1
Total capital base	569.2	1,509.8	579.3	1,536.6

Risk weighted exposure:

Credit risk	2,432.7	6,452.8	2,292.8	6,081.7
Market risk	27.1	71.9	88.8	235.5
Operational risk	319.4	847.2	311.5	826.3
Total risk weighted exposure	2,779.2	7,371.9	2,693.1	7,143.5

CET 1 ratio	19.6%	20.4%
Total capital adequacy ratio	20.5%	21.5%

Conventional banks are required to maintain a minimum total capital adequacy ratio of 12.5%. Additionally, according to Central Bank of Bahrain rulebook, banks designated as domestic systemically important banks (DSIBs) must hold designated HLA (high loss absorbency) expressed as common equity tier 1 capital at 1.5% of the total risk weighted assets, as calculated for the purposes of capital adequacy.

46. DEPOSIT PROTECTION SCHEME

Deposits held with the Group's Bahrain operations are covered by the regulation protecting deposits and unrestricted investment accounts issued by the Central Bank of Bahrain in accordance with Resolution No (34) of 2010. The scheme applies to all eligible accounts held with Bahrain offices of the Group subject to specific exclusions, maximum total amount entitled and other regulations concerning the establishment of a Deposit Protection Scheme and a Deposit Protection Board.

47. TAXATION

Domestic minimum top-up tax (DMTT)

NBB is subject to the Organization for Economic Cooperation and Development (OECD) Global Anti-Base Erosion Pillar Two Model Rules (GloBE rules) that apply to multinational enterprise (MNE) groups with total annual consolidated revenue exceeding EUR 750 million in at least two of the four preceding fiscal years.

The Group is domiciled and operates in the Kingdom of Bahrain which has issued and enacted Decree Law No. (11) of 2024 (Bahrain DMTT law) on 1 September 2024 introducing a DMTT of up to 15% on the taxable income of the Bahrain resident entities of the MNE group for fiscal years commencing on or after 1 January 2025.

Based on management assessment, NBB qualifies for the relief provided to MNE groups under Article 15 of the Bahrain DMTT Law. This relief reduces tax liability to zero for the near term subject to meeting certain conditions.

48. SUBSEQUENT EVENT

Potential merger with Bank of Bahrain and Kuwait B.S.C. (BBK)

The Group has initiated discussions with BBK about a potential merger and the due diligence process commenced during January 2026. The process is at its initial stages and an estimate of the financial effect of the potential transaction cannot be made reliably at this stage.

49. COMPARATIVES

Certain comparatives have been regrouped where necessary to conform to the current year's presentation. The regrouping did not affect previously reported profit for the year or total equity of the Group.

Risk and Capital Management Disclosure

Risk and Capital Management Disclosures continued

For the year ended 31 December 2025

INTRODUCTION

This document presents the Pillar 3 disclosures on a consolidated basis as at 31 December 2025. The purpose of Pillar 3 disclosures is to allow market participants to assess key pieces of information on the Group's capital, risk exposures and risk assessment process. The Group is regulated by the Central Bank of Bahrain (CBB) and follows the Pillar 3 disclosure requirements as stated under the CBB guidelines.

The Group views these disclosures as an important means of increased transparency and accordingly has provided extensive disclosures in this report that is appropriate and relevant to the Group's stakeholders and market participants. The Pillar 3 disclosures are to be read in conjunction with the reviewed consolidated financial statements as of 31 December 2025.

REGULATORY FRAMEWORK

The Group assesses its capital adequacy based on the rules published by the CBB. The framework is structured around the following three Pillars:

- Pillar 1 on minimum capital requirements for credit, market and operational risk.
- Pillar 2 on the supervisory review process and the internal capital adequacy assessment process (ICAAP).
- Pillar 3 on market discipline including terms for disclosure of risk management and capital adequacy.

Pillar 1 – Minimum Capital Requirements

Pillar 1 defines the total minimum capital requirements for credit, market and operational risk. NBB currently employs the standardised approach for the assessment of credit and market risk weighted assets (RWAs), whilst using the basic indicator approach for assessment of operational RWAs.

The CBB capital adequacy rules provide guidance on the risk measurements for the calculation of capital adequacy requirements (CAR). Conventional bank licensees are required to meet the following minimum CAR requirements:

	Components of consolidated CARs			
	Limit	Minimum ratio required	Capital conservation buffer (CCB)	CAR including CCB
Common equity tier 1 (CET1)		6.5%	2.5 % comprising of CET1	9.0%
Additional tier 1 (AT1)	1.5 %			
Tier 1		8.0%		10.5%
Tier 2	2.0 %			
Total capital		10.0%		12.5%

The regulatory adjustments (i.e. deductions), including goodwill and intangibles, amounts above the aggregate 15% limit for significant investments in financial institutions, mortgage service rights, and deferred tax assets from temporary differences, are fully deducted from CET1.

Banks are required to maintain a capital conservation buffer (CCB) of 2.5%, comprising of CET1 above the regulatory minimum total capital ratio of 10.0%. Furthermore, banks designated by the CBB as DSIBs (domestic systematically important banks) are required to maintain an additional 1.5% buffer compromising of CET1 above the minimum capital plus CCB. Capital distribution constraints will be imposed when the CCB falls below 2.5%. The constraints imposed only relate to distribution, and not the operations of the licensed banks.

As at 31 December 2025, the Group's total risk weighted assets amounted to BHD 2,779.2 million; common equity tier 1 (CET1) and total capital base amounted to BHD 544.2 million and BHD 569.2 million respectively. Accordingly, the CET1 capital adequacy ratio and the total capital adequacy ratio were 19.6% and 20.5% respectively. Meanwhile, NBB's subsidiary Bahrain Islamic Bank B.S.C. reported a CET1 capital adequacy ratio and a total capital adequacy ratio of 20.0% and 24.9% respectively. These ratios exceed the minimum capital requirements under the CBB's Basel III framework.

RISK AND CAPITAL MANAGEMENT

The Group is exposed to the following types of risks:

- credit risk
- liquidity risk
- market risk
- operational risk

Risk management framework

The overall authority for risk management in the Group is vested in the board of directors. The board authorises appropriate credit, liquidity, market, and operational risk policies that form part of its risk management framework, based on the recommendation of management. The Group has established various committees that review and assess all risk issues. Approval authorities are delegated to different functionaries in the hierarchy depending on the amount, type of risk and nature of operations or risk. The risk division of the Group provides the necessary support to senior management and the business units in all areas of risk management. The risk division functions independent of the business units and reports directly to the board risk committee and administratively to the Group Chief Executive Officer. The risk division comprises of a credit risk department (responsible for independent pre-approval analysis of credit / investment proposals as well as risk policy and procedures management), credit administration department (responsible for post approval implementation and follow up), liquidity and market risk management department, operational risk management department, information security risk department, debt recovery unit and group institutional remedial management department.

The board risk committee is responsible for identifying, optimising and ensuring appropriate mitigation of risks within the framework of the risk appetite established by the Group's board of directors. This includes reviewing and reporting its conclusions and recommendations to the board on:

- The Group's current and future risk appetite (i.e. in relation to the extent and categories of risk which the board regards as acceptable for the Group to bear);
- The Group's risk management framework (embracing principles, policies, methodologies, systems, processes, procedures and people); and
- The Group's risk culture to ensure that it supports the Group's risk appetite. In this regard, the committee will take a forward-looking perspective, seeking to anticipate changes in business conditions.

Risk and Capital Management Disclosures continued

For the year ended 31 December 2025

RISK AND CAPITAL MANAGEMENT (CONTINUED)

Credit risk

Credit risk is the likelihood that a counterparty of the bank will not meet its obligations in accordance with the agreed terms and conditions of a credit facility. It largely arises in assets shown on the balance sheet, but it can also show-up off the balance sheet in a variety of contingent obligations. Credit risk represents the potential financial loss as a consequence.

The Group acknowledges that credit risk is an inherent and substantial cost that needs to be set against income. Risk is just one aspect of the triangle for any economic capital system and must be seen in conjunction with capital requirements and returns. The Group evaluates risk in terms of the impact on income and asset values, and the evaluation reflects the Group's assessment of the potential impact on its business on account of changes in political, economic and market conditions and in the credit worthiness of its clients. Risk management at the Group has always been conservative and proactive with the objective of achieving a balanced relation between risk appetite and expected returns.

The Group monitors and manages concentration risk by setting limits on exposures to countries, sectors and counterparty groups. Stringent criteria are used by the credit risk department in setting such limits and these have ensured that the impact of any adverse developments on the Group's income generation and capital strength is limited. Similarly, prudent norms have been implemented to govern the Group's investment activities, which specify to the Group's treasury department the acceptable levels of exposure to various products, based on its nature, tenor, rating, type, features, etc.

The Group has well laid out procedures, to not only appraise, but also regularly monitor credit risk. Credit appraisal is based on the financial information of the borrower, performance projections, market position, industry outlook, internal risk ratings, external ratings (where available), track record, product type, facility tenor, account conduct, repayment sources and ability and tangible and intangible security, etc. Regular reviews are carried out for each account and risks identified are mitigated in several ways, which include obtaining collateral, assignments, counter-guarantees from shareholders and/or third parties. In addition to regular appraisals conducted to judge the credit worthiness of the counterparty, day-to-day monitoring of financial developments across the globe by the business units and the credit risk department ensure timely identification of any event/(s) affecting the risk profile.

The business units of the Group are responsible for business generation and initial vetting of proposals in accordance with the stipulated policy requirements. Credit facilities in excess of certain levels or falling outside pre-approved product criteria are independently reviewed by the credit risk department, which analyses the proposal and puts forth its recommendations prior to approval by the appropriate authorities. The terms and conditions of all credit facilities are strictly implemented by the credit administration department.

An internal grading system and review process ensures identification of any deterioration in credit risk and consequent implementation of corrective action. The Group uses internal risk rating systems to assess its retail and non-retail exposures. These systems are mapped to 10 risk rating grades with some grades attributed with “+” or “-” modifiers, to show relative standing within these grades, resulting in a total of 22-point rating scale. The systems consider the financial strength of a borrower as well as qualitative aspects to arrive at a comprehensive snapshot of the risk of default associated with

the borrower. Ratings are further sub-divided into categories, which reflect estimates of the potential maximum loss in an event of default. Risk ratings assigned to each borrower are reviewed on at least an annual basis. The internal risk rating grades range from 1 (highest quality with minimal credit risk) to 10 (lowest quality, typically in default with little prospect for recovery of principal or interest). Regular monitoring of the portfolio enables the Group to identify accounts, which witness deterioration in risk profile.

Each major External Credit Assessment Institution's (ECAI) external rating is matched to a corresponding internal risk rating. For purposes of comparison, the table below depicts the Group's internal ratings approximate mapping to Moody's alphanumeric external ratings:

Internal Ratings Scale	Moody's Rating	Rating Description
1 to 4-	Aaa to Baa3	High Standard
5+ to 7-	Ba1 to Caa3	Standard
8 to 10	C	Default

Liquidity risk

Liquidity risk is the potential inability of a bank to meet its financial obligations on account of a maturity mismatch between assets and liabilities. Liquidity risk management ensures that funds are available at all times to meet the funding requirements of the Group.

The asset / liability management policies of the Group define the proportion of liquid assets to total assets with the aim of minimising liquidity risk. The Group maintains adequate liquid assets such as inter-bank placements, treasury bills and other readily marketable securities, to support its business and operations. The treasury department monitors the maturity profile of assets and liabilities so that adequate liquidity is maintained at all times.

The Group's ability to maintain a stable liquidity profile is primarily on account of its success in retaining and growing its customer deposit base. The Group's strategy has ensured a balanced mix of demand and time deposits, contributing to a stable funding base, thus minimises the Group's dependence on volatile short-term borrowings. Furthermore, the Group's established Liquidity portfolio encompassing of highly rated USD denominated investment securities which can be readily repoed with minimal funding cost. Considering the effective maturities of deposits based on retention history and in view of the availability of liquid investments, the Group is able to ensure that sufficient liquidity is always available. Additionally, the Group ensures to maintain a robust liquidity position through maintaining sufficient buffer above the minimum regulatory liquidity ratios including Liquidity Coverage Ratio (LCR) Net Stable funding Ratio (NSFR), and Loan-to-deposits ratio (LDR).

The Group Asset Liability Committee (GALCO) chaired by the Group Chief Executive Officer reviews the liquidity gap profile and the liquidity scenario and addresses strategic issues concerning liquidity.

Risk and Capital Management Disclosures continued

For the year ended 31 December 2025

RISK AND CAPITAL MANAGEMENT (CONTINUED)

Market risk

Market risk is the risk of potential losses arising from movements in market prices of foreign exchange rates, interest rates, commodity prices, credit spreads, and equities in the trading and investment portfolios of the Group. The Group's trading and investment activities are governed by conservative policies that are clearly documented, by adherence to comprehensive limit structures set annually by the Board, and by regular reviews. Quality and price stability are the main criteria in selecting a trading and investment asset. The Group uses the standardised method for allocating market risk capital based on the risk assessed for underlying factors of interest rate risk, equity risk, foreign exchange risk, options risk and commodity risk. Daily reports in this regard are submitted to senior management for review and decision-making purposes. The Group utilises value-at-risk as the primary measure of market risk pertaining to its Trading activities in line with regulatory recommendations.

Interest rate risk is measured by the extent to which changes in the market interest rates impact margins, net interest income (NII) and the economic value of equity (EVE). The Group's interest rate risk is primarily driven by repricing risk, yield-curve risk, optionality risk and basis risk in its Banking Book. The Group's goal is to achieve stable earnings growth through active management of the assets and liabilities mix while, selectively positioning itself to benefit from near-term changes in interest rate levels. To ensure active management of interest rate risk in the banking book (IRRBB), the Group has recently adopted advanced system to generate the Group's balance sheet interest rate gap profile and to measure the EVE and NII based on the methodology and prescribed scenarios as per the Basel framework. The Treasurer is primarily responsible for managing the interest rate risk. Reports on overall position and risks are submitted to senior management for review and positions are adjusted if deemed necessary. In addition, GALCO regularly reviews the interest rate sensitivity profile and its impact on earnings.

The Group's asset and liability management process is utilised to manage interest rate risk through the structuring of on-balance sheet and off-balance sheet portfolios. The Group uses various techniques for measuring and managing its exposure to interest rate risk including: earnings-at-risk, economic value of equity, gap analysis, and stress testing. Duration analysis is used to measure the interest rate sensitivity of the fixed income portfolio. Duration of the portfolio is governed by economic forecasts, expected direction of interest rates and spreads. Modified duration gives the percentage change in value of the portfolio following a 1% change in yield. Interest rate swaps and forward rate agreements are used to manage the interest rate risk. The Group uses interest rate gap analysis to measure the interest rate sensitivity of its annual earnings due to re-pricing mismatches between rate sensitive assets, liabilities and derivatives positions.

Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, and systems or from external events. It includes legal risk, which is the risk of loss (including litigation costs, settlements, and regulatory fines) resulting from the Bank's failure to comply with laws, regulations, prudent ethical standards, or contractual obligations in any aspect of the Bank's business.

Operational risks could lead to a situation in which we are unable to provide our customers with critical business services due to significant disruption. Technology risks could cause unmanaged disruption to any IT system within the Bank because of malicious acts, accidental actions, poor execution, poor IT practice, or IT system failure.

Operational risk is inherent in the Bank's business activities and related support functions and can result in losses. The Bank manages operational risk in a manner consistent with its framework, which is designed in accordance with the CBB's requirements. The Bank's goal is to keep operational risk at appropriate levels relative to the characteristics of its businesses, the markets in which it operates, product profiles, the technological landscape, and the regulatory environment. This includes effectively managing operational risk and maintaining or reducing operational risk exposures within the Bank's operational risk appetite.

The Operational Risk Management Department (ORMD) under the Enterprise Risk Management manages the operational risk across the group. ORMD continued its oversight of the Group's implementation of operational resilience capabilities that were in line with the Group's policies and CBB requirements. The ORMD reviewed and challenged the operational resilience self-assessment against the bank's procedures, group policies, and regulatory expectations, and worked with the first line of defense to ensure that ownership and the delivery of resilience outcomes were embedded within the business and with function leaders.

People are central to everything the Bank does, and it is essential to manage the risk of not having the right people with the right skills and to ensure that staff always have the customer's interest at the forefront. ORMC monitors people's risk and employee conduct based on ORMD reports and dashboards. The ORMD, in collaboration with the Group's Chief Human Resources Officer, is considering people risk issues with a focus on the four 'c's: capacity, capability, culture, and conduct.

The ORMD also received reports on system incidents and outages across the Group, including immediate actions to enhance system continuity and customer communication, and measures being implemented to improve resilience-related controls to prevent recurrence. The ORMC regularly reviewed reports on the Group's technology risk profile and received monthly updates on the risk and control environment, the current threat landscape, and emerging risks.

The ORMD focused on automating its incident, risk, and control management, including self-assessment, and on continuously encouraging staff across the group to report and contain incidents as they arise. In 2025, ORMD matured the issue management across the group. Issue management goes beyond operational risk incident reporting to proactively identify and mitigate resilience risks in processes before they become incidents. Issues across the spectrum of internal audit, compliance, and operational risk are reported to and brought to the attention of executive management at ORMC.

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

RISK AND CAPITAL MANAGEMENT (CONTINUED)

Fraud Risk Management

Fraud risk is a deliberate act of omission or commission by any person, carried out during a banking transaction or the books of account maintained manually or under a computer system in banks, resulting in a wrongful gain to any person for a temporary period or otherwise, with or without any monetary loss to the bank. Fraud risk could impact the bank, its customers, or vendors.

All Banks are subject to fraud risks. It is impossible to eliminate fraud risks. However, implementing the principles within robust prevention, detection, and deterrence frameworks maximizes the likelihood of prompt prevention and detection and creates a strong deterrent effect. The Bank has adopted the three lines of defense model to combat fraud risks. The Bank intends to promote consistent organizational behavior by providing guidelines and assigning responsibility for the development of preventive controls, the conduct of investigations, and the reporting of fraud cases to the executive management, the Board through the Board Risk & Compliance Committee, the Central Bank of UAE, and others as appropriate.

The Bank's fraud risk management strategy is to make the FRM an integral part of our culture. Internal and external stakeholders must be continuously encouraged to adopt new procedures and to understand the severe nature of fraud risk. The Bank's FRM governance strategy includes a) assigning a dedicated department for fraud risk management and designating a leader of the FRMD for the entire fraud risk management function. The Bank is the pioneer on this front as NBB is the only bank in the Kingdom with a dedicated department for fraud risk management, resourced with experienced staff and tier I anti-fraud systems, b) a clear strategy for the executive management to educate and enforce the requirement. c) Well-written whistleblowing and reporting procedures, d) a thorough fraud investigation process and any corrective actions, and e) Fraud awareness techniques and tools.

Furthermore, the Bank has created a Fraud Transaction Monitoring Unit (FTMU), a 24-hour team dedicated to monitoring customer transactions, supported by dynamic, robust anti-fraud rule analytics, to protect the Bank's customers from various fraud schemes.

We have significantly reduced the fraud risk to our customers from social engineering and impersonation schemes during the year, resulting in zero financial losses from account takeovers on our Digital Banking application and electronic funds transactions. Moreover, through our carefully designed anti-fraud tactics, we have significantly reduced our customers' fraud risk exposure via Fawateer and Apple Pay provisioning and wallet transactions. Additionally, in e-commerce fraud, the Bank enjoys advanced rankings in anti-fraud indicators from Visa and MasterCard compared to its regional peers.

Risk monitoring and reporting

Systems and processes are in place to regularly monitor and report risk exposures to the senior management and the board of directors to effectively monitor and manage the risk profile of the Group.

Senior management is provided with a daily report on market risk and monthly reports on other risks. Reports on capital adequacy and internal capital adequacy assessment are provided to senior management on a monthly basis. The board of directors are provided with quarterly risk reports covering credit, market, liquidity, operational, concentration and other risks. In addition, stress testing on capital adequacy is undertaken twice a year or more frequently in times of need and communicated to the senior management and the board of directors for appropriate decisions.

The Group utilises the Bloomberg Front, Middle, and Back-Office systems to monitor treasury activities, generate market risk reports, manage collateralised transactions, and test hedge effectiveness. In addition, the Group utilises Quantitative Risk Management (QRM) system to monitor Group exposures, cash flow projections and interest rate risk in the banking book.

Capital management

The Group's policy is to maintain sufficient capital to sustain investor, creditor and market confidence and to support future development of the business. The impact of the level of capital on return on shareholders' equity is also considered and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The Group's capital management framework is intended to ensure that there is sufficient capital to support the underlying risks of the Group's business activities and to maintain a well-capitalised status under regulatory requirements. The Group has a comprehensive internal capital adequacy assessment process (ICAAP) that includes board and senior management oversight, monitoring, reporting and internal control reviews, to identify and measure the various risks that are not covered under Pillar 1 risks and to regularly assess the overall capital adequacy considering the risks and the Group's planned business strategies. The non-Pillar 1 risks covered under the ICAAP process include concentration risk, liquidity risk, interest rate risk in the banking book and other miscellaneous risks. The ICAAP also keeps in perspective the Group's strategic plans, credit growth expectations, future sources and uses of funds, dividend policy and the impact of all these on maintaining adequate capital levels. In addition, the ICAAP process also includes stress testing on the Group's capital adequacy to determine the capital requirement and planning to ensure that the Group is adequately capitalised in line with the overall risk profile.

The Group ensures that the capital adequacy requirements are met on a consolidated basis and also with local regulator's requirements, if any, in countries in which the Group has branches. The Group has complied with regulatory capital requirements throughout the year.

Prior approval of the Central Bank of Bahrain is obtained by the Group before submitting any proposal for distribution of profits for shareholders' approval.

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

CAPITAL STRUCTURE AND CAPITAL ADEQUACY

Capital structure, minimum capital and capital adequacy

The Group's paid up capital consists only of ordinary shares, which have proportionate voting rights. The Group does not have any other type of capital instruments.

All amounts are presented at 31 December 2025 unless specified otherwise.

	BHD millions
Common equity tier 1 (CET1)	
Share capital	226.6
Treasury shares	(4.2)
Shares unallocated under share incentive scheme	(0.6)
Share premium	16.9
Statutory reserve	113.3
General reserves	32.4
Other reserves and retained earnings	200.6
Total equity	585.0
Addition: unrealised loss in cash flow hedge reserve not eligible for regulatory capital	-
Total CET1 capital before minority interest	585.0
Total minority interest in banking subsidiaries given recognition in CET1 capital	9.5
Total regulatory capital	594.5
Deduction from CET 1 (Goodwill and other intangible assets)	(50.3)
Total common equity tier 1 (CET1)	544.2
Additional tier 1	-
Total tier 1	544.2
Tier 2 capital	
Expected credit loss subject to cap of 1.25% of credit risk weighted assets	25.0
Total tier 2	25.0
Total capital base (tier 1 + tier 2)	569.2

CREDIT RISK

The Group has a diversified on and off-balance sheet credit portfolio, which is divided into counterparty exposure classes in accordance with the CBB's Basel III capital adequacy framework. A high-level description of the counterparty exposure classes and the risk weights used to derive the risk weighted assets are as follows:

Sovereign portfolio

The sovereign portfolio comprises exposures to governments and their respective central banks. The risk weights are 0% for exposures in the relevant domestic currency of the sovereign, or for any exposures to GCC governments. Foreign currency claims on other sovereigns are risk weighted based on their external credit ratings.

Certain multilateral development banks as determined by the CBB may be included in the sovereign portfolio and treated as exposures with a 0% risk weighting.

Public sector entities (PSEs) portfolio

PSEs are risk weighted according to their external ratings except for Bahrain PSEs and domestic currency claims on other PSEs that are assigned a 0% risk weight by their respective country regulator, which are risk weighted at 0%.

Banks portfolio

Claims on banks are risk weighted based on their external credit ratings. A preferential risk weight treatment is available for qualifying short-term exposures to foreign banks licensed in Bahrain. Short-term exposures are defined as exposures with an original tenor of three months or less and denominated and funded in the respective domestic currency. The preferential risk weight for short-term claims is applied on exposures in Bahraini Dinar and US Dollar in the case of Bahraini incorporated banks.

Corporates portfolio

Claims on corporates are risk weighted based on their external credit ratings. A 100% risk weight is assigned to exposures to unrated corporates. A preferential risk weight treatment is available for certain corporates owned by the Government of Bahrain, as determined by the CBB, which are assigned a 0% risk weight.

Regulatory retail portfolio

Claims on individuals or to a small business with an annual turnover below BHD 2.0 million and where the maximum aggregated retail exposure to one counterpart is below BHD 250.0 thousand are risk weighted at 75%.

Residential mortgages

Lending fully secured by first mortgages on residential property that is, or will be, occupied by the borrower or that is leased are risk weighted at 75%. Social housing or Mazaya loans, however, are risk weighted at 25%.

Equities / funds portfolio

The equities portfolio comprises equity investments in the banking book, i.e. categorised as fair value through other comprehensive income. The credit (specific) risk for equities in the trading book is included in market risk for regulatory capital adequacy calculation purposes.

A 100% risk weight is assigned to listed equities and funds. Unlisted equities and funds are risk weighted at 150%. Investments in rated funds are risk weighted according to the external credit rating. Significant investments in listed and unlisted equities of financial entities are aggregated and the excess above the 10% of CET1 is deducted from equity; the amount not deducted is risk weighted at 250%.

Investments in real estate and also in bonds, funds and equities of companies engaged primarily in real estate are risk weighted at 200%.

In addition to the above portfolios, other exposures are risk weighted as under:

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

CREDIT RISK (CONTINUED)

Past due exposures

All past due loan exposures, irrespective of the categorisation of the exposure are classified separately under the past due exposures asset class. A risk weighting of either 100% or 150% is applied depending on the level of specific provision maintained against the exposure.

Other assets

Other assets are risk weighted at 100%. A credit valuation adjustment (CVA) is applied to applicable derivative exposures and included under other assets.

External credit assessment institutions (ECAI)

The Group uses ratings issued by external rating agencies to derive the risk weightings under the CBB's Basel III capital adequacy framework. As required by the CBB, where there are two assessments by eligible ECAIs which map into different risk weights, the higher risk weight is applied. If there are three or more assessments by eligible ECAIs which map into different risk weights, the assessments corresponding to the two lowest risk weights must be referred to and the higher of those two risk weights must be applied.

In BHD millions	Credit exposure before CRM	Eligible CRM	Credit exposure after CRM	Average risk weight percentage	Risk weighted exposure	Capital requirement at 14%
Sovereign portfolio	2,660.8	-	2,660.8	0%	5.7	0.8
PSEs portfolio	26.9	-	26.9	53%	14.3	2.0
Banks portfolio	990.2	572.3	417.9	55%	231.4	32.4
Corporates portfolio	1,648.3	123.9	1,524.4	57%	866.9	121.4
Regulatory retail portfolio	893.9	2.5	891.4	75%	668.5	93.6
Residential mortgages portfolio	519.8	-	519.8	39%	202.9	28.4
Equities / funds portfolio	82.6	-	82.6	178%	146.7	20.5
Past due exposures portfolio	61.1	0.8	60.3	107%	64.8	9.1
Others assets	231.8	-	231.8	100%	231.5	32.4
Total credit risk exposure	7,115.4	699.5	6,415.9		2,432.7	340.6
Market risk					27.1	3.8
Operational risk					319.4	44.7
Total risk weighted assets					2,779.2	389.1
CET1 capital adequacy ratio					19.6%	
Capital adequacy ratio					20.5%	

CRM is credit risk mitigants such as lien over deposits, mortgage over properties and / or shares and financial instruments. However, for purposes of capital adequacy computation, only eligible collateral recognised under Basel III is taken into consideration.

According to Central Bank of Bahrain rulebook, banks designated as domestic systemically important banks (DSIBs) must hold designated HLA (high loss absorbency) expressed as common equity tier 1 capital at 1.5% of the total risk weighted assets, as calculated for the purposes of capital adequacy. As at 31 December 2025, the Group's common equity tier 1 capital ratio was 19.6%, exceeding the minimum common capital tier 1 ratio and DSIB buffer requirement of 9.0% and 1.5% respectively.

Credit risk exposures

The following are gross credit exposures, presented before the application of any credit risk mitigation techniques:

In BHD millions	As at 31 December 2025	2025 Daily average
Balances at central banks	156.9	145.3
Treasury bills	10.0	168.9
Placements with banks and other financial institutions	800.7	838.0
Loans and advances	3,186.2	2,972.8
Investment securities	1,673.0	1,281.2
Interest receivable and other assets	142.9	131.1
Total assets	5,969.7	5,537.3
Non-derivative banking commitments and contingent liabilities	950.5	829.1
Derivatives (replacement cost)	53.3	37.5
	6,973.5	6,403.9

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

CREDIT RISK (CONTINUED)

Industry or sector exposure

In BHD millions	Government / sovereigns		Manufacturing / trading	Banks / financial institutions	Construction	Personal	Others	Total
	Bahrain	Other countries						
Assets								
Balances at central banks	-	-	-	156.9	-	-	-	156.9
Treasury bills	-	10.0	-	-	-	-	-	10.0
Placements with banks and other financial institutions	-	-	-	800.7	-	-	-	800.7
Loans and advances	647.8	-	490.6	203.6	152.6	1,448.4	243.2	3,186.2
Investment securities - debt instruments	1,426.8	175.2	16.9	16.5	-	-	37.6	1,673.0
Interest receivable and other assets	21.2	1.9	20.3	33.8	0.5	2.7	62.5	142.9
Total assets	2,095.8	187.1	527.8	1,211.5	153.1	1,451.1	343.3	5,969.7
Contingent liabilities and banking commitments	278.1	-	114.2	215.4	184.3	85.9	72.6	950.5
Derivatives (replacement cost)	0.9	-	1.0	51.3	-	0.1	-	53.3
	2,374.8	187.1	643.0	1,478.2	337.4	1,537.1	415.9	6,973.5

The above includes certain exposures to customers / counterparties, which are in excess of 15% of the Group's capital base. These exposures have the approval of the Central Bank of Bahrain or are exempt exposures under the large exposures policy of the Central Bank of Bahrain. The table below gives details of these exposures:

Counterparty	Counterparty type	Total exposure (In BHD millions)
Counterparty A	Sovereign	1,713.8
Counterparty B	Central Bank	651.6
Counterparty C	Government related entity	301.4
Counterparty D	Sovereign	147.6
Counterparty E	Corporate	128.1
Counterparty F	Government related entity	126.1
Counterparty G	Central Bank	84.8
Counterparty H	Bank	74.9

Geographic distribution of exposure

In BHD millions	GCC	USA	Europe	Rest of the world	Total
Assets					
Balances at central banks	156.9	-	-	-	156.9
Treasury bills	10.0	-	-	-	10.0
Placements with banks and other financial institutions	691.3	104.3	4.3	0.8	800.7
Loans and advances	3,077.3	19.3	15.1	74.5	3,186.2
Investment securities	1,673.0	-	-	-	1,673.0
Interest receivable and other assets	116.5	-	25.3	1.1	142.9
Total assets	5,725.0	123.6	44.7	76.4	5,969.7
Contingent liabilities and banking commitments	794.6	10.7	42.5	102.7	950.5
Derivatives (replacement cost)	2.8	-	50.5	-	53.3
	6,522.4	134.3	137.7	179.1	6,973.5

Risk and Capital Management Disclosures continued

For the year ended 31 December 2025

CREDIT RISK (CONTINUED)

Residual contractual maturity

In BHD millions	Up to 3 months	3 to 6 months	6 months to 1 year	1 to 3 years	3 to 5 years	5 to 10 years	10 to 20 years	Over 20 years	Total
Assets									
Balances at central banks	156.9	-	-	-	-	-	-	-	156.9
Treasury bills	10.0	-	-	-	-	-	-	-	10.0
Placements with banks and other financial institutions	791.9	8.8	-	-	-	-	-	-	800.7
Loans and advances	514.1	194.1	224.1	677.3	653.3	537.6	318.9	66.8	3,186.2
Investment securities	139.5	145.1	93.3	432.7	350.8	370.0	141.6	-	1,673.0
Interest receivable and other assets	133.4	6.5	-	-	1.4	-	-	1.6	142.9
Total assets	1,745.8	354.5	317.4	1,110.0	1,005.5	907.6	460.5	68.4	5,969.7
Contingent liabilities and banking commitments	284.7	61.7	96.3	117.7	18.2	0.6	-	371.3	950.5
Derivative (replacement cost)	2.1	1.5	18.5	4.2	16.6	10.4	-	-	53.3
	2,032.6	417.7	432.2	1,231.9	1,040.3	918.6	460.5	439.7	6,973.5

Shariah compliant credit facilities

As at 31 December 2025, the Group held Shariah compliant assets amounting to BHD 2,628.2 million, Shariah compliant liabilities amounting to BHD 1,662.7 million, and profit for the year ended 31 December 2025 from Shairah compliant activities amounting to BHD 53.8 million.

Past due exposures

In accordance with the Group's policy and Central Bank of Bahrain guidelines, loans on which payment of interest or repayment of principal are over 90 days past due, are defined as non-performing.

Days past due represent the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

The Group has systems and procedures in place to identify past dues in any account. A stringent classification process is followed for all accounts with past dues of over 90 days. The Group applies rigorous standards for provisioning and monitoring of non-performing loans. The level of provisions required is determined based on the security position, repayment source, discounted values of cash flows, etc. and adequate provisions are carried to guard against inherent risks in the portfolio.

All non-performing loans and advances are assessed for impairment as stage 3. Under stage 3, lifetime ECL is recognised using discounted cash flow methods based on the difference between the net carrying amount and the recoverable amount of the financial asset. The recoverable amount is measured as the present value of expected future cash flows, including amounts recoverable from guarantees and collateral, discounted based on the interest rate at the inception of the credit facility or, for debt instruments, at the current market rate of interest for a similar financial asset.

Impairment charges on the wider portfolio of financial assets which are not individually identified as impaired is a forward-looking calculation and is established based on various factors. These factors include internal risk ratings, historical default rates adjusted considering multiple scenarios of the future macroeconomic outlook, loss ratios given an event of default, and rating migrations.

Impaired and past due loans and advances

The analysis below includes non-performing purchased or originated credit impaired ("POCI") financial assets which were acquired as part of the business combination at fair value and reflect the credit losses on which a lifetime ECL is already recognised.

Risk and Capital Management Disclosures continued

For the year ended 31 December 2025

CREDIT RISK (CONTINUED)

Ageing analysis of impaired and past due loans and advances

In BHD millions	Total
Up to 1 year	80.1
1 to 3 years	42.7
Over 3 years	4.9
	127.7
Fair market value of collateral	133.4
Stage 3 and non-performing POCI impairment provision	67.8

Ageing of impaired and past due loans by industry

In BHD millions	Government / sovereigns	Manufacturing / trading	Banks / financial institutions	Construction	Personal	Others	Total
Up to 1 year	-	16.1	-	40.8	17.8	5.5	80.2
1 to 3 years	-	10.6	-	25.5	3.9	2.7	42.7
Over 3 years	-	2.9	-	0.8	1.1	-	4.8
	-	29.6	-	67.1	22.8	8.2	127.7

Geographical location of impaired and past due loans and advances

In BHD millions	Impaired loans	Stage 3 and non-performing POCI provisions	Collateral market value	ECL stage 1 and stage 2	ECL performing POCI
Bahrain	127.2	67.4	133.1	20.9	-
Other GCC countries	0.5	0.4	0.3	3.2	-
Rest of the world	-	-	-	0.2	-
	127.7	67.8	133.4	24.3	-

Industry breakdown of impaired and past due loans and advances

In BHD millions	Impaired loans	Stage 3 and non-performing POCI provisions	Collateral market value	ECL stage 1 and stage 2	ECL performing POCI
Manufacturing / trading	29.6	15.5	35.4	8.3	-
Construction	67.1	34.1	72.6	0.9	-
Personal	22.8	14.4	22.8	12.7	-
Banks / financial institutions	-	-	-	0.2	-
Government	-	-	-	0.3	-
Others	8.2	3.8	2.6	1.9	-
	127.7	67.8	133.4	24.3	-

Collateral market value is applicable to the impaired loans only.

Movement in impairment provision for loans and advances

In BHD millions	Stage 1	Stage 2	Stage 3	POCI	Total
Impairment at 1 January 2025	15.7	14.3	66.9	6.1	103.0
Net transfer between stages	7.7	(8.0)	0.3	-	-
Write off during the year	-	-	(18.8)	(0.7)	(19.5)
Net charge for the year	(8.3)	2.9	10.9	3.1	8.6
Impairment at 31 December 2025	15.1	9.2	59.3	8.5	92.1

Restructuring

During 2025, credit facilities amounting to BHD 41.7 million were restructured. Restructuring refers to any modification of terms of a credit facility due to financial difficulty or credit concerns. A counterparty is considered to be in financial difficulty, or a facility is considered restructured when the borrower is experiencing financial difficulty and the bank grants a concession it would not otherwise offer under normal commercial terms. Including those embedded in the original contract. Loans that have been restructured are reported as stage 2 and should remain as such until the completion of a cooling off period in accordance with the Central Bank of Bahrain guidelines.

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

CREDIT RISK MITIGATION

The reduction of the capital requirement attributable to credit risk mitigation is calculated in different ways, depending on the type of credit risk mitigation, as under:

- Adjusted exposure amount: the Group uses the comprehensive method for eligible financial collateral such as cash and equities listed on a recognised stock exchange. The exposure amount and financial collateral, where applicable, are adjusted for market volatility through the use of supervisory haircuts (for currency mis-matches, price volatility and maturity-mismatches).
- Substitution of counterparty: the substitution method is used for eligible guarantees (sovereigns, banks or corporate entities with ECAI ratings higher than that of the counterparty; guarantees issued by corporate entities may only be taken into account if their rating corresponds to A- or better) whereby the rating of the counterparty is substituted with the rating of the guarantor.

COLLATERAL AND VALUATION PRINCIPLES

Collaterals taken for risk mitigation on credit exposures include: deposits held by customers, pledge of quoted shares, residential / commercial property mortgages, investment securities, counter-guarantees from other banks, etc. Other risk mitigants considered include salary and end of service benefits assignment for personal loans, personal guarantees of promoters, etc. However, for purposes of capital adequacy computation, only eligible collateral recognised under Basel III is taken into consideration.

The Group's credit policy defines the types of acceptable collateral and the applicable haircuts or loan-to-value ratio. The Group has a policy of independent valuation of collateral. In the case of real estate, valuation is done by independent valuers on a periodic basis. In adverse market conditions and in the case of collateral that support stage 2 and 3 credit exposures, the valuations must be conducted at least annually in line with the Group's credit policy. The market value of the collateral is actively monitored on a periodic basis and requests are made for additional collateral as required in accordance with the terms of the underlying agreements. In general, lending is based on the customer's repayment capacity and not the collateral value. However, collateral is considered as a secondary alternative to fall back on in the event of default.

In BHD millions	Gross credit exposure	Financial collateral	Credit exposure after risk mitigation
Sovereign portfolio	2,660.8	-	2,660.8
PSEs portfolio	26.9	-	26.9
Banks portfolio	990.2	572.3	417.9
Corporates portfolio	1,648.3	123.9	1,524.4
Regulatory retail portfolio	893.9	2.5	891.4
Residential mortgages portfolio	519.8	-	519.8
Equities / funds portfolio	82.6	-	82.6
Past due exposures portfolio	61.1	0.8	60.3
Others assets	231.8	-	231.8
	7,115.4	699.5	6,415.9

On and off-balance sheet netting

The Group enters into netting agreements during the normal course of business, the agreements provide the Group with the legal rights to set off balances from specific counterparties, for both on and off-balance sheet exposure.

The amount of financial assets and financial liabilities set off under netting agreements amounted to BHD 111.5 million at 31 December 2025.

MARKET RISK

The Group applies the standardised method for allocating market risk capital. The Group has clearly documented policies and procedures for the management and valuation of the trading portfolio. The treasury operations department, which is independent of the treasury front office, is responsible for valuation. Valuation is performed on a daily basis, based on quoted market prices from stock exchanges, independent third parties or amounts derived from cash flow models, as appropriate.

In BHD millions	Capital Charge			
	Amount	Maximum	Minimum	Average
Interest rate risk	2.0	2.0	0.0	0.8
Foreign exchange risk	0.2	5.0	0.2	1.6
Total minimum capital required for market risk	2.2			
Multiplier	12.5			
Market risk weighted exposure under the standardised method	27.1			

OPERATIONAL RISK

Whilst the Group recognises that operational risks cannot be eliminated in its entirety, it constantly strives to minimise operational risks (inherent in the Group's activities, processes and systems) by ensuring that a strong control infrastructure is in place throughout the organisation and enhanced where necessary. The various procedures and processes used to manage operational risks are regularly reviewed, updated and implemented through regular staff training, close monitoring of risk limits, segregation of duties, appropriate controls to safeguard assets and records, regular reconciliation of accounts and transactions, and financial management and reporting. In addition, regular internal audit and reviews, business continuity planning and arrangements for insurance cover are in place to complement the processes and procedures.

The Group applies the Basic Indicator Approach for assessing the capital requirement for operational risk. The capital requirement of BHD 319.4 million is based on the gross operating income (excluding profit / loss on debt instruments classified as fair value through other comprehensive income (FVOCI), amortised cost categories and any exceptional items of income) for the last 3 years. The average of the figures for these 3 years is then multiplied by 12.5 to arrive at the operational risk-weighted exposure.

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

EQUITY POSITION IN THE BANKING BOOK

The Group holds certain investments in equity securities as part of its strategic holdings (including investment in associates) and others are held with the objective of capital appreciation and realising gains on sale thereof. The accounting policies for FVOCI and investment in associates are described in detail in the financial statements under the significant accounting policies note.

Details of equity investments

In BHD millions	Amount	Amount subject to risk weight	Minimum capital requirement at 14%
Non-significant investment in the common shares			
Listed equities	29.6	29.6	4.1
Unlisted equities	7.1	7.1	1.0
Significant investment in the common shares of financial entities >10%	37.6	37.6	5.3
	74.3	74.3	10.4
Unrealised gains from equities fair value	(5.3)		
Deduction from CET 1 (significant investments in common stock of financial entities)	-		

INTEREST RATE RISK IN THE BANKING BOOK

Interest rate risk positions are managed by the treasury department. Reports on overall position and risks are submitted to senior management for review and positions are adjusted if deemed necessary. In addition, GALCO regularly reviews (at least on a monthly basis) the interest rate sensitivity profile and its impact on earnings. Strategic decisions are made with the objective of producing a strong and stable interest income stream over time.

Duration analysis is used to measure the interest rate sensitivity of the fixed income portfolio. Duration of the portfolio is governed by economic forecasts, expected direction of interest rates and spreads. Modified duration gives the percentage change in value of the portfolio following a 1% change in yield. Modified duration of the Group's unhedged fixed income portfolio was 0.7% on 31 December 2025 implying that a 1% parallel upward shift in the yield curve could result in a drop in the value of the portfolio by BHD 0.4 million.

Deposits without a fixed maturity are considered as repayable on demand and are accordingly included in the overnight maturity bucket. The Group usually levies a pre-payment charge for any loan or deposit, which is repaid / withdrawn before the maturity date, unless it is specifically waived. This prepayment charge is to take care of any interest rate risk that the Group faces on account of such prepayments and accordingly, no assumptions regarding such pre-payments are factored for computation of interest rate risk in the banking book.

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

INTEREST RATE RISK IN THE BANKING BOOK (CONTINUED)

The Group uses interest rate gap analysis to measure the interest rate sensitivity of its annual earnings due to re-pricing mismatches between rate sensitive assets, liabilities and derivatives positions. The asset and liability re-pricing profile of various asset and liability categories is set out below:

In BHD million As at 31 December 2025	Up to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	More than 5 years	Rate insensitive	Total
Assets							
Cash and balances at central banks	-	-	-	-	-	198.5	198.5
Treasury bills	10.0	-	-	-	-	-	10.0
Placements with banks and other financial institutions	735.8	8.8	-	-	-	56.1	800.7
Loans and advances	1,250.2	209.2	218.6	1,120.0	388.2	-	3,186.2
Investment securities	139.5	145.1	93.3	783.5	511.6	78.1	1,751.1
Investment in associates, interest receivable and other assets	-	-	-	-	-	208.3	208.3
Property and equipment	-	-	-	-	-	71.5	71.5
Goodwill and other intangible assets	-	-	-	-	-	50.3	50.3
Total assets	2,135.5	363.1	311.9	1,903.5	899.8	662.8	6,276.6
Liabilities and equity							
Due to banks and other financial institutions	789.3	45.5	23.0	37.7	-	45.7	941.2
Borrowings under repurchase agreements	483.3	87.6	38.3	-	-	-	609.2
Customer deposits	1,421.1	404.4	407.5	27.3	-	1,705.9	3,966.2
Interest payable and other liabilities	-	-	-	-	-	159.8	159.8
Equity	-	-	-	-	-	600.2	600.2
Total liabilities and equity	2,693.7	537.5	468.8	65.0	-	2,511.6	6,276.6
On-balance sheet interest rate sensitivity gap	(558.2)	(174.4)	(156.9)	1,838.5	899.8	(1,848.8)	-
Off-balance sheet interest rate gap	587.8	59.4	224.8	(370.5)	(501.5)	-	-
Cumulative interest rate sensitivity gap	29.6	(85.4)	(17.5)	1,450.5	1,848.8	-	-

The interest rate risk management process is supplemented by monitoring the sensitivity of the Group's financial assets and liabilities to an interest rate shock of 200 bps increase / decrease on the balance sheet. An analysis of the Group's sensitivity to an increase or decrease in market interest rates (assuming no asymmetrical movement in yield curves and a constant balance sheet position) is as follows:

In BHD millions	200 bps parallel increase	200 bps parallel decrease
As at 31 December 2025	(3.6)	3.6
Average for the year	(0.7)	0.7
Minimum for the year	(0.2)	0.2
Maximum for the year	(5.1)	5.1

Risk and Capital Management Disclosures continued
For the year ended 31 December 2025

RELATED PARTIES

Certain related parties (major shareholders, directors of the Group and families and companies of which they are principal owners, key management personnel and associates) were customers of the Group in the ordinary course of business. The transactions with these parties were made on an arm's length basis. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group. Typically, key management personnel include the Group Chief Executive Officer and persons directly reporting to this position. Significant balances at the reporting date in regard to related parties and transactions during the year with related parties are as below:

The Group qualifies as a government related entity under the definitions provided in IAS 24 as its significant shareholder is government owned. In addition to the government exposures reported below, in its normal course of business, the Group provides commercial lending, liquidity management and other banking services to, and also avails services from, various semi-governmental organisations and government owned companies in the Kingdom of Bahrain.

In BHD millions As at 31 December 2025	Major shareholder and related entities	Directors and key management personnel	Associates
Loans and advances	368.9	3.0	-
Treasury bills and investment securities	1,451.8	-	39.6
Customer deposits	274.6	65.8	1.1
Contingent liabilities for irrevocable commitments, guarantees and other contingencies	207.2	34.4	1.6
For the year ended 31 December 2025			
Loans advanced	291.7	3.1	-
Loans repaid	415.7	2.4	-
Net decrease in overdrafts	(78.0)	(2.2)	-
Treasury bills, bonds and equities purchased	868.2	-	-
Treasury bills, bonds and equities matured / sold	468.5	-	-
Capital expenditures	0.1	0.7	-
Interest income	96.5	0.1	-
Interest expense	9.5	2.0	-
Share of profit of associates	-	-	2.2
Dividend income	2.1	-	-
Directors remuneration and sitting fees	0.2	0.5	-
Short term employee benefits	-	0.5	-
Post employment retirement benefits	-	-	-
Other operating expenses	4.3	4.0	0.6

During the year, no provision charge has been recorded against outstanding balances with related parties.

NET OPEN FOREIGN CURRENCY POSITIONS

In BHD millions	
US Dollar (long position) – unhedged	51.8
Saudi Riyal (short position) – unhedged	(4.5)
UAE Dirhams (short position) – unhedged	(5.0)

All of the above currencies have a fixed rate of exchange against the Bahraini Dinar. The Group did not have any significant net open positions as at 31 December 2025.

DERIVATIVE AND FOREIGN EXCHANGE FINANCIAL INSTRUMENTS

The following table summarises the aggregate notional amounts, replacement cost and fair value of each type of derivative and foreign exchange financial instrument.

In BHD millions	Contract / nominal amount	Replacement cost	Fair value
Cross currency swaps	80.5	-	(0.7)
Interest rate swaps	6,850.2	50.1	12.0
	6,930.7	50.1	11.3
Foreign exchange contracts			
Outright spot and forward contracts	913.0	0.2	(0.4)
Swap agreements	2,473.5	3.0	2.5
	3,386.5	3.2	2.1
	10,317.2	53.3	13.4

The remaining maturity profile by each class of derivative and foreign exchange financial instrument based on contract/notional principal amounts is as follows:

In BHD millions	Up to 1 year	More than 1 year	Total
Cross currency swaps	16.4	64.1	80.5
Interest rate swaps	2,292.9	4,557.3	6,850.2
	2,309.3	4,621.4	6,930.7
Foreign exchange contracts			
Outright spot and forward contracts	913.0	-	913.0
Swap agreements	2,416.7	56.8	2,473.5
	3,329.7	56.8	3,386.5
	5,639.0	4,678.2	10,317.2

LEGAL CLAIMS

As at 31 December 2025, legal suits pending against the Group aggregated to BHD nil.

Appendix & Indexes



For detailed information about this section, please scan the QR code or [click](#) here to access the content.

Appendices

Material Topic Definitions

1. Data Privacy and Security

Protecting customer and stakeholder data is fundamental, requiring robust security procedures and systems.

2. Compliance and Ethical Behaviour

Robust compliance procedures are essential due to regulatory requirements, aligning with national and international legislation, and meeting customer demands.

3. Governance, Transparency, and Accountability

Adhering to national and international regulations and standards is essential for the Bank's operational license and ensures transparent communication with stakeholders.

4. Risk Management and Business Continuity

Having robust risk management strategies and practices in place to mitigate risks, including systematic and operational risks, that could have widespread impacts on the company and its stakeholders, ensuring business resilience during and after disruptions.

5. Financial and Economic Performance

Robust financial performance is vital for delivering economic value, pursuing opportunities, managing financial risk, and fostering national economic growth.

6. Responsible Customer Relationships

Customer satisfaction is a key priority, achieved by understanding customers' needs and setting the standard for excellence in product and service quality. This includes managing responsible and reliable product delivery, call center operations, and complaint management.

Somewhat Material Topics

7. Climate Change

Managing the Bank's exposure to climate risk, which includes monitoring and measuring impacts like direct emissions, supply chain, products, services and investment portfolio, is a key priority, along with leveraging opportunities to mitigate consequences and strengthen resilience to climate change.

8. Talent Attraction, Retention, & Development

Retaining and developing our people drives success, underlining the importance of continuous investment in employees' skills, knowledge, and capabilities, enabling consistent delivery of high standards of customer service and fostering a culture of innovative thinking necessary for business growth, creating value for employees, the Bank, the economy and the community.

9. Digital Transformation

Digitalisation, through NBB's state-of-the-art digital services, is integral to providing innovative products and services, delivering process and resource efficiencies.

10. Sustainable Finance

Developing products and services accounting for environmental and social needs through prudent product development, effective investment screening, and mindfulness of diverse customer needs.

11. Equal Opportunity & Workforce Wellbeing

Encouraging a diverse workforce beyond compliance and providing equal and fair opportunities to all support improved business decision-making and help cultivate a more productive working environment while ensuring employee health and safety with an increasing focus on supporting mental and physical wellbeing.

12. Community Investment

NBB's investments, programmes, and initiatives positively impact local communities by providing financial support, addressing local needs, and diversifying the local economy.

Least Material Topics

13. Financial Inclusion

Aligning with Bahrain's financial vision for 2030, NBB aims to make financial services accessible and affordable for all as sustainably as possible.

14. Partnerships, Collaboration & Active Stewardship

Fostering strategic partnerships and collaborations with stakeholders and engaging in proactive stewardship to drive mutual growth, enhance innovation, promote shared values and sustainable practices, and amplify positive impact outside of the organisation across industries and communities.

15. Responsible Sourcing

Collaborating with partners to produce products and services responsibly, enforcing relationships and expectations through active engagement, assessments, and the Code of Conduct.

16. Direct Environmental Footprint

Minimising the environmental impact of Group activities is essential for responsible operations and complying with national regulators, customers, partners, and international efforts to tackle climate change.

CSE Independent Assurance Statement

Center for Sustainability and Excellence (CSE) has been engaged by National Bank of Bahrain (NBB) to provide independent assurance over the Annual Sustainability Report 2025. The aim of this process is to provide reassurance to NBB's stakeholders over the accuracy, reliability and objectivity of the reported information and the coverage of the material issues regarding the business and the stakeholders. NBB's 2025 Sustainability Report is in compliance with the requirements of the GRI STANDARDS Guidelines at 'In Accordance level' as well as the SASB Standards for the Commercial Banks Sector.

Scope of work

The scope of work included a review of the NBB 2025 Sustainability Report activities and performance data related to the 2025 year that ended December 31, 2025.

The assurance process was conducted in line with the requirements of the AA1000 Assurance Standard v3 and applied a Type 2 'moderate' level of assurance. Type 2 requires assessment of organization's adherence to the AA1000AS Principles and shall additionally assess and evidence the reliability and quality of specified sustainability performance and disclosed information. The principles that the assurance process is focused on are:

• **Inclusivity, Materiality, Responsiveness, and Impact.**

The scope of work included a review of the 2025 ESG Report activities and performance data.

Specifically, this included:

- Statements, information and performance data contained within the Sustainability Report.
- NBB's process for determining material aspects for reporting and the management approach to material issues.
- NBB's reported data and information as per the requirements of the Global Reporting Initiative (GRI) STANDARDS Sustainability Reporting Guidelines, and SASB standards for Commercial Banks Services as indicated in the Report index.

Methodology

To verify the content of the 2025 Sustainability Report, we undertook the following activities to inform our independent assurance engagement:

- Conducted document reviews, data sampling and associated reporting systems as they relate to selected content and performance data.
- Reviewed the outcomes of NBB's stakeholder engagement activities in 2025.
- Reviewed the materiality analysis and its outputs.
- Evaluated NBB's public disclosures against the GRI and SASB standards.

More details on the specific information and data that were verified are presented in the following sections of the present independent assurance report.

General Conclusions

With respect to the scope of work, we conclude that:

- The account of NBB's activities and performance during 2025 and the way they are presented in the 2025 Sustainability Report is accurate.
- NBB adheres to the principles of inclusivity, materiality, responsiveness, and impact as per the AA1000 Accountability Principles Standard.

Any errors or misstatements identified during the engagement were corrected prior to the publication of the 2025 Sustainability Report.

Key Observations and Recommendations

NBB achieved significant improvements in the management and performance in corporate responsibility and sustainability during the period covered by the Sustainability Report:

- Advanced the development of a comprehensive Decarbonisation Plan, establishing emissions baselines and methodologies aligned with global best practices and Bahrain's national climate ambitions.
- Continued its annual reduction in petrol and diesel consumption (~4% vs 2024) and overachieved its target for 5% reduction in electricity consumption vs 2024 (~6.4% vs 2024).
- Strengthened sustainability governance through the implementation of a new ESG Policy and established a Sustainable Finance Working Group to deepen the integration of ESG considerations into credit assessment, decision making, and long-term planning.

- Expanded the Sustainable Finance Framework and enhanced the ESG Risk Assessment Toolkit, strengthening the systematic evaluation of ESG risks across financing activities.
- Launched the Sustainability Academy 2025, in partnership with Emeritus and Columbia Business School, covering ESG governance, sustainable finance, and sustainability risk.
- Continued its improvement on Relationship and Human Capital KPIs: Percentage of Procurement spend directed to local suppliers, reaching 82% (vs 84% in 2024) and increase of average Training hours per Employee to 97.4 (vs 51 in 2024).

Based on the observations and concluding remarks derived from the assurance engagement, our key findings, and recommendations for improvement are:

- With respect to the principle of inclusivity, NBB maintains a structured and comprehensive communication process with its key stakeholders. In addition, it has applied appropriate and widely recognized principles in shaping its approach to sustainable development.
- With respect to the principle of materiality, NBB made significant improvement by conducting its first double materiality assessment and using a structured six-step process involving stakeholders across the Group, external partners, and senior leadership. The updated assessment ensures alignment with evolving regulatory requirements, stakeholder expectations, and emerging risks and opportunities. It also strengthens the integration of material topics into the sustainability strategy and overall decision-making.
- With respect to the principle of responsiveness, NBB has made substantial efforts to integrate the concerns and expectations of its key stakeholder groups into its approach and decision making.
- With respect to the principle of impact, NBB demonstrates robust monitoring, measurement, and accountability practices regarding its actions and their impact on the wider natural and human ecosystems.
- With respect to performance indicators, it is recommended to continue presenting performance data from previous years across most indicators in order to clearly demonstrate the progress achieved in managing all material issues.

Findings and conclusions concerning adherence to the AA1000AS principles of Inclusivity, Materiality, Responsiveness and Specific Performance Information

Inclusivity – how the key stakeholder groups were identified and engaged regarding sustainability issues. NBB engaged all major stakeholder groups and followed widely recognized principles to shape its stakeholder engagement and sustainability strategy.

Materiality – how the assessment of the importance of each sustainability topic took place. NBB's approach to determining material issues provides a balanced and well-grounded representation of the topics that are most relevant to its sustainability performance and overall impact.

Responsiveness – how the company responded to the issues that were pointed out by each stakeholder group, and how this response is described in the 2025 Sustainability Report. NBB has adequately addressed the issues identified as high priority by stakeholders. These responses are clearly and comprehensively presented in the 2025 Sustainability Report.

Impact – how the company monitors, measures, and is accountable for how its actions affect their broader ecosystems. NBB provides comprehensive information in its 2025 Sustainability Report on how it monitors its impact on both natural and human ecosystems. The performance indicators applied align with widely recognized standards and leading local and international best practices.

Specific Performance Information – The Specific Performance Information (quantitative data related to GRI and SASB metrics and indicators) has been collected and presented in a commonly acceptable manner in the 2025 Sustainability Report and the 'general and specific disclosures' have been reviewed during the assurance process. Specifically, during the independent assurance process, CSE examined evidence and documentation regarding:

- A description of other means, besides the materiality assessment, of identifying and verifying important sustainability topics for the 2025 fiscal year.

- A description (along with any supporting evidence and documentation) of the stakeholder engagement process, including the materiality assessment process.
- Evidence and documentation about NBB's Sustainability Strategy and KPIs.
- Evidence and documentation regarding material ESG topics, included in the report:
 - GHG Emissions
 - Waste management
 - Petrol consumption
 - Electricity consumption
 - Water management
 - The Mazaya programme
 - Workforce
 - Volunteering hours
 - Training and education
 - Community investment program
 - Digital transactions/ clients for Retail and Non-Retail clients
 - Local suppliers
 - Sustainable finance framework
 - Sustainability Initiatives
 - Mena Banking Excellence Award
 - Bloomberg and Refinitiv ESG scores
 - Euromoney awards
 - Investors in People accreditation
 - ISO 27001, ISO 27701, ISO 22301, ISO 45001, and ISO 14001 certifications.
 - Verification that there were no legal actions against NBB for anticompetitive behavior, anti-trust, or monopoly practices.
 - Verification that no allegations were made against NBB regarding corruption, as well as that no confirmed incidents under any applicable corruption laws were reported during the reporting period.

Overall, the report is in accordance with the GRI STANDARDS and follows the SASB STANDARDS for the Commercial Banks Sector.

Exclusions and Limitations

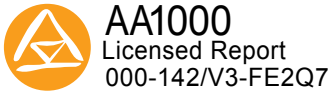
Excluded from the scope of our work is information relating to:

- Activities outside the defined reporting period or scope.
- Financial data taken from NBB's 2025 Sustainability Report
- Content of external websites or documents.
- Any other issue or policy was not referred to in the documentation.

This independent statement should not be relied upon to detect all errors, omissions or misstatements that may exist within the 2025 Sustainability Report. The scope of our work was defined and agreed in consultation with NBB.

Statement of CSE Independence, Impartiality and Competence

This is the third year that CSE has provided independent assurance services in relation to the NBB Sustainability Report. Our assurance team completing the work for NBB has extensive knowledge of conducting assurance over environmental, social, health, safety and ethical information and systems, and through its combined experience in this field, an excellent understanding of good practice in Sustainability Reporting and assurance.



On behalf of the Assurance Team

Marina Alonistioti
Head of Assurance Services
Center For Sustainability and Excellence (CSE)